First Edition:

August, 2023 © All Rights Reserved with G-TEC JAIN EDUCATION. No part of this book may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, mimeograph, electronic, photocopy, recording or scanning without any written permission from G-TEC JAIN EDUCATION

Version: 1.1/ August 2023

Limits of Liability:

The information contained in this document represents the current view of G-TEC JAIN EDUCATION, (GJ in short) on the topics discussed as of the date of publication. While the publisher and the author have used their best efforts in preparing this book, GJ and the author make no representation warranties with respect to the accuracy or completeness of the contents of the book, and specifically disclaim any implied warranties of merchantability or fitness for any particular purpose. There are no warranties which extend beyond the descriptions contained in this paragraph. No warranty may be created or extended by sales representatives or written sales materials.

This document is for informational purposes only and GJ MAKES NO WARRANTIES, EXPRESS OR IMPLIED, IN THIS DOCUMENT.

Disclaimer:

The content of this book has been checked for accuracy. Since deviations cannot be precluded entirely, GJ or its authors, publishers, printers cannot guarantee full agreement. As the book is intended for educational purpose GJ or its authors shall not be responsible for any errors or omissions, or damages arising out of the use of the information contained in this book and the authors, publishers, printers, the Company and/or its directors and other officers, shall not be liable in any manner whatsoever for any material or information published in this book. This book may contain reference to other sources or related to topics of the content. The reference is for training and educational purpose only.

Copyright:

This book and the content of the book is developed by GJ and is not meant for sale or re-sale or distribution without the written permission of GJ. All Product names, Brand, Registered Trademarks, Trademarks, Images and Service marks are the property of the respective owners. Violation of copyright in any manner including but not limited to reproduction or republication or transmission of this book, in whole or in part, in any form whether electronic, physical, photocopy or copying information, is prohibited.

Preface

Tally Prime delivers integrated Payroll software which is completely rewritten to provide all the necessary Payroll Compliances. The software is capable of handling simple Pay slip generation in five easy steps to complex associated processes - including handling Loans and Advances, Salary revision and Arrear calculation, Deductions and ad-hoc payments etc. ATTITUDE's Course in Payroll in Tally, another key offering, is designed to equip learners with skills that are needed by modern-day Accounting and finance

This book is focused how to enable Payroll Features on Tally Prime and Calculate Employee's Total Earnings, Deduction and Net Salary, Employee's House Loan and Education Loan, Income Tax and Professional Tax and Allowances and Deduction. Get the Pay Slip, Pay Sheet and Payroll Statement

The content development team of GJ has put in tremendous effort in bringing out this publication and the team looks forward to your valuable suggestions and recommendations for the improvement of this book.

Mail us at Support@gtecjaineducation.com or write to us at "**Office No. 12/A, Ninth Floor, A-Wing, Pinnacle Corporate Park, Bandra Kurla Complex, Bandra East, Mumbai – 400051.**

Content Development Team – G-TEC JAIN EDUCATION

INDEX

Sr. No	Topic	Page No
1	Introduction to Payroll	07
2	Payroll Master & Income Tax Details	162
3	Payroll Voucher	187
4	Payroll Reports	200

G TEC COMPUTER EDUCATION JGi Jain Group - Bengaluru G-TEC JAINx EDUCATION

Introduction to Payroll

The payroll feature in Tally Prime is fully integrated with accounting to streamline payroll processing.

Organisations can set up and process payroll using simple and complex criteria. A collection of predefined processes in Tally Prime enable error-free automation of payroll process.

The payroll feature also provides management related information, statutory forms and reports in the prescribed formats such as:

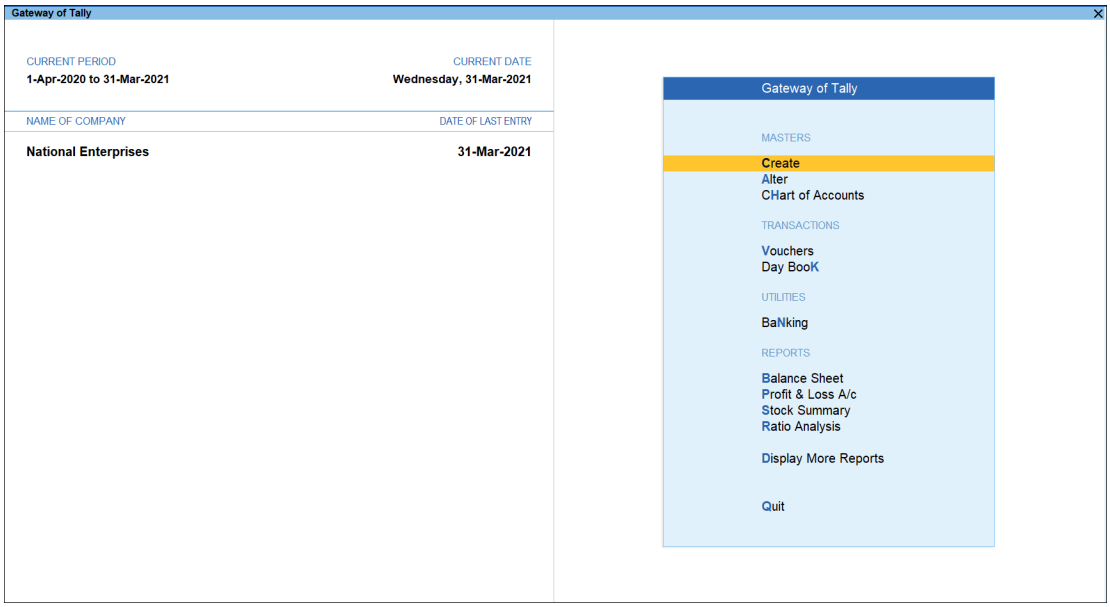
- Pay Slip, Payroll Statements, Attendance and Overtime Registers.
- Gratuity, Provident Fund (PF), Employee State Insurance (ESI), National Pension Scheme (NPS).
- Professional Tax (PT) and Income Tax (IT).
- Expat Reports.

Enable Payroll in Tally Prime

You can enable or activate payroll in Tally Prime.

Enable Payroll Feature

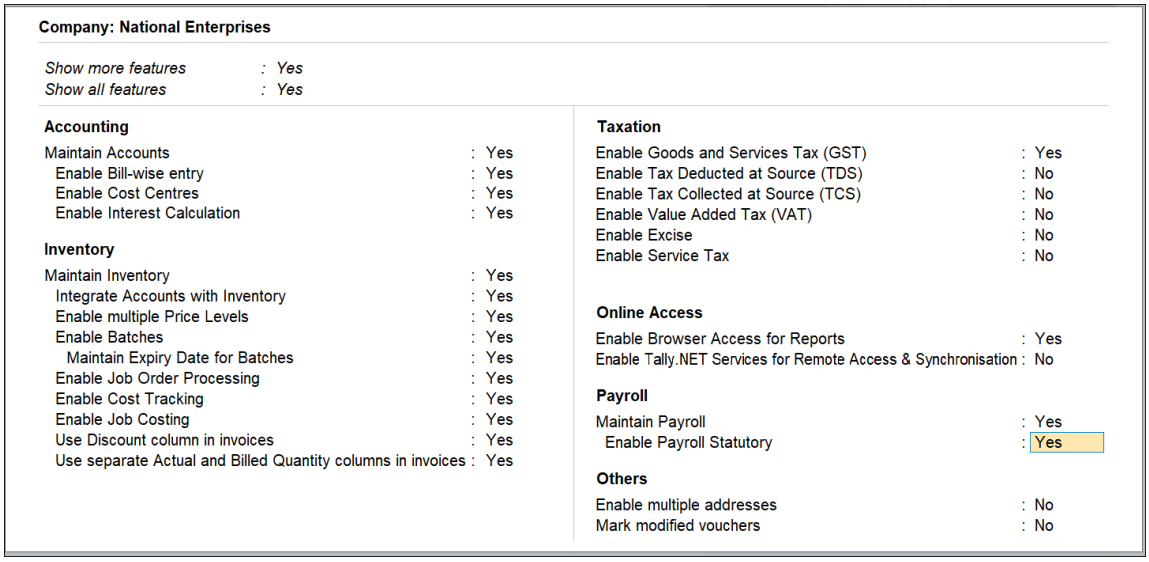
1. Press **F11** (Features) > set **Maintain Payroll** to **Yes**. If you do not see this option:
   - Set **Show more features** to **Yes**.
   - Set **Show all features** to **Yes**.
2. Accept the screen. As always, you can press **Ctrl**+**A** to save. The **Gateway of Tally** screen appears as shown below:



Enable Statutory Features of Payroll

To use the Provident Fund, Employee State Insurance (ESI), National Pension Scheme (NPS), Income Tax and Professional Tax features for Indian Payroll, you must enable Statutory Features for Payroll.

Press **F11** (Features) > set **Enable Payroll Statutory** to **Yes**.



Company: National Enterprises

Show more features : *Yes*
Show all features : *Yes*

Accounting

Maintain Accounts	Yes
Enable Bill-wise entry	Yes
Enable Cost Centres	Yes
Enable Interest Calculation	Yes

Inventory

Maintain Inventory	Yes
Integrate Accounts with Inventory	Yes
Enable multiple Price Levels	Yes
Enable Batches	Yes
Maintain Expiry Date for Batches	Yes
Enable Job Order Processing	Yes
Enable Cost Tracking	Yes
Enable Job Costing	Yes
Use Discount column in invoices	Yes
Use separate Actual and Billed Quantity columns in invoices	Yes

Taxation

Enable Goods and Services Tax (GST)	Yes
Enable Tax Deducted at Source (TDS)	No
Enable Tax Collected at Source (TCS)	No
Enable Value Added Tax (VAT)	No
Enable Excise	No
Enable Service Tax	No

Online Access

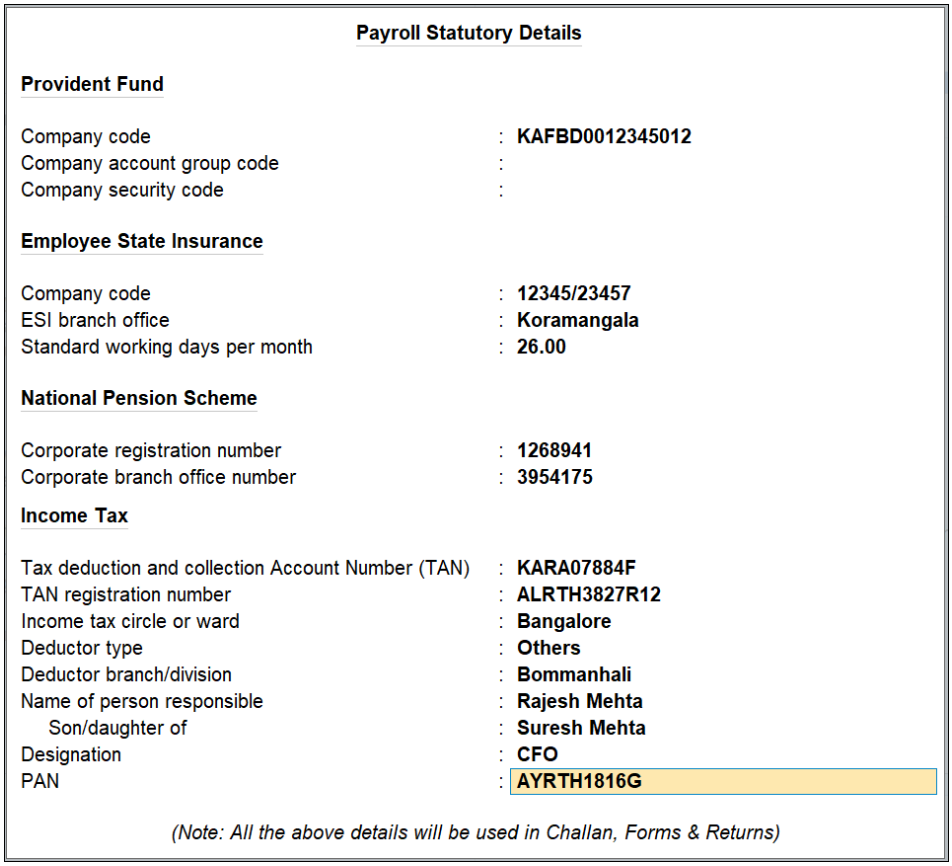
Enable Browser Access for Reports	Yes
Enable Tally.NET Services for Remote Access & Synchronisation	No

Payroll

Maintain Payroll	Yes
Enable Payroll Statutory	Yes

Others

Enable multiple addresses	No
Mark modified vouchers	No



Payroll Statutory Details

Provident Fund

Company code	**KAFBD0012345012**
Company account group code	
Company security code	

Employee State Insurance

Company code	**12345/23457**
ESI branch office	**Koramangala**
Standard working days per month	**26.00**

National Pension Scheme

Corporate registration number	**1268941**
Corporate branch office number	**3954175**

Income Tax

Tax deduction and collection Account Number (TAN)	**KARA07884F**
TAN registration number	**ALRTH3827R12**
Income tax circle or ward	**Bangalore**
Deductor type	**Others**
Deductor branch/division	**Bommanhali**
Name of person responsible	**Rajesh Mehta**
Son/daughter of	**Suresh Mehta**
Designation	**CFO**
PAN	**AYRTH1816G**

(Note: All the above details will be used in Challan, Forms & Returns)

In the Provident Fund section,

1. Enter Company code Company Code format is Region Code Office Code Est Code Extension Code [DL] [FBD] 7digits 3digits Example: Company PF Account Number to be entered as **DLFBD0012345012**. As allotted by the PF department.

2. Enter Company account group code as specified by the PF department.
3. Enter Company security code as specified by the PF department.

In the Employee State Insurance section,

1. Enter Company code as allotted by the Employee State Insurance Corporation (ESIC).
2. Enter the name of the ESI branch office.
3. In the Standard working days per month field, enter the number of days to be considered for the calculation of daily wages, and monthly gross amount for ESI benefits. If this field is left blank, the system considers the Calendar Period as the basis for calculation.

In National Pension Scheme section,

1. Specify the **Corporate registration number** as allotted by the **Central Record keeping Agency (CRA)** during registration.
2. Specify the **Corporate branch office number** allotted by the **Central Recordkeeping Agency (CRA)** during registration.

In the Income Tax section,

1. Specify the **10 digit TAN** assigned to the employer in **Tax deduction and collection Account Number (TAN)**.
2. Specify the TAN registration number.
3. Specify the name of the **Income tax circle or ward**, to which the employer is associated.
4. Select the Deductor type as:
   - Government for central or state government companies.
   - Others for other companies.
5. Enter the name of Deductor branch/division.
6. Enter the Name of person responsible for TDS deduction in the company.
7. Enter the **father's name of the person** who is responsible for **TDS deduction** in the company, in the field Son/daughter of.
8. Specify the official Designation of the person who is responsible for TDS deduction in the company.
9. Specify the PAN.
10. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Payroll in Tally Prime

Tally Prime offers various features that allows you to implement and process payroll. You can use the Payroll Info. Menu to create different payroll masters required for computing earnings and deductions for employees.

Features

- Full integration with accounts for simplified payroll processing and accounting.
- User-defined classifications and sub-classifications for comprehensive reporting on aspects such as employees, employee groups, pay components, or departments.
- Support for user-defined Earnings and Deductions Pay Heads.
- Flexible and user-defined criteria for simple or complex calculations.
- Unlimited grouping of Payroll Masters.
- Support for user-defined production units such as attendance, production, or time-based remuneration units.
- Flexible processing period for payroll.
- Comprehensive reports for cost center as well as employee-wise costing.
- Predefined processes for accurate and timely salary processing, employee statutory deductions & employer statutory contributions.
- Processing payments using the e-payments capability in Tally Prime.
- Auto-fill facility to expedite the attendance, payroll, and employer's contribution processes.
- Accurate computation and deduction of statutory payments such as Income Tax, ESI, EPF, NPS, Professional Tax, and Gratuity.
- Generate statutory forms and challans for Income Tax and EPF & ESI, as prescribed.
- Facility to drill-down to the voucher level for any alteration.
- Compute arrears of previous period(s).
- Track loan details of employees.

G-TEC COMPUTER EDUCATION Jain Group - Bengaluru
G-TEC JAINx EDUCATION

Payroll Master & Income Tax Details

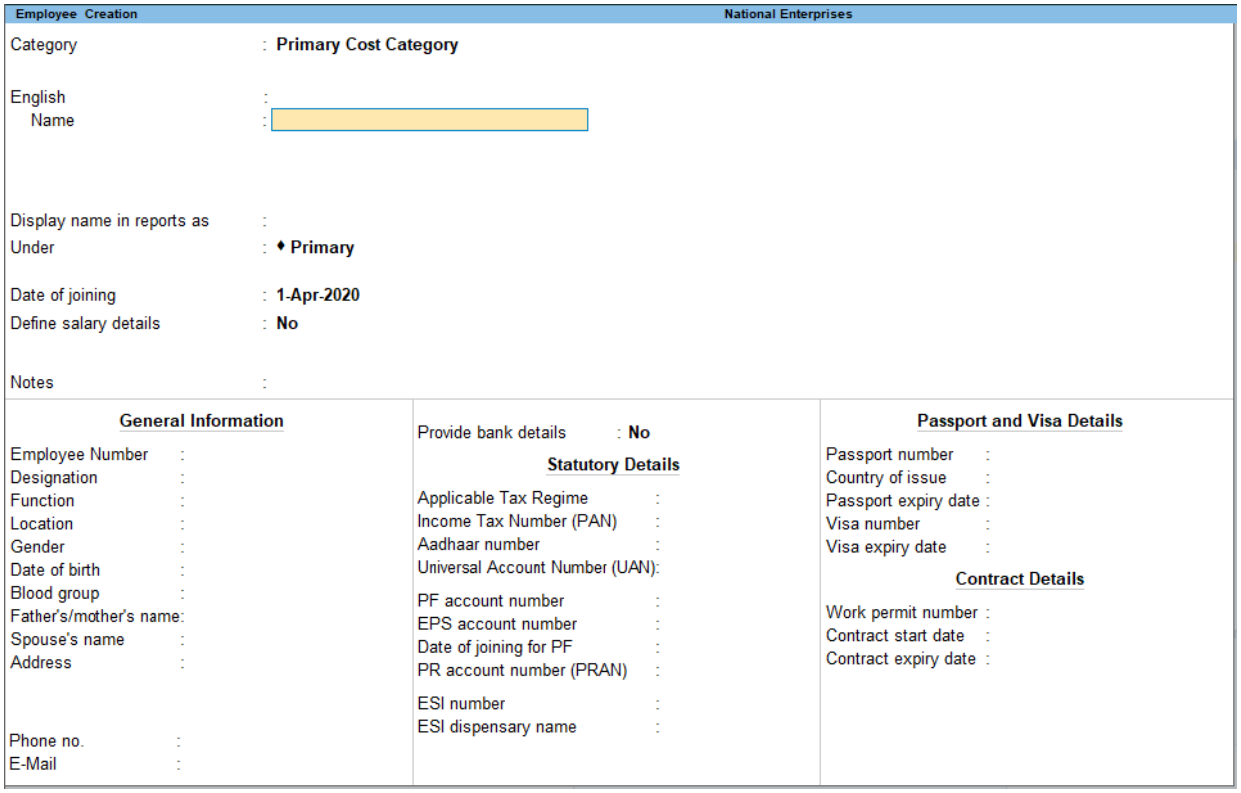
Create Employees (Payroll)

The employee master in Tally Prime can be used to record all the employee related information. Along with the general information consisting of basic details of the employees, you can also enter the Payment, Statutory, and Contract details. To enter statutory details in the employee master, enable the option Provide Statutory Details in the Payroll Configurations screen.

You can change the tax regime details of employees as per your requirement with revised applicable date as 01-Apr-2020 or later.

Create Single Employee

1. Gateway of Tally > Create > type or select Employee > and press Enter. Alternatively, press Alt+G (Go To) > Create Master > Employee > and press Enter.



2. Enter the Name of the employee. By default, the system displays the same value in the Display name in reports as.
3. Modify the Display name in reports as, if required.
4. Select the Employee Group in the field under.
5. Enter the Date of joining.
6. Set the **Define salary details** option to **Yes**, and press **Enter** to open **Salary Details Creation** screen.
7. In the **Salary Details Creation** screen, you can specify salary details of an employee.

Note: The Date of resignation/retirement option is available only on the Employee Alteration screen. After you enter the Date of resignation/retirement, you can also select a Reason for leaving.

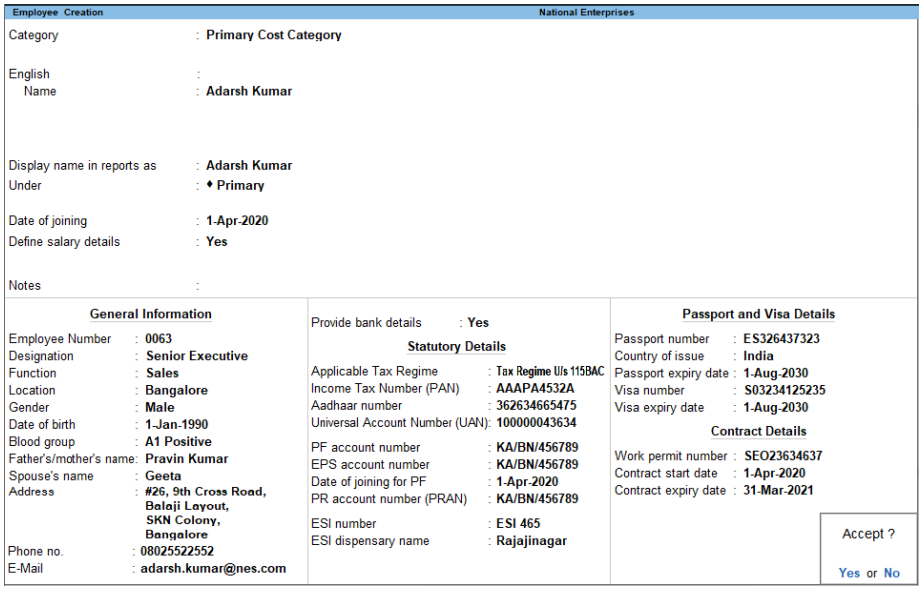
Name : **Adarsh Kumar**
Under : ♦ **Primary**

Salary Details

Effective From	Pay Head	Rate	Per	Pay Head Type	Calculation Type	Computed On
1-Apr-2020						
	Basic Pay	45,000.00	Months	*Earnings for Employees*	*On Attendance*	
	House Rent Allowance			*Earnings for Employees*	*As Computed Value*	*Basic Pay*
	Conveyance	1,500.00	Months	*Earnings for Employees*	*Flat Rate*	
	Overtime Pay	600.00	Hrs	*Earnings for Employees*	*On Production*	
	Variable Pay			*Earnings for Employees*	*As User Defined Value*	
	Gratuity Expenses (Provisional)			*Gratuity*		
	Employee's PF Contribution @ 12%			*Employees' Statutory Deductions*	*As Computed Value*	*Basic Pay*
	Employee's ESI Contribution @ 1.75%			*Employees' Statutory Deductions*	*As Computed Value*	*[Basic Pay + House Rent Allowance] + Conveyance] + Overtime Pay*
	Profession Tax			*Employees' Statutory Deductions*	*As Computed Value*	*On Current Earnings Total*

- The relevant **Pay Heads** from the **List of Pay Heads** in the Pay Head column, and enter values for the required pay heads.
- Define the **salary structure**, and press **Enter** to navigate to the **Employee Creation** screen.

8. Enter **remarks**, if any, in the **Notes** field.
9. Enter the employee's PAN in the **Income Tax Number (PAN)** column. When the PAN is not available, enter one of the terms given below, based on the corresponding reason:
   - **PAN APPLIED** – If the employee has given a declaration stating that he/she has applied for PAN, but are yet to receive the same.
   - **PAN IN VALID** – If the PAN format provided by the employee is incorrect.
   - **PAN NOT AVBL** – If the employee has not given any declaration or PAN number.
10. Enter the employee General Information, employee's Bank Details for salary processing, Payment Details, Statutory Details, Passport & Visa Details and Contract Details.



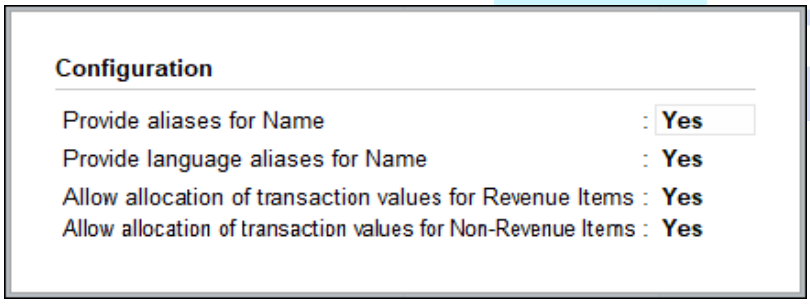
11. Accept the screen. As always, you can press **Ctrl**+**A** to save.

You can configure the salary structure using the **Salary Details** screen.

Employee Configuration

Press **F12** (Configure) to change the default display for the **Employee Creation** screen

.

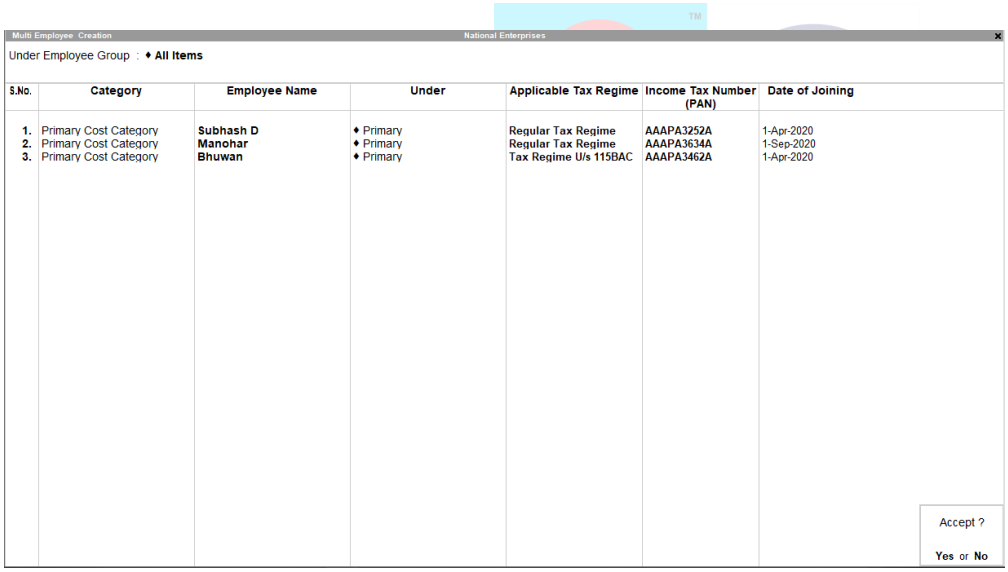


1. Set the option Provide aliases for Name to Yes to add aliases for the employee.
2. Set the option Provide language aliases for Name to Yes to add the aliases in other languages as selected (only while using Multilingual feature)
3. Set the option Provide display name for Employee to Yes, to print a different name for an employee while printing reports. This option is useful when the same name is shared by two or more employees.
4. Set the option Add Notes for Employees to Yes to add notes or remarks for an employee.
5. Set the option Show Statutory Details to Yes to enter the PAN, PF, PR, EPS Account Number, the Date of Joining and Relieving.
6. Set the option Provide Passport and Visa Details to Yes to enter the passport and visa details of the employee.
7. Set the option Provide Contract Details to Yes, to enter contract details such as Work Permit Number, Contract Start Date and End Date.

JGI COMPUTER EDUCATION Jain Group - Bengaluru

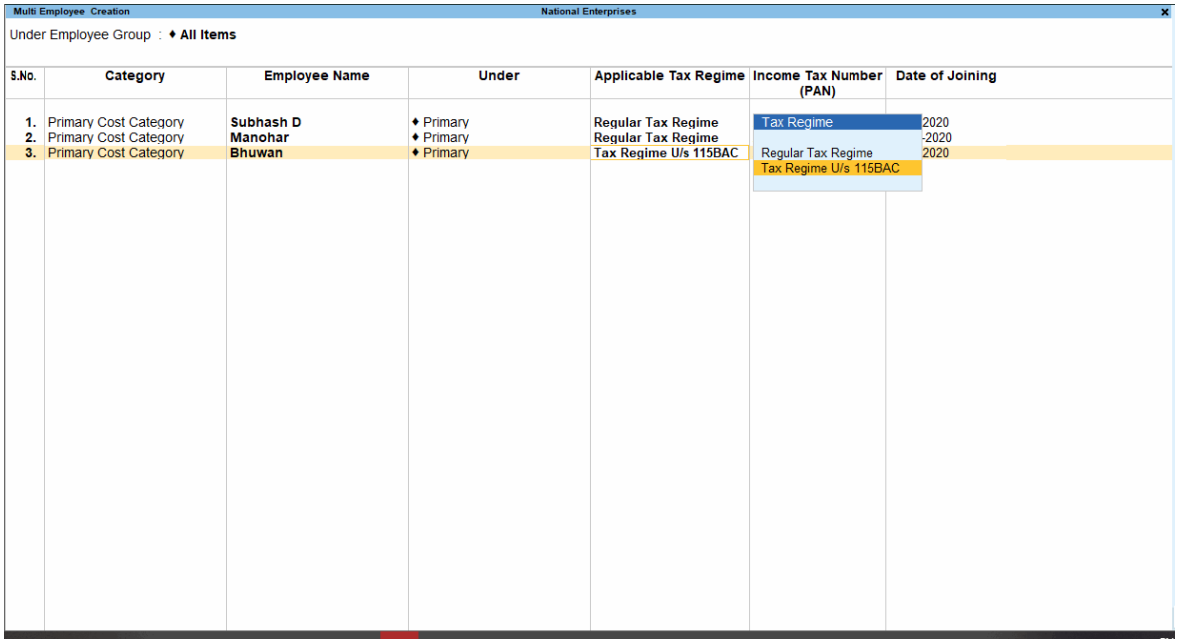
Create Multiple Employees

1. Gateway of Tally > Charts of Accounts > type or select Employees.
2. Press Alt+H (Multi Masters) > select Multi Create and press Enter.
3. Select the employee group under which you want to create all the employees, in the Under Employee Group field. If an independent employee is to be created, select All Items in this field.
4. Select the employee category in which you want to add the group, in the Category field. The default category Primary Cost Category appears selected in this field.
5. Specify the name of the employee in the Employee Name field.
6. Select the employee group into which you want to add the employee in the under field.
7. Select the Regular Tax Regime (old regime) or Tax Regime U/s 115BAC (new regime) in the Applicable Tax Regime column.
8. Enter the employee's PAN in the Income Tax Number (PAN) column. When the PAN is not available, enter one of the terms given below, based on the corresponding reason:
9. PAN APPLIED – If the employee has given a declaration stating that he/she has applied for PAN, but are yet to receive the same.
10. PAN IN VALID – If the PAN format provided by the employee is incorrect.
11. PAN NOT AVBL – If the employee has not given any declaration or PAN number.
12. Enter the joining date of the employees in the Date of Joining field.
13. The Multi Employee Creation screen appears, as shown below, displaying the details of employees you added.



1. Press Ctrl+A to accept the changes.

(In the Multi Employee Alteration screen, there is an additional column provided to capture the effective from date for the tax regime selected. The Multi Employee Alteration screen appears as shown below)

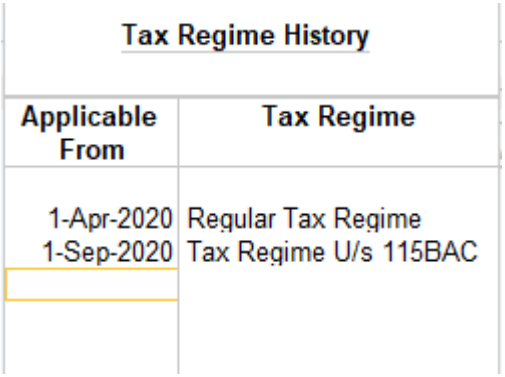


G TEC COMPUTER EDUCATION
JGi Jain Group - Bengaluru
G-TEC JAINx EDUCATION

Tax Regime History

With two different income tax slabs for the employees to choose from, the employee can change the tax regime in middle of a financial year. Tally Prime allows you to choose either tax regime at any point of time. You are prompted to enter the date of revision every time the tax regime is changed for an employee. Additionally, you can keep track of the all the tax regimes applied to the employee's income using the Tax Regime History.

The button **Alt+W** (Tax Regime History) is provided in **Employee Alteration** and **Multi Employee Alteration** screens. Click the button to view **Tax Regime History** screen with details of the tax regime applied for different periods with applicable from date.



Tax Regime History

Applicable From	Tax Regime
1-Apr-2020	Regular Tax Regime
1-Sep-2020	Tax Regime U/s 115BAC

Create Employee Groups (Payroll)

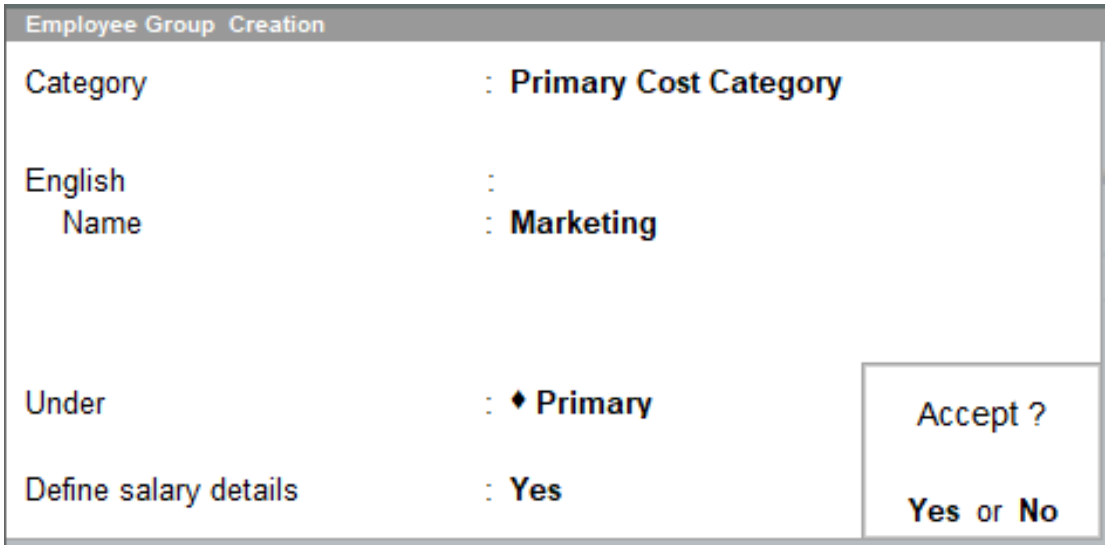
Creating Employee Groups helps to classify employees based on different parameters, such as their job function, department, location, cadre/designation, and so on. You can also define salary structures at the Employee Group level to apply a common salary structure for an entire department such as Marketing, R&D, Sales, and Accounts.

Create Single Employee Group

1. Gateway of Tally > Create > type or select Employee Group > and press Enter. Alternatively, press Alt+G (Go To) > Create Master > Employee Group > and press Enter.

2. Select the Employee Category from the List of Categories.
3. Enter the Name of the Employee group.
4. Select the group under which the employee group is to be added.
5. Set the option Define Salary Details to Yes.
6. Press Enter to view the Salary Details Creation screen.
7. Specify the salary details applicable to the employee group in this screen. The Salary Details Creation screen appears as shown below:

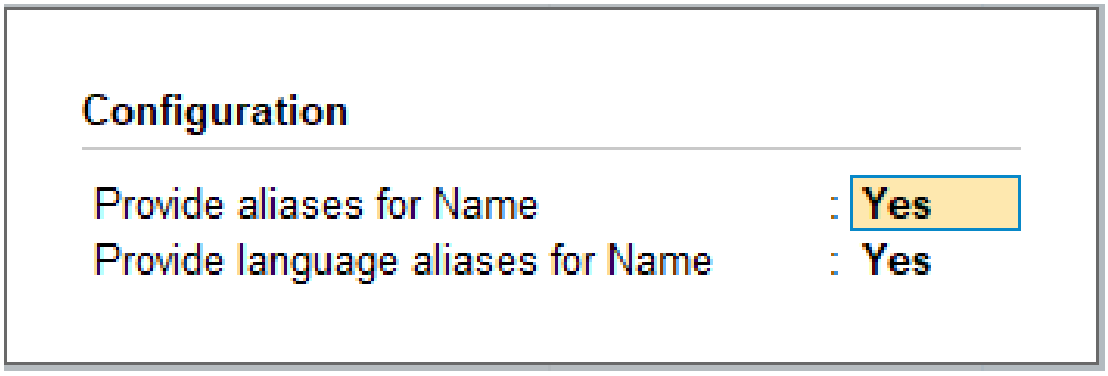
Press Enter to navigate to the Employee Group Creation screen.



1. Accept the screen. As always, you can press Ctrl+A to save.
2. You can also create the salary structure using the Salary Details screen.

Employee Group Configuration

1. Press F12 (Configure) to add/remove options in the Employees Category Creation screen.



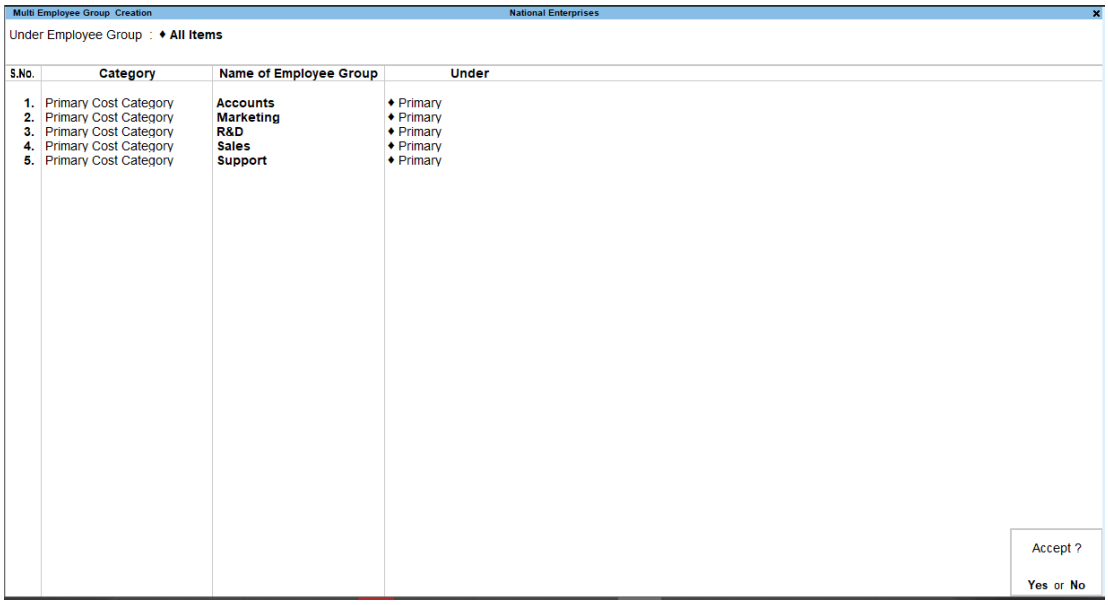
2. Set the option Provide aliases for Name to Yes to add the alias names.
3. Set the option Provide Language aliases for Name to Yes to add the names in other languages as selected (only while using Multilingual feature).
4. Accept the screen. As always, you can press Ctrl+A to save.

Create Multiple Employee Groups

1. Gateway of Tally > Charts of Accounts > type or select Employees Groups.
2. Press Alt+H (Multi Masters) > select Multi Create and press Enter.
3. Select the employee group under which you want to add the new employee group, in the under field. If you want to create an independent group, select All Items in this field.
4. Select the employee category into which you want to add the new group, in the Category field.
5. Enter the group name in the Name of Employee Group field.

6. Select the employee group under which you want to categories the new group, in the under field.

The Multi Employee Group Creation screen appears as shown below:

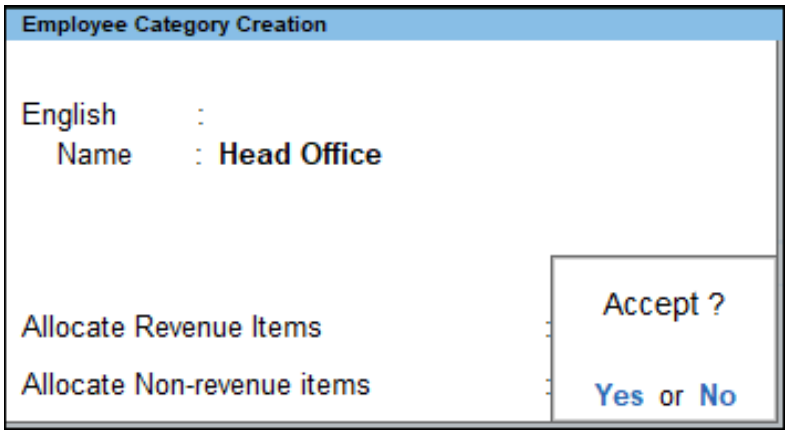


Create Employee Categories (Payroll)

While an Employee Group is available by default, an Employee Category provides an additional level of employee classification. An employee category can be used to track the salaries paid to employees working in specific projects or locations such as Head Office and Regional Offices.

Create Single Employee Category

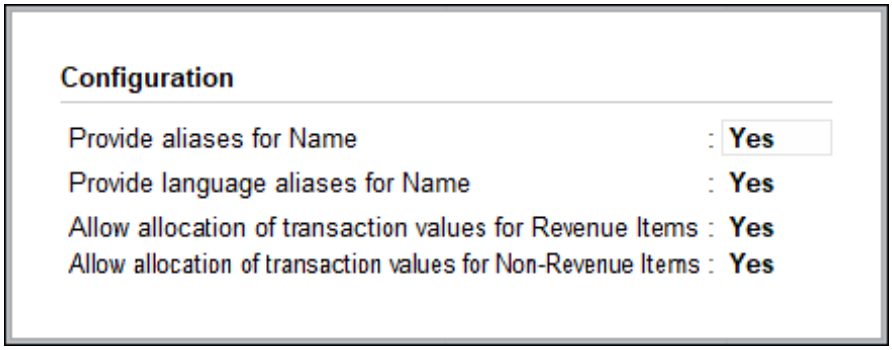
1. Gateway of Tally > Create > type or select Employee Category > and press Enter. Alternatively, press Alt+G (Go To) > Create Master > Employee Category > and press Enter.
2. Specify the name of the category to be added, in the Name field.
3. Set the option Allocate Revenue Items to Yes to allocate revenue related transaction values for employees created under this category.
4. Set the option Allocate Non-Revenue Items option to Yes to allocate non-revenue related transaction values for employees created under this category. In the Employee Category Creation screen , press F12 (Configure) > set Allow allocation of transaction values for Revenue Items and Allow allocation of transaction values for Non-Revenue Items to Yes.



1. Accept the screen. As always, you can press Ctrl+A to save.

Employee Category Configuration

1. Press F12 to add/remove options in the Employees Category Creation screen.

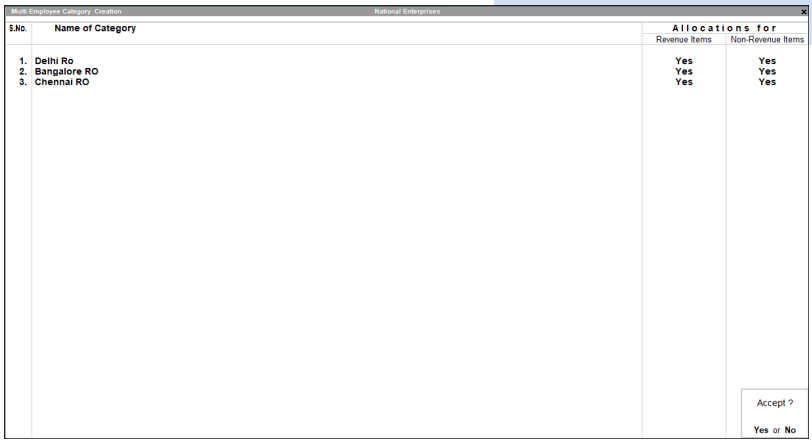


2. Set the option Provide aliases for Name to Yes to add the alias names.
3. Set the option Provide Language aliases for Name to Yes to add the names in other languages as selected (only while using Multilingual feature).
4. Accept the screen. As always, you can press Ctrl+A to save.

Create Multiple Employee Categories

1. Gateway of Tally > Create > type or select Employees Category. Alternatively, press Alt+G (Go To) > Create Master > type or select Employees Category.
2. Enter the employee category name in the Name field.
3. Enable the options Allocations for Revenue Items and Non-Revenue Items, if required.

The completed **Multi Employee Category Creation** screen appears as shown below:



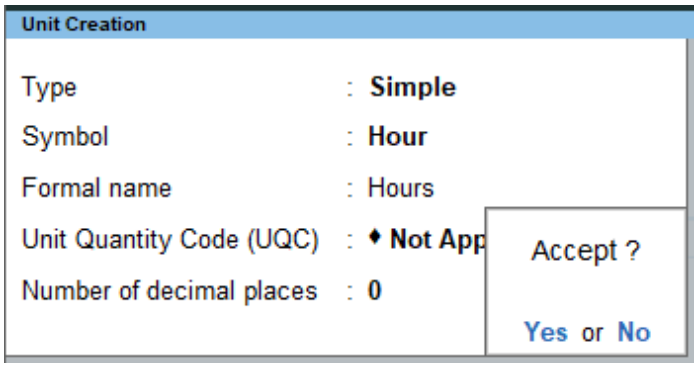
Press **Enter** to save.

Create Payroll Unit

Use payroll units to calculate pay components for a given period. You can create Simple and Compound payroll units depends, measured on attendance/production types such as Time, Work, or Quantity.

Simple Payroll Unit

1. Gateway of Tally > Create > type or select Units (Work) > and press Enter. Alternatively, press Alt+G (Go To) > Create Master > Units (Work) > and press Enter.
2. Select Type as Simple.
3. Enter the Symbol for the Unit.
4. Enter the Formal Name.
5. Provide the Number of Decimal Places, as applicable.

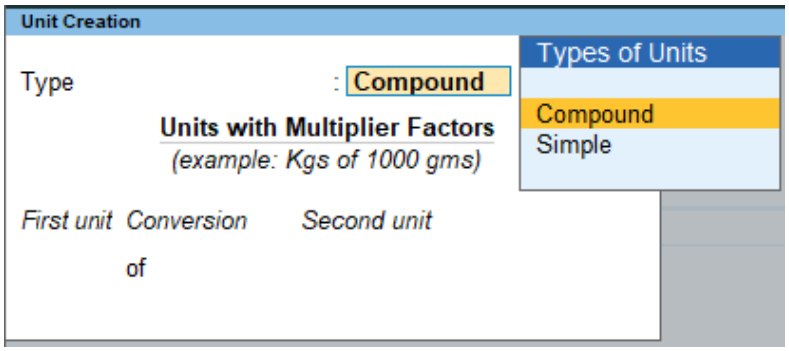


Accept the screen. As always, you can press Ctrl+A to save. Similarly, you can create the other payroll units such as Minutes, Hours, and Pieces.

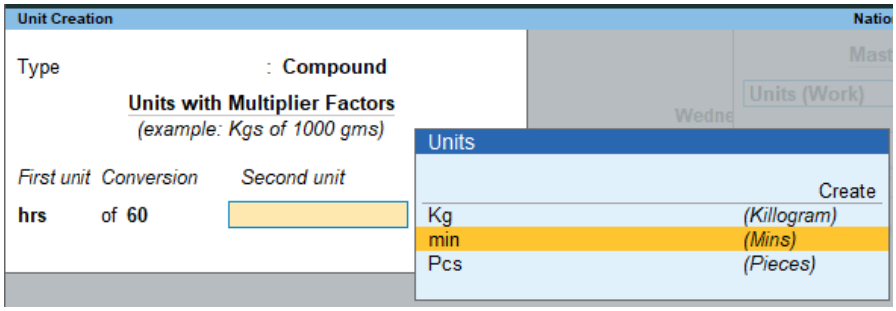
Compound Payroll Unit

In a Compound payroll unit you can combine two payroll units. For example, a box of 10 Nos, a dozen of 12 Pcs, and an hour of 60 mins.

1. Gateway of Tally > Create > type or select Units (Work) > and press Enter. Alternatively, press Alt+G (Go To) > Create Master > Units (Work) > and press Enter.



Select **Compound** in the field **Type**, and press **Enter**. In the Conversion field you can create the compound payroll unit.



1. Select the First Unit from the **Units** list. In this example, Hrs is the First Unit.
2. Specify the conversion factor in the **Conversion** field. In this example, the conversion factor is **60**.
3. Specify the Second Unit from the **Units** list. In this example, Mins is the Second Unit.
4. Accept the screen. As always, you can press **Ctrl**+**A** to save..

G TEC COMPUTER EDUCATION
JGi Jain Group - Bengaluru
G-TEC JAINx EDUCATION

Create Attendance or Production Types (Payroll)

Attendance/Production Type represents the basic units that is used to compute employees' pay and to track and represent data on productivity. Attendance/production types in Tally Prime are dependent on the Pay Heads that constitute employees' pay structure, and so you may need to define multiple types.

You can also define Attendance/Production Types in Tally Prime in hierarchical group to ensure that attendance types having a common unit are combined under logical groups. For example, The group Present Days can have Present and Leave with Pay as sub-groups.

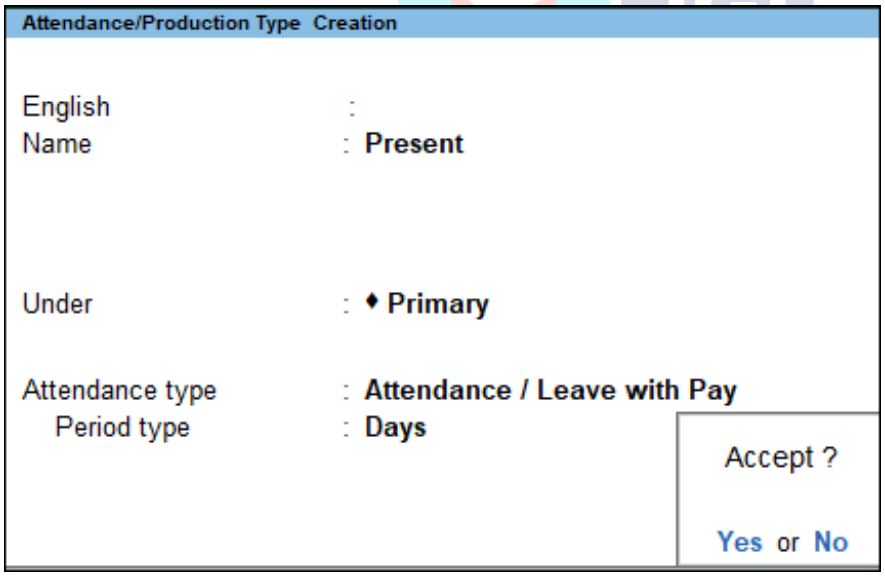
Attendance Type

You can define Attendance/Production Types with or without pay.

- Attendance/Leave with Pay: Use this to record the positive attendance and leave with pay (For example, Present, Sick Leave, and so on.)
- Leave without Pay: Use this to record negative attendance (For example, Absent, Leave without Pay, and so on.)

Record positive attendance type

1. Gateway of Tally > Create > type or select Attendance/Production Types > and press Enter. Alternatively, press Alt+G (Go To) > Create Master > Attendance/Production Types > and press Enter.
2. Enter the Name of the attendance type.
3. Select Primary from the list for the field under.
4. Select the Attendance type as Attendance/Leave with Pay. The Period type appears automatically.



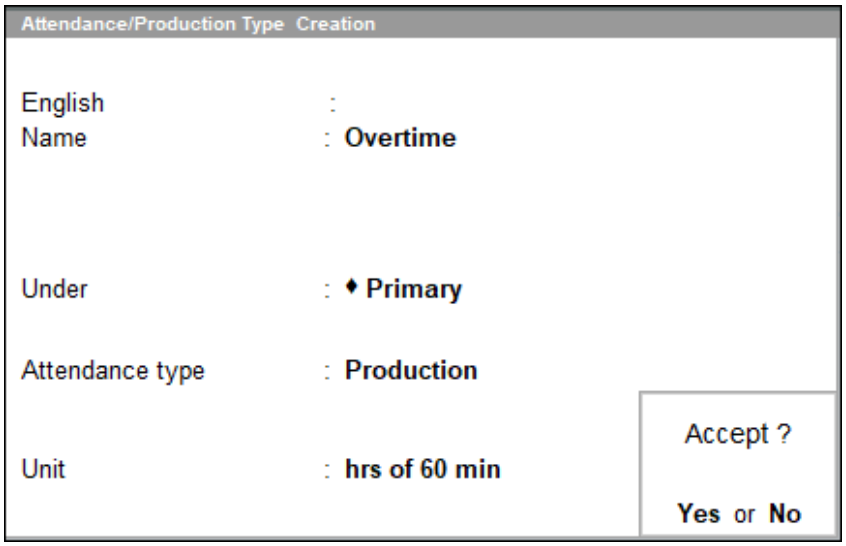
Accept the screen. As always, you can press Ctrl+A to save.
You can create the Attendance Type Absent as Leave without Pay for recording negative attendance in the same manner.

Production Types

Using the production type option, you can record the production details (for example, Piece Production, Overtime Hours, and so on).

1. Gateway of Tally > Create > type or select Attendance/Production Types > and press Enter. Alternatively, press Alt+G (Go To) > Create Master > Attendance/Production Types > and press Enter.
2. Enter the Name of the Production Type.
3. Select Primary from the list, for the field under.

4. Select Production as the Attendance Type.
5. Select the appropriate type of unit from the list, in the Unit field.

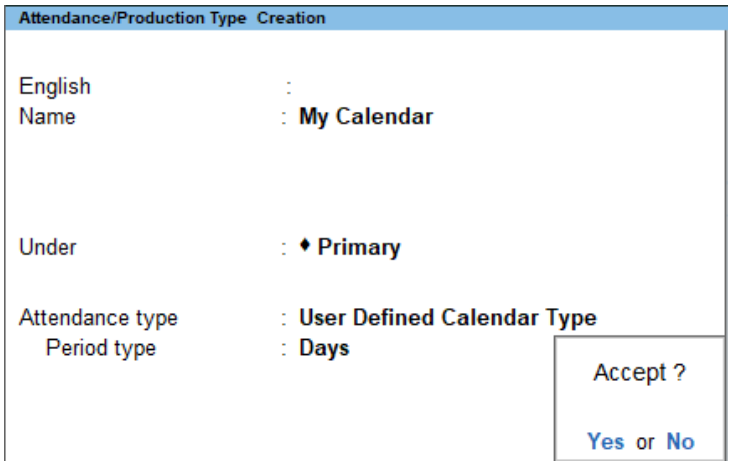


Accept the screen. As always, you can press **Ctrl**+**A** to save. Similarly, you can create other production types according to your business requirements.

User Defined Calendar Types

You can use the **User Defined Calendar Type** to compute the per day salary based on the variable days for each month based on Pay Heads such as Basic Pay. **For example**, 25 days in January, 24 days in February, 26 days in March, and so on.

1. Gateway of Tally > Create > type or select Attendance/Production Types > and press Enter. Alternatively, press Alt+G (Go To) > Create Master > Attendance/Production Types > and press Enter.
2. Specify the required Name for Attendance Type.
3. Select Primary in the under field.
4. Select **User Defined Calendar Type** in the **Attendance Type** field.



5. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Create Pay Heads and Define Income Tax Details (Payroll)

The salary components constituting an employee's pay structure are Pay Heads. A pay head may be a benefit or a deduction from the salary. The value of these pay heads could be fixed or variable for each payroll period.

For example, Basic Pay is a fixed pay component, whereas Variable Pay and Bonus are variable components.

A Pay Head Type is categorised as Earnings, Deductions or Reimbursements.

The default pay head types in Tally Prime are:

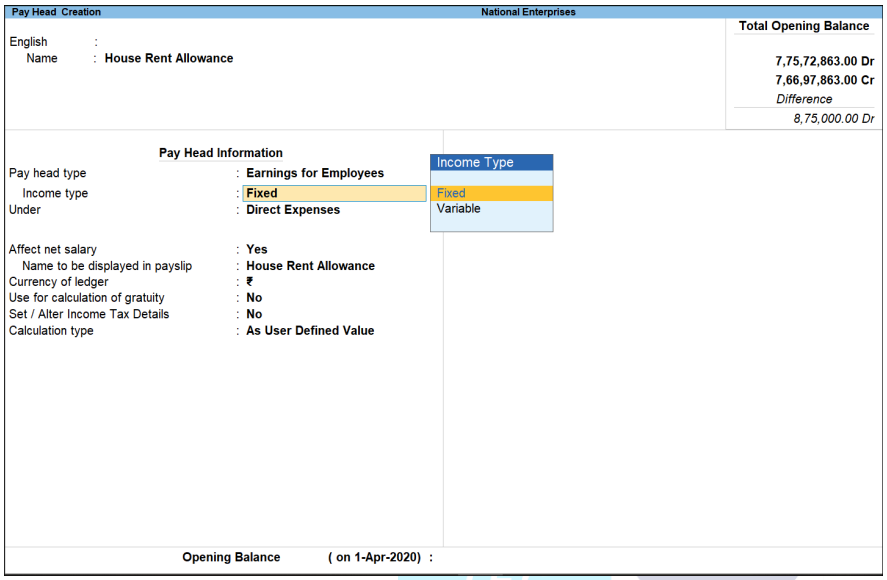
- Earnings for Employees
    - Attendance based Earnings Pay Head
    - Computation based Earnings Pay Head
    - Flat Rate based Earnings Pay Head
    - Production based Earnings Pay Head
    - User Defined Earnings Pay Head
- Deductions from Employees
    - Canteen Deduction Pay Head
    - Loans and Advances Pay Head
- Employees' Statutory Deductions
    - PF Deduction Pay Head
    - ESI Deduction Pay Head
    - Professional Tax Deduction Pay Head
    - NPS Deduction Pay Head
    - Income Tax Deduction Pay Head
- Employer's Statutory Contributions
    - EPS Contribution Pay Head
    - EPF Contribution Pay Head
    - ESI Contribution Pay Head
    - NPS Contribution Pay Head
- Employer's Other Charges
    - PF Admin Charges Pay Head
    - EDLI Contribution Pay Head
    - Bonus Pay Head
    - Gratuity Pay Head
    - Loans and Advances Pay Head
    - Reimbursements to Employees Pay Head
- Income Tax Details
    - Income Tax Pay Head Configuration
    - Income Tax Declarations
    - Override Income Tax Exemption Value
    - Override Income Tax Value
    - Income Tax Configuration
    - Previous Employer Details for Income Tax
    -

TEG COMPUTER EDUCATION JGI Jain Group - Bengaluru TEG JAIN EDUCATION

Earnings Pay Head with Calculation Type As Computed Value (Payroll)

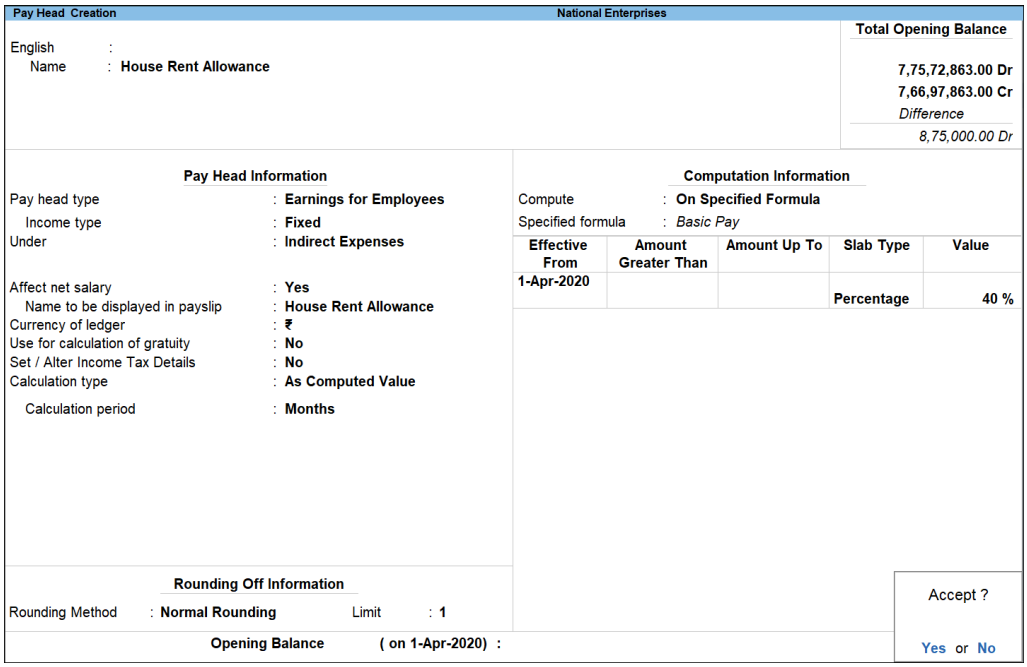
As Computed Value is used if the pay head value is dependent on another pay component, you will be able to define a pay component with this calculation type by specifying a formula/using current sub-total/on current earning/on deduction total. You can also define the slab either by percentage or value or a combination of both.

1. Gateway of Tally > Create > type or select Pay Head > and press Enter. Alternatively, press Alt+G (Go To) > Create Master > Pay Head > and press Enter.
2. The Pay Head Creation screen appears.



3. Enter the pay head name in the **Name** field.
4. Select **Earnings for Employees** from the **List of Pay Head Types**, in the **Pay head type** field.
5. Select **Income type** for the pay head as:
    - **Fixed:** This forms a part of the employee's **Total Gross Salary**. **For example**, Basic Pay.
    - **Variable:** This forms a part of the employee's **Total Earnings** only. **For example**, Overtime Wages.
6. Select **Indirect Expenses** from the **List of Groups** in the **under** field.
7. Set **Affect Net Salary** to **Yes**, if you want the pay head to affect the net salary. If you do not want this component to be included in the Pay Slip, type **no**.
8. The **Name to appear in Pay slip** field displays the pay head **Name** by default. You can change the name, if required.
9. Set **Use for calculation of gratuity** to **Yes**, to consider this pay head for Gratuity calculation.
10. Set the option **Set / Alter Income Tax Details** to **Yes** to view the **Income Tax Details** screen.
11. Select the required tax component (**for example**, Basic Pay) in the **Income Tax Component** field.
12. Select **On Projection** as the **Tax Calculation Basis**, if tax computation is spread across the remaining period.
13. Set the option **Deduct TDS across Period(s)** to **Yes** when **Tax Calculation Basis** is **On Projection.** It can be set to **Yes** or **No** for **On Actuals,** as required.

14. Select **as Computed Value** from the **List of Calculations** in the Calculation type field. A new field Calculation period will appear, which is set to Months by default.
15. Select the **Rounding Method**, if applicable. Enter the desired rounding limit.
16. Select **on Specified Formula** from the Computation On list in the **Compute field**. The Compute sub-screen appears.
17. Select **Basic Pay** from the **List of Pay Heads** in the Pay Head column.
18. Select **End of List** to return to **Pay Head Creation screen**.
19. Enter the desired date in the **Effective Date** field when the **House Rent Allowance** becomes applicable.
20. Select **Percentage** from the **List of slabs** in the Slab Type field.
21. Specify the required percentage for the **Pay Head calculation** in the Value field.

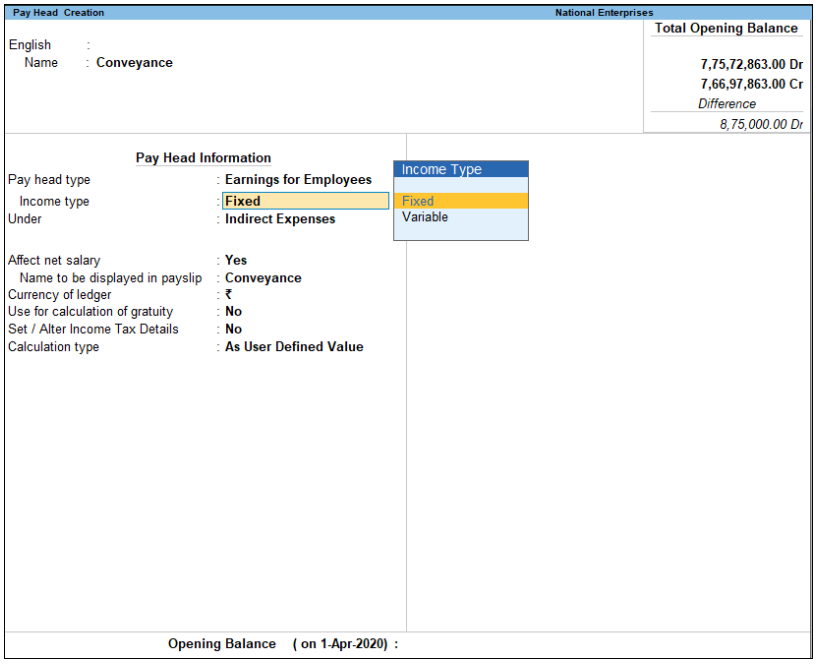


Accept the screen. As always, you can press **Ctrl**+**A** to save. Similarly, you can create the **Pay Head for Dearness Allowance** (DA).

Earnings Pay Head with Fixed Income Type (Payroll)

In Tally Prime, you can create a pay head to account for fixed income that is a Flat Rate-based pay head (for example, Conveyance which does not depend on Attendance).

1. Gateway of Tally > Create > type or select Pay Heads > and press Enter. Alternatively, press Alt+G (Go To) > Create Master > > type or select Pay Heads > and press Enter. In case the master is inactive, you will be prompted to enable the payroll feature for your Company. Select yes or press Y to proceed.
2. Enter pay head name in the Name field.
3. Select Earnings for Employees as the Pay head type from the list of Pay head type.
4. Select Income type for the pay head.



The **Income type** can be one of the following:

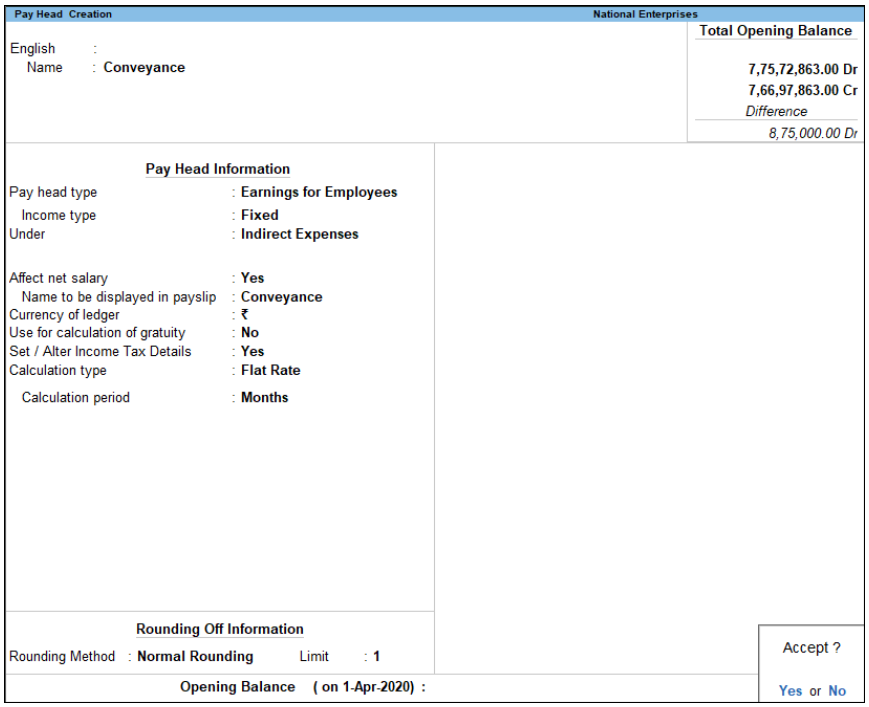
- **Fixed,** which forms a part of the employee's **Total Gross Salary**. **For example**, Basic Pay.
- **Variable**, which forms a part of the employee's **Total Earnings** only. **For example**, Overtime Wages.

1. Select Indirect Expenses from the List of Groups in the under field.
2. By default, Affect Net Salary is set to yes. Type No, if you do not want this component to be included in the pay slip.
3. By default, the pay head component name entered in the Name field appears in the pay slip. If you want to change the default name of the pay head component name then type required name in Name to be displayed in pay slip field.
4. By default, Use for calculation of gratuity is set to No. Set this to Yes, if you want this pay head to be considered for Gratuity calculation.
5. Set/Alter Income Tax Details: Set the option to Yes, to view Pay head Income Tax Details screen,
6. Select the required tax component in the Income Tax Component field (Transport Allowance).
7. Select On Actual Value in Tax Calculation Basis, if the amounts applicable to this pay head vary each month, to spread tax across the remaining period. However, if the amounts are fixed, select On Projected Value.
8. Set Deduct TDS across Period(s) to Yes for Tax Calculation Basis as On Projected Value. If this is set to No, entire the entire tax is deducted in the same month. You can set this to Yes or No for On Actual Value.
9. Calculation type: Select the required method of calculation from the List of Calculation.
10. Calculation Periods: Select the required calculation period from the List of Calculation Periods.

In the **Calculation period** field, select the required calculation period from the **List of Calculation Periods**.

1. Rounding Methods: Select the required Rounding off method from the Rounding Methods list and enter the required rounding limit in the Limit field.

COMPUTER EDUCATION Jain Group Bangalore
GENERATION EDUCATION



Accept the screen. As always, you can press Ctrl+A to save.

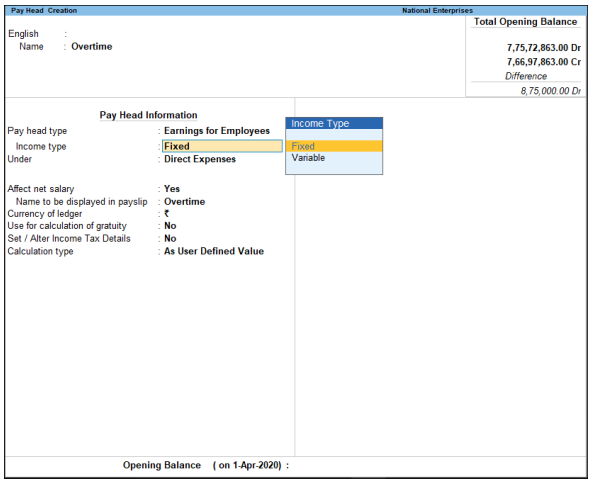
Earnings Pay Head with Calculation Type as On Production (Payroll)

You can create Earnings Pay Heads by setting On Production for Calculation Type.

1. Gateway of Tally > Create > type or select Pay Heads. Alternatively, press Alt+G (Go To) > Create Master > type or select Pay Heads > and press Enter.

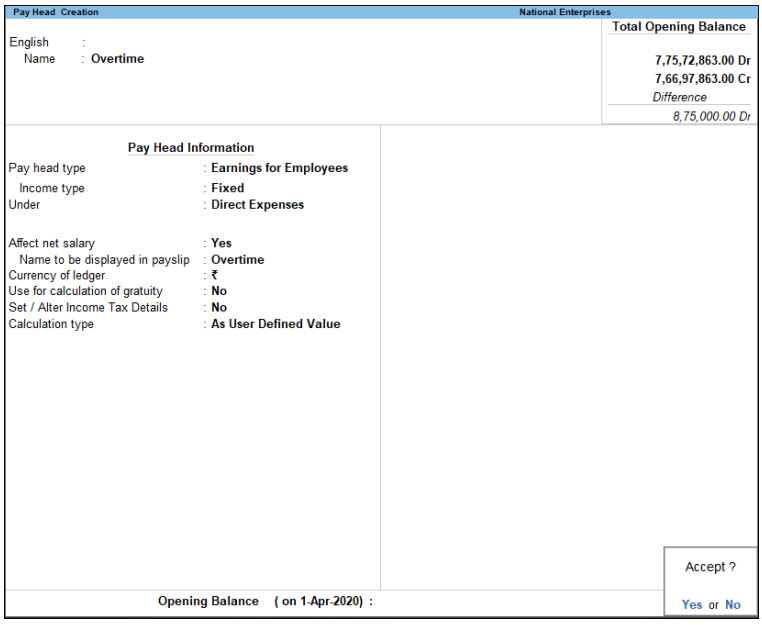
In case the master is inactive, you will be prompted to enable the payroll feature for your Company. Select yes or press Y to proceed.

The **Pay Head Creation** screen appears as shown below:



2. Enter Pay Head name in the **Name** field.
3. Select **Earnings for Employees** as the Pay head type from the **List of Pay Head Type**.

4. Select the **Income type** for the Pay Head as one of the following types:
   - **Fixed**: This forms a part of the employee's Total Gross Salary. For example, Basic Pay.
   - **Variable**: This forms a part of the employee's Total Earnings only. For example, Overtime Wages.
5. Select **Indirect Expenses** from the **List of Groups** in the **under** field.
6. By default, **Affect Net Salary** is set to **yes**. Set this option to **No**, if you do not want this component to be included in the pay slip.
7. By default, the pay head component name entered in the Name field appears in the pay slip. Enter the **Name to display in Pay slip** if you want to change the default pay head component name.
8. By default, **Use for calculation of gratuity** is set to **No**. If you want this pay head to be considered for Gratuity calculation, set this option to **Yes**.
9. In the **Income Tax Details** screen,
   - Select Other Earnings/Allowances (Fully Taxable) as the Income Tax Component.
   - Select on Actual Value as Tax Calculation Basis, if the amounts applicable to this pay head vary each month, to rationalize and spread tax across the remaining period. If the amounts are fixed, select On Projected Value.
   - Set Deduct TDS across Periods to Yes to deduct tax across the remaining period. If this is set to No, the entire tax is deducted in the same month.
10. Set **Exclude for ESI Eligibility** to **yes**, if you want this pay head to be considered for ESI Calculation but not for ESI Eligibility.
11. Select **On Production** as the Calculation type from the **List of Calculation**. The field Production type appears.
12. Select the appropriate **Production type** from the **List of Production Types**. Select the required rounding method from the **Rounding Methods list**, and enter the required rounding limit in the Limit field.
13. Accept the screen. As always, you can press **Ctrl+A** to save.Similarly, you can create pay heads for Piece Rate or Box Production



User Defined Earnings Pay Head (Payroll)

In Tally Prime, you can create User Defined Earnings Pay Heads that you want to use at the time of processing the Payroll (for example, Variable Pay, Bonus).

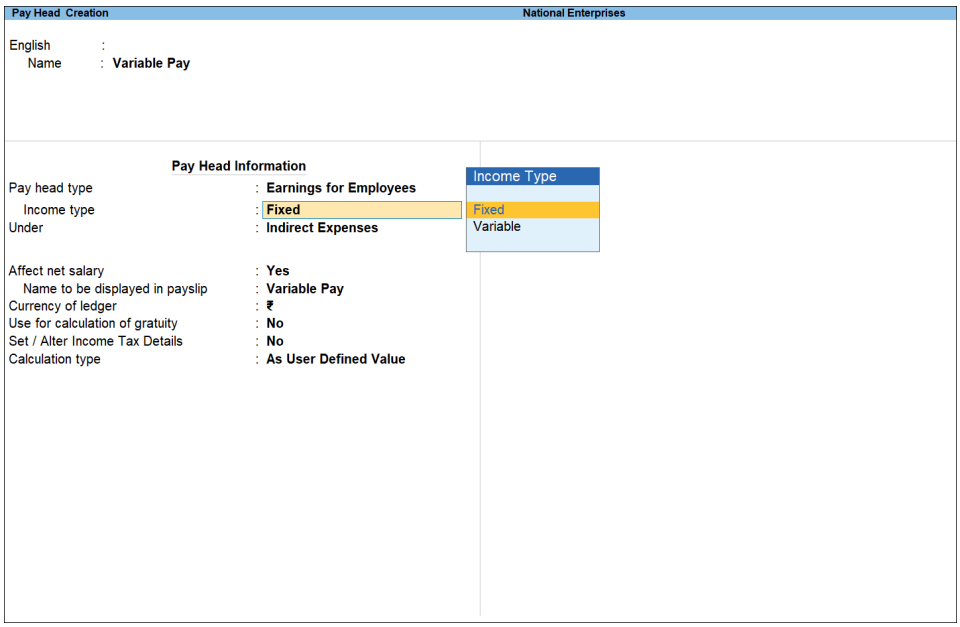
Pay Head for Variable Pay

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt+G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter pay head name in the **Name** field.
3. Select **Earnings for Employees** as the Pay head type from the **list of Pay head type**.
4. Select the **Income** type for the pay head as:

   Fixed: This forms a part of the employee's Total Gross Salary. For example, Basic Pay.

   Variable: This forms a part of the employee's Total Earnings only. For example, Overtime Wages.

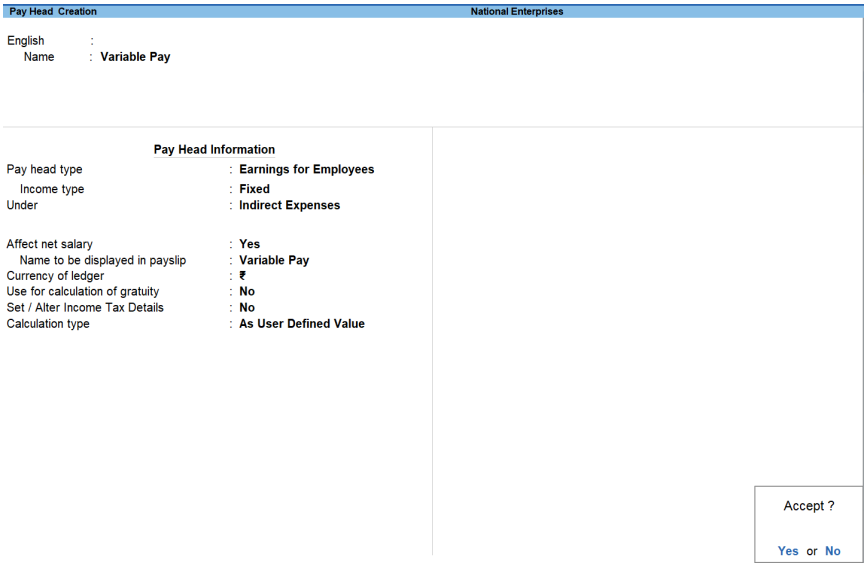
5. Select **Indirect Expenses** from the **List of Groups** in the **under** field.



- By default, Affect Net Salary is set to Yes. Type No, if you do not want this component to be included in the pay slip.
- By default, the pay head component name entered in the Name field will appear in the pay slip. Enter the Name to appear in Payslip if you want to change the default pay head component name.
- By default, Use for calculation of gratuity is set to No. Set this to Yes, if you want this Pay Head to be considered for Gratuity calculation.

6. In the **Income Tax Details** screen,
   - Select Other Earnings/Allowances (Fully Taxable) as the Income Tax Component.
   - Select On Actual Value as Tax Calculation Basis, if the amounts applicable to this pay head vary each month, to rationalise and spread tax across the remaining period. If the amounts are fixed, select On Projected Value.
   - Set Deduct TDS across Period(s) to Yes to deduct tax across the remaining period. If this is set to No, the entire tax is deducted in the same month.

7. Select **as User Defined Value** from the **List of Calculation** in the Calculation type field.

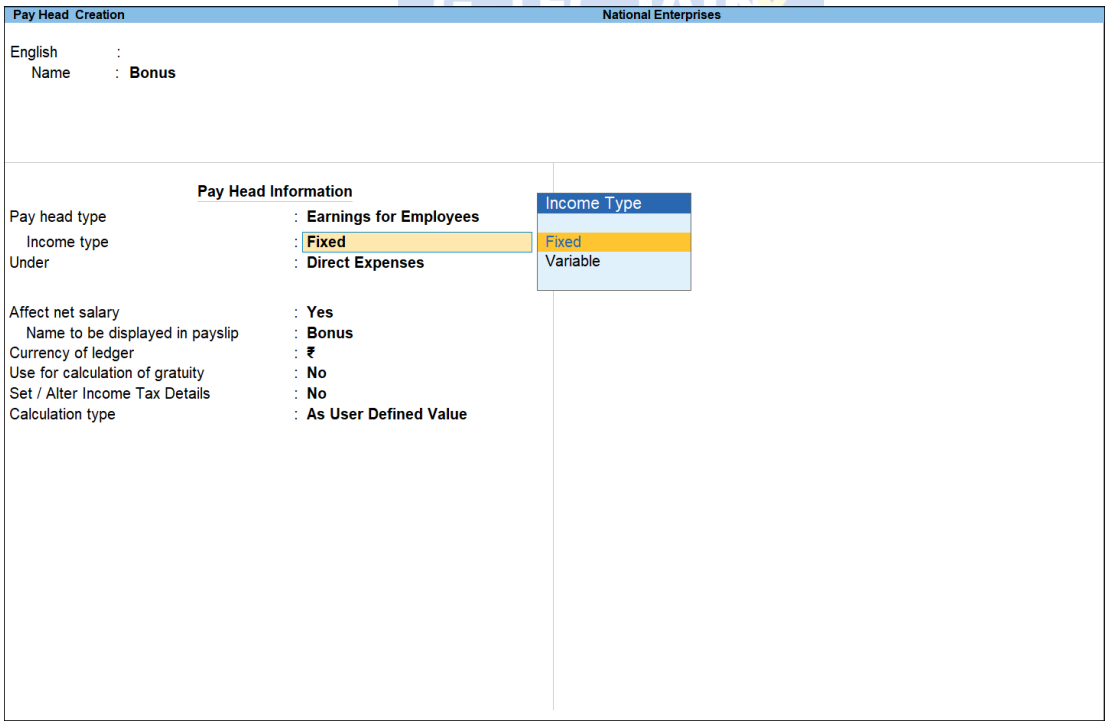


8. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Pay Head for Bonus

You can create Bonus Pay Heads to account for the bonus that has been paid to employees.

1. Gateway of Tally > Create > type or select Pay Head > and press Enter. Alternatively, press Alt+G (Go To) > Create Master > Pay Head > and press Enter.
2. Enter pay head name in the Name field.
3. Select Bonus as the Pay head type from the list of Pay head type.
4. Select the Income type for the pay head.



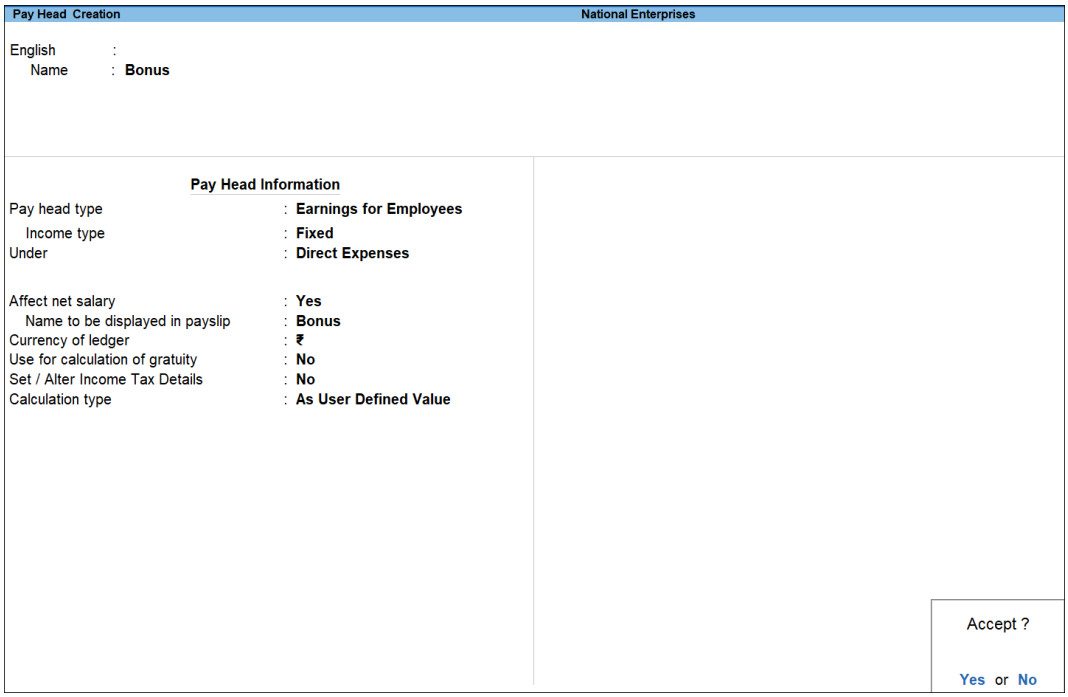
1. Select **Indirect Expenses** from the List of Groups in the **Under** field.

- By default, **Affect Net Salary** is set to **Yes**. Type **No**, if you do not want this component to be included in the pay slip.
- By default, the pay head component name entered in the Name field appears in the pay slip. Enter the Name to appear in Payslip if you want to change the default pay head component name.
- By default, **Use for calculation of gratuity** is set to **No**.

2. In the **Income Tax Details** screen:

- Select **Other Earnings/Allowances (Fully Taxable)** as the Income Tax Component.
- Select On Actual Value as Tax Calculation Basis, if the amounts applicable to this pay head vary each month, to rationalise and spread tax across the remaining period. If the amounts are fixed, select On Projected Value.
- Set **Deduct TDS across Period(s)** to **Yes** to deduct tax across the remaining period. If this is set to **No**, the entire tax is deducted in the same month.

3. Set **Exclude for ESI Eligibility** to **Yes**, if you want to this pay head to be considered for ESI Calculation, but not for ESI Eligibility.
4. Set **As User Defined Value**, from the **List of Calculation**, as the **Calculation type**.



5. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Deduction Pay Heads (Payroll)

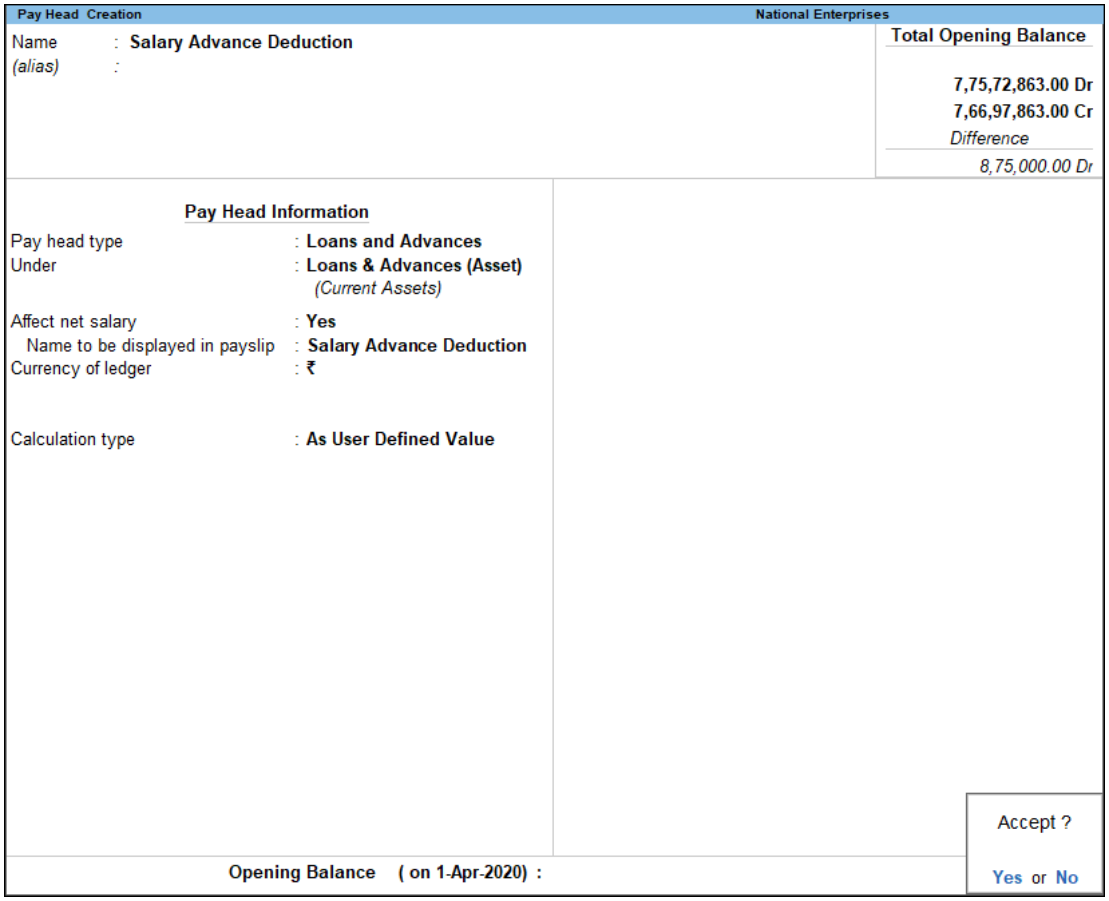
In TallyPrime, you can create pay heads to account for deduct loans given to an employee from their salary. You can also create a Canteen Deduction Pay Head by selecting Deductions from Employees as the Pay head type during pay head creation.

Salary Advance Deduction Pay Head

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > type or select **Pay Head** > and press **Enter**.
2. Enter pay head name in the **Name** field.
3. Select **Loans and Advances** as the Pay head type from the **list of Pay head type**.
4. Select **Loans and Advances (Assets)** from the **List of Groups**, in the **Under** field.

- By default, **Affect Net Salary** is set to **Yes**. Type **No**, if you want to exclude this component from the pay slip.
- By default, the Pay Head component name entered in the **Name** field appears in the **Pay Slip**. If you want to change this, enter the appropriate name in the Name to appear in Payslip field.

5. Set **As User Defined Value** as the Calculation type, from the **List of Calculation**.



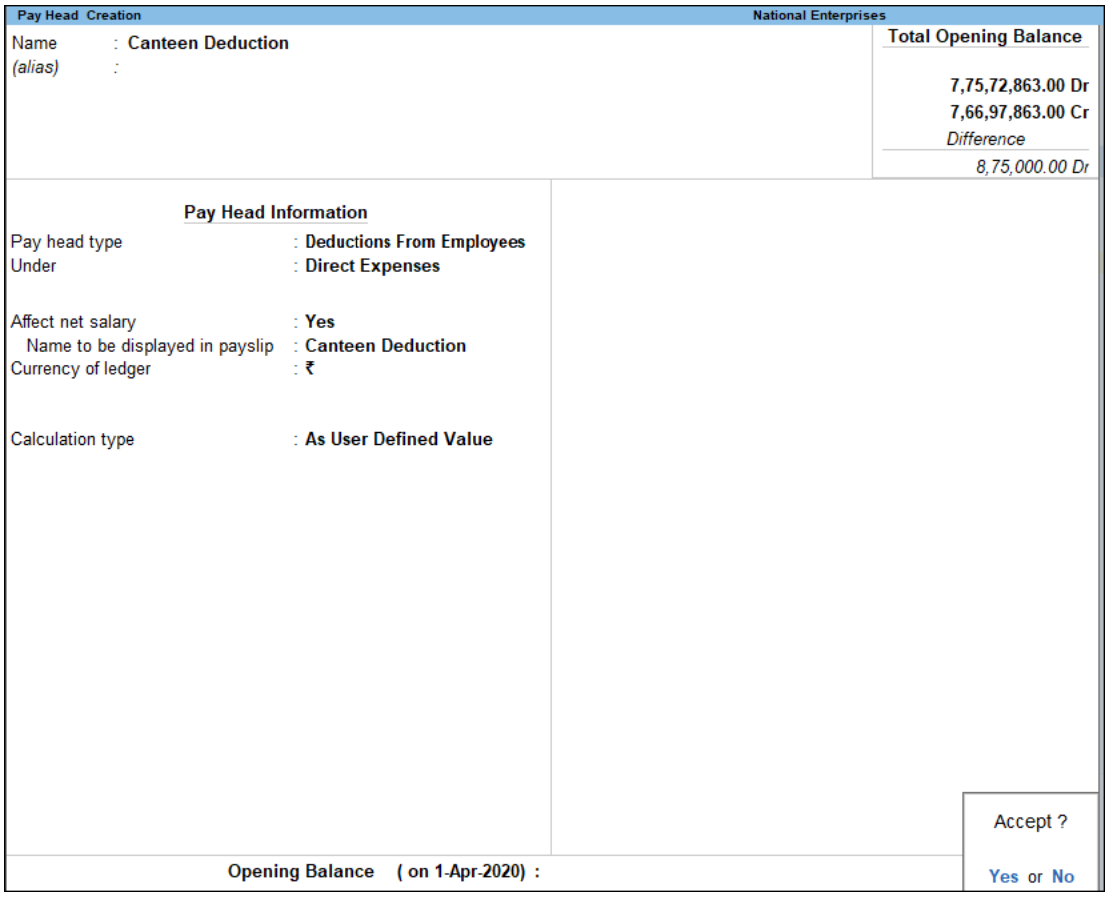
6. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Canteen Deduction Pay Head

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter pay head name in the **Name** field.
3. Select **Deductions from Employees** as the Pay head type from the **List of Pay Head Types**.
4. Select **Current Assets** from the **List of Groups** in the **Under** field.

- By default, **Affect Net Salary is set** to **Yes**. Set this to No if you do not want this component to be included in the Pay Slip.
- By default, the pay head component name entered in the **Name** field appears in the pay slip.

5. Enter the **Name to appear in Payslip** if you want to change the default pay head component name.
6. Select **As User Defined Value** as the Calculation type from the **List of Calculation**.



7. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Deduction Pay Heads (Payroll)

In TallyPrime, you can create pay heads to account for deduct loans given to an employee from their salary. You can also create a Canteen Deduction Pay Head by selecting Deductions from Employees as the Pay head type during pay head creation.

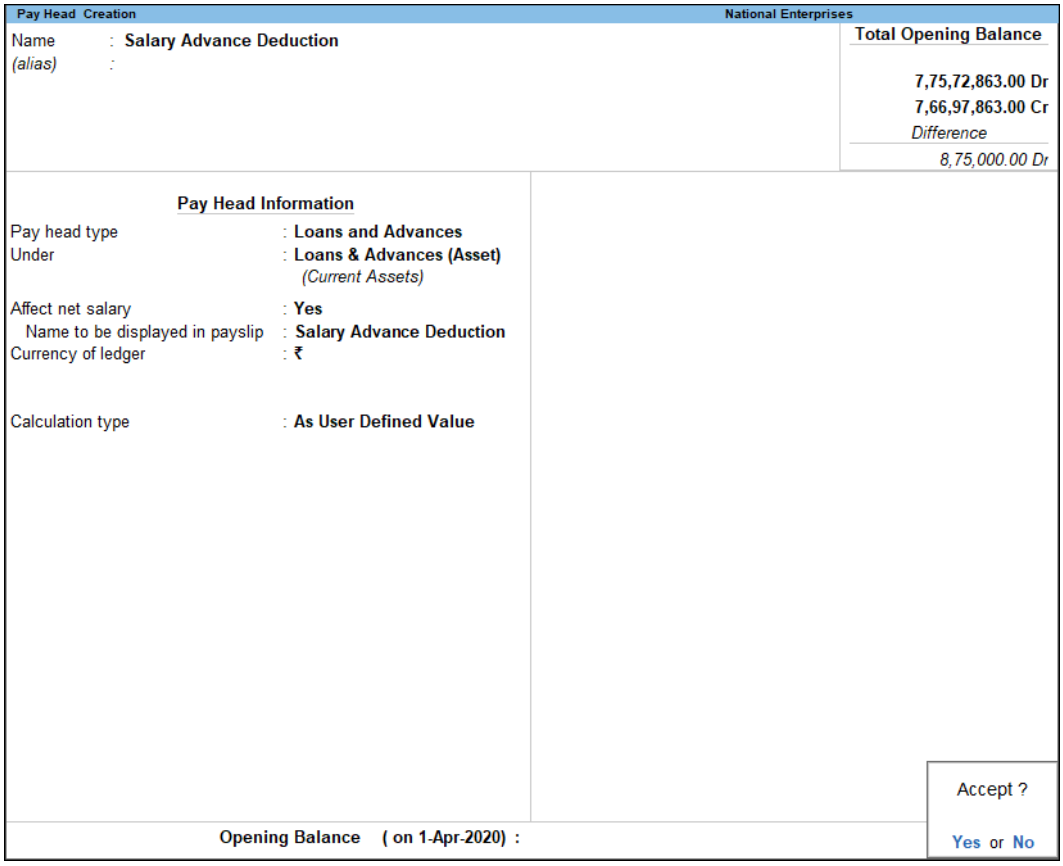
Salary Advance Deduction Pay Head

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > type or select **Pay Head** > and press **Enter**.

2. Enter pay head name in the **Name** field.
3. Select **Loans and Advances** as the Pay head type from the **list of Pay head type**.
4. Select **Loans and Advances (Assets)** from the **List of Groups**, in the **Under** field.

- By default, **Affect Net Salary** is set to **Yes**. Type **No**, if you want to exclude this component from the pay slip.
- By default, the Pay Head component name entered in the **Name** field appears in the **Pay Slip**. If you want to change this, enter the appropriate name in the Name to appear in Payslip field.

5. Set **As User Defined Value** as the Calculation type, from the **List of Calculation**.



6. Accept the screen. As always, you can press **Ctrl**+**A** to save.

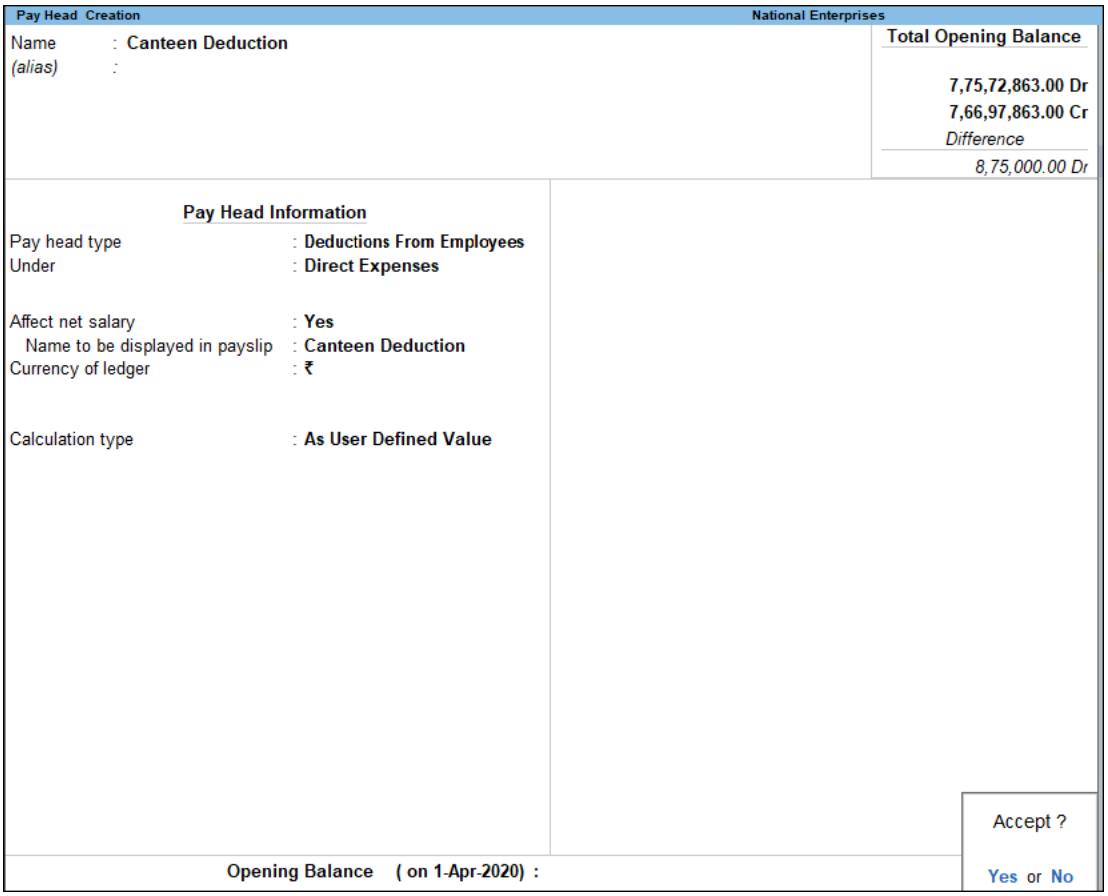
Canteen Deduction Pay Head

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt+G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.

2. Enter pay head name in the **Name** field.
3. Select **Deductions from Employees** as the Pay head type from the **List of Pay Head Types**.
4. Select **Current Assets** from the **List of Groups** in the **Under** field.

- By default, **Affect Net Salary is set** to **Yes**. Set this to No if you do not want this component to be included in the Pay Slip.
- By default, the pay head component name entered in the **Name** field appears in the pay slip.

5. Enter the **Name to appear in Payslip** if you want to change the default pay head component name.
6. Select **As User Defined Value** as the Calculation type from the **List of Calculation**.



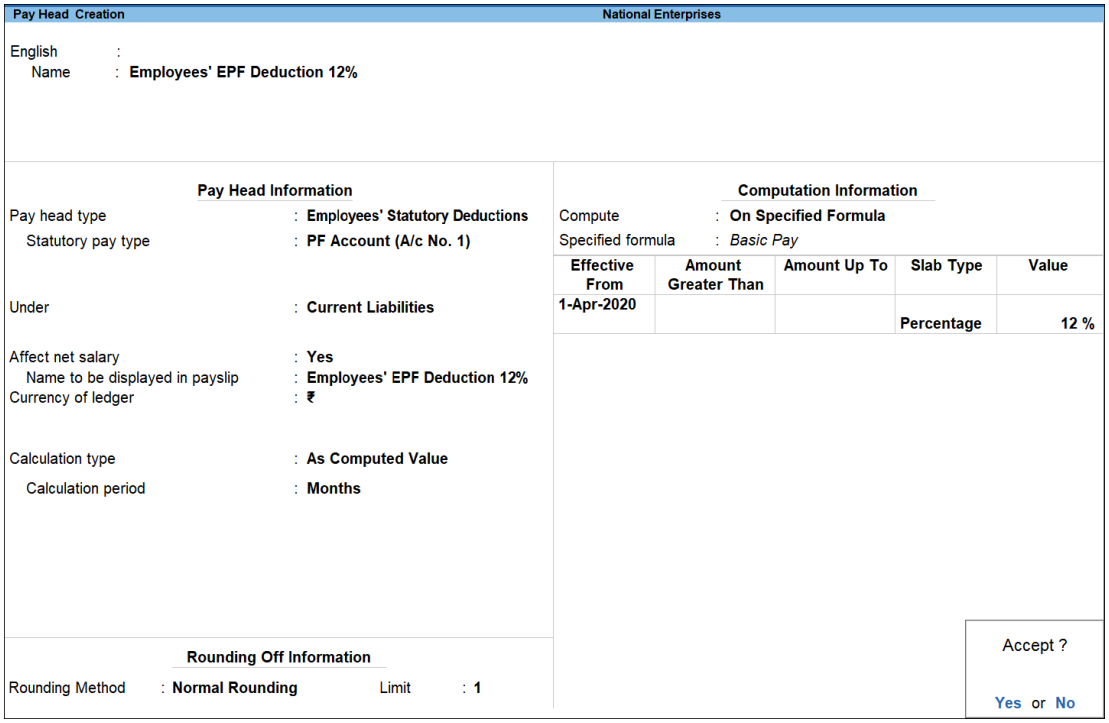
7. Accept the screen. As always, you can press **Ctrl+A** to save.

Pay Heads for Statutory Deductions (Payroll)

In TallyPrime, you can create a pay head for PF, ESI, NPS, professional tax, income tax, and other deductions.

PF Deduction Pay Head for Employees

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt+G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company. Select **Yes** or press **Y** to proceed.



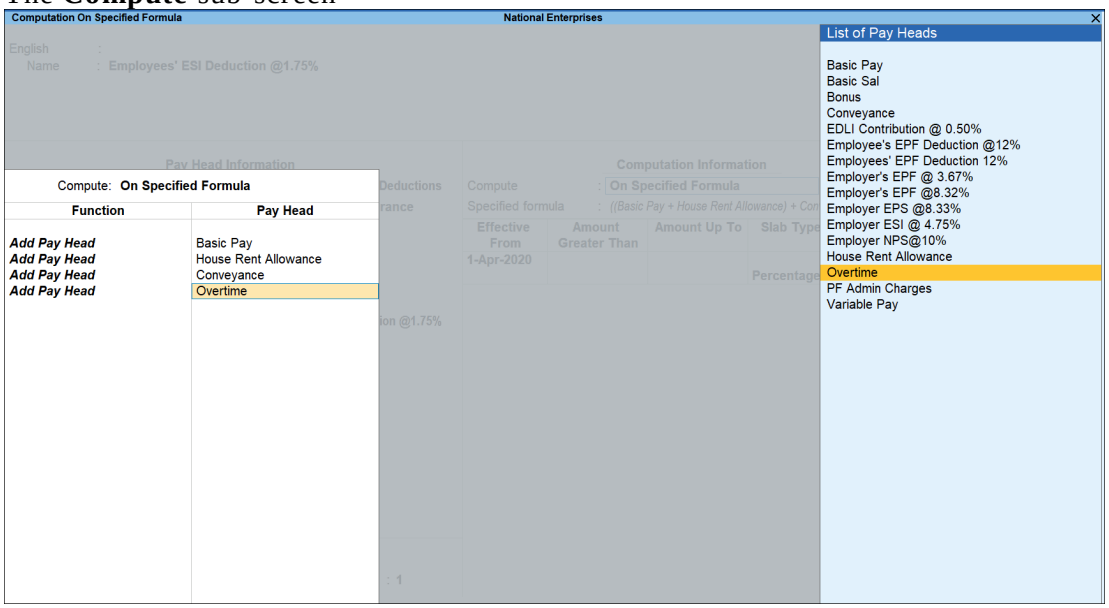
2. Enter the name of the Pay Head in the **Name** field.
3. Select **Employees' Statutory Deductions** as the **Pay Head Type** from the **List of Pay Head Types**.
4. Select **PF Account (A/c No. 1)** in the **Statutory Pay Type** field.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect Net Salary** is set to **Yes**. Type **No**, if you do not want this component to be included in the pay slip.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name** to be display in Payslip if you want to change the default pay head component name.
8. By default, the **Calculation Type** field is set to **As Computed Value**, and the **Calculation Period** field is set to **Months**.
9. Select **Normal Rounding** from the **List of Rounding Methods**, and type **1** as the rounding **Limit**.
10. Select **On Specified Formula,** from the **Computation** On list, in the **Compute** field. The **Computation on Specified Formula** sub-screen appears.

- In the **Pay Head** column, select **Basic Pay** from the **List of Pay Heads** and select End of List to return to **Pay Head** Creation.

11. Enter the desired date in the field **Effective Date** field, when the PF deduction begins.
12. Select **Percentage** from the **List of Slabs** in the **Slab Type** field.
13. Enter the required percentage for **PF** in the **Value Basis** field.
14. Accept the screen. As always, you can press **Ctrl**+**A** to save. Similarly, you can create pay head for Voluntary Provident Fund Deduction.

ESI Deduction Pay Head for Employees

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company. Select **Yes** or press **Y** to proceed.
2. Enter the name of the Pay Head in the **Name** field.
3. Select **Employees' Statutory Deductions** as the Pay head type from the **List of Pay Head Types**.
4. Select Employee State Insurance in the **Statutory Pay Type** field.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect net salary** is set to **Yes**. Type **No**, if you do not want this component to be included in the pay slip.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name to displayed in Payslip** if you want to change the default pay head component name.
8. By default, the **Calculation type** field is set to **As Computed Value**, and the **Calculation period** field is set to **Months**.
9. Select **Normal Rounding** from the **List of Rounding Methods** and type 1 as the rounding Limit.
10. In the **Compute** field, select **On Specified Formula** from the Methods of **Computation** list. The **Compute** sub-screen appears.

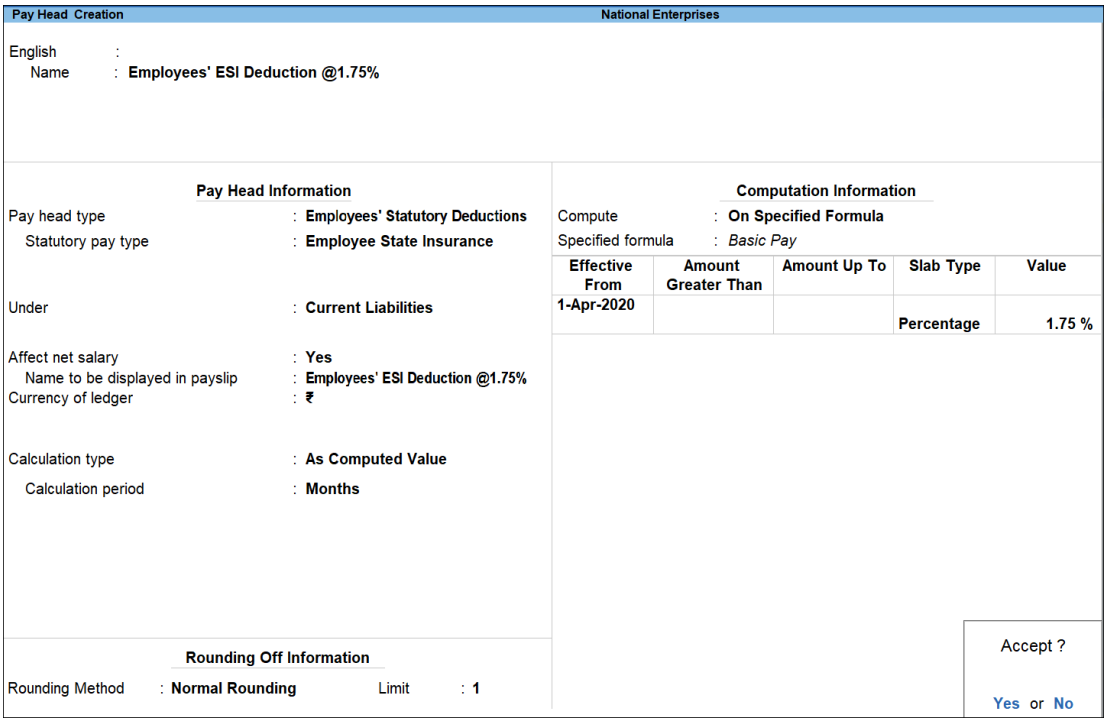


11. In the Pay Head column:

- Select **Basic Pay** from the **List of Pay Heads**.

- Select **Add Pay Head** to add each pay head that is used for **ESI calculation**.
- Select **End of List to return** to **Pay Head Creation**.

12. In the **Effective Date** field, enter the desired date when the ESI Deduction begins.
13. By default, the **Slab Type** field is set to **Percentage**.
14. Enter the percentage value in the **Value Basis** field.
15. Similarly, enter the **From Amount**, **Amount Up to**, **Slab Type** and **Value** details for the next slab.



16. Accept the screen. As always, you can press **Ctrl**+**A** to save.

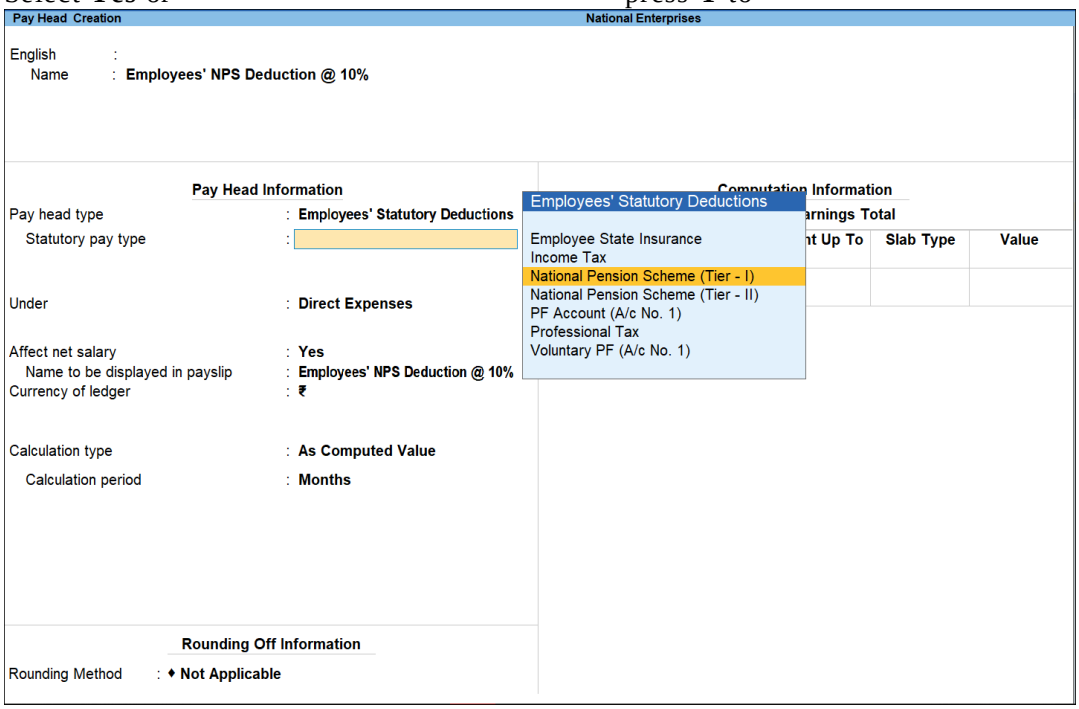
NPS Deduction pay head

Since employees' contribution towards this scheme is structured into two tiers, two pay heads have to be created.

- Employees' NPS Deduction – Tier I
- Employees' NPS Deduction – Tier II

Employees' NPS Deduction – Tier I

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company. Select **Yes** or press **Y** to proceed.

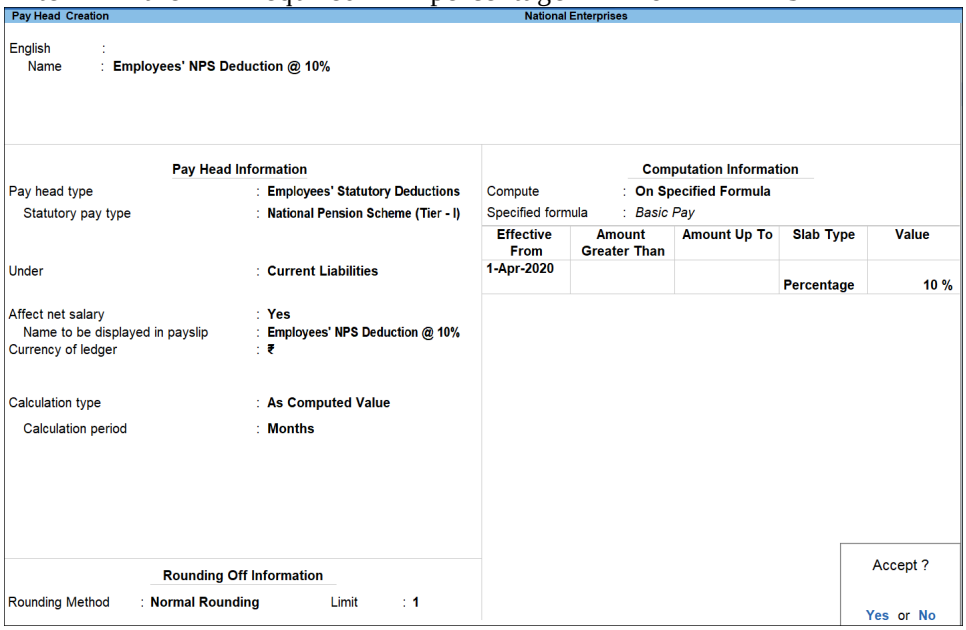


2. Enter the name of the Pay Head in the **Name** field.
3. Select **Employees' Statutory Deductions** as the Pay head type from the **List of Pay Head Types**.
4. Select **National Pension Scheme (Tier – I)** in the **Statutory pay type** field.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect net salary** is set to **Yes**. Type **No**, to exclude this component from the pay slip.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name to be displayed in Payslip** if you want to change the default pay head component name.
8. Select the required Calculation type as User Defined Value, Flat Rate or As Computed Value.
9. Select **Normal Rounding** from the **List of Rounding Methods**, and type 1 as the rounding Limit.
10. If the Calculation type is **As Computed Value**, in the Compute field, select **On Specified Formula** from the Methods of **Computation** list. The Compute sub-screen appears.

- Select **Basic Pay** in the **Pay Head** column, from the **List of Pay Heads**.
- Alternatively, select **Add Pay Head** from Additional computations for table to add other pay heads.
- Select **End of List** to return to **Pay Head Creation**.

11. In the **Effective Date** field, enter the desired date from when NPS will be effective.

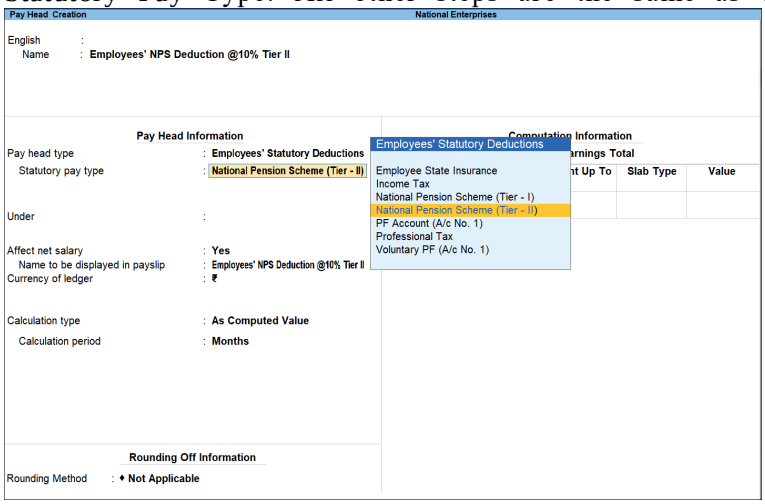
12. Select **Percentage** from the **List of Slabs**, in the Slab Type field.
13. Enter the required percentage for NPS in the **Value Basis** field.



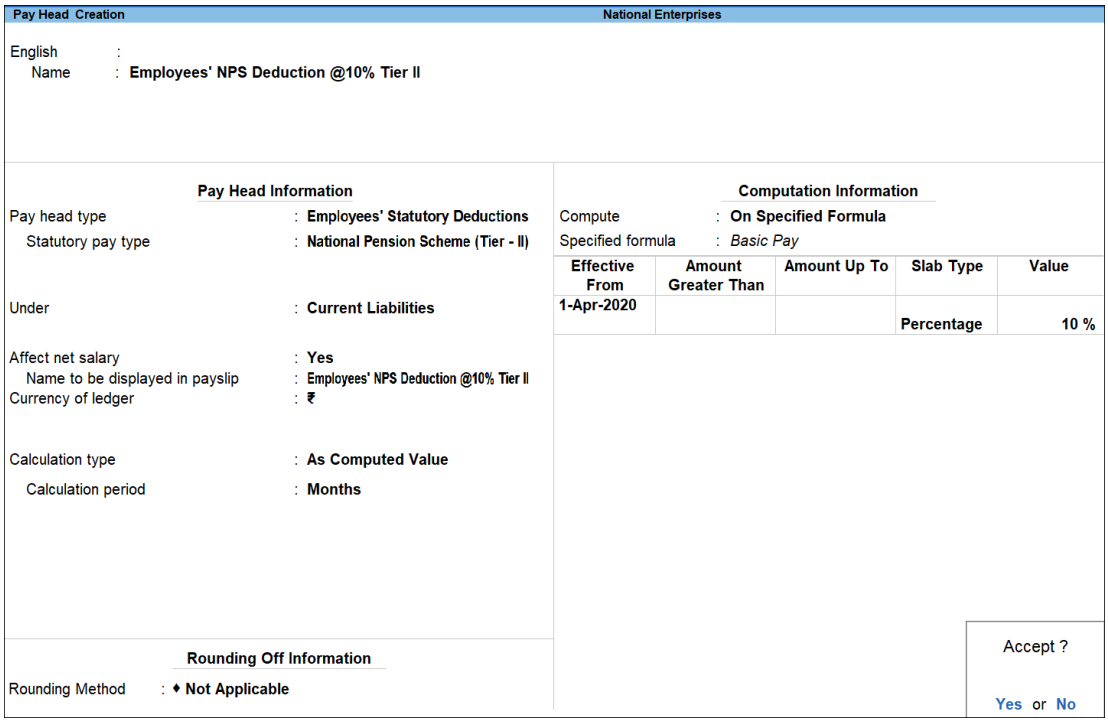
14. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Employees' NPS Deduction – Tier II

For Employees' NPS Deduction – Tier II pay head creation, set National Pension Scheme (Tier II) as the Statutory Pay Type. All other steps are the same as used for Employees' NPS Deduction – Tier I.



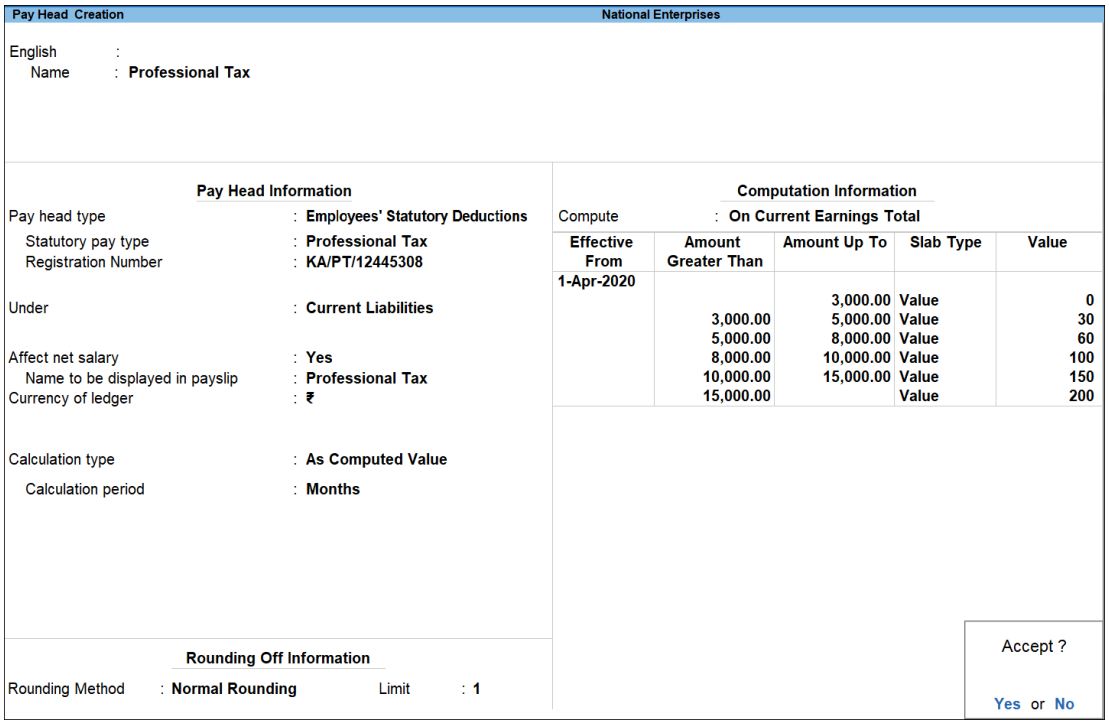
The **completed Pay Head Creation screen** appears as shown below



Professional Tax Deduction Pay Head

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt+G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company. Select **Yes** or press **Y** to proceed.
2. Enter the name of the Pay Head in the **Name** field.
3. From the **List of Pay head** Types, select **Employee's Statutory Deductions** as the Pay head type.
4. Select **Professional Tax** in the **Statutory Pay Type** field and enter the Professional Tax **Registration Number** in the adjacent field.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect net salary** is set to **Yes**. If you do not want this component to be included in the pay slip, type **No**.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name to be displayed in Payslip** if you want to change the default pay head component name.
8. By default, the **Calculation type** field is set to **As Computed Value**.
9. In the **Calculation period** field, select **Month** or **Period** to specify the frequency of PT deduction as monthly or based on a certain period respectively.
10. Select **Normal Rounding** from the **List of Rounding Methods**, and type 1 as the rounding Limit.
11. In the **Compute** field, select **On Current Earnings Total** from the Methods of C**omputation** list.

12. In the **Effective Date** field, enter the date from when Professional Tax will be effective.
13. Enter the required value in the **From Greater Than** and **Amount Up to** fields.
14. Select **Value** from the **Types of Slabs** in the **Slab Type** field.
15. Enter the amount for Professional Tax for each slab in the Value field.



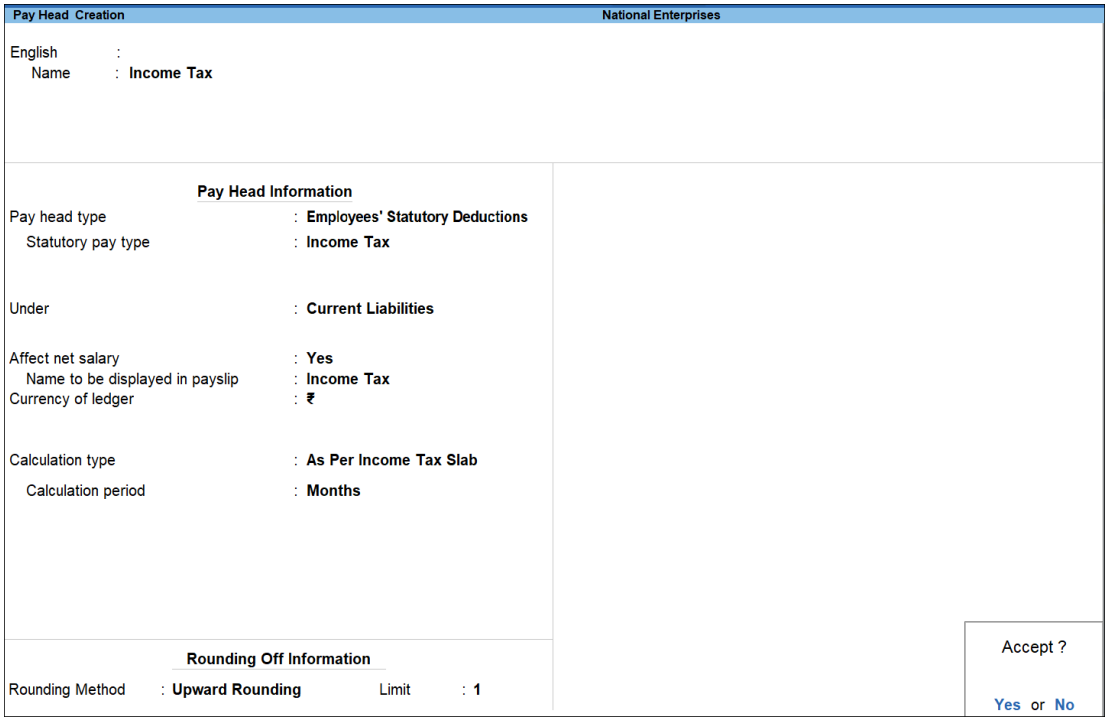
16. Accept the screen. As always, you can press **Ctrl+A** to save.

COMPUTER EDUCATION Jain Group - Bengaluru

Income Tax Deduction Pay Head

E D U C A T I O N

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt+G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company. Select **Yes** or press **Y** to proceed.



2. Enter the pay head name in the **Name** field.
3. Select **Employees' Statutory Deduction** as the **Pay head type**, from the **List of Pay Head Types**.
4. Select **Statutory pay type** as **Income Tax**.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect Net Salary** is set to **Yes**.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name to be displayed in Payslip** if you want to change the default pay head component name.
8. The **Calculation type** is set to As per **Income Tax Slab**, by default.
9. Select the appropriate **Calculation period** from the **List of Periods**.
10. Accept the screen. As always, you can press **Ctrl**+**A** to save.

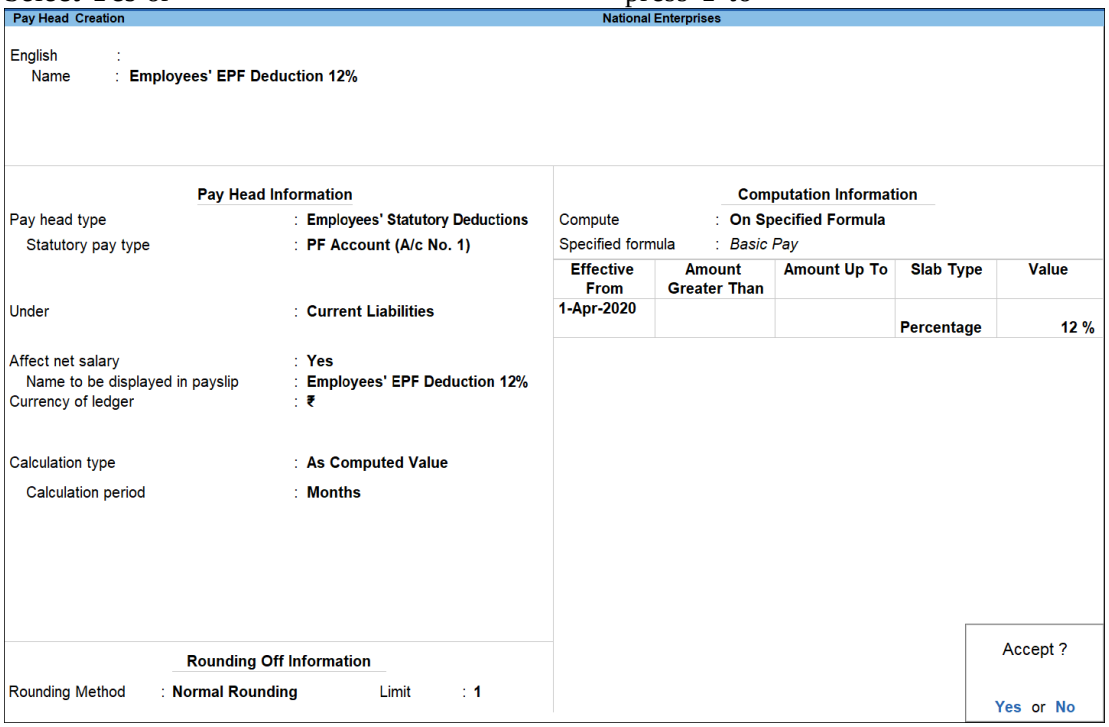
Pay Heads for Statutory Deductions (Payroll)

In TallyPrime, you can create a pay head for PF, ESI, NPS, professional tax, income tax, and other deductions.

PF Deduction Pay Head for Employees

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company.

Select **Yes** or press **Y** to proceed.



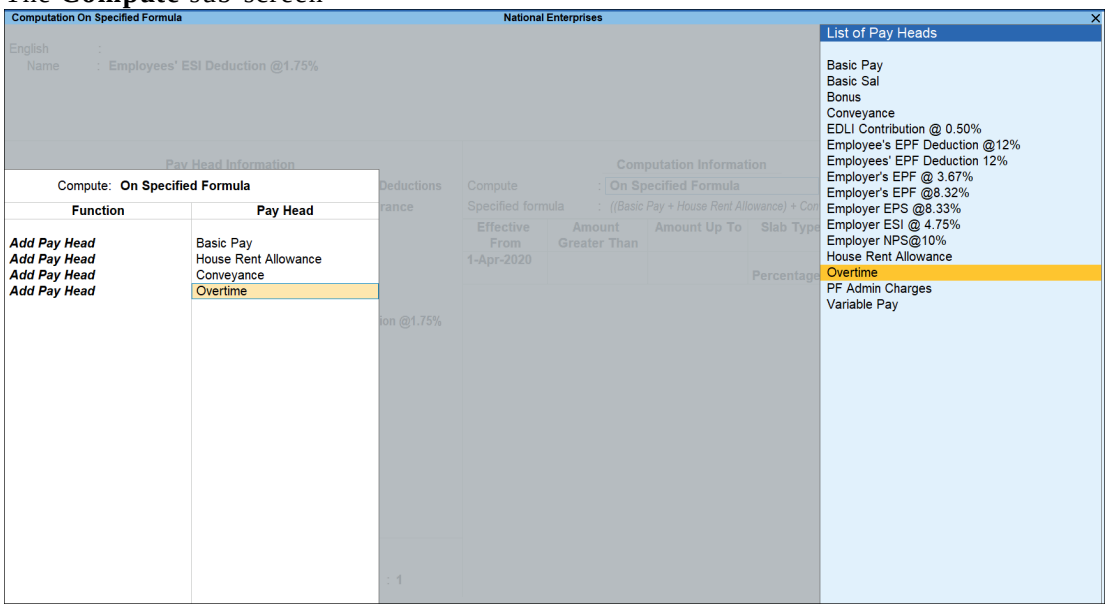
2. Enter the name of the Pay Head in the **Name** field.
3. Select **Employees' Statutory Deductions** as the **Pay Head Type** from the **List of Pay Head Types**.
4. Select **PF Account (A/c No. 1)** in the **Statutory Pay Type** field.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect Net Salary** is set to **Yes**. Type **No**, if you do not want this component to be included in the pay slip.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name** to be display in Payslip if you want to change the default pay head component name.
8. By default, the **Calculation Type** field is set to **As Computed Value**, and the **Calculation Period** field is set to **Months**.
9. Select **Normal Rounding** from the **List of Rounding Methods**, and type **1** as the rounding **Limit**.
10. Select **On Specified Formula,** from the **Computation** On list, in the **Compute** field. The **Computation on Specified Formula** sub-screen appears.

- In the **Pay Head** column, select **Basic Pay** from the **List of Pay Heads** and select End of List to return to **Pay Head** Creation.

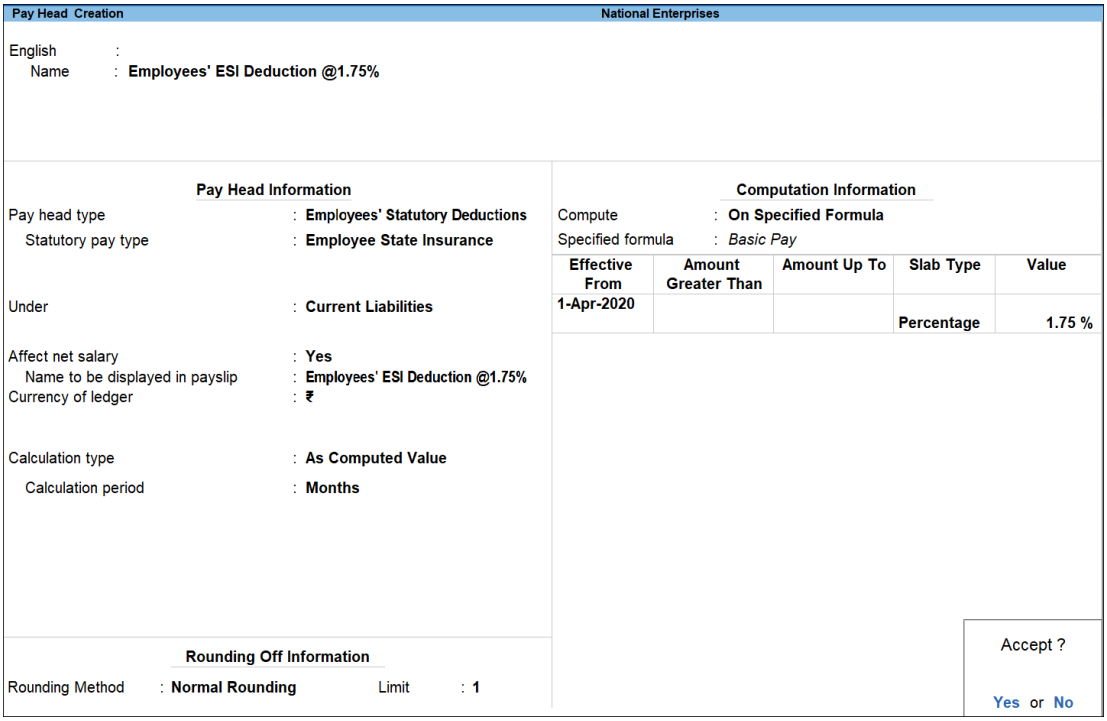
11. Enter the desired date in the field **Effective Date** field, when the PF deduction begins.
12. Select **Percentage** from the **List of Slabs** in the **Slab Type** field.
13. Enter the required percentage for **PF** in the **Value Basis** field.
14. Accept the screen. As always, you can press **Ctrl+A** to save. Similarly, you can create pay head for Voluntary Provident Fund Deduction.

ESI Deduction Pay Head for Employees

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt+G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company. Select **Yes** or press **Y** to proceed.
2. Enter the name of the Pay Head in the **Name** field.
3. Select **Employees' Statutory Deductions** as the Pay head type from the **List of Pay Head Types**.
4. Select Employee State Insurance in the **Statutory Pay Type** field.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect net salary** is set to **Yes**. Type **No**, if you do not want this component to be included in the pay slip.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name to displayed in Payslip** if you want to change the default pay head component name.
8. By default, the **Calculation type** field is set to **As Computed Value**, and the **Calculation period** field is set to **Months**.
9. Select **Normal Rounding** from the **List of Rounding Methods** and type 1 as the rounding Limit.
10. In the **Compute** field, select **On Specified Formula** from the Methods of **Computation** list. The **Compute** sub-screen appears.



11. In the Pay Head column:
    - Select **Basic Pay** from the **List of Pay Heads**.
    - Select **Add Pay Head** to add each pay head that is used for **ESI calculation**.
    - Select **End of List to return** to **Pay Head Creation**.
12. In the **Effective Date** field, enter the desired date when the ESI Deduction begins.
13. By default, the **Slab Type** field is set to **Percentage**.
14. Enter the percentage value in the **Value Basis** field.
15. Similarly, enter the **From Amount**, **Amount Up to**, **Slab Type** and **Value** details for the next slab.



16. Accept the screen. As always, you can press **Ctrl**+**A** to save.

NPS Deduction pay head

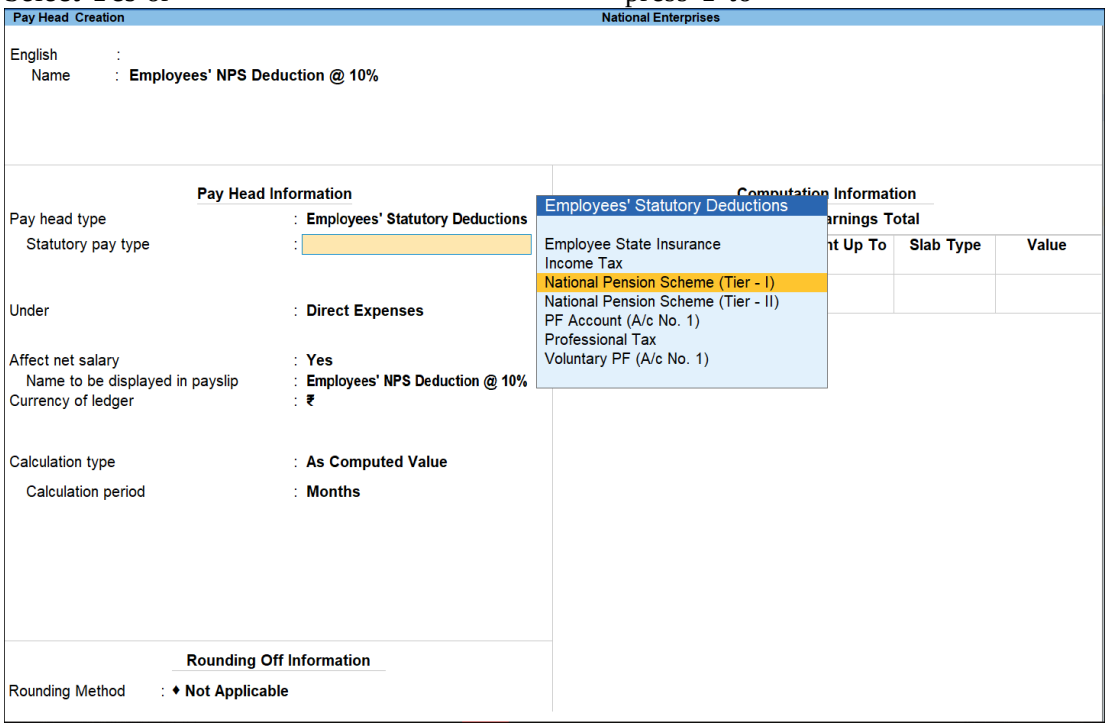
Since employees' contribution towards this scheme is structured into two tiers, two pay heads have to be created.

- Employees' NPS Deduction – Tier I
- Employees' NPS Deduction – Tier II

Employees' NPS Deduction – Tier I

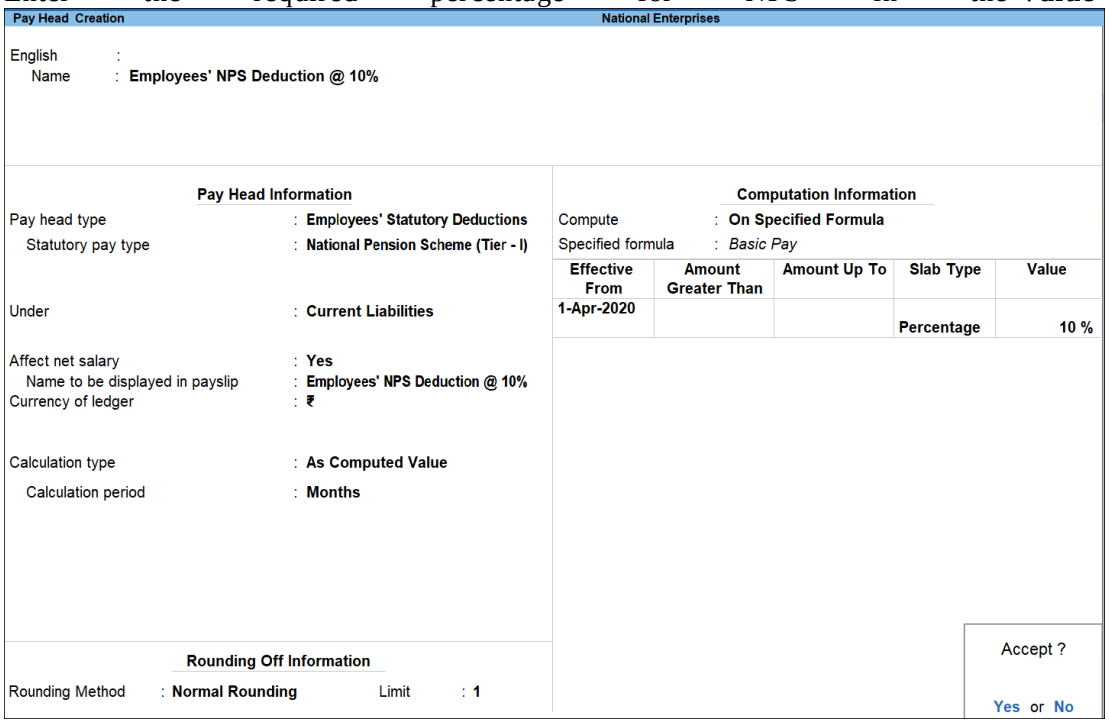
1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company.

Select **Yes** or press **Y** to proceed.



2. **Enter the name of the Pay Head in the** Name **field.**
3. **Select** Employees' Statutory Deductions **as the Pay head type from the** List of Pay Head Types**.**
4. **Select** National Pension Scheme (Tier – I) **in the** Statutory pay type **field.**
5. **Select** Current Liabilities **from the** List of Groups **in the** Under **field.**
6. **By default,** Affect net salary **is set to** Yes**. Type** No**, to exclude this component from the pay slip.**
7. **By default, the pay head component name entered in the** Name **field appears in the pay slip. Enter the** Name to be displayed in Payslip **if you want to change the default pay head component name.**
8. **Select the required Calculation type as <u>User Defined Value</u>, Flat Rate or <u>As Computed Value</u>.**
9. **Select** Normal Rounding **from the** List of Rounding Methods**, and type 1 as the rounding Limit.**
10. **If the Calculation type is** As Computed Value**, in the Compute field, select** On Specified Formula **from the Methods of** Computation **list. The Compute sub-screen appears.**
    - **Select** Basic Pay **in the** Pay Head **column, from the** List of Pay Heads**.**
    - **Alternatively, select** Add Pay Head **from Additional computations for table to add other pay heads.**
    - **Select** End of List **to return to** Pay Head Creation**.**
11. **In the** Effective Date **field, enter the desired date from when NPS will be effective.**
12. **Select** Percentage **from the** List of Slabs**, in the Slab Type field.**

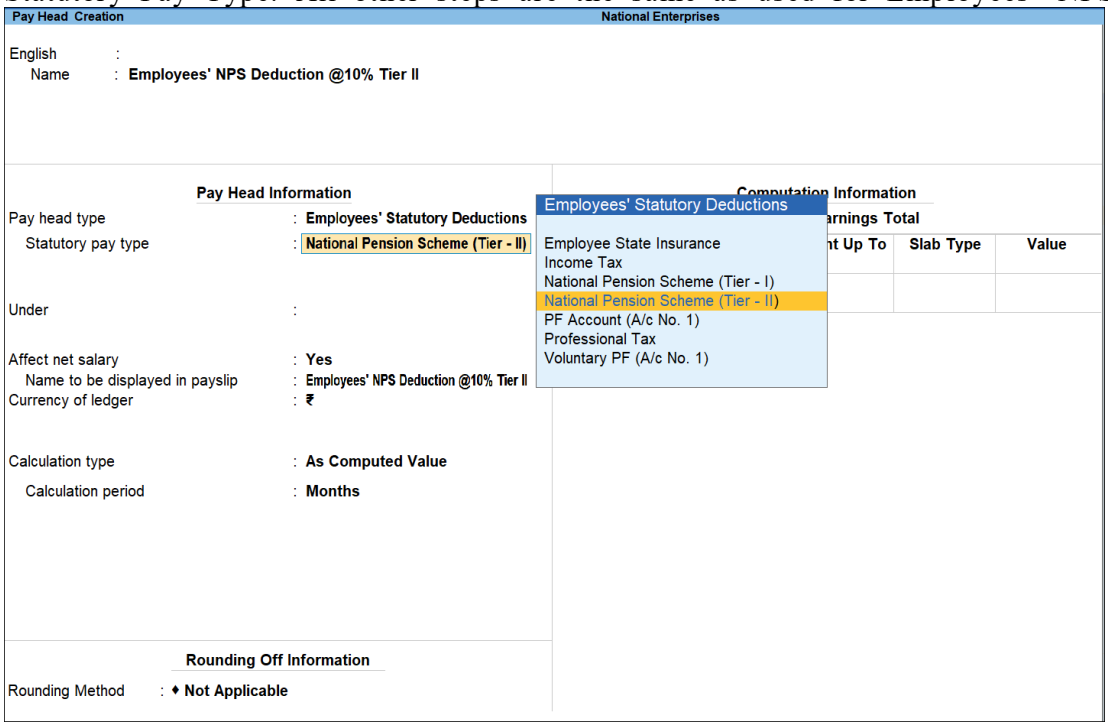
13. Enter the required percentage for NPS in the **Value Basis** field.



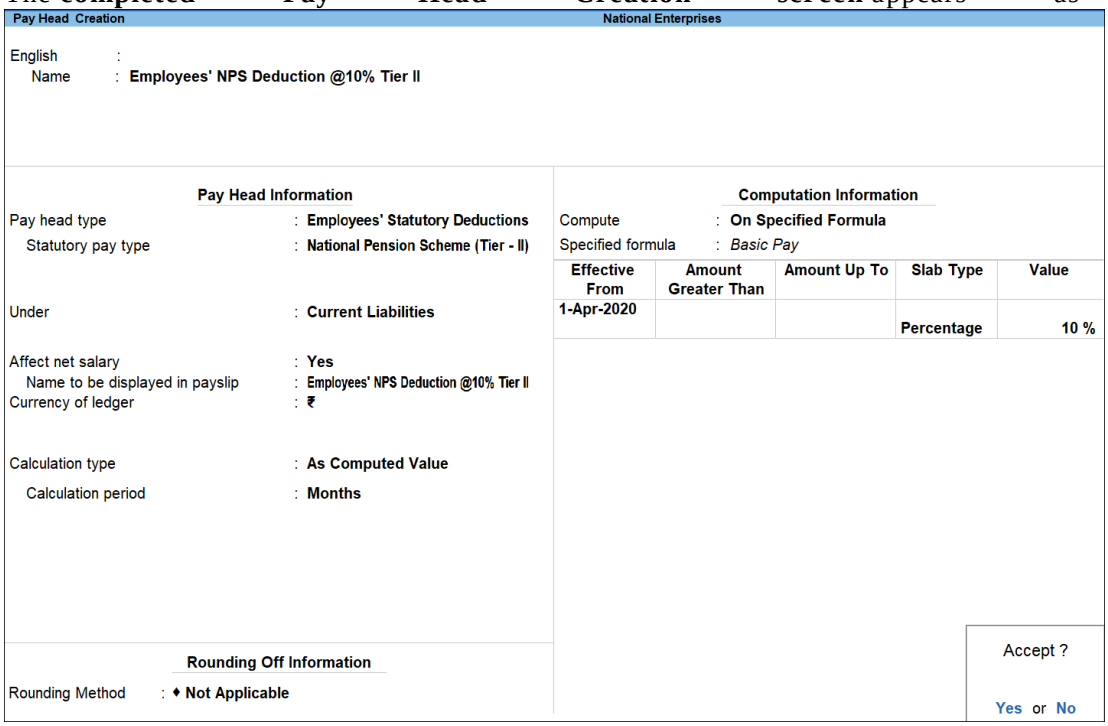
14. Accept the screen. As always, you can press **Ctrl+A** to save.

Employees' NPS Deduction – Tier II

For Employees' NPS Deduction – Tier II pay head creation, set National Pension Scheme (Tier II) as the Statutory Pay Type. All other steps are the same as used for Employees' NPS Deduction – Tier I.



The **completed Pay Head Creation screen** appears as shown below



Professional Tax Deduction Pay Head

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt+G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company. Select **Yes** or press **Y** to proceed.
2. Enter the name of the Pay Head in the **Name** field.
3. From the **List of Pay head** Types, select **Employee's Statutory Deductions** as the Pay head type.
4. Select **Professional Tax** in the **Statutory Pay Type** field and enter the Professional Tax **Registration Number** in the adjacent field.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect net salary** is set to **Yes**. If you do not want this component to be included in the pay slip, type **No**.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name to be displayed in Payslip** if you want to change the default pay head component name.
8. By default, the **Calculation type** field is set to **As Computed Value**.
9. In the **Calculation period** field, select **Month** or **Period** to specify the frequency of PT deduction as monthly or based on a certain period respectively.
10. Select **Normal Rounding** from the **List of Rounding Methods**, and type 1 as the rounding Limit.

11. In the **Compute** field, select **On Current Earnings Total** from the Methods of C**omputation** list.
12. In the **Effective Date** field, enter the date from when Professional Tax will be effective.
13. Enter the required value in the **From Greater Than** and **Amount Up to** fields.
14. Select **Value** from the **Types of Slabs** in the **Slab Type** field.
15. Enter the amount for Professional Tax for each slab in the Value field.

Pay Head Creation — National Enterprises

English :
Name : **Professional Tax**

Pay Head Information

Pay head type	: **Employees' Statutory Deductions**
Statutory pay type	: **Professional Tax**
Registration Number	: **KA/PT/12445308**
Under	: **Current Liabilities**
Affect net salary	: **Yes**
Name to be displayed in payslip	: **Professional Tax**
Currency of ledger	: **₹**
Calculation type	: **As Computed Value**
Calculation period	: **Months**

Rounding Off Information

Rounding Method : **Normal Rounding** Limit : **1**

Computation Information

Compute : **On Current Earnings Total**

Effective From	Amount Greater Than	Amount Up To	Slab Type	Value
1-Apr-2020		3,000.00	Value	0
	3,000.00	5,000.00	Value	30
	5,000.00	8,000.00	Value	60
	8,000.00	10,000.00	Value	100
	10,000.00	15,000.00	Value	150
	15,000.00		Value	200

Accept ?

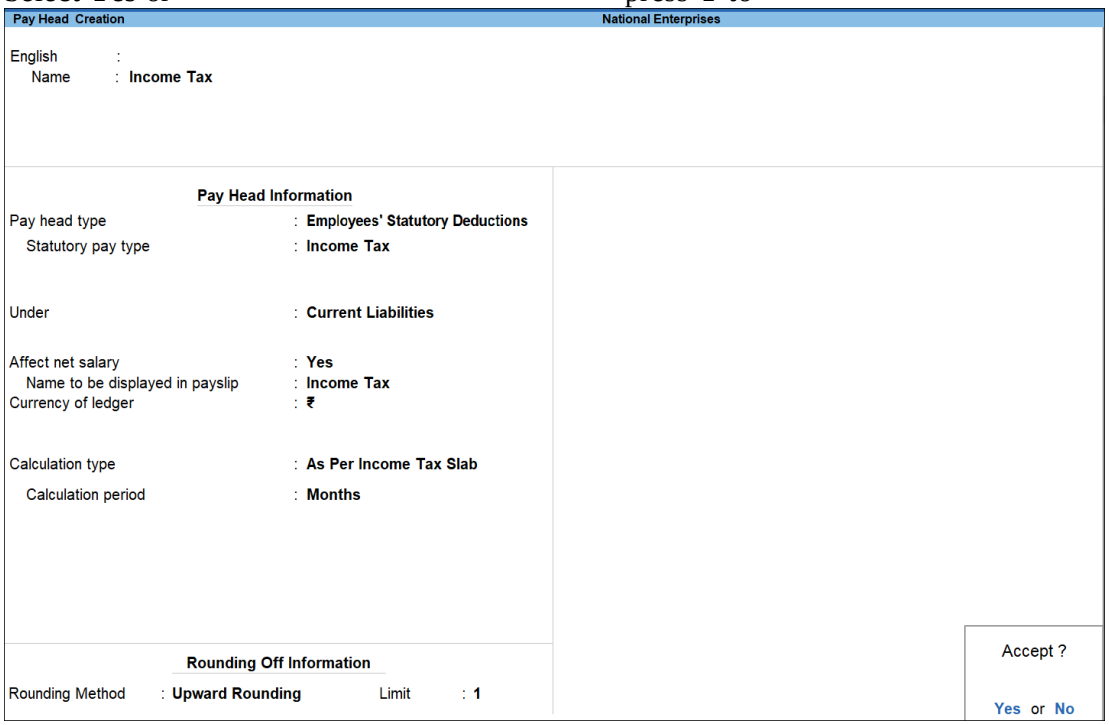
Yes or No

16. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Income Tax Deduction Pay Head

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company.

Select **Yes** or press **Y** to proceed.



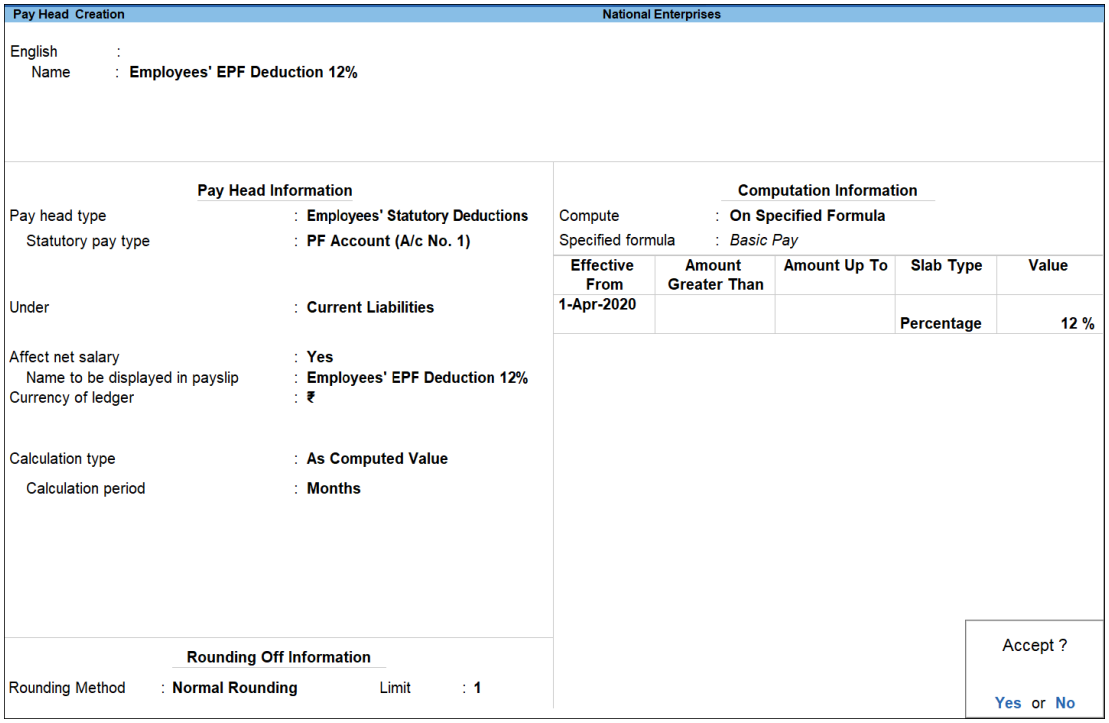
2. Enter the pay head name in the **Name** field.
3. Select **Employees' Statutory Deduction** as the **Pay head type**, from the **List of Pay Head Types**.
4. Select **Statutory pay type** as **Income Tax**.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect Net Salary** is set to **Yes**.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name to be displayed in Payslip** if you want to change the default pay head component name.
8. The **Calculation type** is set to As per **Income Tax Slab**, by default.
9. Select the appropriate **Calculation period** from the **List of Periods**.
10. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Pay Heads for Statutory Deductions (Payroll)

In TallyPrime, you can create a pay head for PF, ESI, NPS, professional tax, income tax, and other deductions.

PF Deduction Pay Head for Employees

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company. Select **Yes** or press **Y** to proceed.



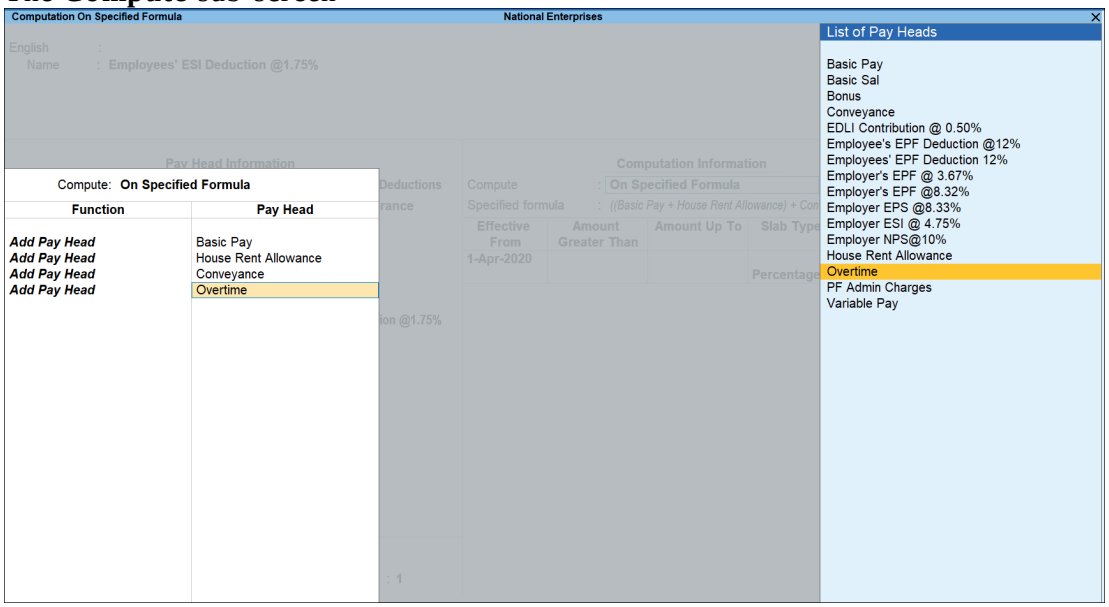
2. Enter the name of the Pay Head in the **Name** field.
3. Select **Employees' Statutory Deductions** as the **Pay Head Type** from the **List of Pay Head Types**.
4. Select **PF Account (A/c No. 1)** in the **Statutory Pay Type** field.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect Net Salary** is set to **Yes**. Type **No**, if you do not want this component to be included in the pay slip.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name** to be display in Payslip if you want to change the default pay head component name.
8. By default, the **Calculation Type** field is set to **As Computed Value**, and the **Calculation Period** field is set to **Months**.
9. Select **Normal Rounding** from the **List of Rounding Methods**, and type **1** as the rounding **Limit**.
10. Select **On Specified Formula,** from the **Computation** On list, in the **Compute** field. The **Computation on Specified Formula** sub-screen appears.

- In the **Pay Head** column, select **Basic Pay** from the **List of Pay Heads** and select End of List to return to **Pay Head** Creation.

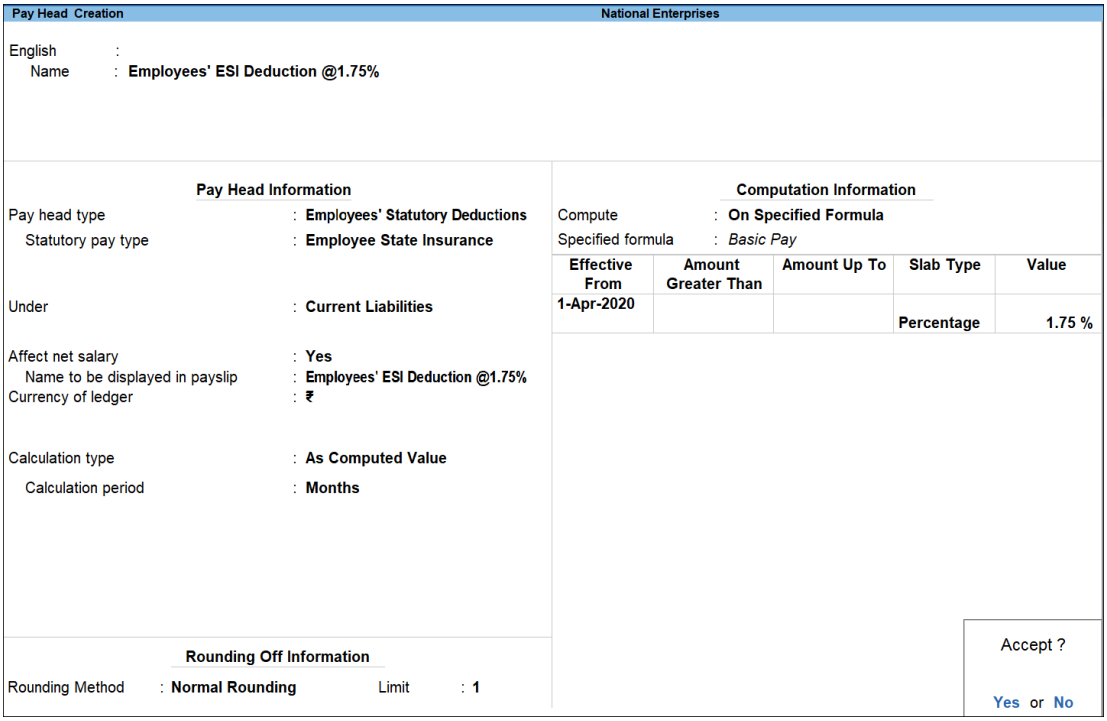
11. Enter the desired date in the field **Effective Date** field, when the PF deduction begins.
12. Select **Percentage** from the **List of Slabs** in the **Slab Type** field.
13. Enter the required percentage for **PF** in the **Value Basis** field.
14. Accept the screen. As always, you can press **Ctrl+A** to save. Similarly, you can create pay head for Voluntary Provident Fund Deduction.

ESI Deduction Pay Head for Employees

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt+G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company. Select **Yes** or press **Y** to proceed.
2. Enter the name of the Pay Head in the **Name** field.
3. Select **Employees' Statutory Deductions** as the Pay head type from the **List of Pay Head Types**.
4. Select Employee State Insurance in the **Statutory Pay Type** field.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect net salary** is set to **Yes**. Type **No**, if you do not want this component to be included in the pay slip.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name to displayed in Payslip** if you want to change the default pay head component name.
8. By default, the **Calculation type** field is set to **As Computed Value**, and the **Calculation period** field is set to **Months**.
9. Select **Normal Rounding** from the **List of Rounding Methods** and type 1 as the rounding Limit.
10. In the **Compute** field, select **On Specified Formula** from the Methods of **Computation** list. The **Compute** sub-screen appears.



11. In the Pay Head column:
    - Select **Basic Pay** from the **List of Pay Heads**.
    - Select **Add Pay Head** to add each pay head that is used for **ESI calculation**.
    - Select **End of List to return** to **Pay Head Creation**.
12. In the **Effective Date** field, enter the desired date when the ESI Deduction begins.
13. By default, the **Slab Type** field is set to **Percentage**.
14. Enter the percentage value in the **Value Basis** field.
15. Similarly, enter the **From Amount**, **Amount Up to**, **Slab Type** and **Value** details for the next slab.



16. Accept the screen. As always, you can press **Ctrl**+**A** to save.

NPS Deduction pay head

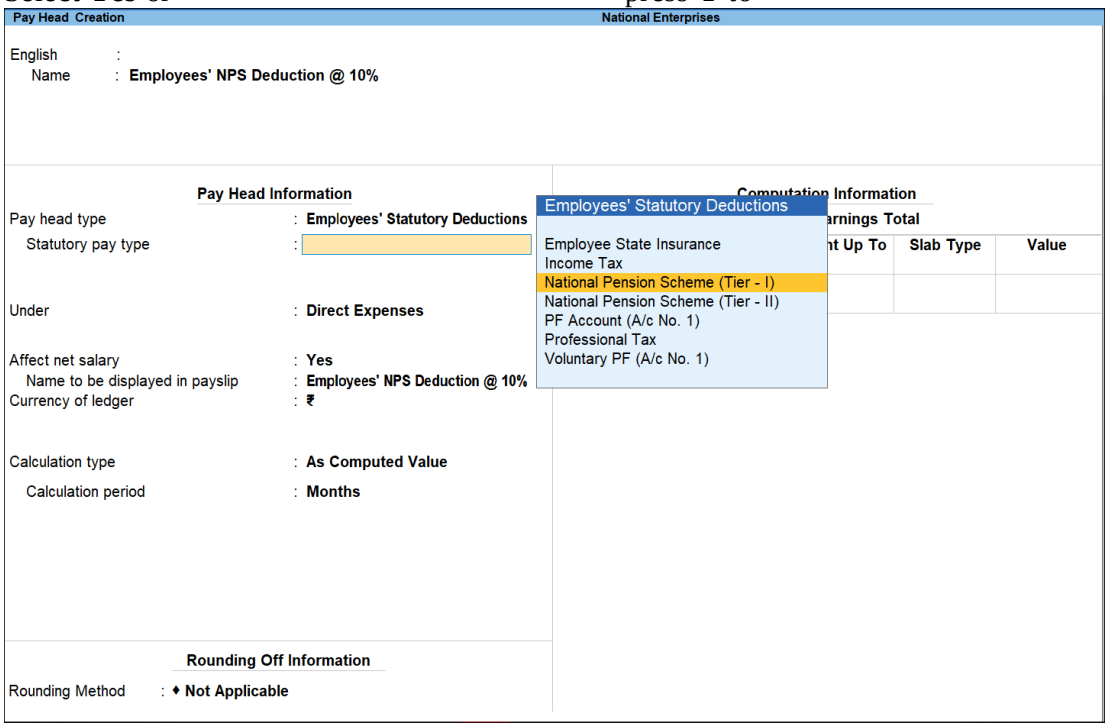
Since employees' contribution towards this scheme is structured into two tiers, two pay heads have to be created.

- Employees' NPS Deduction – Tier I
- Employees' NPS Deduction – Tier II

Employees' NPS Deduction – Tier I

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company.

Select **Yes** or press **Y** to proceed.

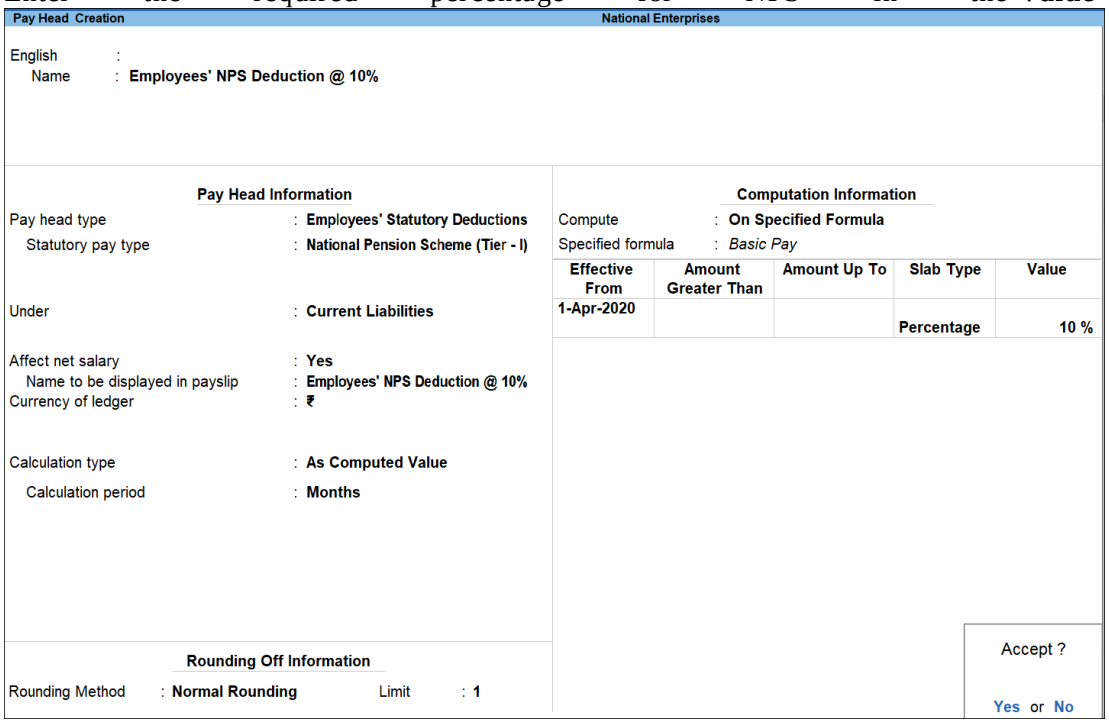


2. Enter the name of the Pay Head in the **Name** field.
3. Select **Employees' Statutory Deductions** as the Pay head type from the **List of Pay Head Types**.
4. Select **National Pension Scheme (Tier – I)** in the **Statutory pay type** field.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect net salary** is set to **Yes**. Type **No**, to exclude this component from the pay slip.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name to be displayed in Payslip** if you want to change the default pay head component name.
8. Select the required Calculation type as User Defined Value, Flat Rate or As Computed Value.
9. Select **Normal Rounding** from the **List of Rounding Methods**, and type 1 as the rounding Limit.
10. If the Calculation type is **As Computed Value**, in the Compute field, select **On Specified Formula** from the Methods of **Computation** list. The Compute sub-screen appears.

- Select **Basic Pay** in the **Pay Head** column, from the **List of Pay Heads**.
- Alternatively, select **Add Pay Head** from Additional computations for table to add other pay heads.
- Select **End of List** to return to **Pay Head Creation**.

11. In the **Effective Date** field, enter the desired date from when NPS will be effective.
12. Select **Percentage** from the **List of Slabs**, in the Slab Type field.

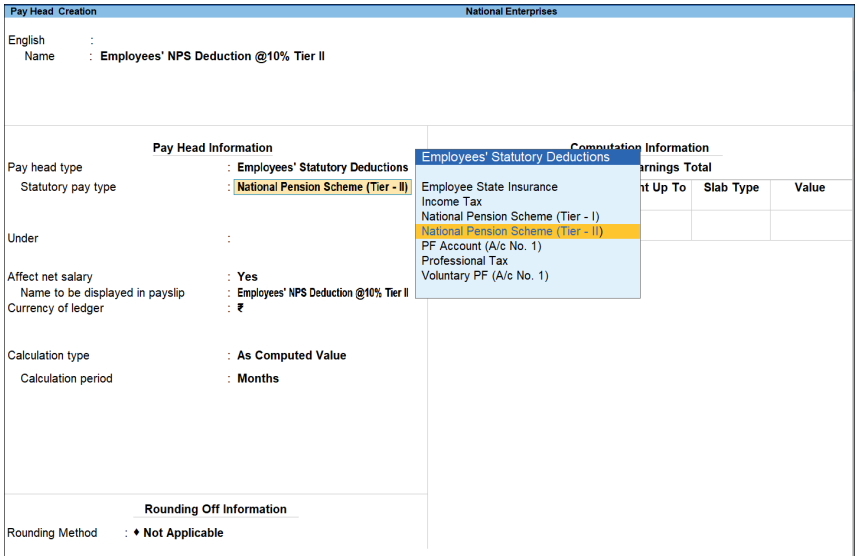
13. Enter the required percentage for NPS in the **Value Basis** field.



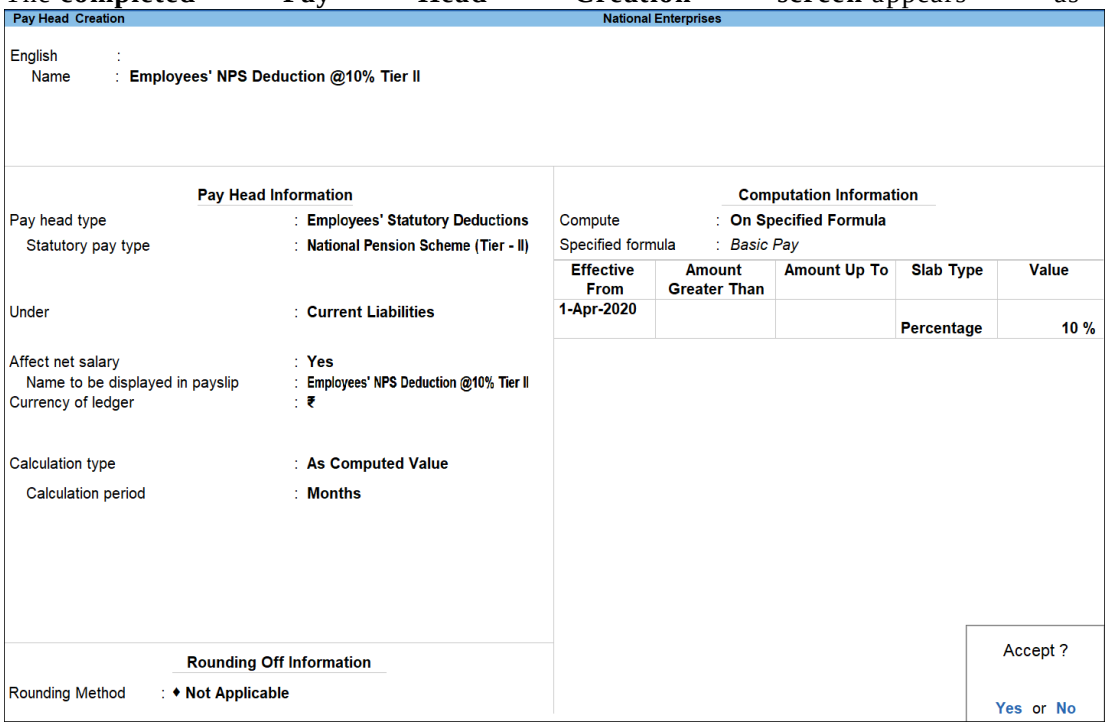
14. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Employees' NPS Deduction – Tier II

For Employees' NPS Deduction – Tier II pay head creation, set National Pension Scheme (Tier II) as the Statutory Pay Type. All other steps are the same as used for Employees' NPS Deduction – Tier I.



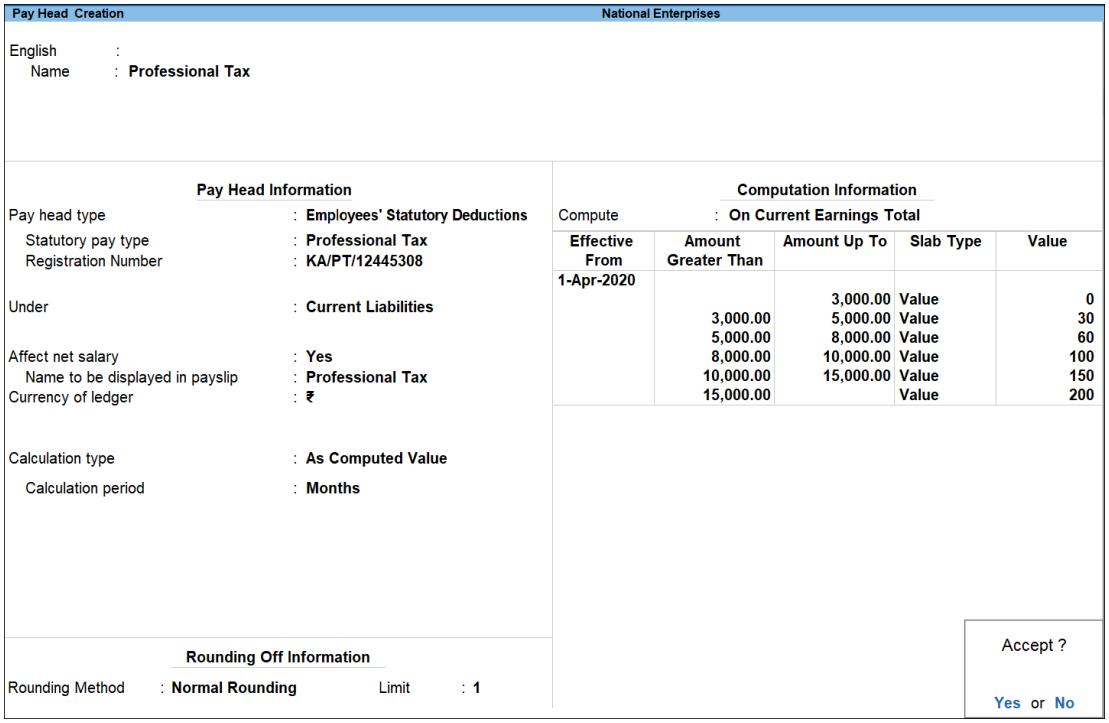
The **completed Pay Head Creation screen** appears as shown below



Professional Tax Deduction Pay Head

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company. Select **Yes** or press **Y** to proceed.
2. Enter the name of the Pay Head in the **Name** field.
3. From the **List of Pay head** Types, select **Employee's Statutory Deductions** as the Pay head type.
4. Select **Professional Tax** in the **Statutory Pay Type** field and enter the Professional Tax **Registration Number** in the adjacent field.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect net salary** is set to **Yes**. If you do not want this component to be included in the pay slip, type **No**.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name to be displayed in Payslip** if you want to change the default pay head component name.
8. By default, the **Calculation type** field is set to **As Computed Value**.
9. In the **Calculation period** field, select **Month** or **Period** to specify the frequency of PT deduction as monthly or based on a certain period respectively.
10. Select **Normal Rounding** from the **List of Rounding Methods**, and type 1 as the rounding Limit.
11. In the **Compute** field, select **On Current Earnings Total** from the Methods of C**omputation** list.
12. In the **Effective Date** field, enter the date from when Professional Tax will be effective.

13. Enter the required value in the **From Greater Than** and **Amount Up to** fields.
14. Select **Value** from the **Types of Slabs** in the **Slab Type** field.
15. Enter the amount for Professional Tax for each slab in the Value field.



Pay Head Creation — National Enterprises

English :
Name : **Professional Tax**

Pay Head Information

Pay head type	: **Employees' Statutory Deductions**
Statutory pay type	: **Professional Tax**
Registration Number	: **KA/PT/12445308**
Under	: **Current Liabilities**
Affect net salary	: **Yes**
Name to be displayed in payslip	: **Professional Tax**
Currency of ledger	: **₹**
Calculation type	: **As Computed Value**
Calculation period	: **Months**

Rounding Off Information

Rounding Method : **Normal Rounding** Limit : **1**

Computation Information

Compute : **On Current Earnings Total**

Effective From	Amount Greater Than	Amount Up To	Slab Type	Value
1-Apr-2020		3,000.00	Value	0
	3,000.00	5,000.00	Value	30
	5,000.00	8,000.00	Value	60
	8,000.00	10,000.00	Value	100
	10,000.00	15,000.00	Value	150
	15,000.00		Value	200

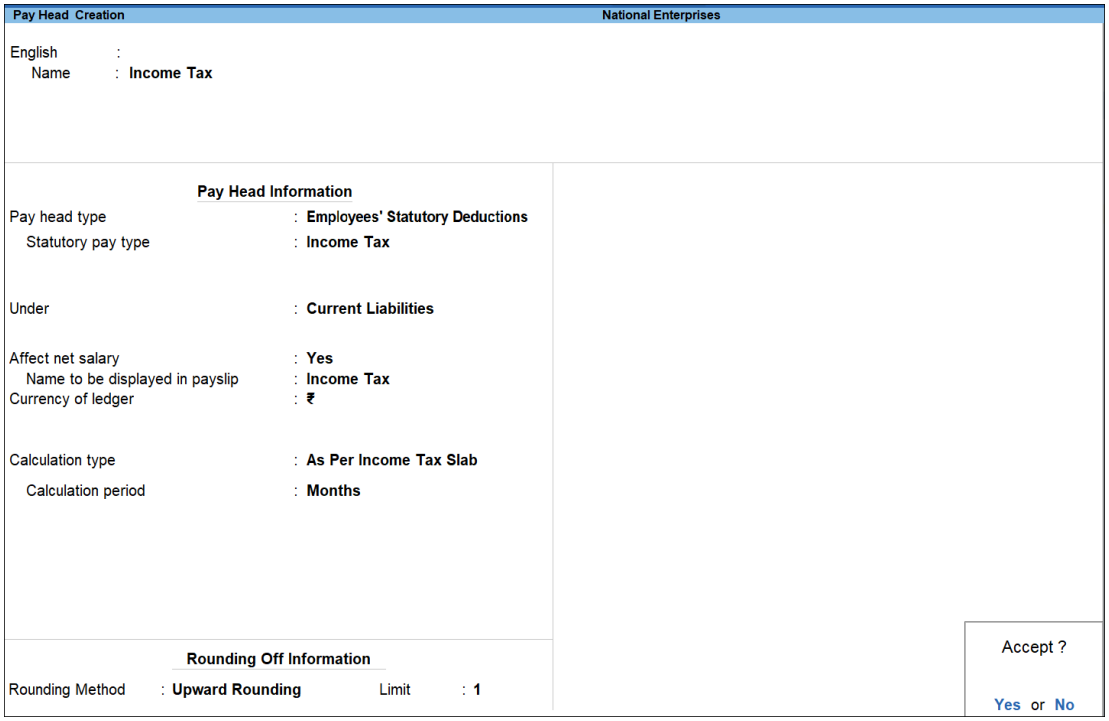
Accept ?

Yes or No

16. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Income Tax Deduction Pay Head

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company. Select **Yes** or press **Y** to proceed.



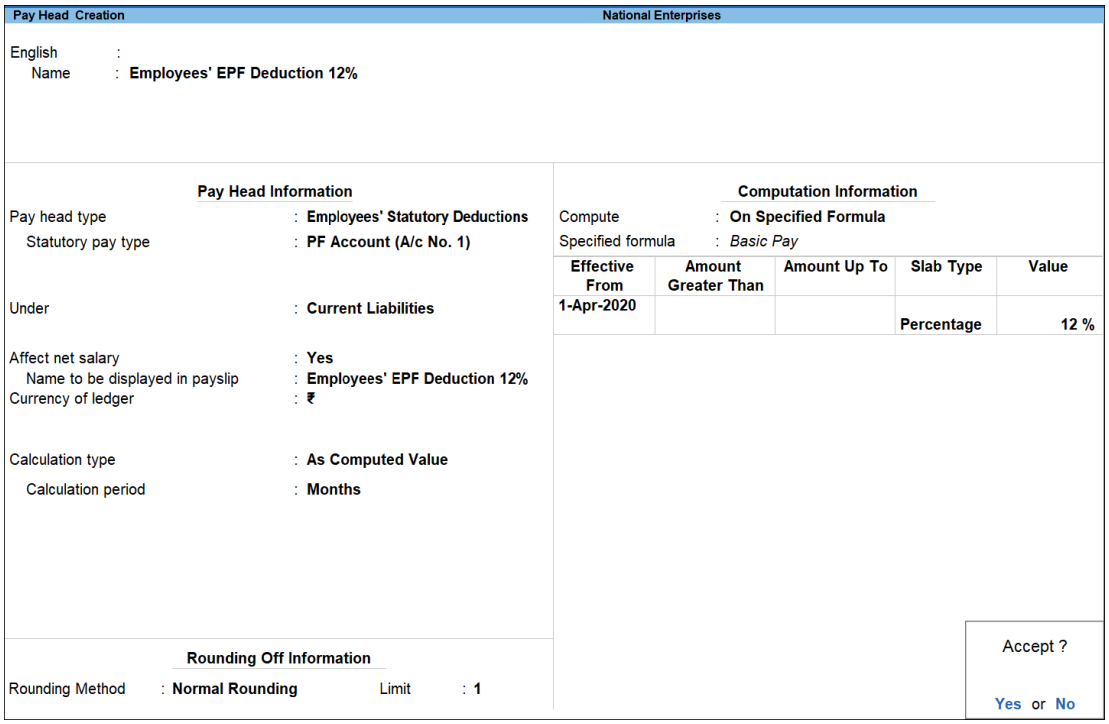
2. Enter the pay head name in the **Name** field.
3. Select **Employees' Statutory Deduction** as the **Pay head type**, from the **List of Pay Head Types**.
4. Select **Statutory pay type** as **Income Tax**.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect Net Salary** is set to **Yes**.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name to be displayed in Payslip** if you want to change the default pay head component name.
8. The **Calculation type** is set to As per **Income Tax Slab**, by default.
9. Select the appropriate **Calculation period** from the **List of Periods**.
10. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Pay Heads for Statutory Deductions (Payroll)

In TallyPrime, you can create a pay head for PF, ESI, NPS, professional tax, income tax, and other deductions.

PF Deduction Pay Head for Employees

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company. Select **Yes** or press **Y** to proceed.



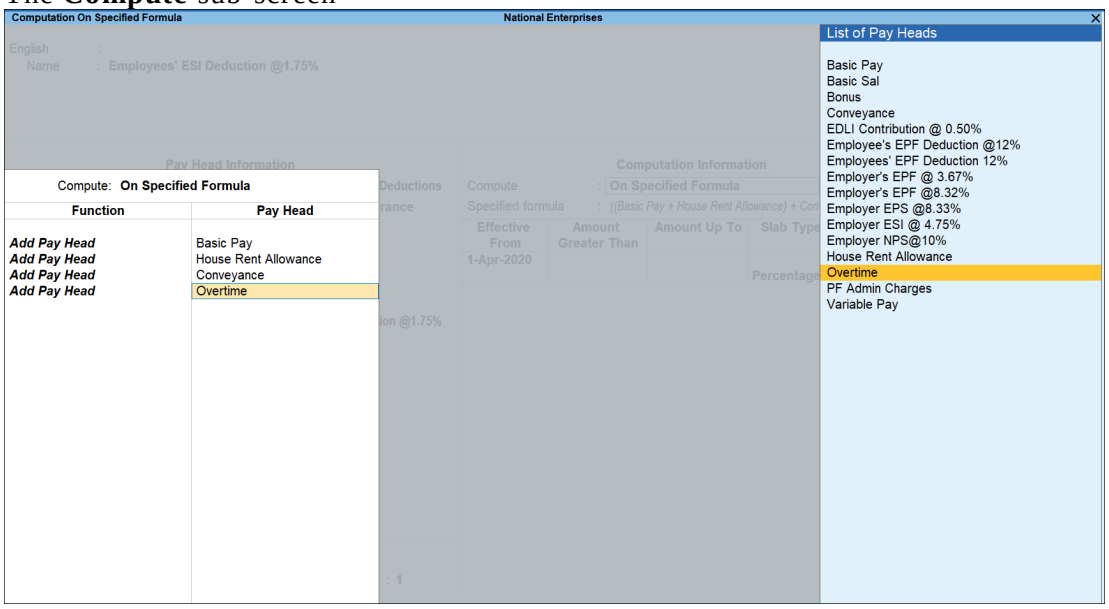
2. Enter the name of the Pay Head in the **Name** field.
3. Select **Employees' Statutory Deductions** as the **Pay Head Type** from the **List of Pay Head Types**.
4. Select **PF Account (A/c No. 1)** in the **Statutory Pay Type** field.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect Net Salary** is set to **Yes**. Type **No**, if you do not want this component to be included in the pay slip.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name** to be display in Payslip if you want to change the default pay head component name.
8. By default, the **Calculation Type** field is set to **As Computed Value**, and the **Calculation Period** field is set to **Months**.
9. Select **Normal Rounding** from the **List of Rounding Methods**, and type **1** as the rounding **Limit**.
10. Select **On Specified Formula,** from the **Computation** On list, in the **Compute** field. The **Computation on Specified Formula** sub-screen appears.

- In the **Pay Head** column, select **Basic Pay** from the **List of Pay Heads** and select End of List to return to **Pay Head** Creation.

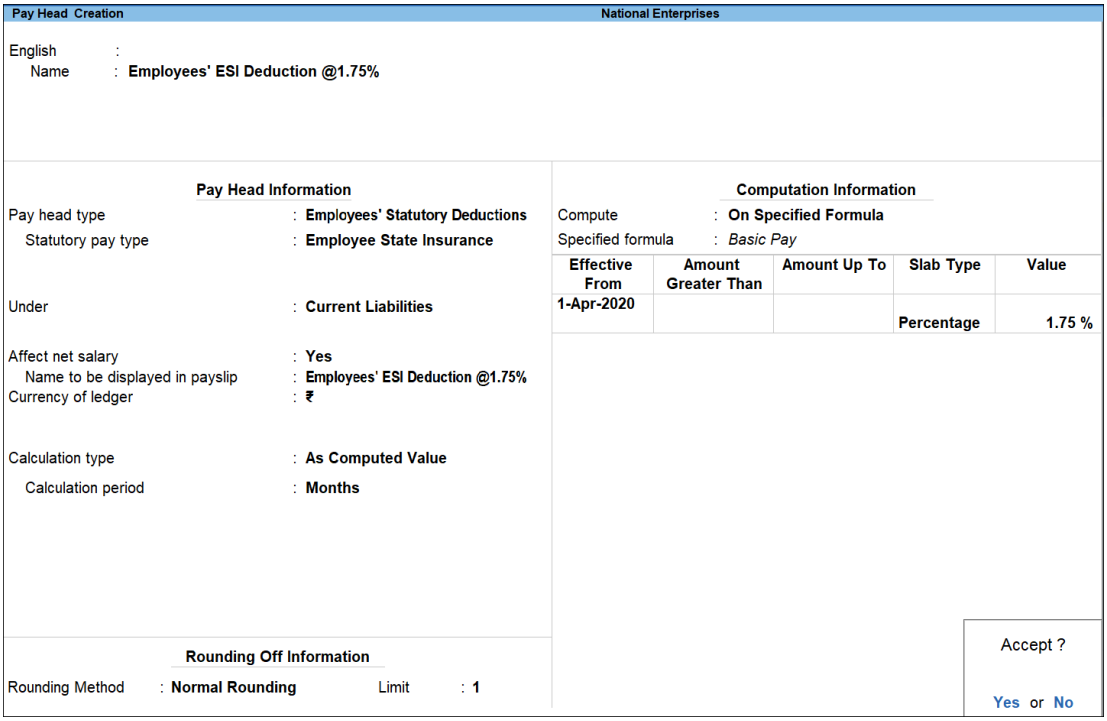
11. Enter the desired date in the field **Effective Date** field, when the PF deduction begins.
12. Select **Percentage** from the **List of Slabs** in the **Slab Type** field.
13. Enter the required percentage for **PF** in the **Value Basis** field.
14. Accept the screen. As always, you can press **Ctrl+A** to save. Similarly, you can create pay head for Voluntary Provident Fund Deduction.

ESI Deduction Pay Head for Employees

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt+G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company. Select **Yes** or press **Y** to proceed.
2. Enter the name of the Pay Head in the **Name** field.
3. Select **Employees' Statutory Deductions** as the Pay head type from the **List of Pay Head Types**.
4. Select Employee State Insurance in the **Statutory Pay Type** field.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect net salary** is set to **Yes**. Type **No**, if you do not want this component to be included in the pay slip.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name to displayed in Payslip** if you want to change the default pay head component name.
8. By default, the **Calculation type** field is set to **As Computed Value**, and the **Calculation period** field is set to **Months**.
9. Select **Normal Rounding** from the **List of Rounding Methods** and type 1 as the rounding Limit.
10. In the **Compute** field, select **On Specified Formula** from the Methods of **Computation** list. The **Compute** sub-screen appears.



11. In the Pay Head column:
    - Select **Basic Pay** from the **List of Pay Heads**.
    - Select **Add Pay Head** to add each pay head that is used for **ESI calculation**.
    - Select **End of List to return** to **Pay Head Creation**.
12. In the **Effective Date** field, enter the desired date when the ESI Deduction begins.
13. By default, the **Slab Type** field is set to **Percentage**.
14. Enter the percentage value in the **Value Basis** field.
15. Similarly, enter the **From Amount**, **Amount Up to**, **Slab Type** and **Value** details for the next slab.



16. Accept the screen. As always, you can press **Ctrl**+**A** to save.

NPS Deduction Pay Head

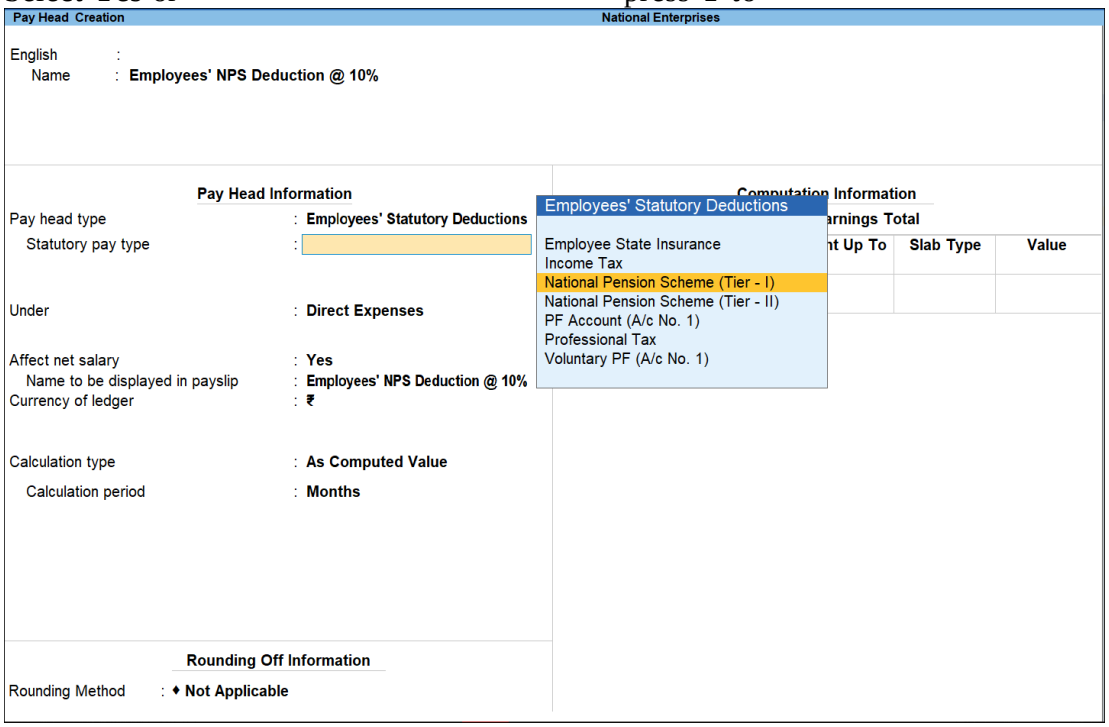
Since employees' contribution towards this scheme is structured into two tiers, two pay heads have to be created.

- Employees' NPS Deduction – Tier I
- Employees' NPS Deduction – Tier II

Employees' NPS Deduction – Tier I

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company.

Select **Yes** or press **Y** to proceed.

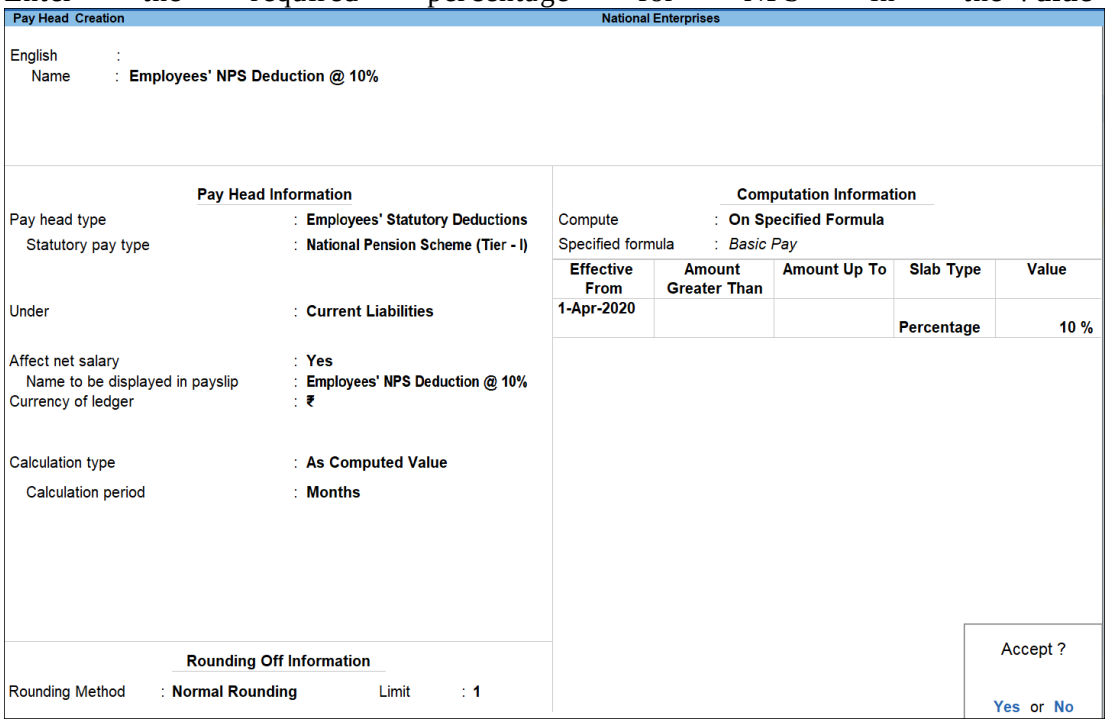


2. Enter the name of the Pay Head in the **Name** field.
3. Select **Employees' Statutory Deductions** as the Pay head type from the **List of Pay Head Types**.
4. Select **National Pension Scheme (Tier – I)** in the **Statutory pay type** field.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect net salary** is set to **Yes**. Type **No**, to exclude this component from the pay slip.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name to be displayed in Payslip** if you want to change the default pay head component name.
8. Select the required Calculation type as User Defined Value, Flat Rate or As Computed Value.
9. Select **Normal Rounding** from the **List of Rounding Methods**, and type 1 as the rounding Limit.
10. If the Calculation type is **As Computed Value**, in the Compute field, select **On Specified Formula** from the Methods of **Computation** list. The Compute sub-screen appears.

- Select **Basic Pay** in the **Pay Head** column, from the **List of Pay Heads**.
- Alternatively, select **Add Pay Head** from Additional computations for table to add other pay heads.
- Select **End of List** to return to **Pay Head Creation**.

11. In the **Effective Date** field, enter the desired date from when NPS will be effective.
12. Select **Percentage** from the **List of Slabs**, in the Slab Type field.

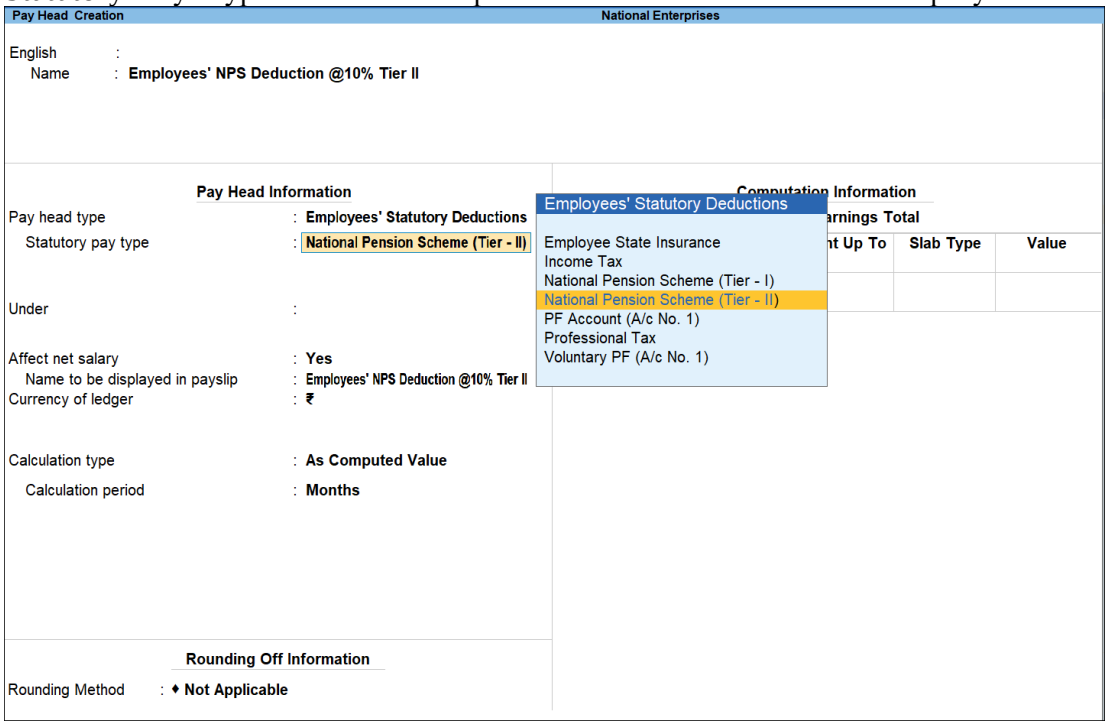
13. Enter the required percentage for NPS in the **Value** **Basis** field.



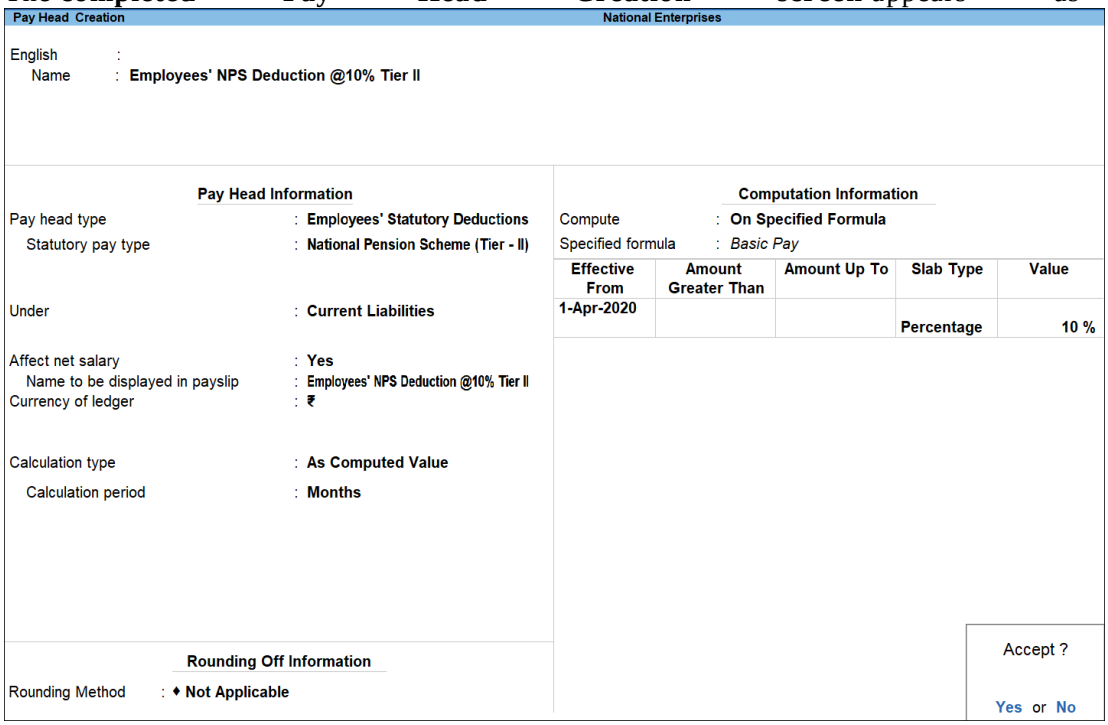
14. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Employees' NPS Deduction – Tier II

For Employees' NPS Deduction – Tier II pay head creation, set National Pension Scheme (Tier II) as the Statutory Pay Type. All other steps are the same as used for Employees' NPS Deduction – Tier I.



The **completed Pay Head Creation screen** appears as shown below



Professional Tax Deduction Pay Head

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt+G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company. Select **Yes** or press **Y** to proceed.
2. Enter the name of the Pay Head in the **Name** field.
3. From the **List of Pay head** Types, select **Employee's Statutory Deductions** as the Pay head type.
4. Select **Professional Tax** in the **Statutory Pay Type** field and enter the Professional Tax **Registration Number** in the adjacent field.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect net salary** is set to **Yes**. If you do not want this component to be included in the pay slip, type **No**.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name to be displayed in Payslip** if you want to change the default pay head component name.
8. By default, the **Calculation type** field is set to **As Computed Value**.
9. In the **Calculation period** field, select **Month** or **Period** to specify the frequency of PT deduction as monthly or based on a certain period respectively.
10. Select **Normal Rounding** from the **List of Rounding Methods**, and type 1 as the rounding Limit.

11. In the **Compute** field, select **On Current Earnings Total** from the Methods of C**omputation** list.
12. In the **Effective Date** field, enter the date from when Professional Tax will be effective.
13. Enter the required value in the **From Greater Than** and **Amount Up to** fields.
14. Select **Value** from the **Types of Slabs** in the **Slab Type** field.
15. Enter the amount for Professional Tax for each slab in the Value field.

Pay Head Creation — National Enterprises

English :
Name : **Professional Tax**

Pay Head Information

Pay head type	: **Employees' Statutory Deductions**
Statutory pay type	: **Professional Tax**
Registration Number	: **KA/PT/12445308**
Under	: **Current Liabilities**
Affect net salary	: **Yes**
Name to be displayed in payslip	: **Professional Tax**
Currency of ledger	: **₹**
Calculation type	: **As Computed Value**
Calculation period	: **Months**

Rounding Off Information

Rounding Method : **Normal Rounding** Limit : **1**

Computation Information

Compute : **On Current Earnings Total**

Effective From	Amount Greater Than	Amount Up To	Slab Type	Value
1-Apr-2020		3,000.00	Value	0
	3,000.00	5,000.00	Value	30
	5,000.00	8,000.00	Value	60
	8,000.00	10,000.00	Value	100
	10,000.00	15,000.00	Value	150
	15,000.00		Value	200

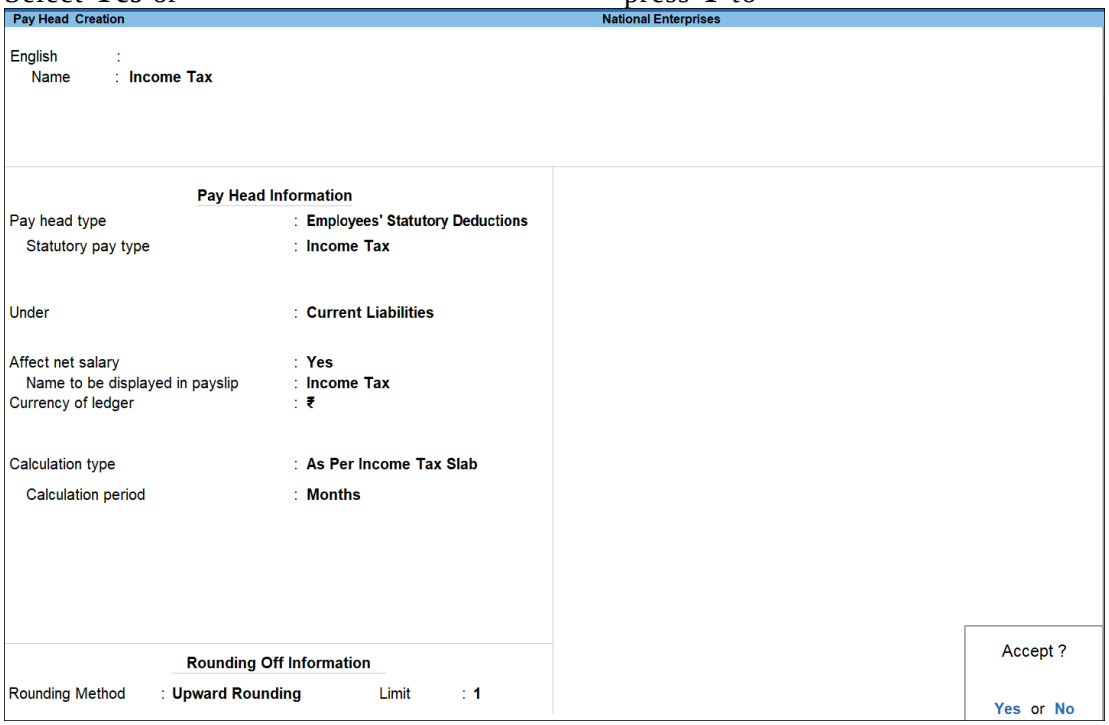
Accept ?

Yes or No

16. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Income Tax Deduction Pay Head

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt+G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company. Select **Yes** or press **Y** to proceed.



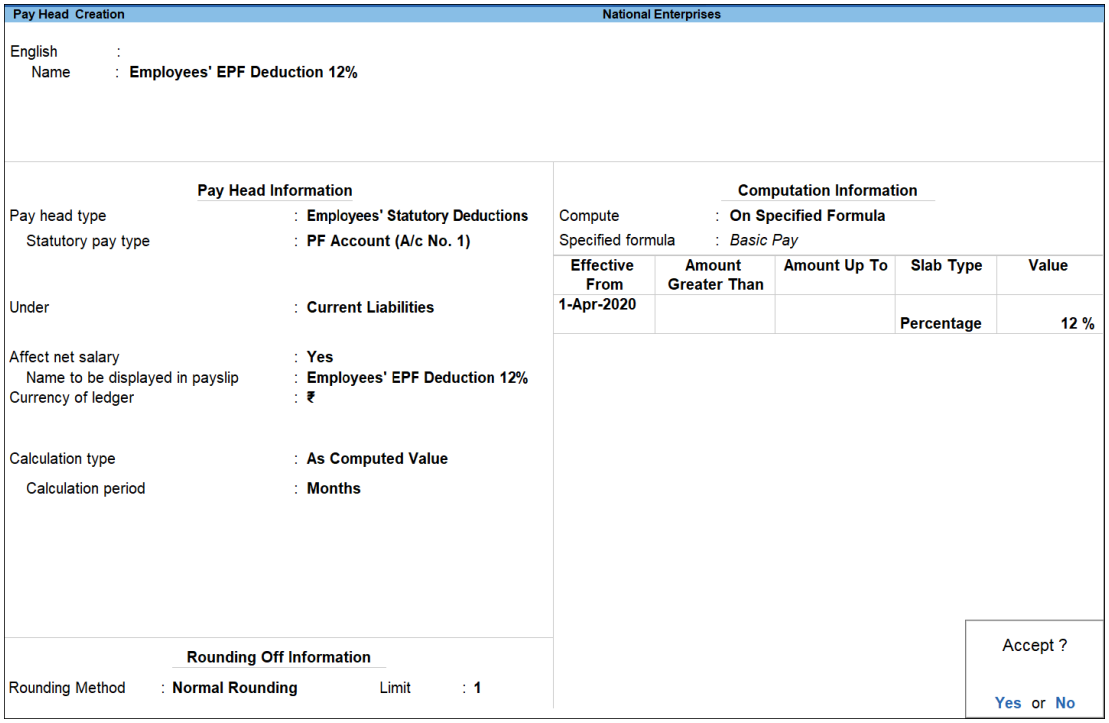
2. Enter the pay head name in the **Name** field.
3. Select **Employees' Statutory Deduction** as the **Pay head type**, from the **List of Pay Head Types**.
4. Select **Statutory pay type** as **Income Tax**.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect Net Salary** is set to **Yes**.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name to be displayed in Payslip** if you want to change the default pay head component name.
8. The **Calculation type** is set to As per **Income Tax Slab**, by default.
9. Select the appropriate **Calculation period** from the **List of Periods**.
10. Accept the screen. As always, you can press **Ctrl+A** to save.

Pay Heads for Statutory Deductions (Payroll)

In TallyPrime, you can create a pay head for PF, ESI, NPS, professional tax, income tax, and other deductions.

PF Deduction Pay Head for Employees

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company. Select **Yes** or press **Y** to proceed.



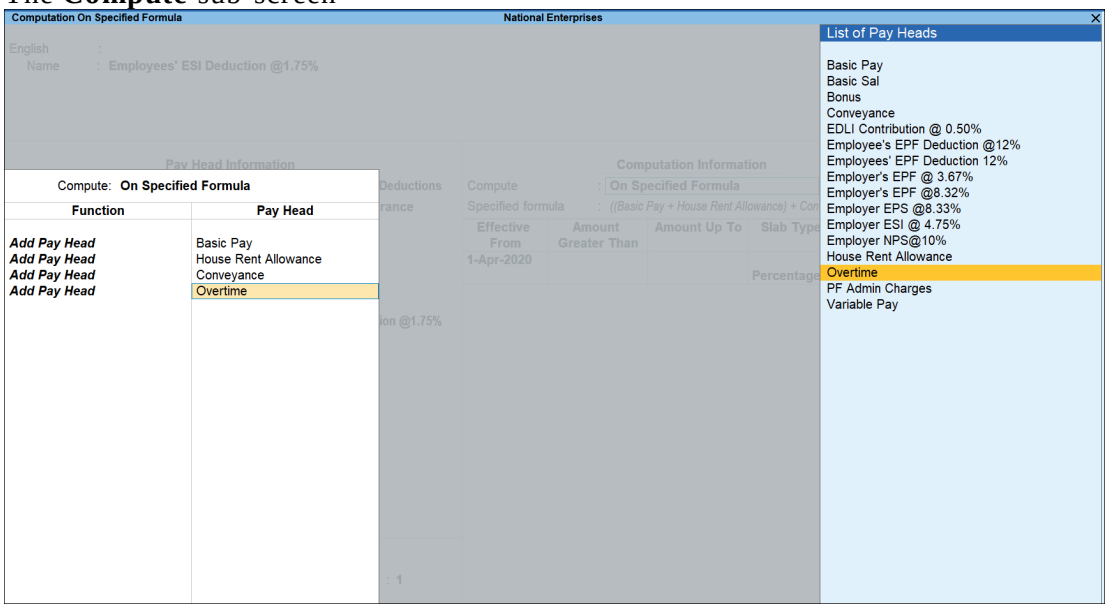
2. Enter the name of the Pay Head in the **Name** field.
3. Select **Employees' Statutory Deductions** as the **Pay Head Type** from the **List of Pay Head Types**.
4. Select **PF Account (A/c No. 1)** in the **Statutory Pay Type** field.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect Net Salary** is set to **Yes**. Type **No**, if you do not want this component to be included in the pay slip.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name** to be display in Payslip if you want to change the default pay head component name.
8. By default, the **Calculation Type** field is set to **As Computed Value**, and the **Calculation Period** field is set to **Months**.
9. Select **Normal Rounding** from the **List of Rounding Methods**, and type **1** as the rounding **Limit**.
10. Select **On Specified Formula,** from the **Computation** On list, in the **Compute** field. The **Computation on Specified Formula** sub-screen appears.

- In the **Pay Head** column, select **Basic Pay** from the **List of Pay Heads** and select End of List to return to **Pay Head** Creation.

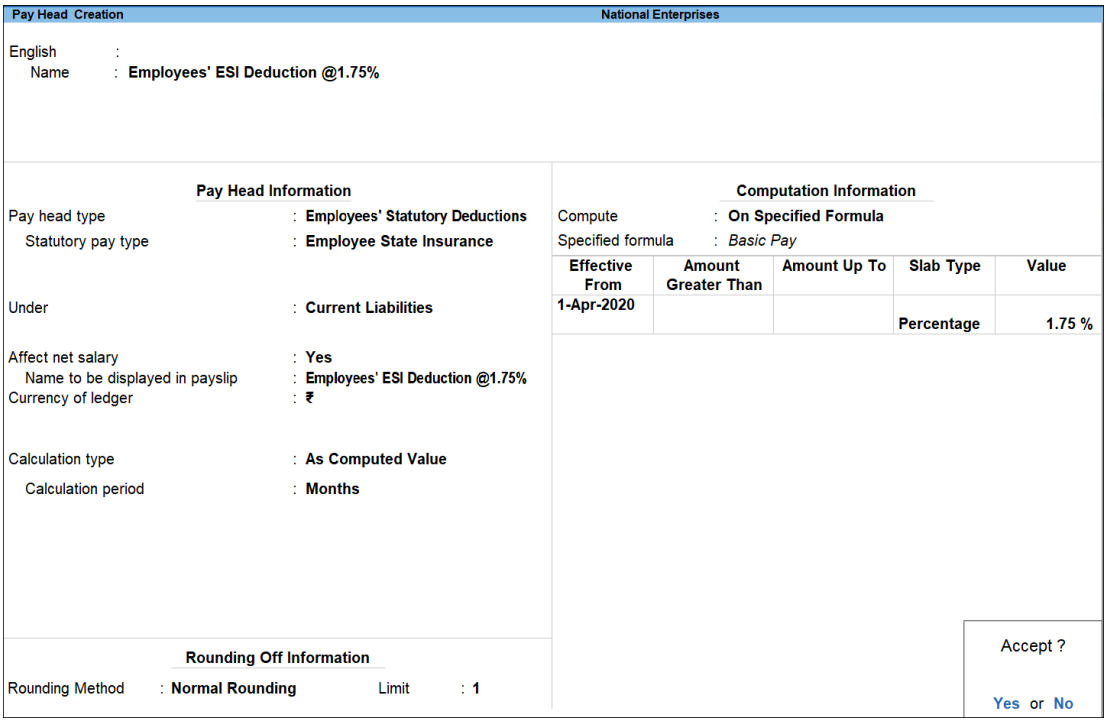
11. Enter the desired date in the field **Effective Date** field, when the PF deduction begins.
12. Select **Percentage** from the **List of Slabs** in the **Slab Type** field.
13. Enter the required percentage for **PF** in the **Value Basis** field.
14. Accept the screen. As always, you can press **Ctrl**+**A** to save. Similarly, you can create pay head for Voluntary Provident Fund Deduction.

ESI Deduction Pay Head for Employees

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company. Select **Yes** or press **Y** to proceed.
2. Enter the name of the Pay Head in the **Name** field.
3. Select **Employees' Statutory Deductions** as the Pay head type from the **List of Pay Head Types**.
4. Select Employee State Insurance in the **Statutory Pay Type** field.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect net salary** is set to **Yes**. Type **No**, if you do not want this component to be included in the pay slip.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name to displayed in Payslip** if you want to change the default pay head component name.
8. By default, the **Calculation type** field is set to **As Computed Value**, and the **Calculation period** field is set to **Months**.
9. Select **Normal Rounding** from the **List of Rounding Methods** and type 1 as the rounding Limit.
10. In the **Compute** field, select **On Specified Formula** from the Methods of **Computation** list. The **Compute** sub-screen appears.



11. In the Pay Head column:
    - Select **Basic Pay** from the **List of Pay Heads**.
    - Select **Add Pay Head** to add each pay head that is used for **ESI calculation**.
    - Select **End of List to return** to **Pay Head Creation**.
12. In the **Effective Date** field, enter the desired date when the ESI Deduction begins.
13. By default, the **Slab Type** field is set to **Percentage**.
14. Enter the percentage value in the **Value Basis** field.
15. Similarly, enter the **From Amount**, **Amount Up to**, **Slab Type** and **Value** details for the next slab.



16. Accept the screen. As always, you can press **Ctrl+A** to save.

NPS Deduction pay head

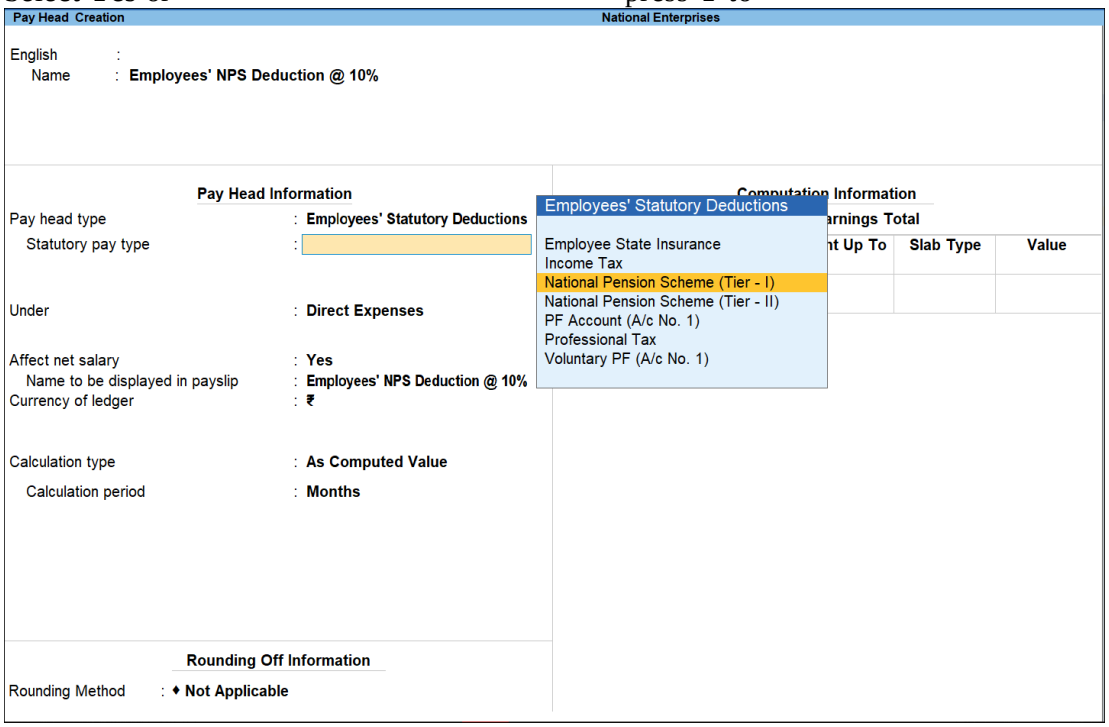
Since employees' contribution towards this scheme is structured into two tiers, two pay heads have to be created.

- Employees' NPS Deduction – Tier I
- Employees' NPS Deduction – Tier II

Employees' NPS Deduction – Tier I

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt+G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company.

Select **Yes** or press **Y** to proceed.

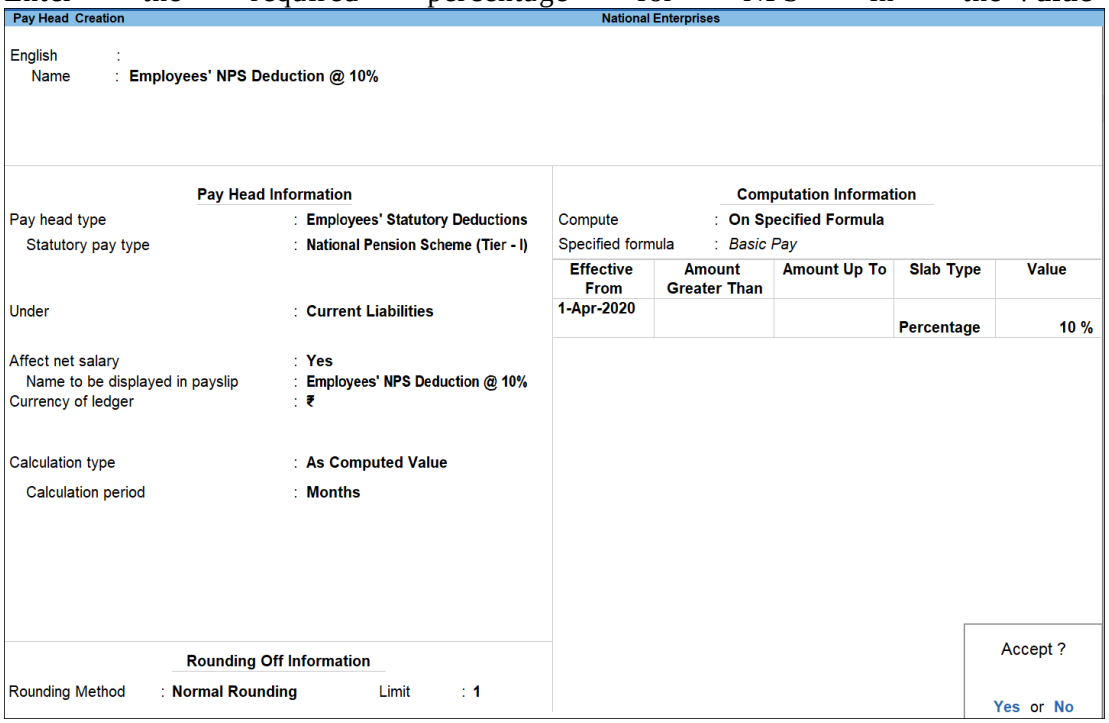


2. Enter the name of the Pay Head in the **Name** field.
3. Select **Employees' Statutory Deductions** as the Pay head type from the **List of Pay Head Types**.
4. Select **National Pension Scheme (Tier – I)** in the **Statutory pay type** field.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect net salary** is set to **Yes**. Type **No**, to exclude this component from the pay slip.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name to be displayed in Payslip** if you want to change the default pay head component name.
8. Select the required Calculation type as User Defined Value, Flat Rate or As Computed Value.
9. Select **Normal Rounding** from the **List of Rounding Methods**, and type 1 as the rounding Limit.
10. If the Calculation type is **As Computed Value**, in the Compute field, select **On Specified Formula** from the Methods of **Computation** list. The Compute sub-screen appears.

- Select **Basic Pay** in the **Pay Head** column, from the **List of Pay Heads**.
- Alternatively, select **Add Pay Head** from Additional computations for table to add other pay heads.
- Select **End of List** to return to **Pay Head Creation**.

11. In the **Effective Date** field, enter the desired date from when NPS will be effective.
12. Select **Percentage** from the **List of Slabs**, in the Slab Type field.

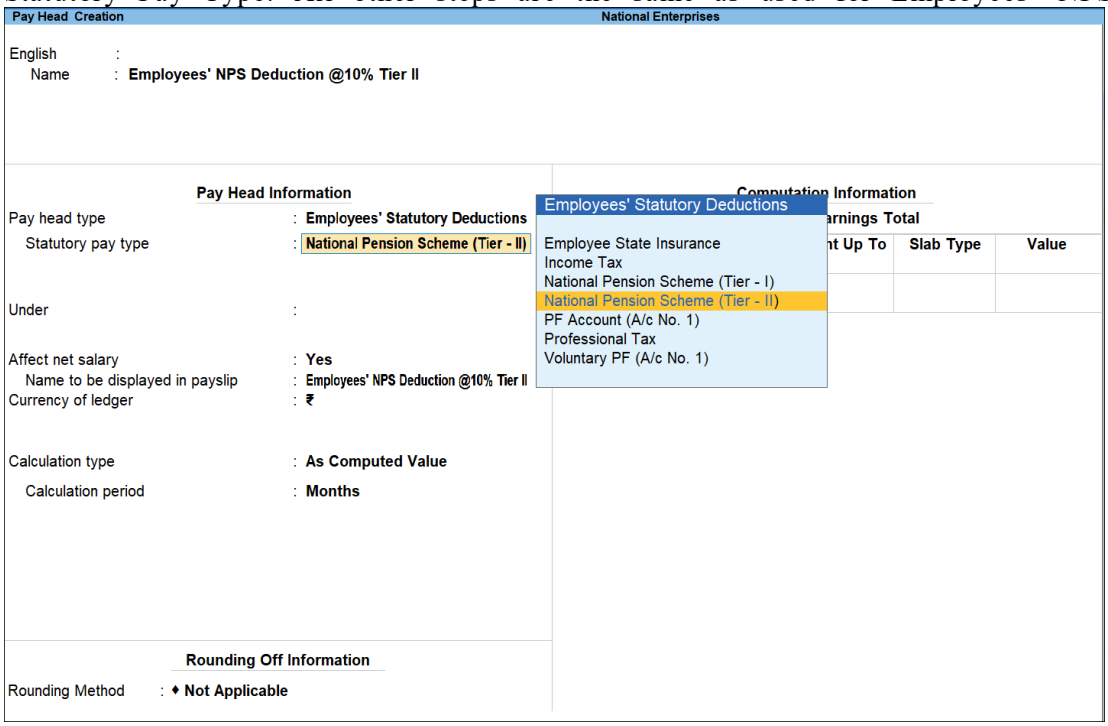
13. Enter the required percentage for NPS in the **Value Basis** field.



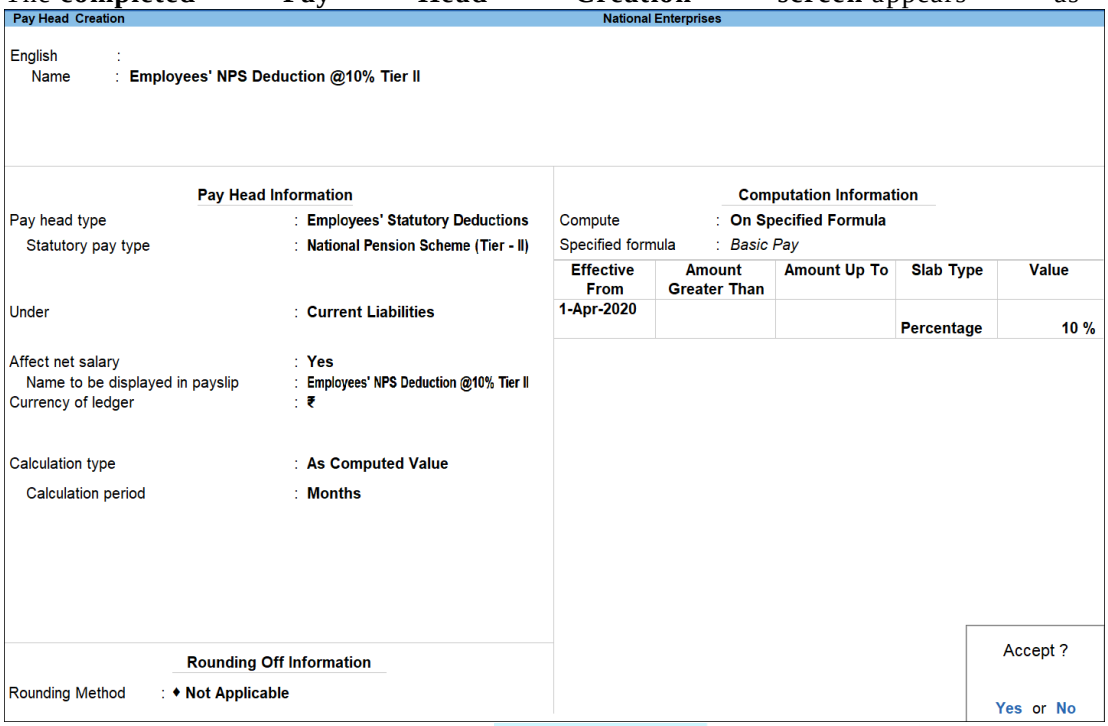
14. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Employees' NPS Deduction – Tier II

For Employees' NPS Deduction – Tier II pay head creation, set National Pension Scheme (Tier II) as the Statutory Pay Type. All other steps are the same as used for Employees' NPS Deduction – Tier I.



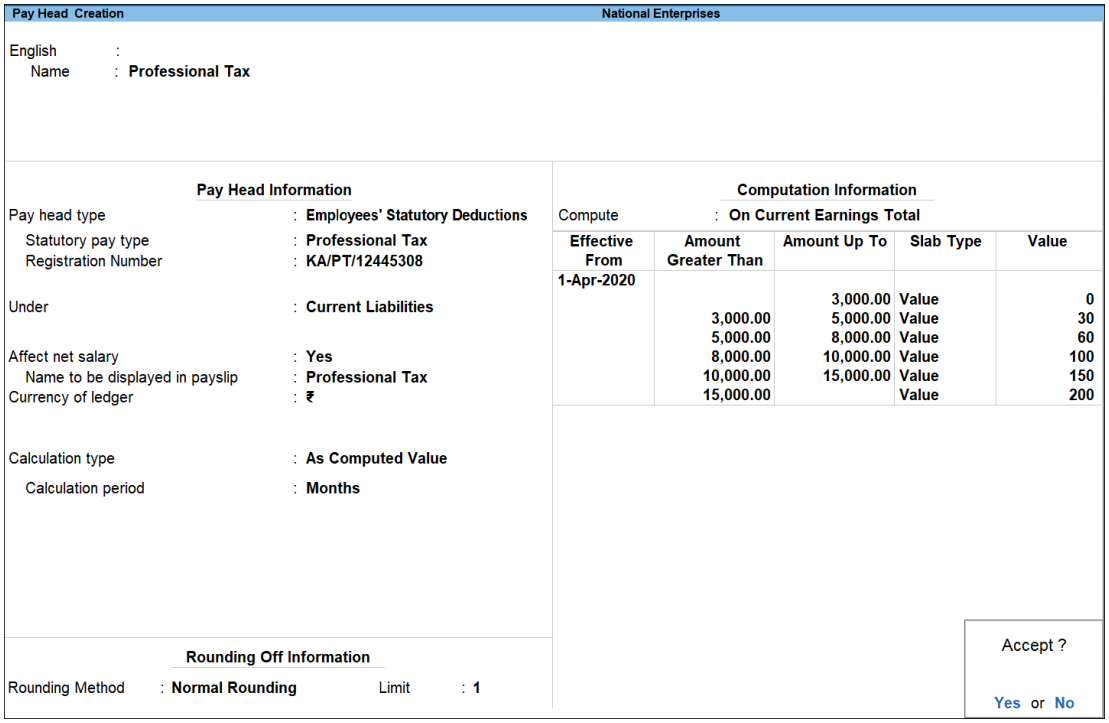
The **completed Pay Head Creation screen** appears as shown below



Professional Tax Deduction Pay Head

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt+G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company. Select **Yes** or press **Y** to proceed.
2. Enter the name of the Pay Head in the **Name** field.
3. From the **List of Pay head** Types, select **Employee's Statutory Deductions** as the Pay head type.
4. Select **Professional Tax** in the **Statutory Pay Type** field and enter the Professional Tax **Registration Number** in the adjacent field.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect net salary** is set to **Yes**. If you do not want this component to be included in the pay slip, type **No**.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name to be displayed in Payslip** if you want to change the default pay head component name.
8. By default, the **Calculation type** field is set to **As Computed Value**.
9. In the **Calculation period** field, select **Month** or **Period** to specify the frequency of PT deduction as monthly or based on a certain period respectively.
10. Select **Normal Rounding** from the **List of Rounding Methods**, and type 1 as the rounding Limit.
11. In the **Compute** field, select **On Current Earnings Total** from the Methods of C**omputation** list.
12. In the **Effective Date** field, enter the date from when Professional Tax will be effective.
13. Enter the required value in the **From Greater Than** and **Amount Up to** fields.
14. Select **Value** from the **Types of Slabs** in the **Slab Type** field.

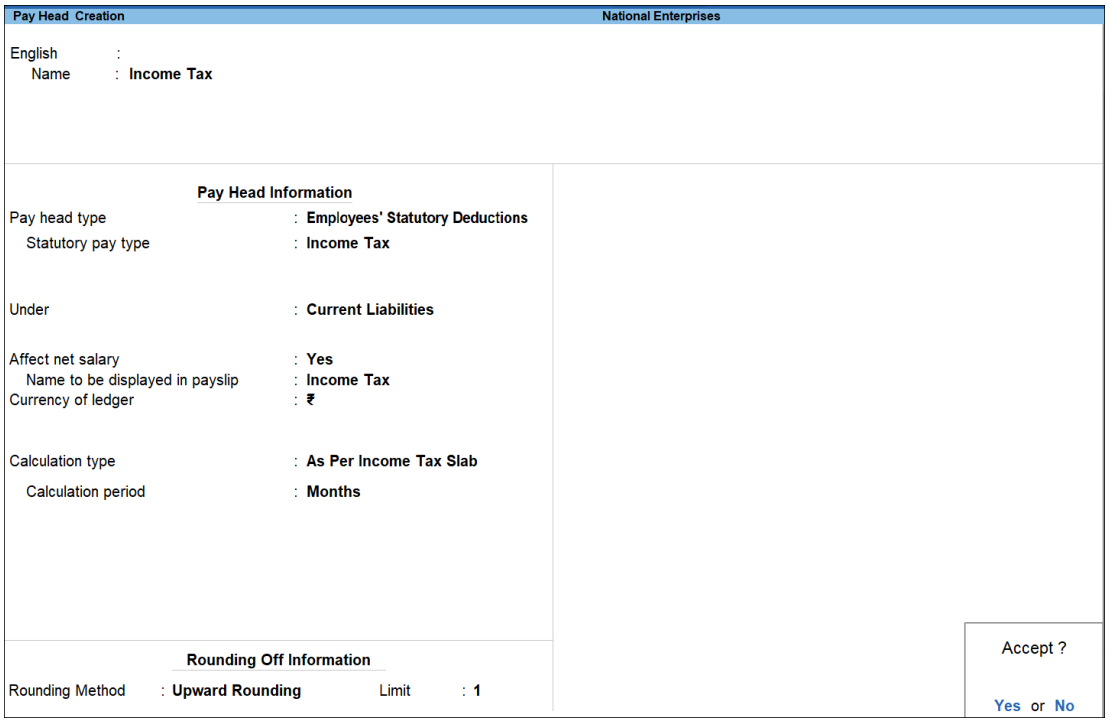
15. Enter the amount for Professional Tax for each slab in the Value field.



16. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Income Tax Deduction Pay Head

1. **Gateway of Tally** > **Create** > type or select **Pay Heads**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > type or select **Pay Heads**. In case the master is inactive, you will be prompted to enable the payroll feature for your Company. Select **Yes** or press **Y** to proceed.



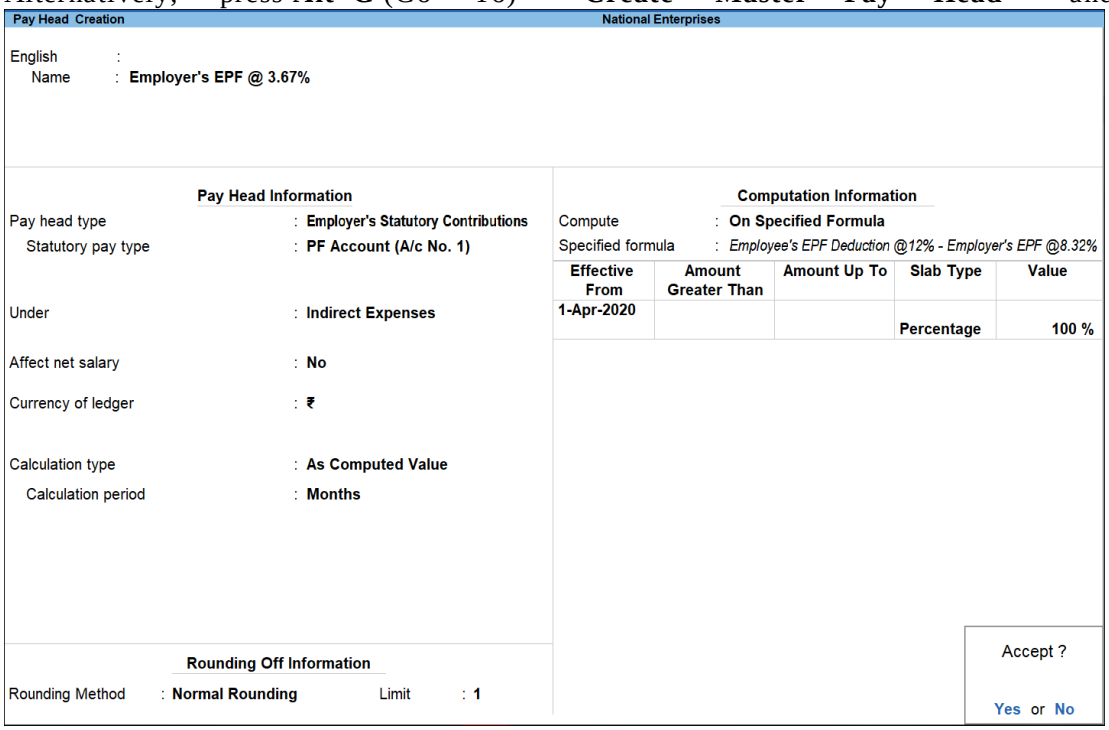
2. Enter the pay head name in the **Name** field.
3. Select **Employees' Statutory Deduction** as the **Pay head type**, from the **List of Pay Head Types**.
4. Select **Statutory pay type** as **Income Tax**.
5. Select **Current Liabilities** from the **List of Groups** in the **Under** field.
6. By default, **Affect Net Salary** is set to **Yes**.
7. By default, the pay head component name entered in the **Name** field appears in the pay slip. Enter the **Name to be displayed in Payslip** if you want to change the default pay head component name.
8. The **Calculation type** is set to As per **Income Tax Slab**, by default.
9. Select the appropriate **Calculation period** from the **List of Periods**.
10. Accept the screen. As always, you can press **Ctrl+A** to save.

Pay Heads for Statutory Contributions (Payroll)

You can create pay heads for employer's contribution towards EPF, ESI, EPS, NPS, and so on.

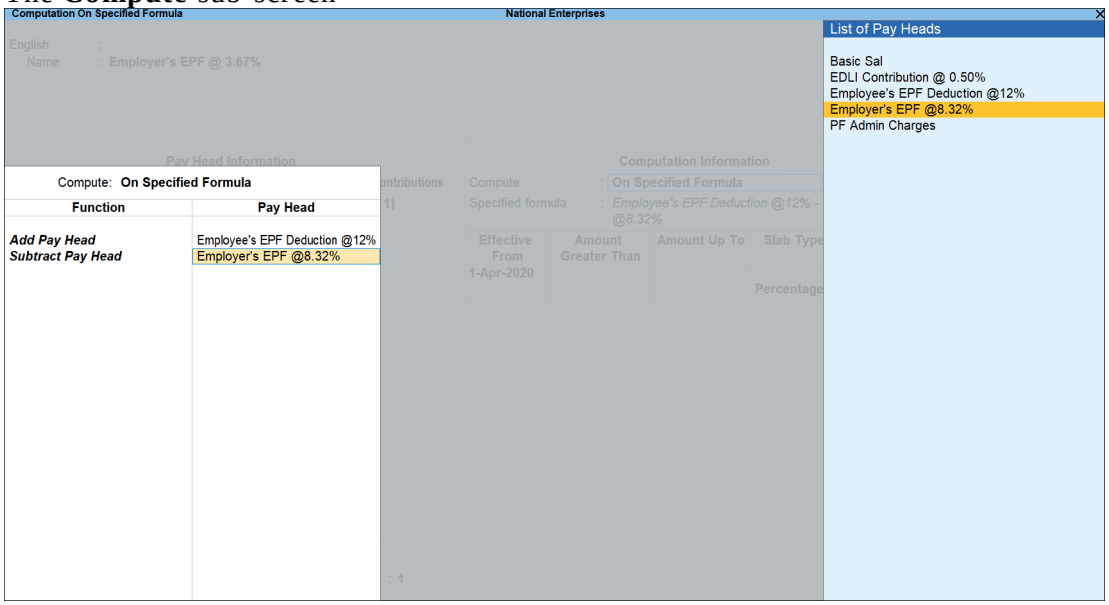
EPF contribution pay head for employers

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt+G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.



2. Enter pay head name in the **Name** field.

3. Select **Employer's Statutory Contributions** as the **Pay Head Type** from the list of **Pay Head Types**.
4. Select **PF Account (A/c No. 1)** in the **Statutory Pay Type** field.
5. Select **Indirect Expenses** from the List of Groups, in the **Under** field.
6. By default, **Affect Net Salary** is set to **No**. Type **Yes**, to include this component in the pay slip.
7. The **Calculation Type** is set to **As Computed Value**, and **Calculation Period** is set as **Months**, by default.
8. Select **Normal Rounding** from the list of Rounding Methods, and type **1** as the rounding **Limit**.
9. In the **Compute** field, select **On Specified Formula**, from the **Computation On** list. The **Compute** sub-screen appears.



- Select **Employee's PF Deduction @ 12%** from the **List of Pay Heads**, in the **Pay Head** column.
- Select **Subtract Pay Head** in the Function.
- Select **End of List** to return to Pay Head Creation.

10. In the **Effective Date** field, enter the date from when the EPF will be effective.
11. Select **Slab Types** from the **List of Slabs**, in the **Slab Type**.
12. Enter the **percentage** in the **Value Basis** field.
13. Accept the screen. As always, you can press **Ctrl+A** to save.

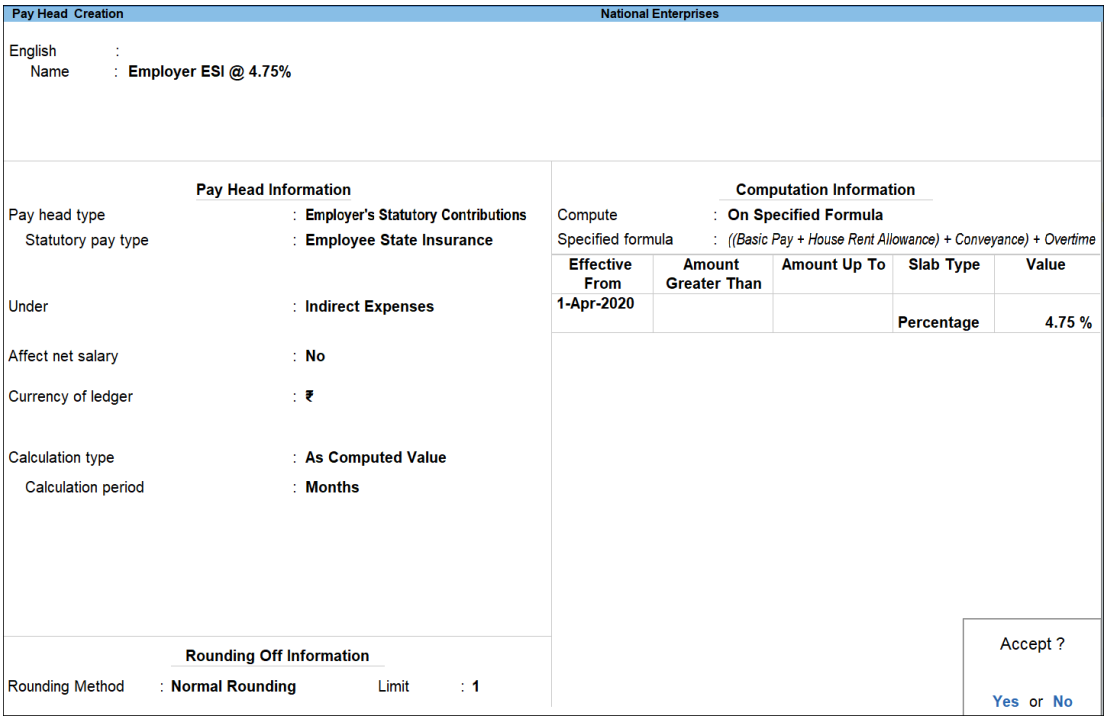
ESI Contribution Pay Head for employers

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt+G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter the name of the Pay Head in the **Name** field.
3. Select **Employer's Statutory Contributions** as the **Pay Head Type**, from the list of **Pay Head** Types.

4. Select **Employee State Insurance** in the **Statutory Pay Type** field.
5. Select **Indirect Expenses** from the **List of Groups**, in the **Under** field.
6. By default, **Affect Net Salary** is set to **No**. Type **Yes**, if you to include this component in the pay slip.
7. The **Calculation Type** is set to **As Computed Value**, and **Calculation Period** is set as **Months**, by default.
8. Select **Normal Rounding** from the list of **Rounding Methods**, and type **1** as the rounding **Limit**.
9. In the **Compute** field, select **On Specified Formula**, from the **Computation** On list. The **Compute** sub-screen appears.

- Select Add **Pay Head** from the **List of Pay Heads** to add pay head to be considered for ESI calculation.
- Select **End of List** to return to Pay Head Creation.

10. In the **Effective Date** field, enter the date from when the ESI Deduction will be effective.
11. Enter the **percentage** in the **Value Basis** field.



12. Accept the screen. As always, you can press **Ctrl**+**A** to save.

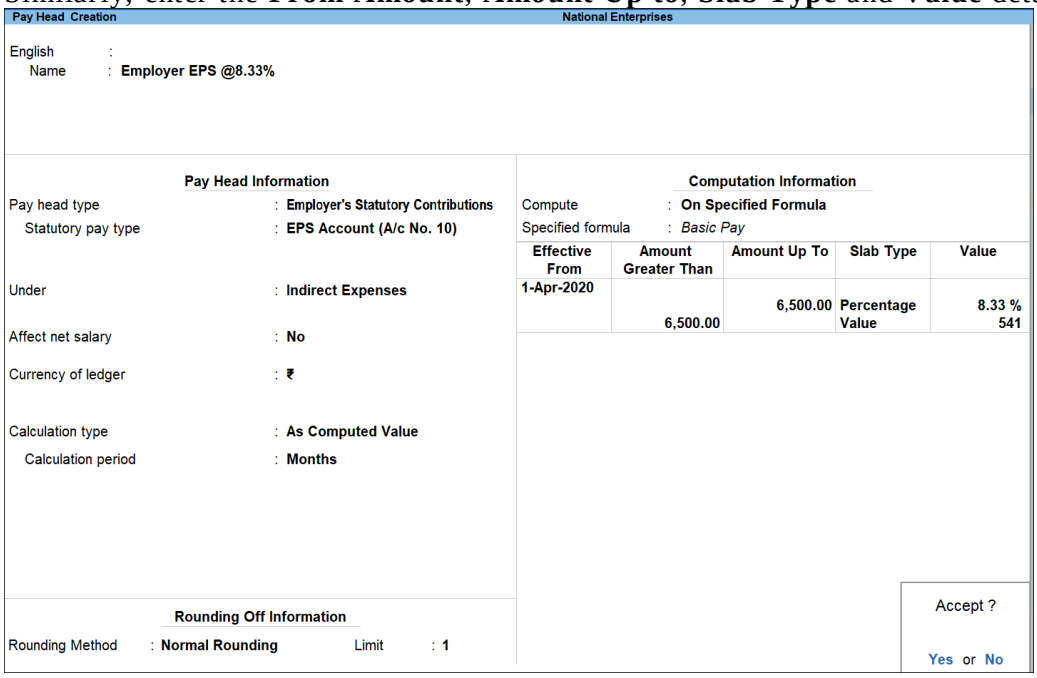
EPS Contribution Pay Head for employers

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter the name of the Pay Head in the **Name** field.
3. Select **Employer's Statutory Contributions** as the **Pay head type** from the list of **Pay head** types.
4. Select **EPS Account (A/c No. 10)** in the **Statutory Pay Type** field.

5. Select **Indirect Expenses** from the **List of Groups** in the **Under** field.
6. By default, **Affect net salary** is set to **No**. Type **Yes**, if you want this component to be included in the pay slip.
7. By default, the **Calculation type** field is set to **As computed Value**, and the **Calculation period** is set to **Months**.
8. Select **Normal Rounding** from the list of **Rounding Methods**, and type **1** as the rounding **Limit**.
9. Select **On Specified Formula**, in the Compute field, from the Methods of computation list. The **Compute** sub-screen appears.

o Select **Basic Pay**, in the **Pay Head** column, from the List of **Pay Heads**.

10. In the **Effective Date** field, enter the date from when the EPS deduction will be effective.
11. Enter the appropriate values in the **From Amount** and **Amount Up to** fields.
12. Select **Slab Types** from the **List of Slabs**, in the **Slab Type**.
13. Enter the **percentage** in the **Value** field.
14. Similarly, enter the **From Amount**, **Amount Up to**, **Slab Type** and **Value** details for the next slab.



15. Accept the screen. As always, you can press **Ctrl**+**A** to save.

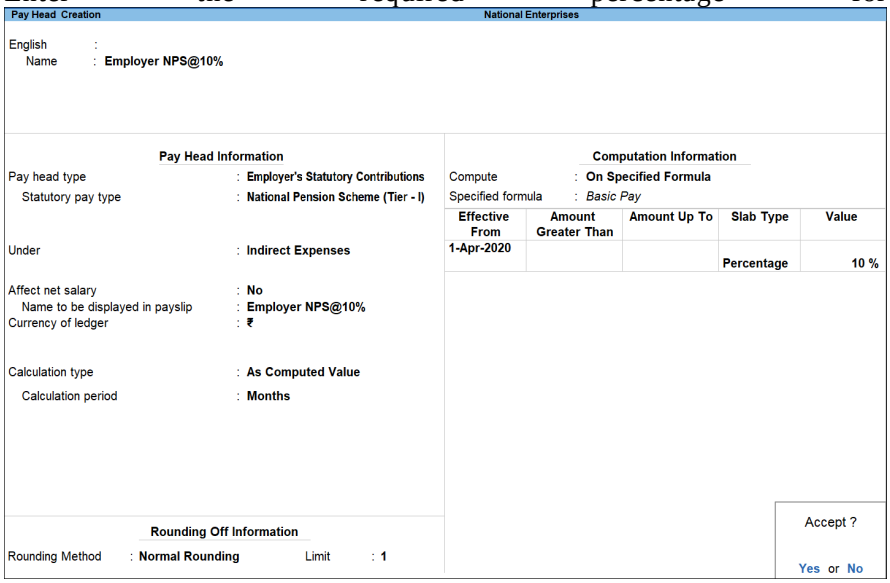
NPS Contribution Pay Head for Employers

Any contribution by the employer towards NPS will fall under the Tier I account of the scheme. Such employer's contribution towards NPS will be allowed to the employee under Section **80CCD (2)** of the Income Tax Act, 1961, to the extent of 10% of Basic Pay and Dearness Allowance (DA).

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter the name of the **Pay Head** in the **Name** field.
3. Select **Employer's Statutory Contributions** as the **Pay head type** from the list of **Pay head types**.
4. Select **National Pension Scheme (Tier – I)** in the **Statutory Pay Type** field.
5. Select **Indirect Expenses** from the **List of Groups** in the **Under** field.

6. By default, **Affect Net Salary** is set to **No**. Type **Yes**, if you want this component to be included in the Pay Slip.
7. In the **Calculation type** field, select the required type of calculation, User Defined Value, Flat Rate or As Computed Value. On selection of **Calculation type**, the **Calculation period** is pre-filled with **Months** by default.
8. Select **Normal Rounding** from the list of **Rounding Methods** and type **1** as the rounding **Limit**.
9. If the **Calculation Type** is set to **As Computed Value**, then in the **Compute** field, select **On Specified Formula** from the **Computation On** list. The **Compute** sub-screen appears.

   - Select **Basic Pay** from the **List of Pay Heads**, in the **Pay Head** column.
   - Select **Add Pay Head** to add **other Pay Heads** to be considered for NPS calculation.
   - Select **End of List** to return to **Pay Head Creation**.
10. In the **Effective Date** field, enter the date from when the NPS deduction will be effective.
11. Select **Percentage** from the **List of Slabs**, in the **Slab Type** field.
12. Enter the required percentage for **NPS** in the **Value** field.



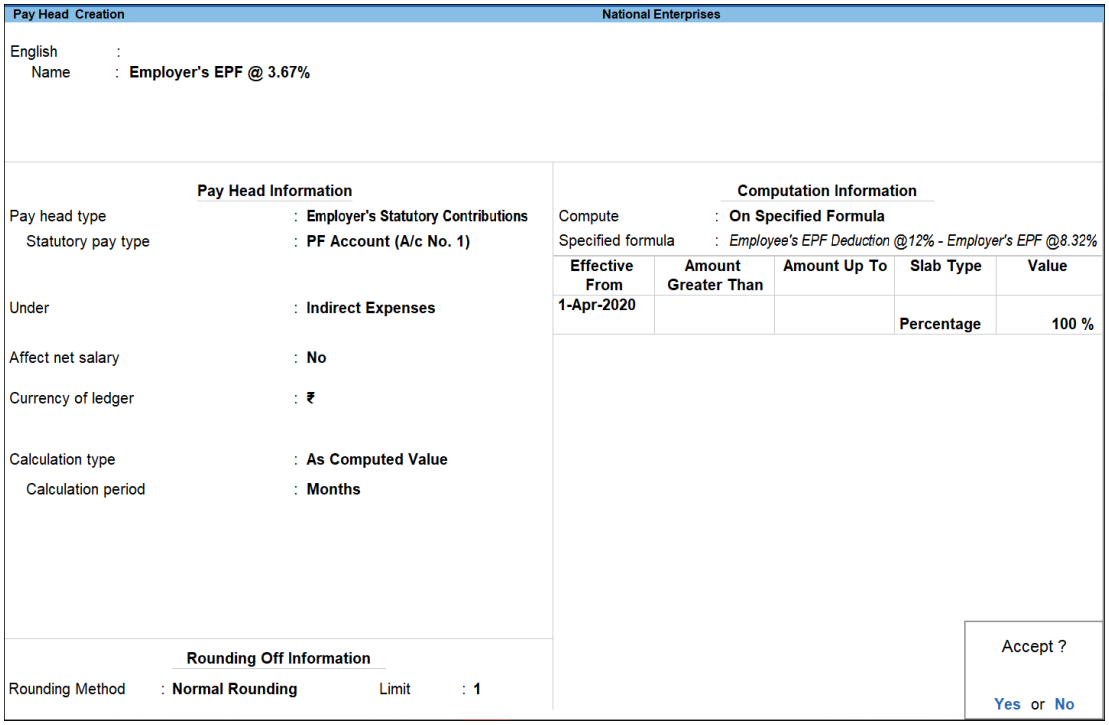
13. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Pay Heads for Statutory Contributions (Payroll)

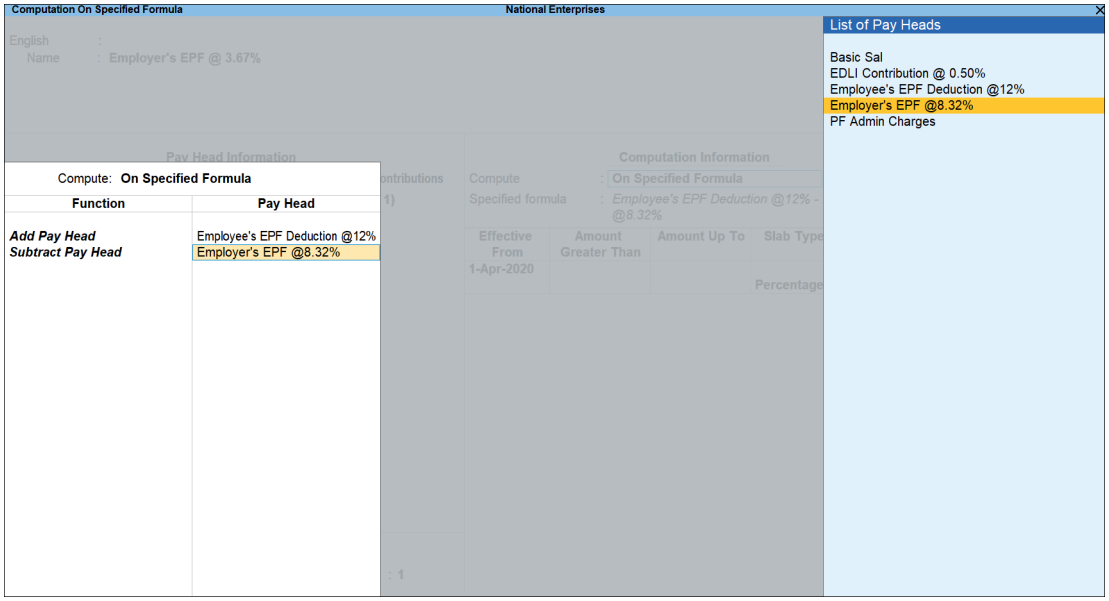
You can create pay heads for employer's contribution towards EPF, ESI, EPS, NPS, and so on.

EPF contribution pay head for employers

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.



2. Enter pay head name in the **Name** field.
3. Select **Employer's Statutory Contributions** as the **Pay Head Type** from the list of **Pay Head Types**.
4. Select **PF Account (A/c No. 1)** in the **Statutory Pay Type** field.
5. Select **Indirect Expenses** from the List of Groups, in the **Under** field.
6. By default, **Affect Net Salary** is set to **No**. Type **Yes**, to include this component in the pay slip.
7. The **Calculation Type** is set to **As Computed Value**, and **Calculation Period** is set as **Months**, by default.
8. Select **Normal Rounding** from the list of Rounding Methods, and type **1** as the rounding **Limit**.
9. In the **Compute** field, select **On Specified Formula**, from the **Computation On** list. The **Compute** sub-screen appears.



- Select **Employee's PF Deduction @ 12%** from the **List of Pay Heads**, in the **Pay Head** column.
- Select **Subtract Pay Head** in the Function.
- Select **End of List** to return to Pay Head Creation.

10. In the **Effective Date** field, enter the date from when the EPF will be effective.
11. Select **Slab Types** from the **List of Slabs**, in the **Slab Type**.
12. Enter the **percentage** in the **Value Basis** field.
13. Accept the screen. As always, you can press **Ctrl+A** to save.

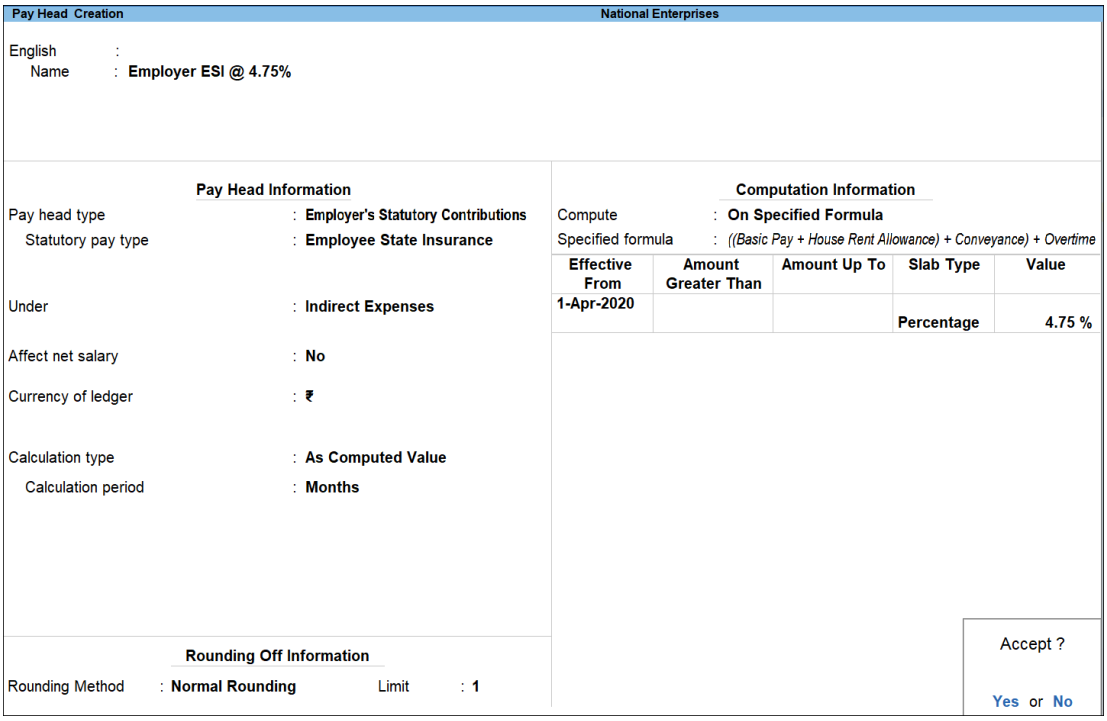
EDUCATION Jain Group - Bengaluru
G-TEC JAINx

ESI Contribution Pay Head for employers

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt+G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter the name of the Pay Head in the **Name** field.
3. Select **Employer's Statutory Contributions** as the **Pay Head Type**, from the list of **Pay Head** Types.
4. Select **Employee State Insurance** in the **Statutory Pay Type** field.
5. Select **Indirect Expenses** from the **List of Groups**, in the **Under** field.
6. By default, **Affect Net Salary** is set to **No**. Type **Yes**, if you to include this component in the pay slip.
7. The **Calculation Type** is set to **As Computed Value**, and **Calculation Period** is set as **Months**, by default.
8. Select **Normal Rounding** from the list of **Rounding Methods**, and type **1** as the rounding **Limit**.
9. In the **Compute** field, select **On Specified Formula**, from the **Computation** On list. The **Compute** sub-screen appears.

- Select Add **Pay Head** from the **List of Pay Heads** to add pay head to be considered for ESI calculation.
- Select **End of List** to return to Pay Head Creation.

10. In the **Effective Date** field, enter the date from when the ESI Deduction will be effective.
11. Enter the **percentage** in the **Value Basis** field.

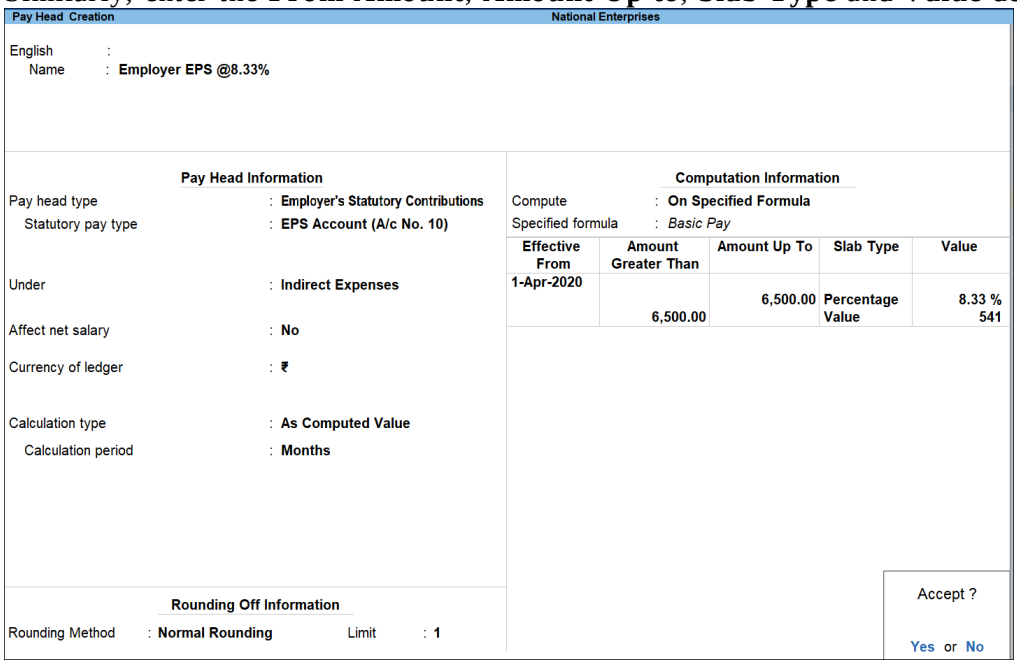


12. Accept the screen. As always, you can press **Ctrl+A** to save.

EPS Contribution Pay Head for employers

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt+G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter the name of the Pay Head in the **Name** field.
3. Select **Employer's Statutory Contributions** as the **Pay head type** from the list of **Pay head** types.
4. Select **EPS Account (A/c No. 10)** in the **Statutory Pay Type** field.
5. Select **Indirect Expenses** from the **List of Groups** in the **Under** field.
6. By default, **Affect net salary** is set to **No**. Type **Yes**, if you want this component to be included in the pay slip.
7. By default, the **Calculation type** field is set to **As computed Value**, and the **Calculation period** is set to **Months**.
8. Select **Normal Rounding** from the list of **Rounding Methods**, and type **1** as the rounding **Limit**.
9. Select **On Specified Formula**, in the Compute field, from the Methods of computation list. The **Compute** sub-screen appears.
- Select **Basic Pay**, in the **Pay Head** column, from the List of **Pay Heads**.

10. In the **Effective Date** field, enter the date from when the EPS deduction will be effective.
11. Enter the appropriate values in the **From Amount** and **Amount Up to** fields.
12. Select **Slab Types** from the **List of Slabs**, in the **Slab Type**.
13. Enter the **percentage** in the **Value** field.
14. Similarly, enter the **From Amount**, **Amount Up to**, **Slab Type** and **Value** details for the next slab.



15. Accept the screen. As always, you can press **Ctrl+A** to save.

NPS Contribution Pay Head for Employers

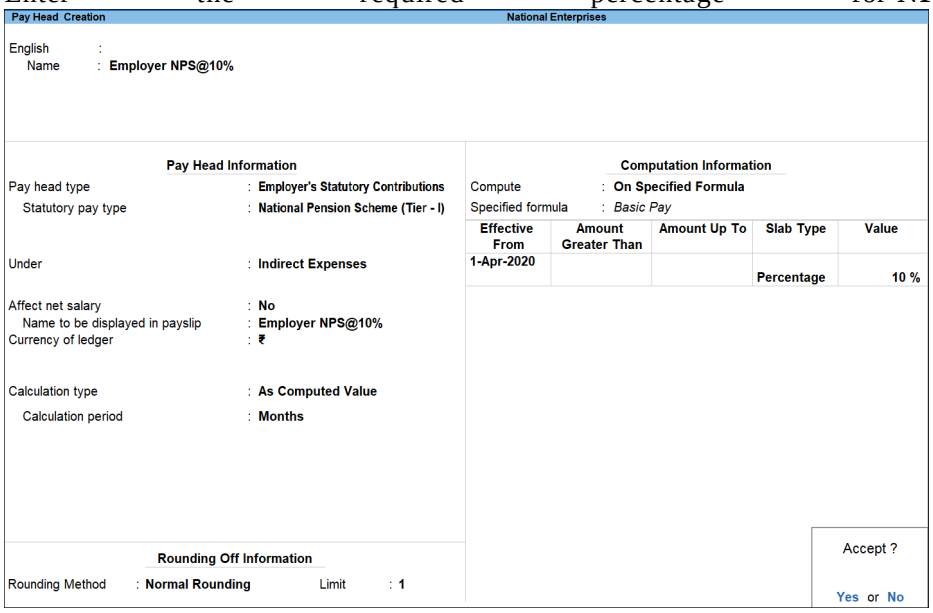
Any contribution by the employer towards NPS will fall under the Tier I account of the scheme. Such employer's contribution towards NPS will be allowed to the employee under Section **80CCD (2)** of the Income Tax Act, 1961, to the extent of 10% of Basic Pay and Dearness Allowance (DA).

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt+G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter the name of the **Pay Head** in the **Name** field.
3. Select **Employer's Statutory Contributions** as the **Pay head type** from the list of **Pay head types**.
4. Select **National Pension Scheme (Tier – I)** in the **Statutory Pay Type** field.
5. Select **Indirect Expenses** from the **List of Groups** in the **Under** field.
6. By default, **Affect Net Salary** is set to **No**. Type **Yes**, if you want this component to be included in the Pay Slip.
7. In the **Calculation type** field, select the required type of calculation, User Defined Value, Flat Rate or As Computed Value. On selection of **Calculation type**, the **Calculation period** is pre-filled with **Months** by default.
8. Select **Normal Rounding** from the list of **Rounding Methods** and type **1** as the rounding **Limit**.

9. If the **Calculation Type** is set to **As Computed Value**, then in the **Compute** field, select **On Specified Formula** from the **Computation On** list. The **Compute** sub-screen appears.

- Select **Basic Pay** from the **List of Pay Heads**, in the **Pay Head** column.
- Select **Add Pay Head** to add **other Pay Heads** to be considered for NPS calculation.
- Select **End of List** to return to **Pay Head Creation**.

10. In the **Effective Date** field, enter the date from when the NPS deduction will be effective.
11. Select **Percentage** from the **List of Slabs**, in the **Slab Type** field.
12. Enter the required percentage for **NPS** in the **Value** field.



13. Accept the screen. As always, you can press **Ctrl+A** to save.

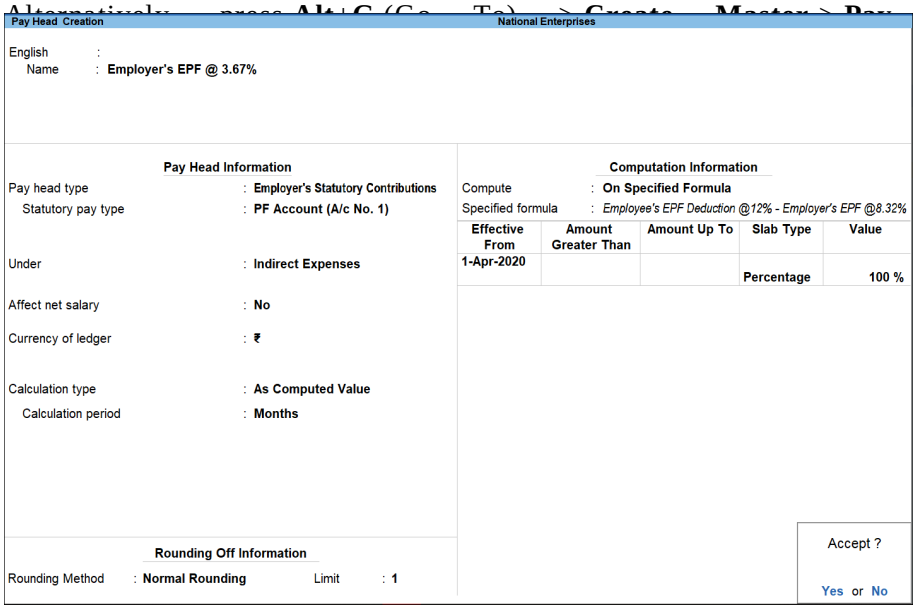
E D U C A T I O N

Pay Heads for Statutory Contributions (Payroll)

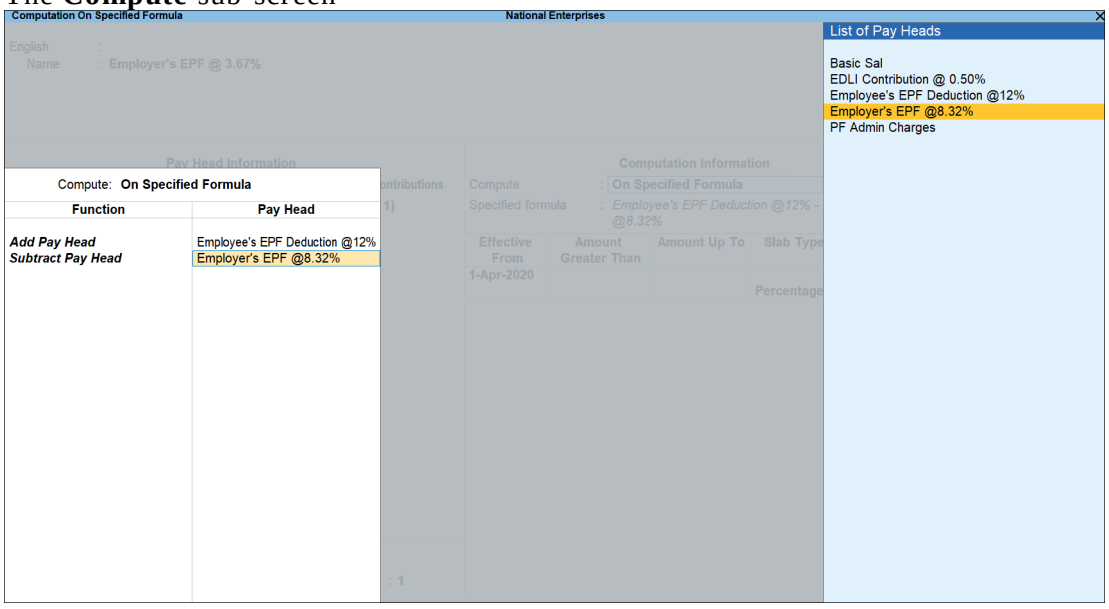
You can create pay heads for employer's contribution towards EPF, ESI, EPS, NPS, and so on.

EPF contribution pay head for employers

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt+C (Co... To)** > **Create Master** > **Pay Head** > and press **Enter**.



2. Enter pay head name in the **Name** field.
3. Select **Employer's Statutory Contributions** as the **Pay Head Type** from the list of **Pay Head Types**.
4. Select **PF Account (A/c No. 1)** in the **Statutory Pay Type** field.
5. Select **Indirect Expenses** from the List of Groups, in the **Under** field.
6. By default, **Affect Net Salary** is set to **No**. Type **Yes**, to include this component in the pay slip.
7. The **Calculation Type** is set to **As Computed Value**, and **Calculation Period** is set as **Months**, by default.
8. Select **Normal Rounding** from the list of Rounding Methods, and type **1** as the rounding **Limit**.
9. In the **Compute** field, select **On Specified Formula**, from the **Computation On** list. The **Compute** sub-screen appears.



- Select **Employee's PF Deduction @ 12%** from the **List of Pay Heads**, in the **Pay Head** column.
- Select **Subtract Pay Head** in the Function.

- Select **End of List** to return to Pay Head Creation.

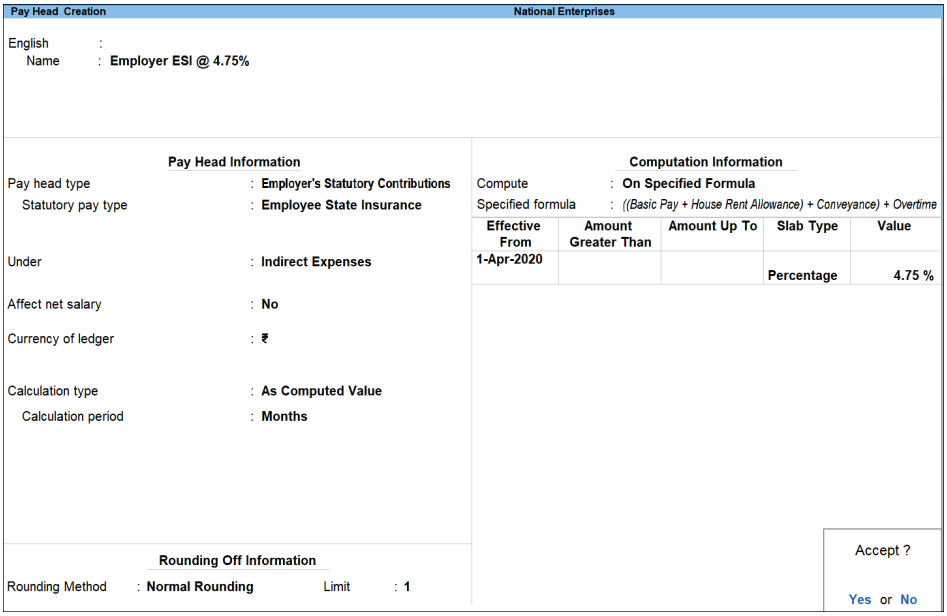
10. In the **Effective Date** field, enter the date from when the EPF will be effective.
11. Select **Slab Types** from the **List of Slabs**, in the **Slab Type**.
12. Enter the **percentage** in the **Value Basis** field.
13. Accept the screen. As always, you can press **Ctrl**+**A** to save.

ESI Contribution Pay Head for employers

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter the name of the Pay Head in the **Name** field.
3. Select **Employer's Statutory Contributions** as the **Pay Head Type**, from the list of **Pay Head** Types.
4. Select **Employee State Insurance** in the **Statutory Pay Type** field.
5. Select **Indirect Expenses** from the **List of Groups**, in the **Under** field.
6. By default, **Affect Net Salary** is set to **No**. Type **Yes**, if you to include this component in the pay slip.
7. The **Calculation Type** is set to **As Computed Value**, and **Calculation Period** is set as **Months**, by default.
8. Select **Normal Rounding** from the list of **Rounding Methods**, and type **1** as the rounding **Limit**.
9. In the **Compute** field, select **On Specified Formula**, from the **Computation** On list. The **Compute** sub-screen appears.

- Select Add **Pay Head** from the **List of Pay Heads** to add pay head to be considered for ESI calculation.
- Select **End of List** to return to Pay Head Creation.

10. In the **Effective Date** field, enter the date from when the ESI Deduction will be effective.
11. Enter the **percentage** in the **Value Basis** field.



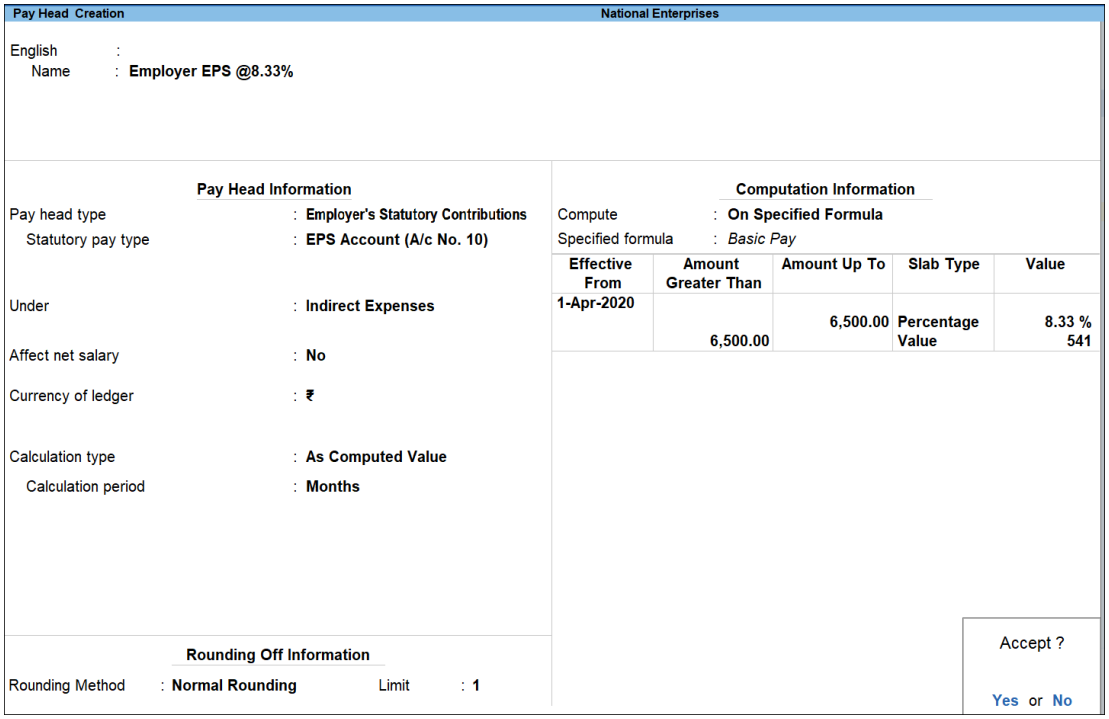
12. Accept the screen. As always, you can press **Ctrl**+**A** to save.

EPS Contribution Pay Head for employers

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter the name of the Pay Head in the **Name** field.
3. Select **Employer's Statutory Contributions** as the **Pay head type** from the list of **Pay head** types.
4. Select **EPS Account (A/c No. 10)** in the **Statutory Pay Type** field.
5. Select **Indirect Expenses** from the **List of Groups** in the **Under** field.
6. By default, **Affect net salary** is set to **No**. Type **Yes**, if you want this component to be included in the pay slip.
7. By default, the **Calculation type** field is set to **As computed Value**, and the **Calculation period** is set to **Months**.
8. Select **Normal Rounding** from the list of **Rounding Methods**, and type **1** as the rounding **Limit**.
9. Select **On Specified Formula**, in the Compute field, from the Methods of computation list. The **Compute** sub-screen appears.

- Select **Basic Pay**, in the **Pay Head** column, from the List of **Pay Heads**.

10. In the **Effective Date** field, enter the date from when the EPS deduction will be effective.
11. Enter the appropriate values in the **From Amount** and **Amount Up to** fields.
12. Select **Slab Types** from the **List of Slabs**, in the **Slab Type**.
13. Enter the **percentage** in the **Value** field.
14. Similarly, enter the **From Amount**, **Amount Up to**, **Slab Type** and **Value** details for the next slab.



15. Accept the screen. As always, you can press **Ctrl+A** to save.

NPS Contribution Pay Head for Employers

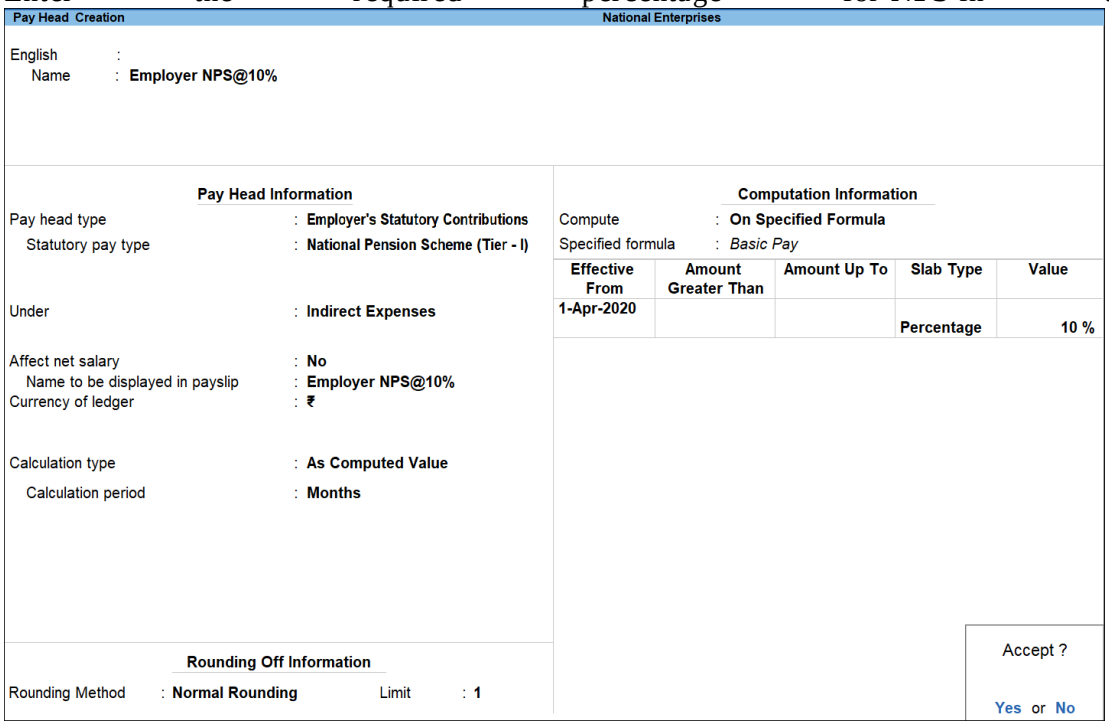
Any contribution by the employer towards NPS will fall under the Tier I account of the scheme. Such employer's contribution towards NPS will be allowed to the employee under Section **80CCD (2)** of the Income Tax Act, 1961, to the extent of 10% of Basic Pay and Dearness Allowance (DA).

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt+G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter the name of the **Pay Head** in the **Name** field.
3. Select **Employer's Statutory Contributions** as the **Pay head type** from the list of **Pay head types**.
4. Select **National Pension Scheme (Tier – I)** in the **Statutory Pay Type** field.
5. Select **Indirect Expenses** from the **List of Groups** in the **Under** field.
6. By default, **Affect Net Salary** is set to **No**. Type **Yes**, if you want this component to be included in the Pay Slip.
7. In the **Calculation type** field, select the required type of calculation, User Defined Value, Flat Rate or As Computed Value. On selection of **Calculation type**, the **Calculation period** is pre-filled with **Months** by default.
8. Select **Normal Rounding** from the list of **Rounding Methods** and type **1** as the rounding **Limit**.
9. If the **Calculation Type** is set to **As Computed Value**, then in the **Compute** field, select **On Specified Formula** from the **Computation On** list. The **Compute** sub-screen appears.

   - Select **Basic Pay** from the **List of Pay Heads**, in the **Pay Head** column.

- Select **Add Pay Head** to add **other Pay Heads** to be considered for NPS calculation.
- Select **End of List** to return to **Pay Head Creation**.

10. In the **Effective Date** field, enter the date from when the NPS deduction will be effective.
11. Select **Percentage** from the **List of Slabs**, in the **Slab Type** field.
12. Enter the required percentage for **NPS** in the **Value** field.



13. Accept the screen. As always, you can press **Ctrl+A** to save.

G-TEC JAIN

Pay Heads for EDLI Contribution and PF Admin Charges (Payroll)

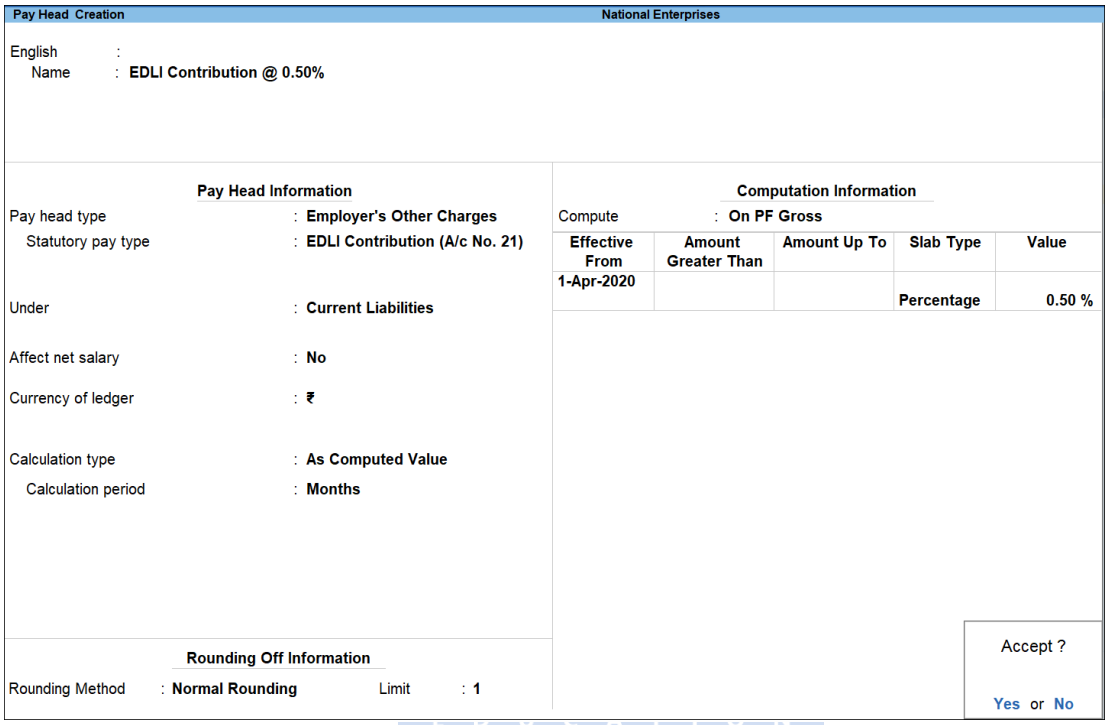
You can create EDLI Admin Charges, EDLI Contribution, PF Admin Charges and Revised PF Admin Charges pay heads by selecting **Employer's Other Charges** as the **Pay head type** during pay head creation.

Note: EDLI Admin Charges are waived of by EPFO with effect from 01-Apr-2017.

EDLI Contribution Pay Head

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt+G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter the pay head name in the **Name** field.
3. Select **Employer's Other Charges** as the **Pay Head Type** from the **list of Pay Head Types**.
4. Select **EDLI Contribution (A/c No. 21)** in the **Statutory Pay Type field**.
5. Select **Current Liabilities** from the **List of Groups**, in the **Under** field.
6. By default, **Affect Net Salary** is set to **No**.
7. By default, the **Calculation Type field** is set to **As Computed Value** and the Calculation Period is set to **Months**.

8. By default, **Rounding Method** is set to **Normal Rounding** and Rounding Limit as **1**.
9. By default, the **Compute field** is set to **On PF Gross**.
10. Enter the **desired date** from when EDLI contribution will be effective in the **Effective Date** field.
11. Enter the **values** in the **From Amount** and **Amount Up to**. fields, if required.
12. Set the **Slab Types** to **Percentage**.
13. Enter the **EDLI percentage** in the **Value Basis** field.



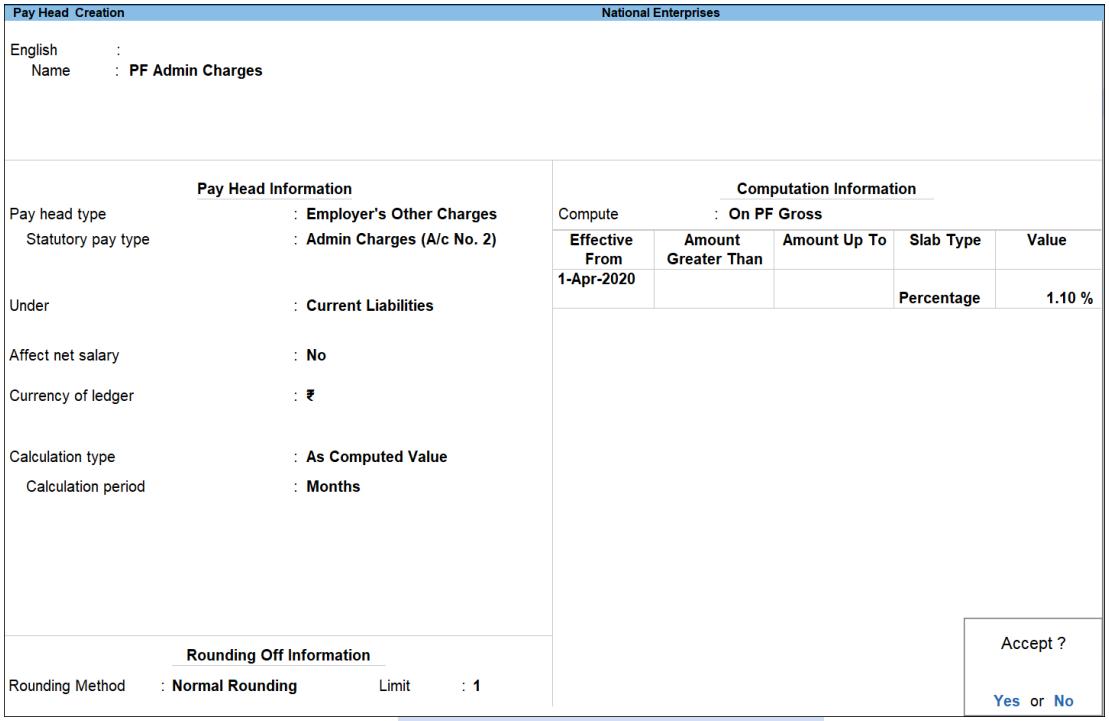
14. Accept the screen. As always, you can press **Ctrl+A** to save.

PF Admin Charges Pay Head

In TallyPrime, you can create a pay head to account for PF Admin Charges in payroll.

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt+G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter the pay head name in the **Name** field.
3. Select **Employer's Other Charges** as the **Pay Head Type** from the **list of Pay Head Types**.
4. Select **Admin Charges (A/c No. 2)** in the **Statutory Pay Type** field.
5. Select **Current Liabilities** from the **List of Groups**, in the **Under** field.
6. By default, **Affect Net Salary** is set to **No**.
7. By default, the **Calculation Type** field is set to **As Computed Value** and the Calculation Period is set to **Months**.
8. By default, **Rounding Method** is set to **Normal Rounding** and Rounding Limit as **1**.

9. By default, the **Compute field** is set to **On PF Gross**.
10. In the **Effective Date** field, enter the desired date from when the **PF Admin Charges** will be effective.
11. Enter the **values** in the **From Amount** and **Amount Up to** fields, if required.
12. By default, **Slab Type** is set to **Percentage**.
13. Enter the percentage of admin charges in the **Value Basis field**.



EDUCATION

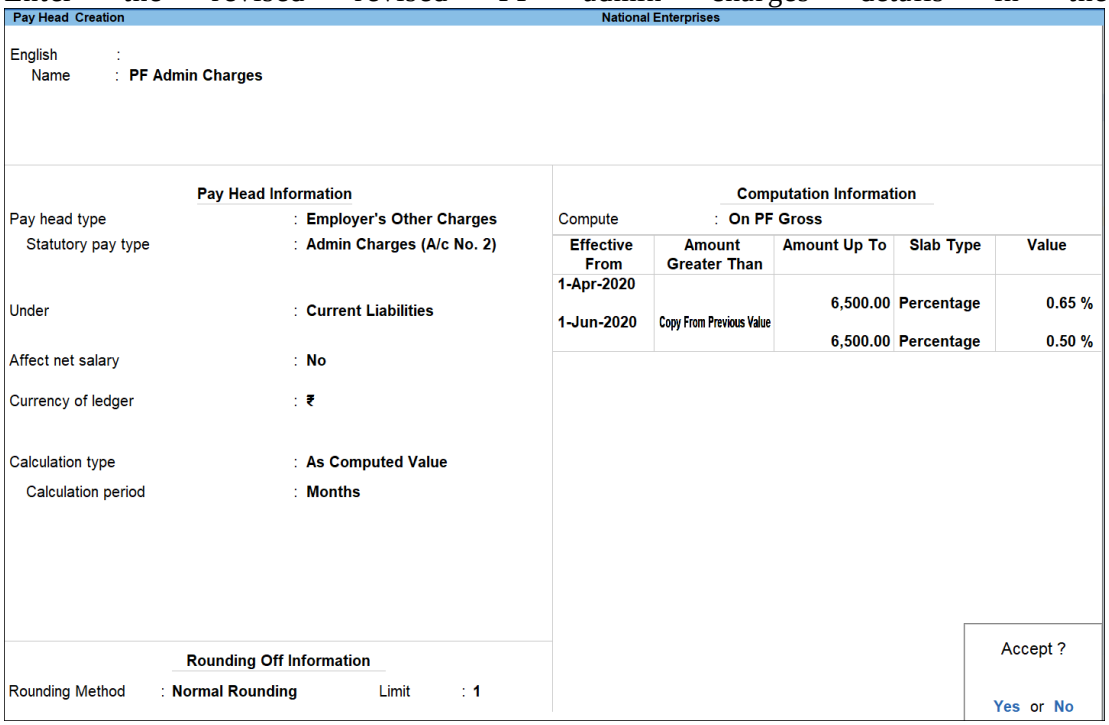
14. Accept the screen. As always, you can press **Ctrl+A** to save.

Revised PF Admin Charges Pay Head

When PF admin charges are revised, TallyPrime allows you to capture the new charges with effective date in the pay head master. The new charges will be applicable from the effective date given.

1. **Gateway of Tally** > **Alter** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt+G** (Go To) > **Alter Master** > **Pay Head** > and press **Enter**.
2. Select the PF admin charges pay head and press **Enter**.
3. In the **Computation Formula** section of the **Pay Head Alteration** screen, enter the date from which the revised charges will be applicable in the **Effective From** field.
4. Select **Copy From Previous Value** from the **Start Type** list to copy the details from the previous entry or select **Start A fresh** to enter new details.
5. Select the displayed **Amount Up To** value or enter new value.

6. Enter the revised revised PF admin charges details in the **Value** column.



7. Accept the screen. As always, you can press **Ctrl+A** to save.

Pay Heads for EDLI Contribution and PF Admin Charges (Payroll)

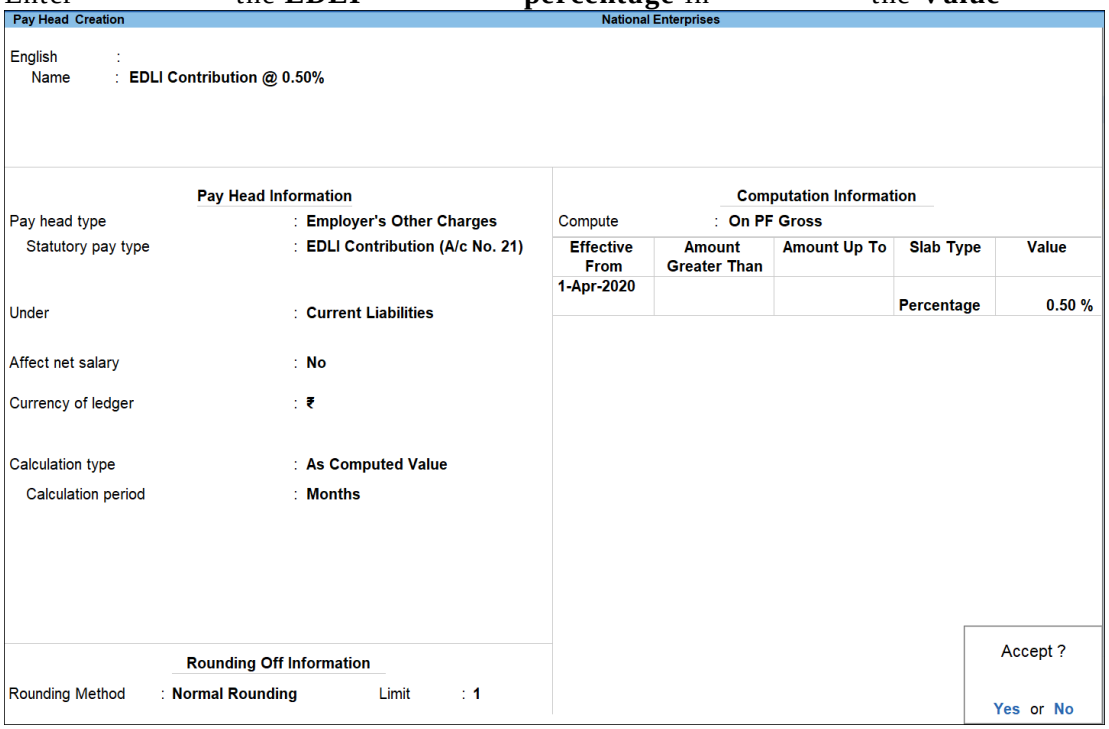
You can create EDLI Admin Charges, EDLI Contribution, PF Admin Charges and Revised PF Admin Charges pay heads by selecting **Employer's Other Charges** as the **Pay head type** during pay head creation.

Note: EDLI Admin Charges are waived of by EPFO with effect from 01-Apr-2017.

EDLI Contribution Pay Head

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt+G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter the pay head name in the **Name** field.
3. Select **Employer's Other Charges** as the **Pay Head Type** from the **list of Pay Head Types**.
4. Select **EDLI Contribution (A/c No. 21)** in the **Statutory Pay Type field**.
5. Select **Current Liabilities** from the **List of Groups**, in the **Under** field.
6. By default, **Affect Net Salary** is set to **No**.
7. By default, the **Calculation Type field** is set to **As Computed Value** and the Calculation Period is set to **Months**.
8. By default, **Rounding Method** is set to **Normal Rounding** and Rounding Limit as **1**.
9. By default, the **Compute field** is set to **On PF Gross**.
10. Enter the **desired date** from when EDLI contribution will be effective in the **Effective Date** field.

11. Enter the **values** in the **From Amount** and **Amount Up to**. fields, if required.
12. Set the **Slab Types** to **Percentage**.
13. Enter the **EDLI percentage** in the **Value Basis** field.



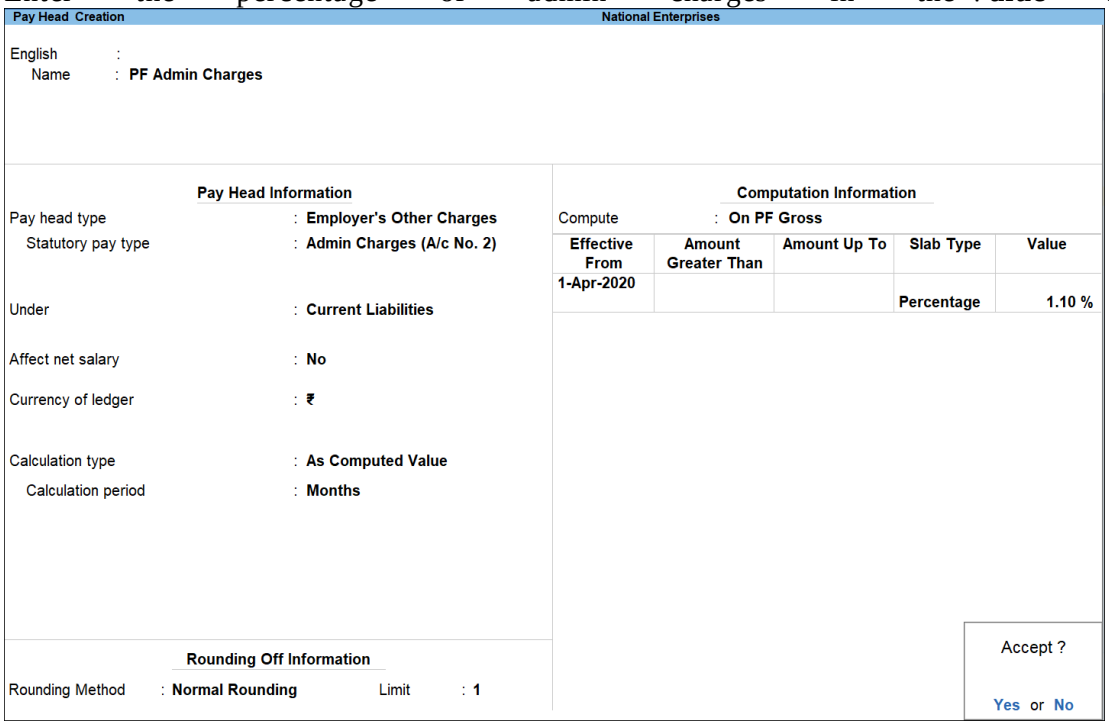
14. Accept the screen. As always, you can press **Ctrl+A** to save.

PF Admin Charges Pay Head

In TallyPrime, you can create a pay head to account for PF Admin Charges in payroll.

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt+G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter the pay head name in the **Name** field.
3. Select **Employer's Other Charges** as the **Pay Head Type** from the **list of Pay Head Types**.
4. Select **Admin Charges (A/c No. 2)** in the **Statutory Pay Type** field.
5. Select **Current Liabilities** from the **List of Groups**, in the **Under** field.
6. By default, **Affect Net Salary** is set to **No**.
7. By default, the **Calculation Type** field is set to **As Computed Value** and the Calculation Period is set to **Months**.
8. By default, **Rounding Method** is set to **Normal Rounding** and Rounding Limit as **1**.
9. By default, the **Compute field** is set to **On PF Gross**.
10. In the **Effective Date** field, enter the desired date from when the **PF Admin Charges** will be effective.
11. Enter the **values** in the **From Amount** and **Amount Up to** fields, if required.
12. By default, **Slab Type** is set to **Percentage**.

13. Enter the percentage of admin charges in the **Value Basis field**.



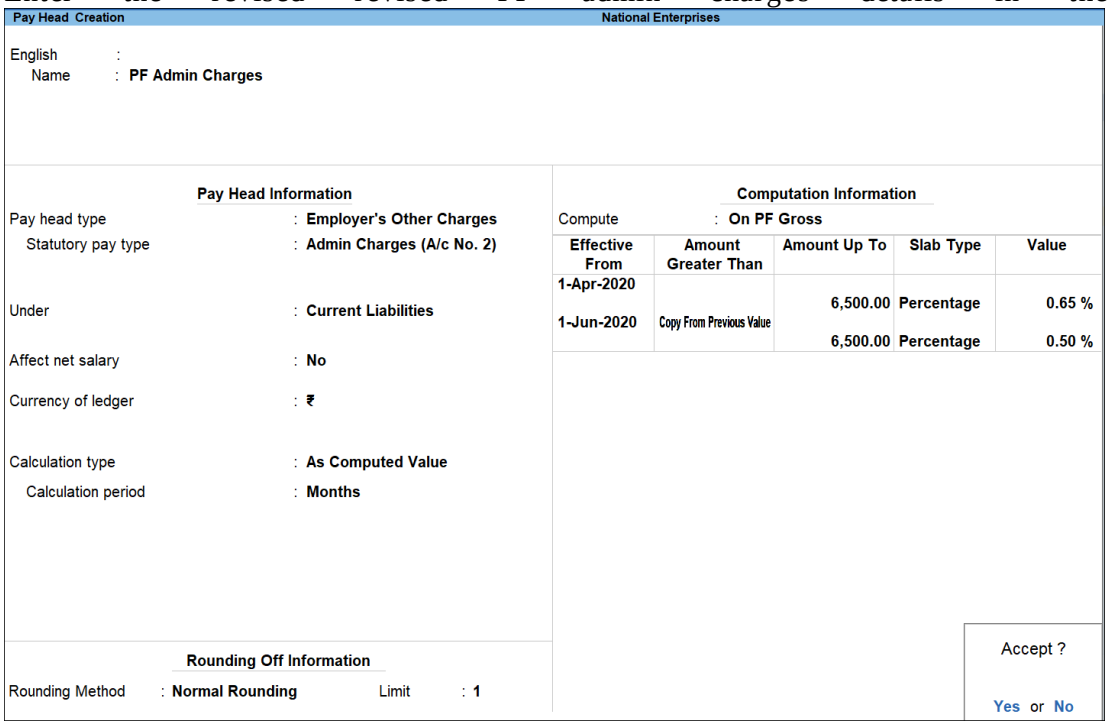
14. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Revised PF Admin Charges Pay Head

When PF admin charges are revised, TallyPrime allows you to capture the new charges with effective date in the pay head master. The new charges will be applicable from the effective date given.

1. **Gateway of Tally** > **Alter** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt**+**G** (Go To) > **Alter Master** > **Pay Head** > and press **Enter**.
2. Select the PF admin charges pay head and press **Enter**.
3. In the **Computation Formula** section of the **Pay Head Alteration** screen, enter the date from which the revised charges will be applicable in the **Effective From** field.
4. Select **Copy From Previous Value** from the **Start Type** list to copy the details from the previous entry or select **Start A fresh** to enter new details.
5. Select the displayed **Amount Up To** value or enter new value.

6. Enter the revised revised PF admin charges details in the **Value** column.



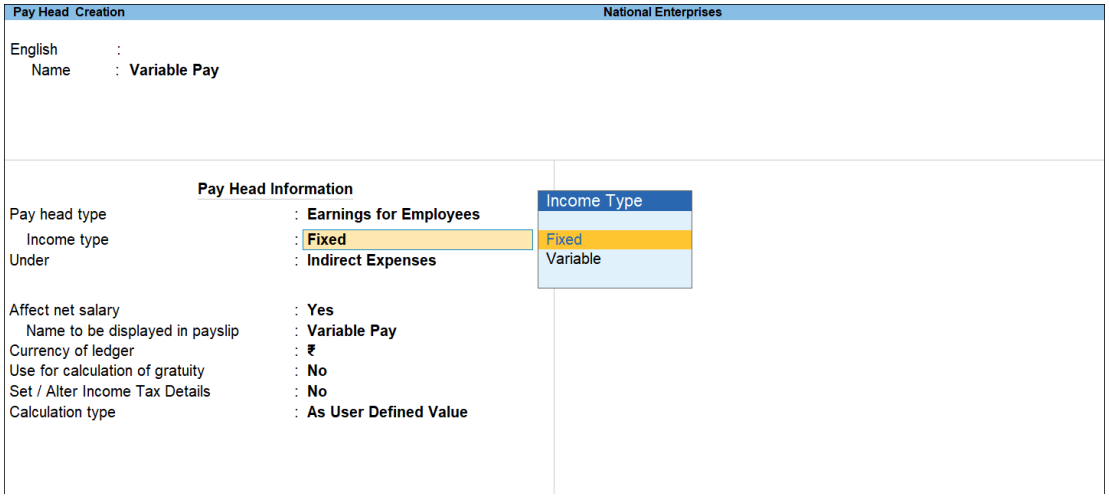
7. Accept the screen. As always, you can press **Ctrl+A** to save.

User Defined Earnings Pay Head (Payroll)

In TallyPrime, you can create User Defined Earnings Pay Heads that you want to use at the time of processing the Payroll (for example, Variable Pay, Bonus).

Pay Head for Variable Pay

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt+G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter pay head name in the **Name** field.
3. Select **Earnings for Employees** as the Pay head type from the **list of Pay head type**.
4. Select the **Income** type for the pay head as:
   - **Fixed**: This forms a part of the employee's Total Gross Salary. For example, Basic Pay.
   - **Variable**: This forms a part of the employee's Total Earnings only. For example, Overtime Wages.
5. Select **Indirect Expenses** from the **List of Groups** in the **Under** field.

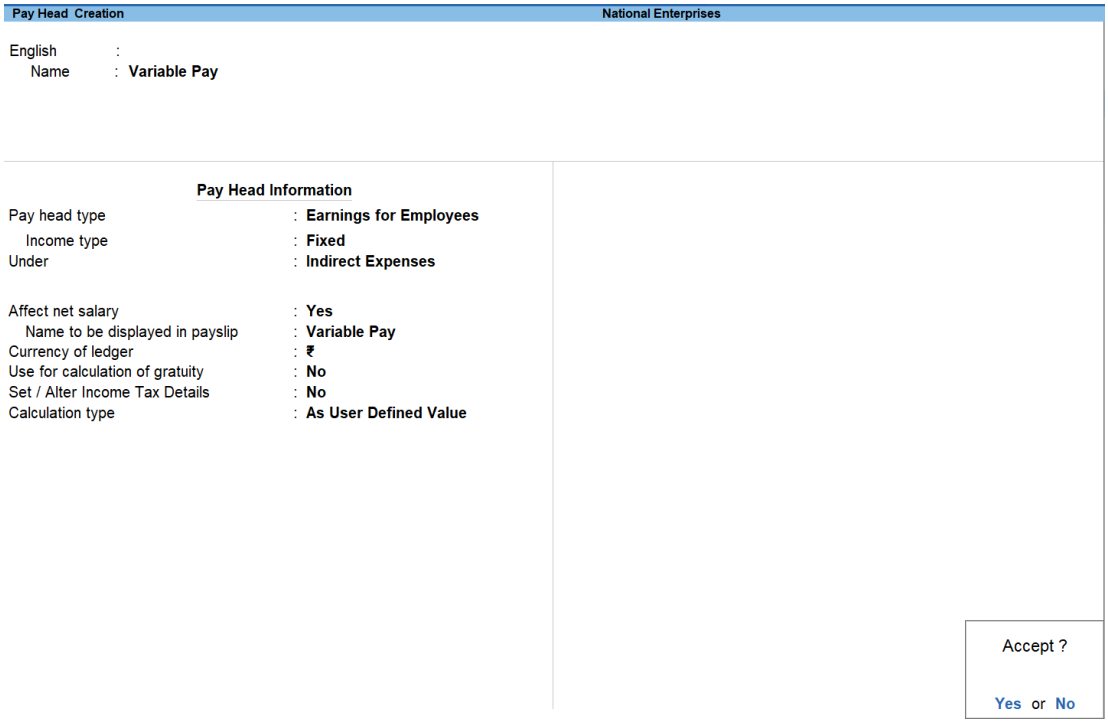


- By default, **Affect Net Salary** is set to **Yes**. Type **No**, if you do not want this component to be included in the pay slip.
- By default, the pay head component name entered in the Name field will appear in the pay slip. Enter the Name to appear in Payslip if you want to change the default pay head component name.
- By default, **Use for calculation of gratuity** is set to **No**. Set this to **Yes**, if you want this Pay Head to be considered for Gratuity calculation.

6. In the **Income Tax Details** screen,

- Select **Other Earnings/Allowances (Fully Taxable)** as the Income Tax Component.
- Select On Actual Value as Tax Calculation Basis, if the amounts applicable to this pay head vary each month, to rationalise and spread tax across the remaining period. If the amounts are fixed, select On Projected Value.
- Set **Deduct TDS across Period(s)** to **Yes** to deduct tax across the remaining period. If this is set to **No**, the entire tax is deducted in the same month.

7. Select **As User Defined Value** from the **List of Calculation** in the Calculation type field.

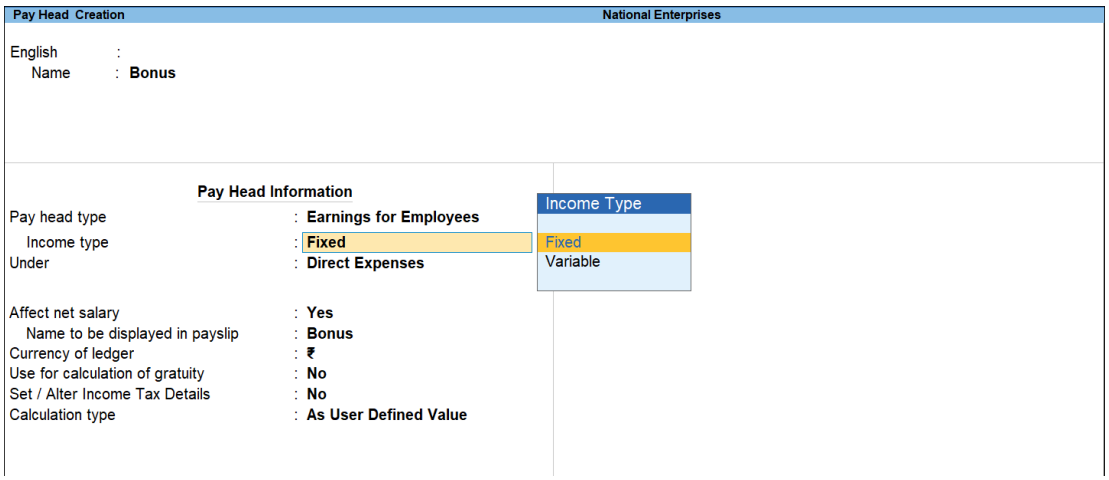


8. Accept the screen. As always, you can press **Ctrl+A** to save.

Pay Head for Bonus

You can create Bonus Pay Heads to account for the bonus that has been paid to employees.

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt+G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter pay head name in the **Name** field.
3. Select **Bonus** as the Pay head type from the **list of Pay head type**.
4. Select the **Income type** for the pay head.



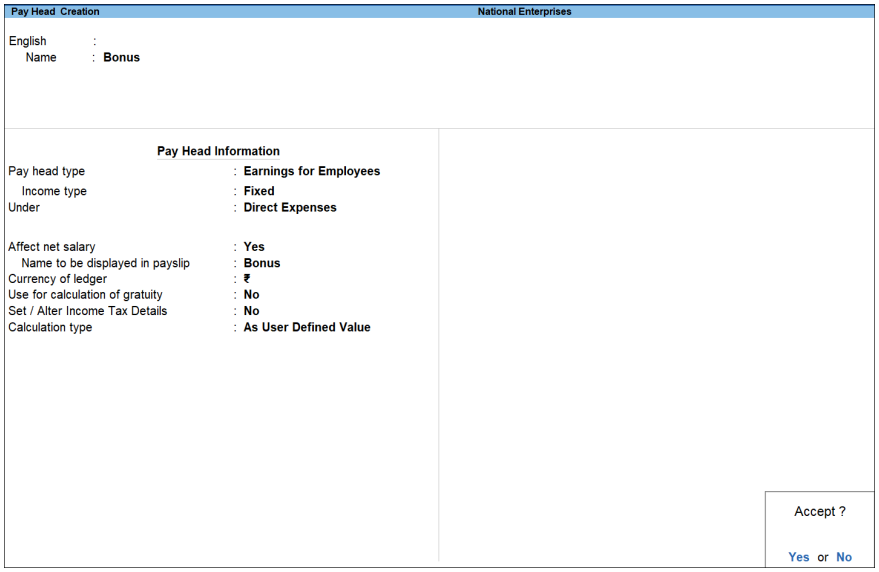
5. Select **Indirect Expenses** from the List of Groups in the **Under** field.

- By default, **Affect Net Salary** is set to **Yes**. Type **No**, if you do not want this component to be included in the pay slip.
- By default, the pay head component name entered in the Name field appears in the pay slip. Enter the Name to appear in Payslip if you want to change the default pay head component name.
- By default, **Use for calculation of gratuity** is set to **No**.

6. In the **Income Tax Details** screen:

- Select **Other Earnings/Allowances (Fully Taxable)** as the Income Tax Component.
- Select On Actual Value as Tax Calculation Basis, if the amounts applicable to this pay head vary each month, to rationalise and spread tax across the remaining period. If the amounts are fixed, select On Projected Value.
- Set **Deduct TDS across Period(s)** to **Yes** to deduct tax across the remaining period. If this is set to **No**, the entire tax is deducted in the same month.

7. Set **Exclude for ESI Eligibility** to **Yes**, if you want to this pay head to be considered for ESI Calculation, but not for ESI Eligibility.
8. Set **As User Defined Value**, from the **List of Calculation**, as the **Calculation type**.



9. Accept the screen. As always, you can press **Ctrl+A** to save.

Gratuity Pay Head (Payroll)

In TallyPrime, you can create pay heads for gratuity computation for India and the UAE.

Creating Gratuity Pay Head for India

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt+G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter the **Name** of the pay head.
3. Select **Gratuity** from the **List of Pay Head Types**.

4. Enter the **Slab Rate details** for Gratuity Calculation in the sub-screen:

Slab Rate details for Gratuity Calculation

Gratuity Days of a Month : **26**

Number of Months		Eligibility days for Gratuity Calculation per year
From:	To:	
1	60	0
61	120	15
121		15

5.

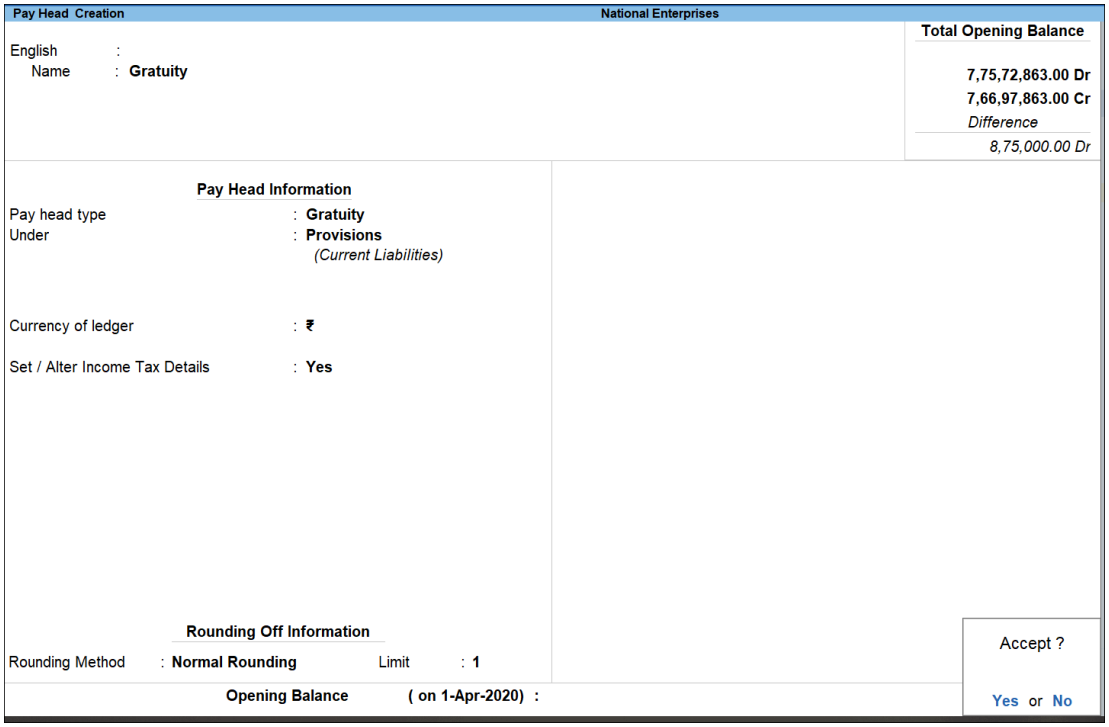
6. Select **Provisions** as Group from the **List of Groups**, in the field **Under**.
7. Enable the option **Set/Alter Income Tax Details**. The **Income Tax Details** screen appears.

Income Tax Details

Income Tax Component : **Gratuity**
Tax Calculation Basis : **On Actual Value**
Deduct TDS Across Periods : **No**

COMPUTER EDUCATION Jain Group - Bengaluru

8. By default, the **Income Tax Component** is set to **Gratuity**.
9. By default, Tax Calculation Basis is set to **On Actual Value** because Gratuity is paid only when the employee leaves the organisation or retires.
10. By default, **Deduct TDS Across Period(s)** is set to **No** because tax must be deducted in the same month.
11. Select the **Rounding Method** from the list if applicable.



12. Accept the screen. As always, you can press **Ctrl+A** to save.

Note: To use the Earning Pay Head for Gratuity calculation, set the **Use for Gratuity** field to **Yes** in the Ledger Creation screen (for pay heads such as Basic Salary, and DA, which are classified as Indirect Expenses).

Creating Gratuity Pay Head for UAE

An employment contract in the United Arab Emirates (UAE) could be for a limited or an unlimited period. According to the Federal Law of the UAE, an employee is entitled to receive gratuity after completion of one year of continuous service, irrespective of the contract type, which could be limited or unlimited. TallyPrime now supports calculation of gratuity as per the prescribed rules and regulations of the UAE. To compute gratuity in a UAE Payroll enabled company, you must create two gratuity pay heads – one for a limited contract and another for unlimited contract employee. .

Note: Because an individual can be employed under either of the two contracts (limited & unlimited), use only one of these pay heads in the Salary Details of an employee.

Gratuity for the contract type – Limited

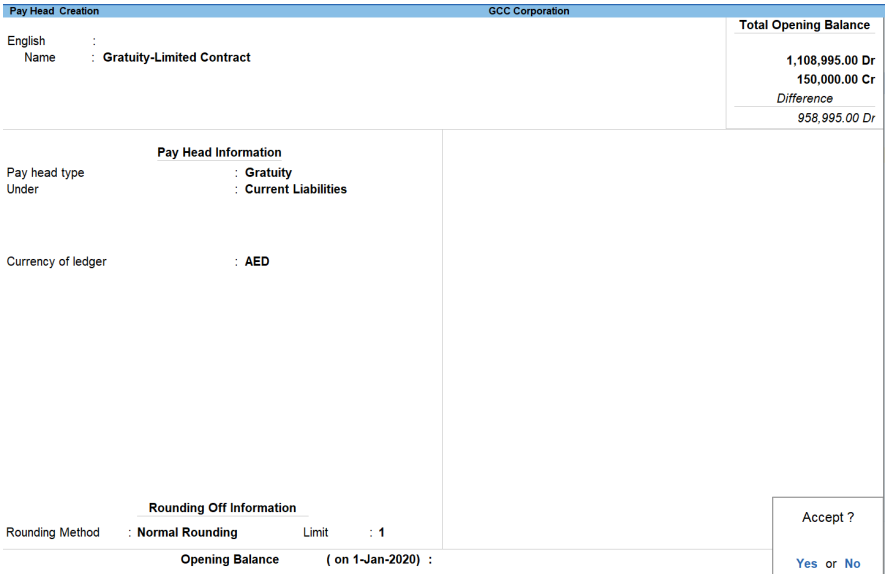
1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt+G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter the **Name** of the pay head.
3. Select **Gratuity** from the **List of Pay Head Types**.
4. Enter the **Slab Rate details** for Gratuity Calculation in the sub-screen:

Slab Rate details for Gratuity Calculation

Gratuity Days of a Month : **30**

Number of Months		Eligibility days for Gratuity Calculation per year
From:	To:	
1	12	0
12	36	7
36		14

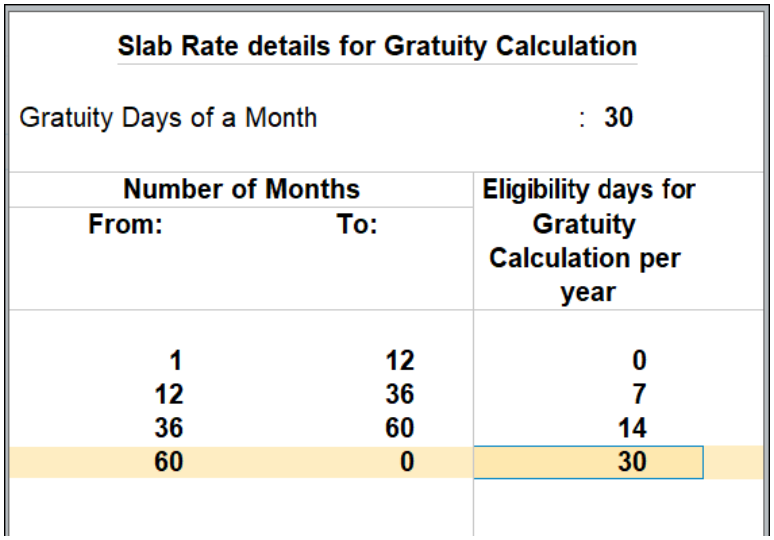
5. Select **Provisions/Current Liabilities** as Group from the **List of Groups**, in the field **Under**.
6. Select the **Rounding Method** from the list, if applicable.



7. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Gratuity for the contract type – Unlimited

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter the **Name** of the pay head.
3. Select **Gratuity** from the **List of Pay Head Types**.
4. Enter the **Slab Rate details** for Gratuity Calculation in the sub-screen:

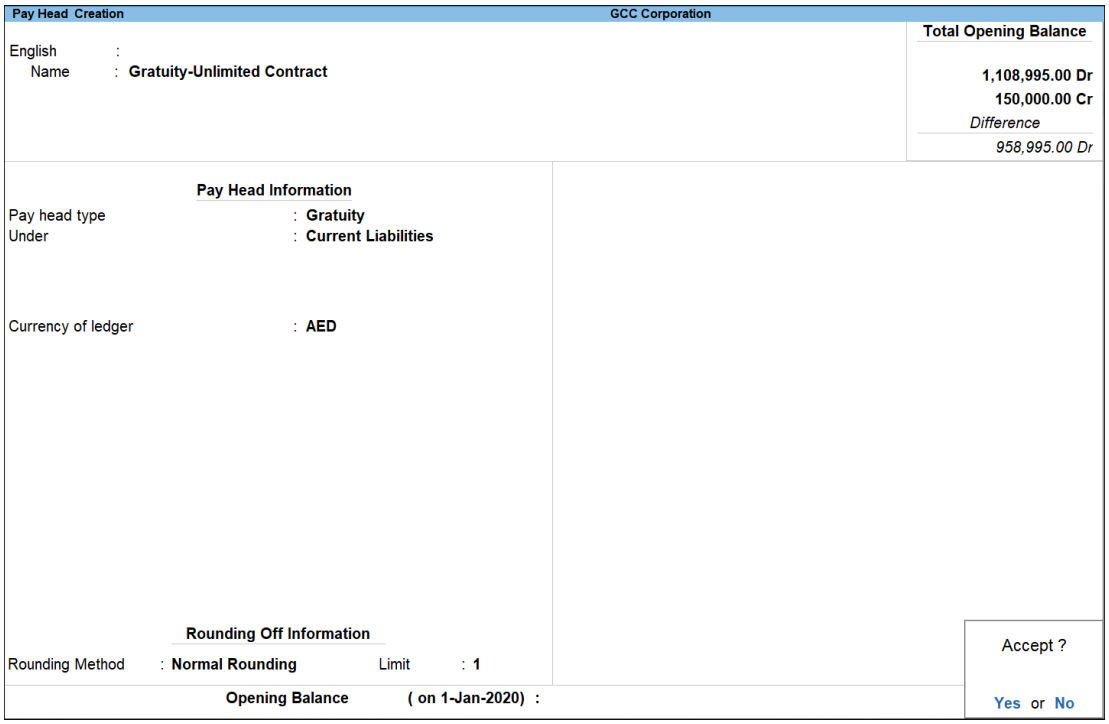
5. 

Slab Rate details for Gratuity Calculation

Gratuity Days of a Month : **30**

Number of Months From:	Number of Months To:	Eligibility days for Gratuity Calculation per year
1	12	0
12	36	7
36	60	14
60	0	30

6. Select **Provisions/Current Liabilities** as Group from the **List of Groups**, in the field **Under**.
7. Select the **Rounding Method** from the list, if applicable.



8. Accept the screen. As always, you can press **Ctrl+A** to save.

Note: Ensure that the Employer Unique ID is entered in the **F11** (Features) screen. After you add the gratuity pay head in the salary details of an employee, you can review the computation of gratuity using the Gratuity Summary report.

Deduction Pay Heads (Payroll)

In TallyPrime, you can create pay heads to account for deduct loans given to an employee from their salary. You can also create a Canteen Deduction Pay Head by selecting Deductions from Employees as the Pay head type during pay head creation.

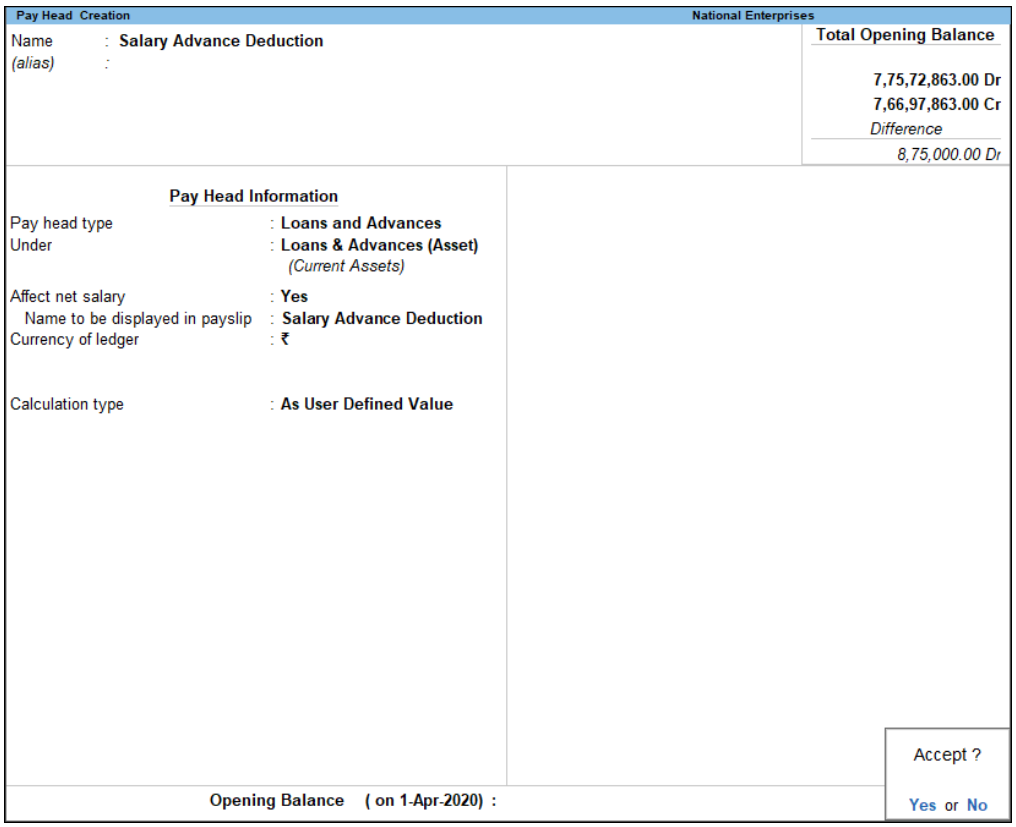
Salary Advance Deduction Pay Head

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > type or select **Pay Head** > and press **Enter**.

2. Enter pay head name in the **Name** field.
3. Select **Loans and Advances** as the Pay head type from the **list of Pay head type**.
4. Select **Loans and Advances (Assets)** from the **List of Groups**, in the **Under** field.

- By default, **Affect Net Salary** is set to **Yes**. Type **No**, if you want to exclude this component from the pay slip.
- By default, the Pay Head component name entered in the **Name** field appears in the **Pay Slip**. If you want to change this, enter the appropriate name in the Name to appear in Payslip field.

5. Set **As User Defined Value** as the Calculation type, from the **List of Calculation**.



6. Accept the screen. As always, you can press **Ctrl**+**A** to save.

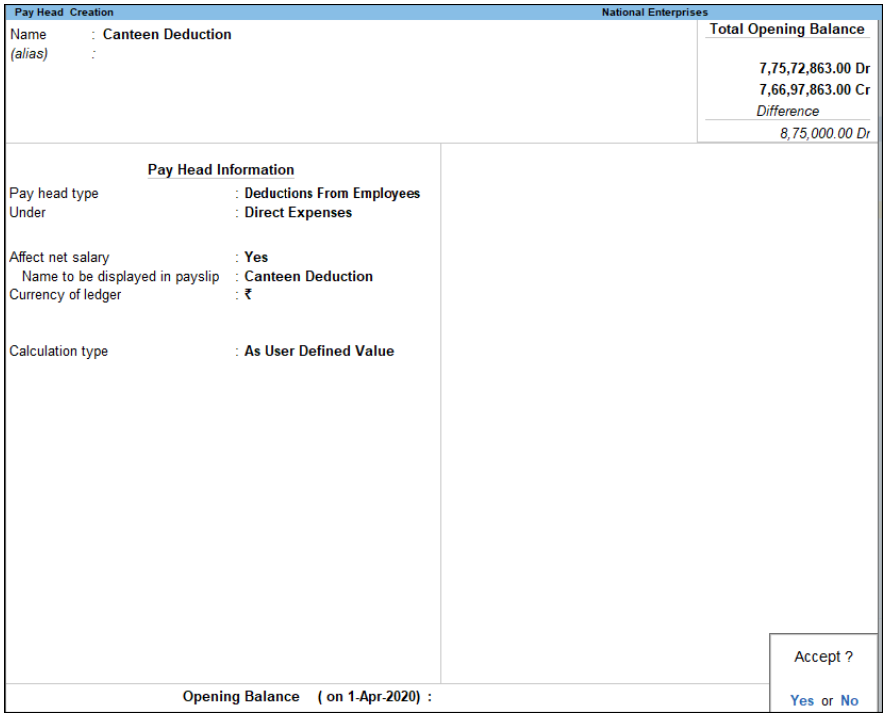
Canteen Deduction Pay Head

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.

2. Enter pay head name in the **Name** field.
3. Select **Deductions from Employees** as the Pay head type from the **List of Pay Head Types**.
4. Select **Current Assets** from the **List of Groups** in the **Under** field.

- By default, **Affect Net Salary is set** to **Yes**. Set this to No if you do not want this component to be included in the Pay Slip.
- By default, the pay head component name entered in the **Name** field appears in the pay slip.

5. Enter the **Name to appear in Payslip** if you want to change the default pay head component name.
6. Select **As User Defined Value** as the Calculation type from the **List of Calculation**.



7. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Deduction Pay Heads (Payroll)

In TallyPrime, you can create pay heads to account for deduct loans given to an employee from their salary. You can also create a Canteen Deduction Pay Head by selecting Deductions from Employees as the Pay head type during pay head creation.

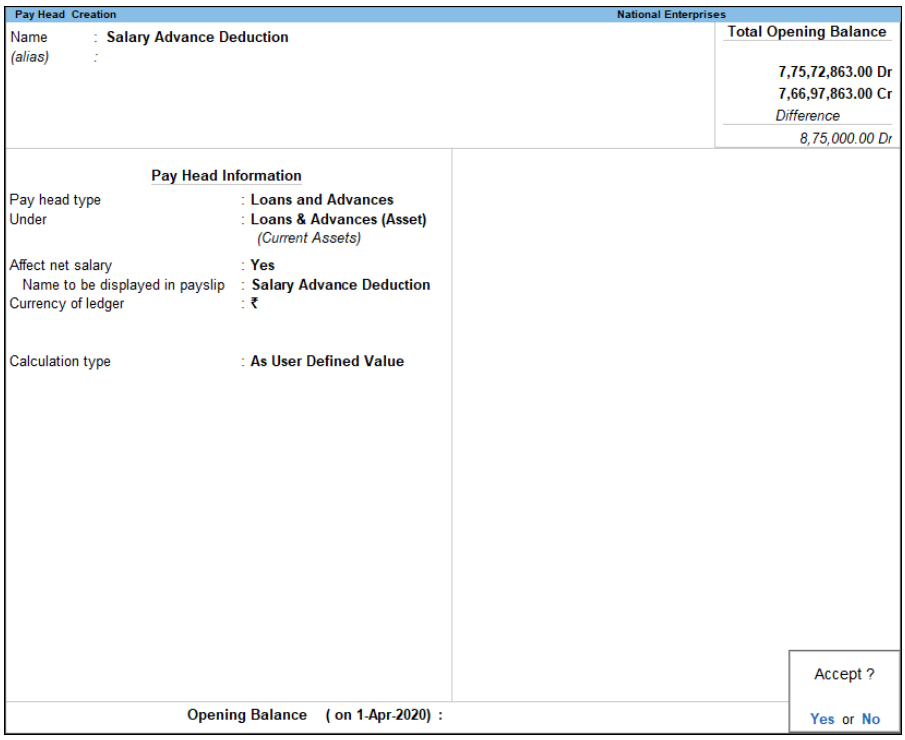
Salary Advance Deduction Pay Head

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > type or select **Pay Head** > and press **Enter**.

2. Enter pay head name in the **Name** field.
3. Select **Loans and Advances** as the Pay head type from the **list of Pay head type**.
4. Select **Loans and Advances (Assets)** from the **List of Groups**, in the **Under** field.

- By default, **Affect Net Salary** is set to **Yes**. Type **No**, if you want to exclude this component from the pay slip.
- By default, the Pay Head component name entered in the **Name** field appears in the **Pay Slip**. If you want to change this, enter the appropriate name in the Name to appear in Payslip field.

5. Set **As User Defined Value** as the Calculation type, from the **List of Calculation**.



6. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Canteen Deduction Pay Head

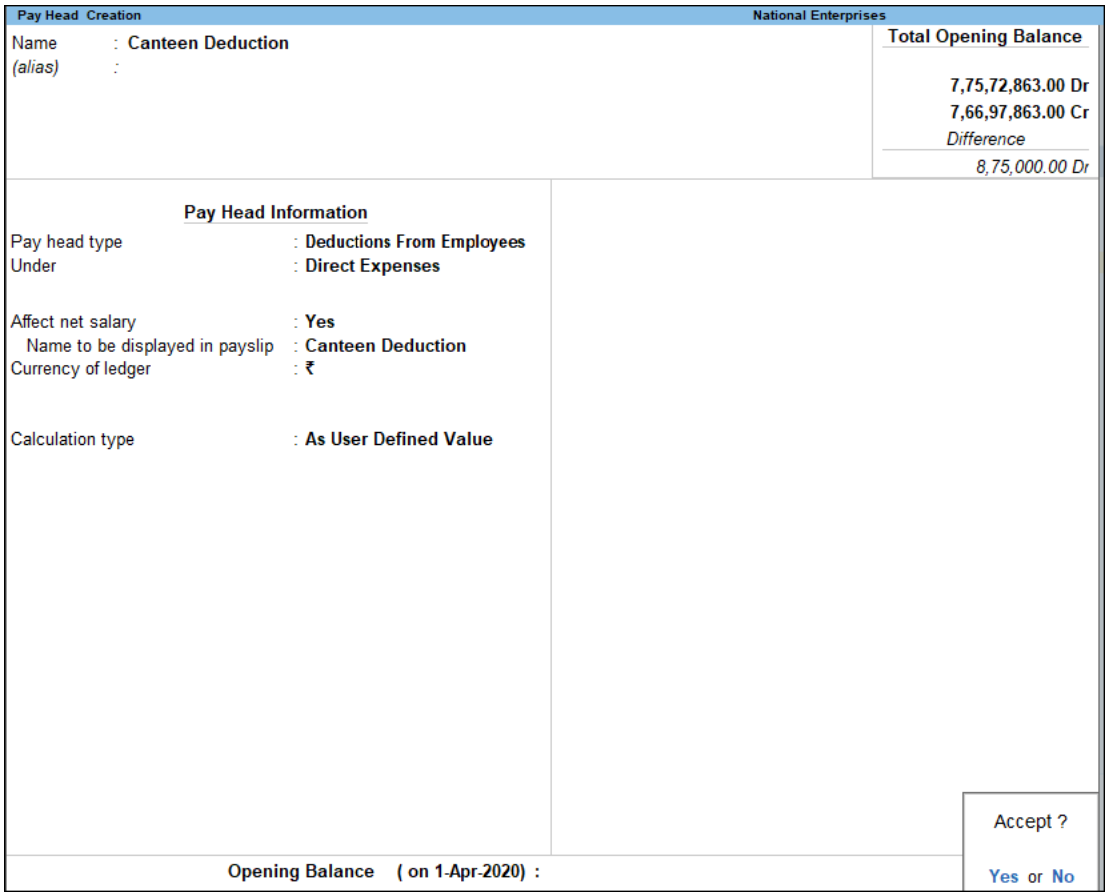
1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.

2. Enter pay head name in the **Name** field.
3. Select **Deductions from Employees** as the Pay head type from the **List of Pay Head Types**.

4. Select **Current Assets** from the **List of Groups** in the **Under** field.

- By default, **Affect Net Salary is set** to **Yes**. Set this to No if you do not want this component to be included in the Pay Slip.
- By default, the pay head component name entered in the **Name** field appears in the pay slip.

5. Enter the **Name to appear in Payslip** if you want to change the default pay head component name.
6. Select **As User Defined Value** as the Calculation type from the **List of Calculation**.



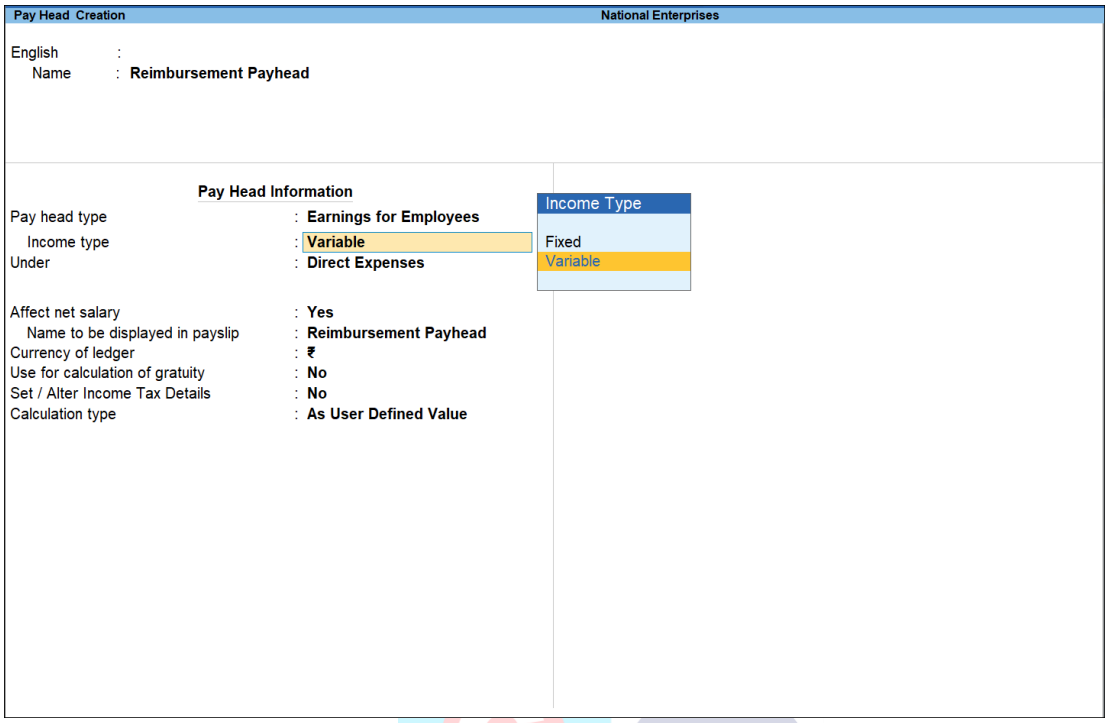
7. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Reimbursement Pay Head (Payroll)

You can create a reimbursement pay head to account for the reimbursements to be paid to employees, and set the net salary and income tax components accordingly.

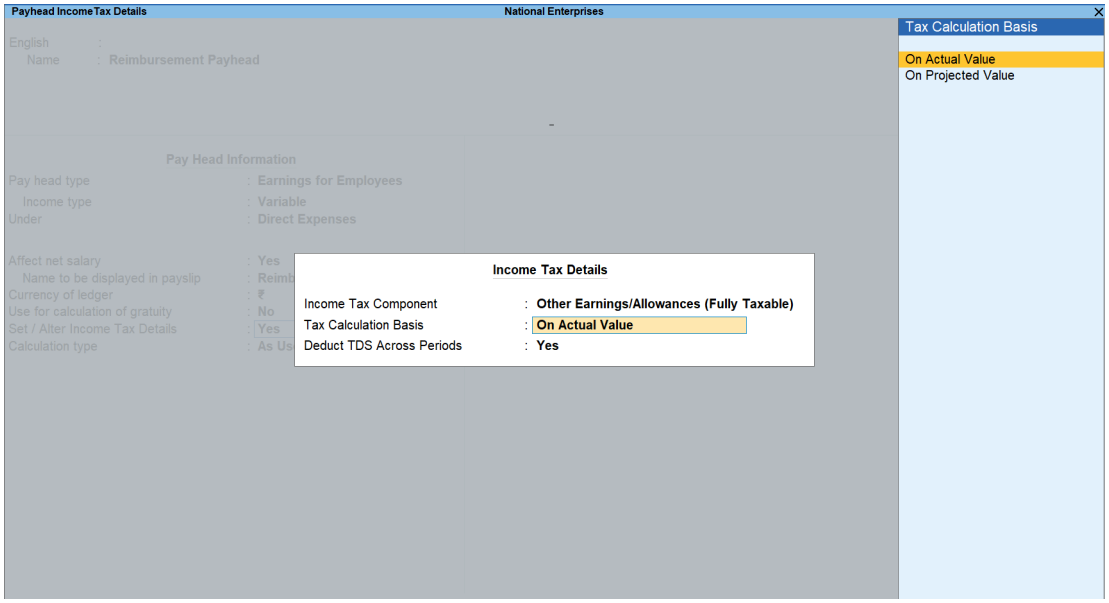
1. **Gateway of Tally** > **Create** > type or select **Pay Heads**> and press **Enter**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > **Pay Heads** > and press **Enter**.
2. Enter the pay head name in the **Name** field.
3. Select **Reimbursements to Employees** as the Pay head type from the **list of Pay Head Types**.

4. Select the **Income type** for the pay head.

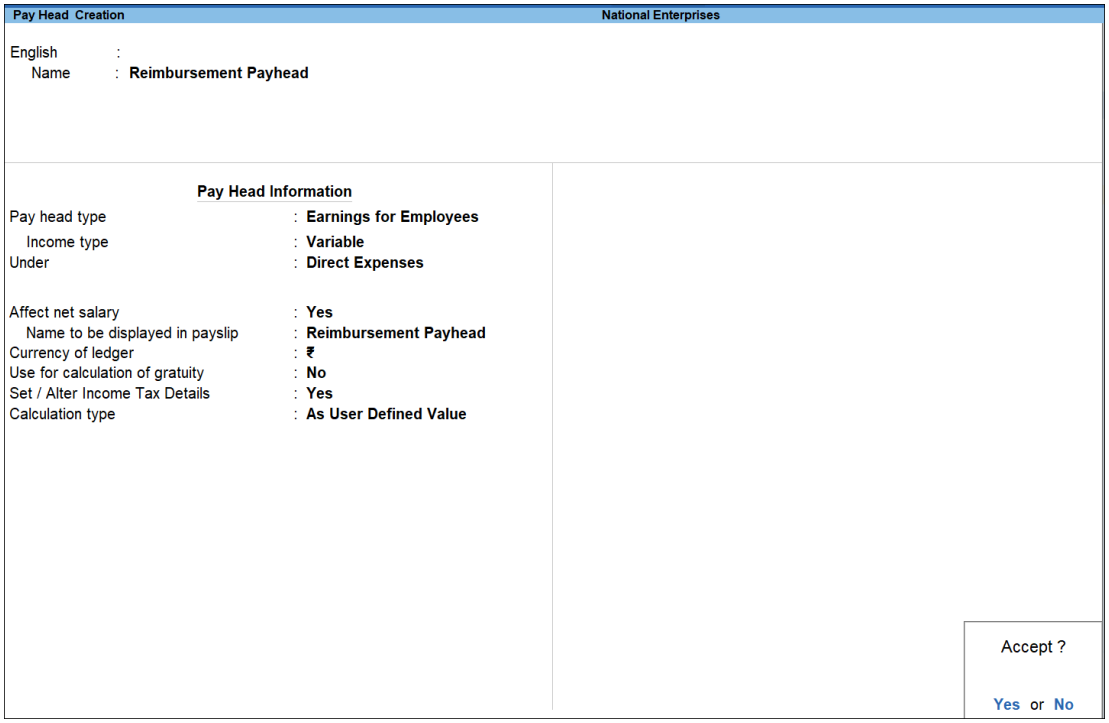


5. Select **Indirect Expenses** from the **List of Groups** in the **Under** field.
6. Set the **Affect net salary** option according to your requirement.
7. Enter the Name to appear in Payslip if you want to change the default pay head component name. By default, the pay head component name entered in the Name field appears in the pay slip.
8. Enable the option **Set Alter Income Details**.
9. In the Income Tax Details screen:

- Select **Other Earnings/Allowances (Fully Exempted)** as the **Income Tax Component**, if the pay head is exempted from Income Tax.
- Set **On Actual Value** as the **Tax Calculation Basis** as reimbursements are not projected, and may vary each month. By default, the **Deduct TDS Across Period(s)** field is set to **No** because tax is deducted in the same month as when the reimbursement is paid.



10. Select **As User Defined Value** as the Calculation type.



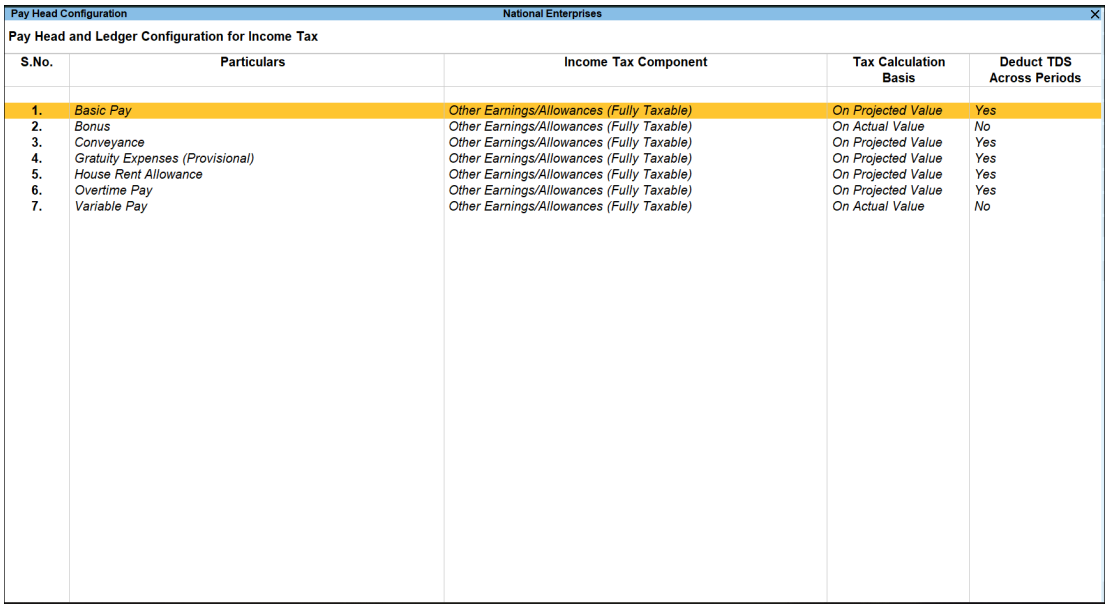
11. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Configuring Income Tax Components – Pay Head Configuration (Payroll)

You can use the Pay Head Configuration screen to configure the Income Tax Component for all existing pay heads. You can also configure the ledgers which are used for making the Payroll payments for the respective Income Tax Component.

Pay Head Configuration

1. **Gateway of Tally** > **Alter** > type or select **Income Tax Pay Heads Details**. Alternatively, press **Alt+G** (Go To) > **Alter Master** > type or select **Income Tax Pay Heads Details** > and press **Enter**.



Pay Head Configuration — National Enterprises

Pay Head and Ledger Configuration for Income Tax

S.No.	Particulars	Income Tax Component	Tax Calculation Basis	Deduct TDS Across Periods
1.	*Basic Pay*	*Other Earnings/Allowances (Fully Taxable)*	*On Projected Value*	*Yes*
2.	*Bonus*	*Other Earnings/Allowances (Fully Taxable)*	*On Actual Value*	*No*
3.	*Conveyance*	*Other Earnings/Allowances (Fully Taxable)*	*On Projected Value*	*Yes*
4.	*Gratuity Expenses (Provisional)*	*Other Earnings/Allowances (Fully Taxable)*	*On Projected Value*	*Yes*
5.	*House Rent Allowance*	*Other Earnings/Allowances (Fully Taxable)*	*On Projected Value*	*Yes*
6.	*Overtime Pay*	*Other Earnings/Allowances (Fully Taxable)*	*On Projected Value*	*Yes*
7.	*Variable Pay*	*Other Earnings/Allowances (Fully Taxable)*	*On Actual Value*	*No*

Pay heads which are already configured for income tax appear in bold, and those which are not configured appear in *Italics*.

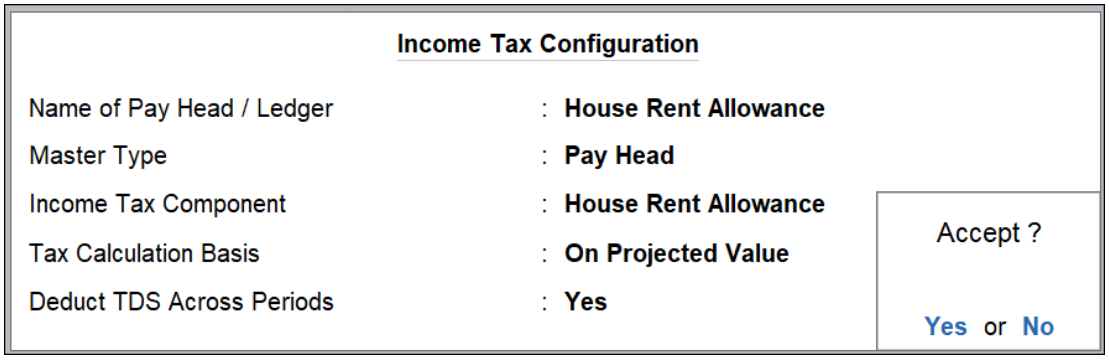
2. Press **Enter** on any of the pay heads configure/re-configure the same for income tax.
3. The **Income Tax Configuration** screen,

- **Name of Pay Head / Ledger**: By default, this field displays the pay head/ledger name .
- **Master Type**: Indicates whether this is a pay head or a ledger..
- **Income Tax Component**: From the List of Income Tax Components, select the required Income Tax Component for correct tax computation.
- **Tax Calculation Basis**: Select the appropriate Tax Calculation Basis from On Projection and On Actuals.

4. **On Projection**: You can select this to use the pay head/ledger value from Salary Details, or from the voucher (in case of User Defined pay head), and project it for the remaining period.

On Actuals: Using this option, you can project the latest pay head value and the same will be projected for the remaining months as well.

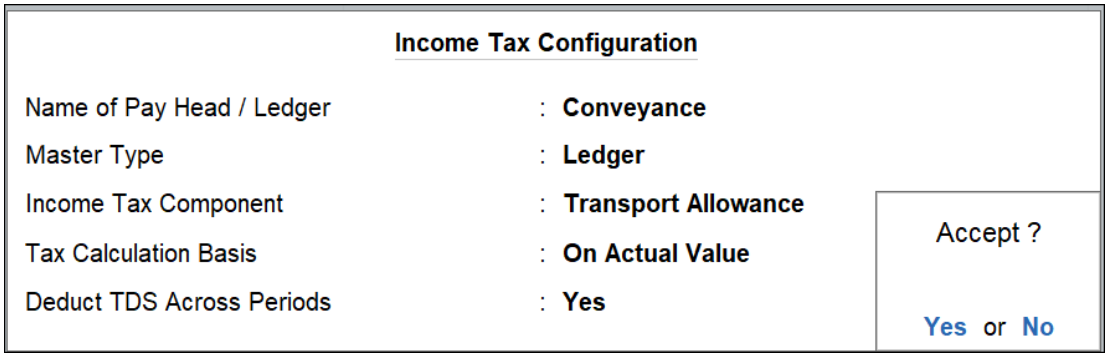
- **Deduct TDS Across Periods**: To deduct entire TDS in the same month, set this option to **No**. If you want to spread the TDS deduction across the remaining period, set this to **Yes**.



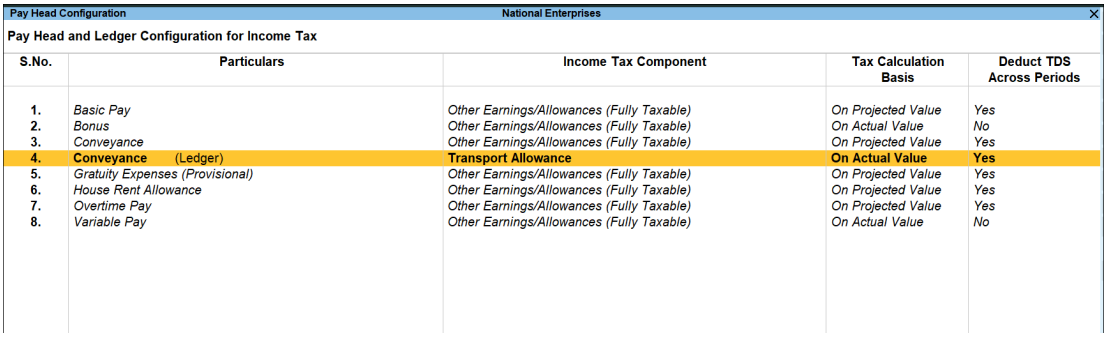
5. Accept the screen. As always, you can press **Ctrl+A** to save. Similarly, all other pay heads can also be configured for income tax.

Button options in Pay Head Configuration screen

- Press **F3** (Company): to change the company.
- Press **F8** (Tax Config): to view the Tax Configuration screen.
- Press **Alt+A** (Add Ledger): To select and configure any ledger for income tax. For example, conveyance can be paid as an expense by the employer. To compute income tax on conveyance, the employer must configure the Conveyance ledger for income tax.



Accept the screen. As always, you can press **Ctrl+A** to save. After configuring the ledger for income tax, the ledger appears in the **Pay Head / Ledger Configuration** screen:



Pay Head Configuration — National Enterprises

Pay Head and Ledger Configuration for Income Tax

S.No.	Particulars	Income Tax Component	Tax Calculation Basis	Deduct TDS Across Periods
1.	*Basic Pay*	*Other Earnings/Allowances (Fully Taxable)*	*On Projected Value*	*Yes*
2.	*Bonus*	*Other Earnings/Allowances (Fully Taxable)*	*On Actual Value*	*No*
3.	*Conveyance*	*Other Earnings/Allowances (Fully Taxable)*	*On Projected Value*	*Yes*
4.	**Conveyance** (Ledger)	**Transport Allowance**	**On Actual Value**	**Yes**
5.	*Gratuity Expenses (Provisional)*	*Other Earnings/Allowances (Fully Taxable)*	*On Projected Value*	*Yes*
6.	*House Rent Allowance*	*Other Earnings/Allowances (Fully Taxable)*	*On Projected Value*	*Yes*
7.	*Overtime Pay*	*Other Earnings/Allowances (Fully Taxable)*	*On Projected Value*	*Yes*
8.	*Variable Pay*	*Other Earnings/Allowances (Fully Taxable)*	*On Actual Value*	*No*

Income Tax Declarations

As per the Income Tax Act, while computing the Taxable Income the following are deducted from the Gross Salary for the Employees.

Before configuring your income tax declarations, you can set the tax regime details for all employees. Employees opting for new option tax regime u/s 115BAC have to forego some of these deductions and exemptions. In order to simplify the calculations, the applicability of deductions and exemptions for each tax regime are predefined in TallyPrime. This means even when you declare the value for a deduction or exemption, it is not considered for tax calculation if the respective deduction or exemption is not eligible under the selected tax regime.

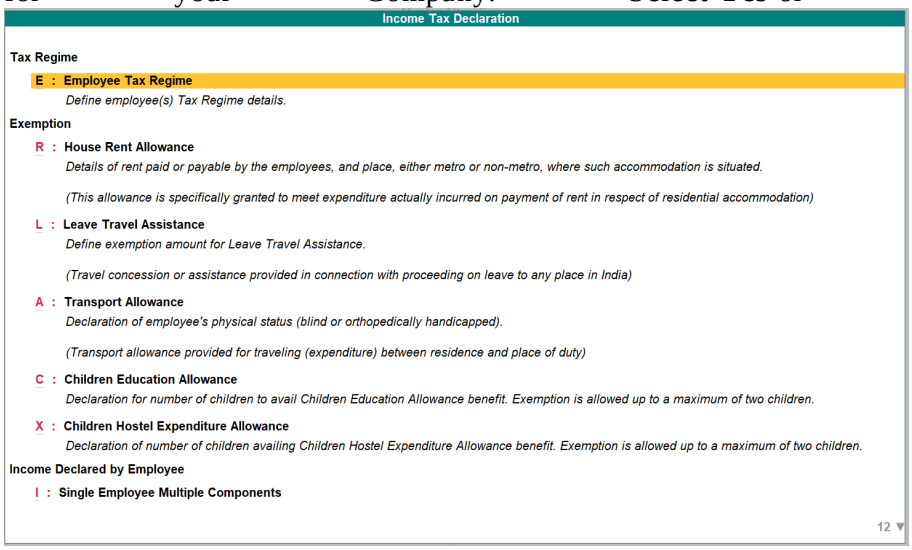
- **Exemptions**: As per section 10, Allowances such as HRA, LTA, Transport Allowance, Children Education Allowance and Children Hostel Expenditure Allowance are exempted from Income Tax.
- **Deductions Under Chapter VI-A**: As per Chapter VI-A of Income Tax, the following Deductions are allowed while computing the taxable income:
- **Investments (U/s 80C, 80CCF, 80CCG, etc.)**: Subject to a ceiling. certain investments are allowed as deduction when the system computes Taxable Income.
- **Others (U/s 80D, 80DD, 80E, etc.)**: Certain other expenses such as Mediclaim, and Interest paid on higher education loan are deducted before arriving at the taxable income.

Income Tax Declaration

The employee can provide the Exemption and Deduction details to the employer, and these details can be entered in the system as employee Declaration by following the process given below:

1. **Gateway of Tally** > **Alter** > type or select **Income Tax Declarations** > and press **Enter**. Alternatively, press **Alt**+**G** (Go To) > **Alter Master** > type or select **Income Tax Declarations** > and press **Enter**. In case the master is inactive, you will be prompted to enable the **Payroll** feature

for your Company. Select **Yes** or press **Y** to proceed.

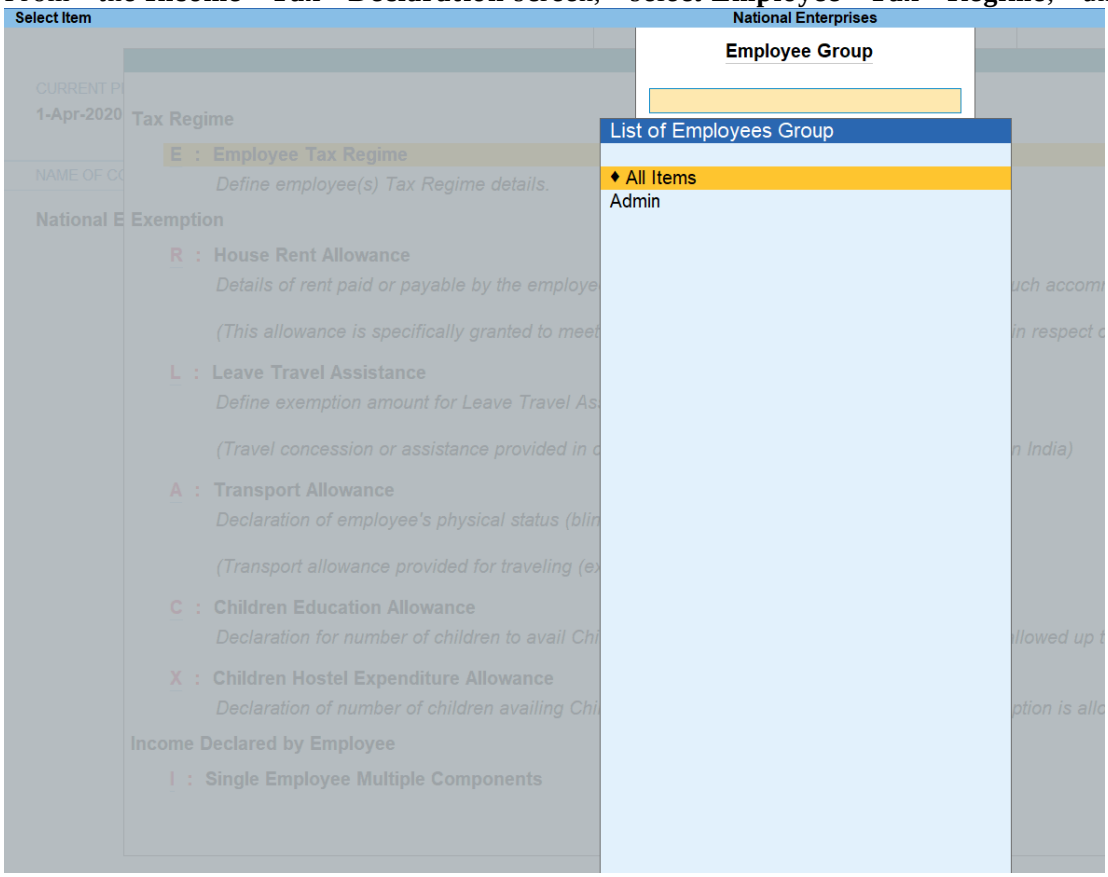


2. You can select the required exemption and investments, and enter the employee declarations details.

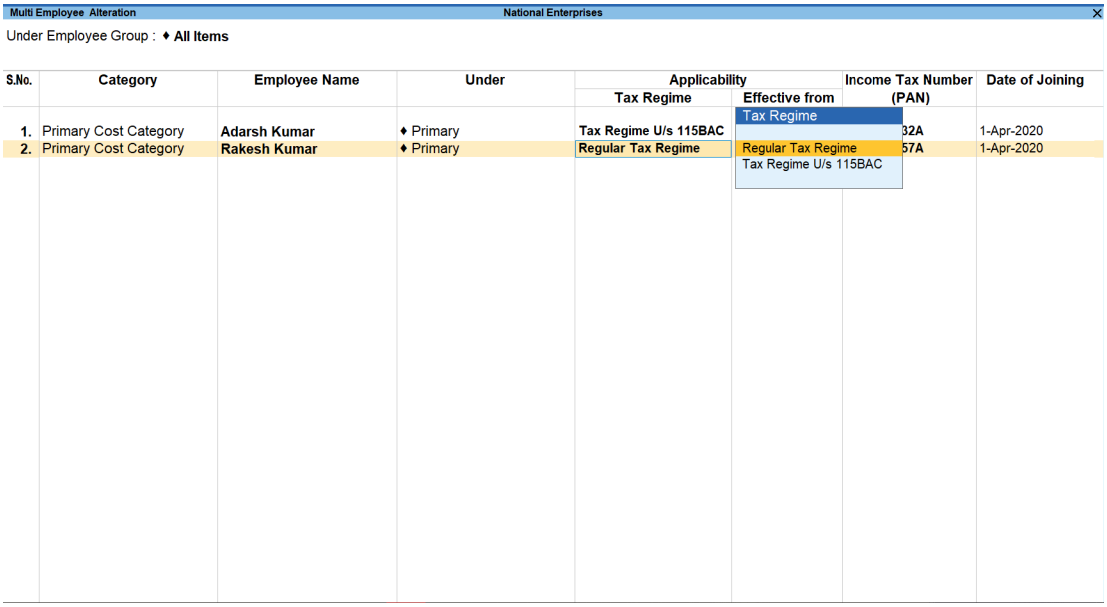
Employee Tax Regime

You can set the tax regime details for all employees or different employee groups.

1. From the **Income Tax Declaration** screen, select **Employee Tax Regime**, and press **Enter**.



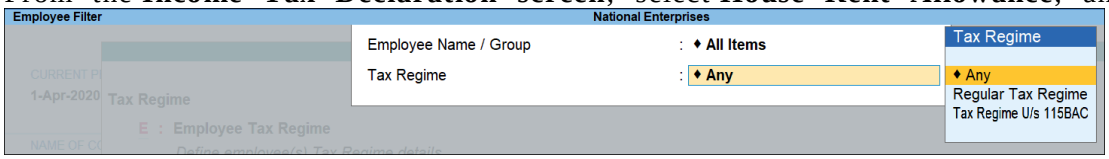
2. Select **All Items** to set tax regime for all employees or any employee group to set the details for employees in that particular group.



3. Select the tax regime for each employee in the group. The Effective From date for the tax regime is automatically updated. For regular regime the date will be books beginning from date or employee joining date, which ever is latest. For tax regime u/s 115BAC, 01-04-2020 or employee joining date whichever is later. In case the tax regime of an employee is altered, the revision date is saved in tax regime history of the employee.

Declare House Rent Allowance

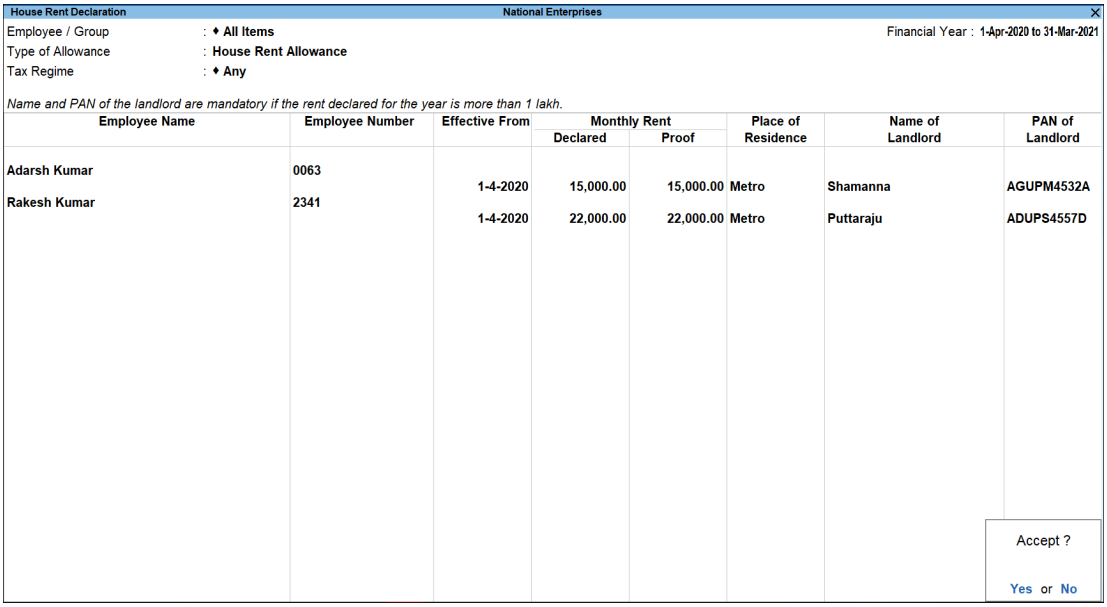
1. From the **Income Tax Declaration screen**, select **House Rent Allowance**, and press **Enter**.



2. Select the required **Employee** or **All Employees** or an **Employee Group** in the **Employee Name/Group** field.
3. Select **Any** or **Regular Tax Regime** or **Tax Regime U/s 115BAC** in the Tax Regime field to view the details for all employee or under particular tax regime. This field is skipped when individual employee is selected.
4. In the **House Rent Declaration** screen:
5. In the **Effective From** field, specify the date from when rent payment commenced.

- In **Rent Declared Amount** field, specify the amount the employee has declared as rent.
- In **Rent Proof Amount** field, specify the amount associated with the proof of rent paid the employee has submitted.
- In **Place of Residence,** select **Metro** or **Non-Metro** based on the city.
- In Name of Landlord column, specify the name of the landlord of the house rented by the employee.
- In the PAN of Landlord column, specify the PAN of the landlord or select Government or Non-resident, as applicable.

Note: Metro should be selected for Delhi, Mumbai, Kolkata and Chennai. For all others cities, Non-Metro s hould be selected.

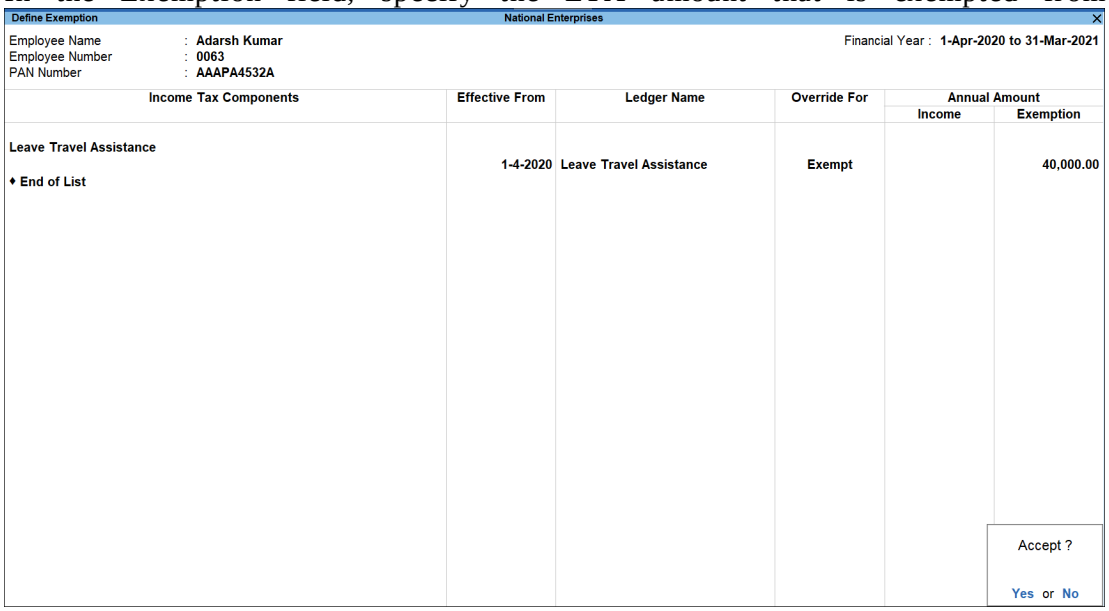


6. Accept the screen. As always, you can press **Ctrl**+**A** to save. Similarly, the HRA details can be entered for an individual(one employee).

Leave Travel Assistance

1. From **Income Tax Declaration** screen, bring cursor on **Leave Travel Assistance** and press Enter.
2. Select the required **Employee**.
3. In the **Effective From** field, specify the date when the LTA becomes applicable.
   - In the **Ledger Name** field, select the **Leave Travel Assistance** ledger.
   - By default, the **Override for** field is set to **Exempt**.

- In the Exemption field, specify the LTA amount that is exempted from Income Tax.



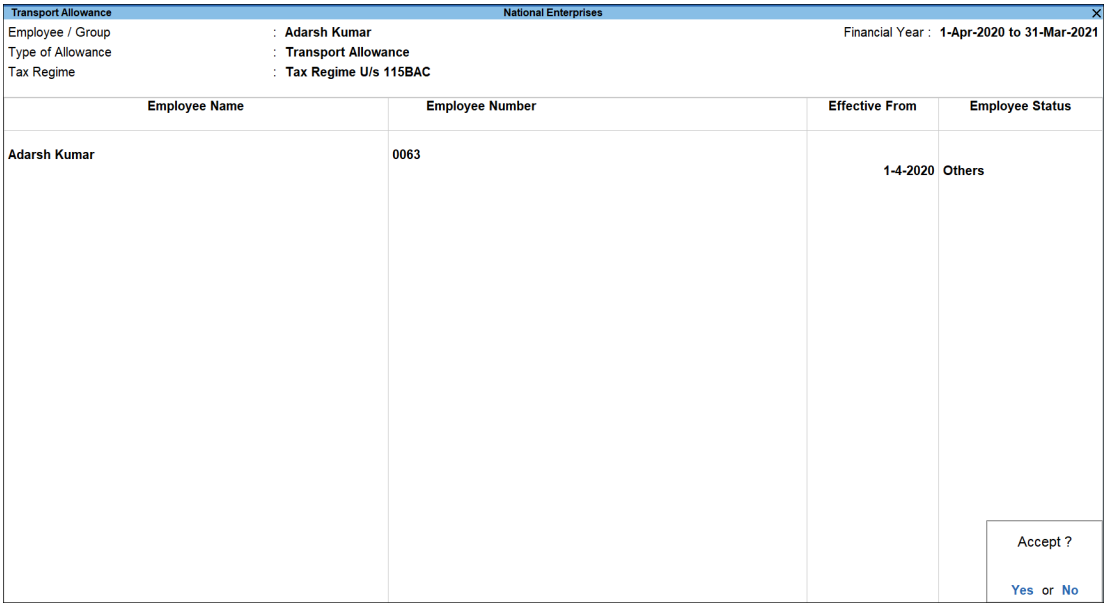
4. Accept the screen. As always, you can press **Ctrl+A** to save.

Declare Transport Allowance

1. From **Income Tax Declaration** screen, select **Transport Allowance** and press **Enter**.
2. Select the required **Employees** or **All Employees**, or an **Employee Group** in the **Employee Name or Group** filed.
3. Select **Any** or **Regular Tax Regime** or **Tax Regime U/s 115BAC** in the **Tax Regime** field to set the details for all employee or under particular tax regime. This field is skipped when individual employee is selected.
4. In the **Transport Allowance** screen,

- In the **Effective From** field, specify the date from when the Transport Allowance becomes applicable.
- Select the **Employee Status** as **Physically Challenged** or **Others**.

> **Note**: Employee Status will be used for Transport Allowance exemption limit.



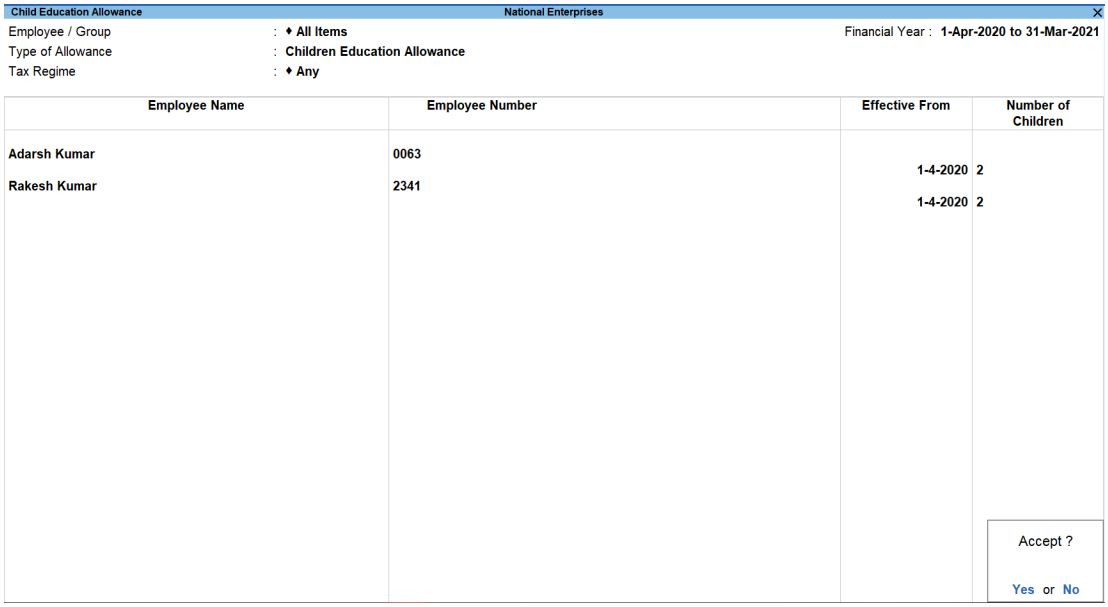
5. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Declare Children Education Allowance

1. From **Income Tax Declaration** screen, select **Children Education Allowance** and press **Enter**.
2. Select the required **Employees** or **All Employees** or an **Employee Group**.
3. Select **Any** or **Regular Tax Regime** or **Tax Regime U/s 115BAC** in the **Tax Regime** field to set the details for all employee or under particular tax regime. This field is skipped when individual employee is selected.
4. In the **Children Education Allowance** screen,

- In the **Effective From** field, specify the date from when the Children Education Allowance becomes applicable.

- In the **Number of Children** field, enter the number of children each employee wants to cover under this declaration. You can enter a value of 1 or 2 in this field.



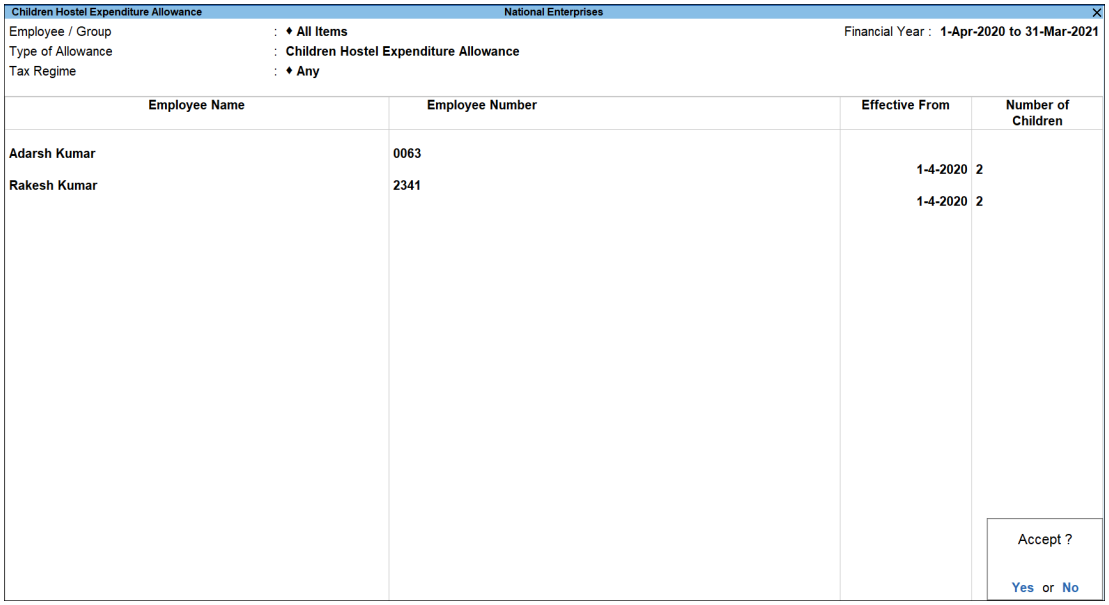
5. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Declare Children Hostel Expenditure Allowance

1. From **Income Tax Declaration** screen, select **Children Hostel Expenditure Allowance** and press **Enter**.
2. Select the required **Employees** or **All Employees**, or an **Employee Group**.
3. Select **Any** or **Regular Tax Regime** or **Tax Regime U/s 115BAC** in the Tax Regime field to set the details for all employee or under particular tax regime. This field is skipped when individual employee is selected.
4. In the **Children Hostel Expenditure Allowance** screen,

- In the **Effective From** field, specify the date from when the Children Hostel Expenditure Allowance becomes applicable.

- In the **Number of Children** field, enter the number of children that the employee wants to cover in this declaration. You can enter a value of 1 or 2 in this field.

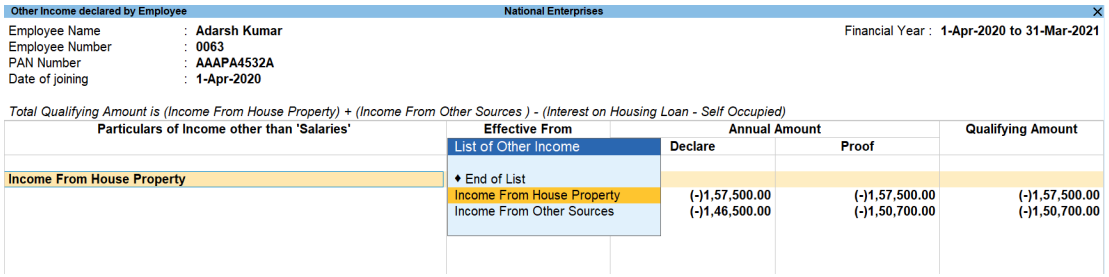


5. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Income Declared by Employee – Single Employee Multi Component

Under this head, you can define employee(s) declarations and proofs/eligible amount for the other incomes such as House Property, other sources and Interest on housing Loan, if the premises is self occupied.

1. Select **Income Declared by Employees** – **Single Employee Multi Component**, and press **Enter**.
2. From the **List of Employees**, select the required **employee**.
3. Select the **Particulars of Income Other than Salary** – **Income from House Property** from the List of Other Income.

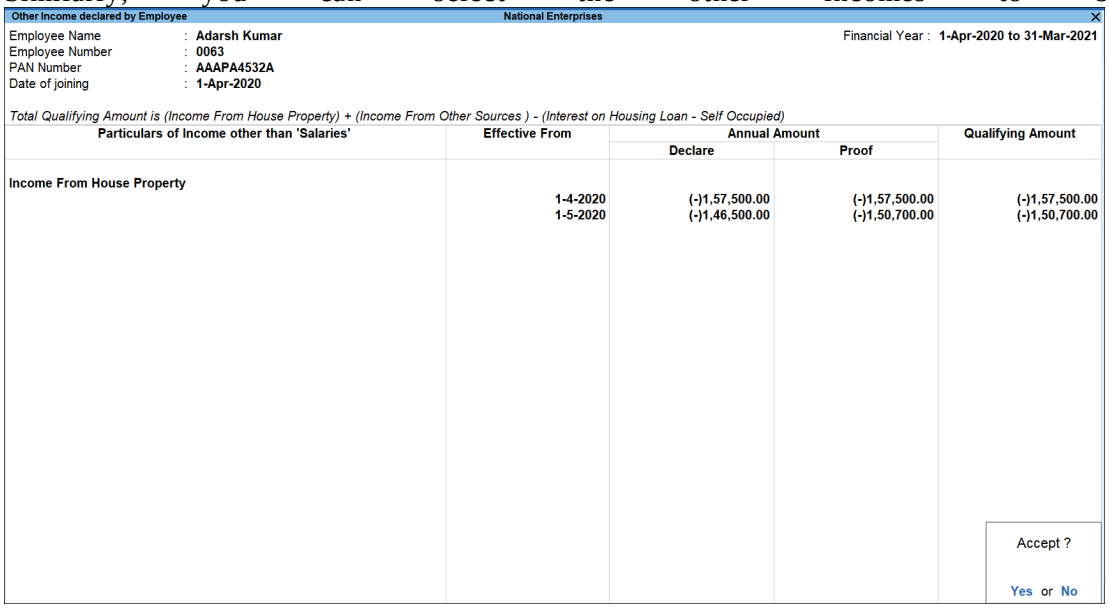


4. Specify the **Effective From** date.
5. Specify the **Details of Income from House Property**. The system computes the income from house property based on the information provided.

Details of Income from House Property

	Particulars	Annual Amount	
		Declare	Proof
A.	Letable / Rent Received or Receivable	30,000.00	20,000.00
B.	Tax Paid to Local Authorities	5,000.00	5,000.00
C.	Deduction @ 30.00 % on (A-B)	7,500.00	4,500.00
D.	Interest on Housing Loan - Let out	1,75,000.00	1,68,000.00
	Income from House Property (A-B-C-D)	**(-)1,57,500.00**	**(-)1,57,500.00**

Similarly, you can select the other incomes to be declared.

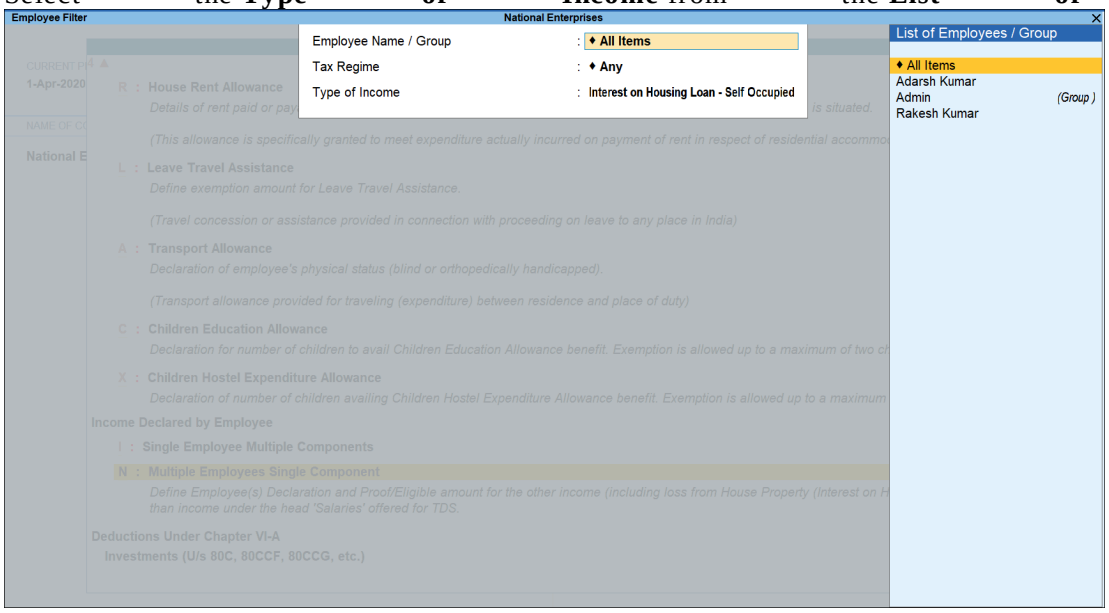


6. Accept the screen. As always, you can press **Ctrl**+**A** to save.

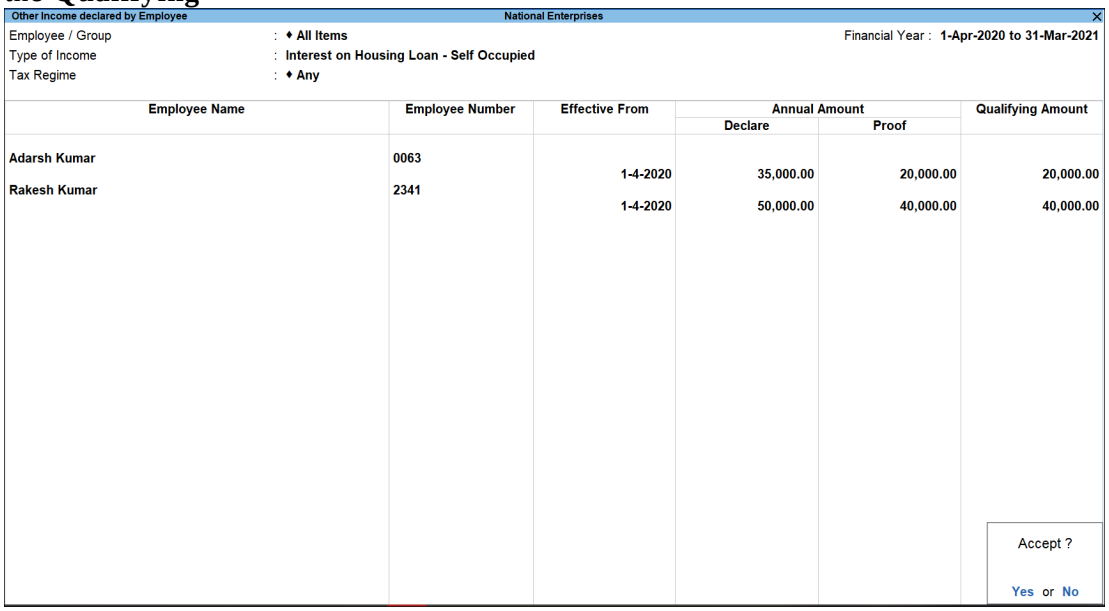
Income Declared by Employee – Multi Employees Single Component

1. Select **Income Declared by Employees** – **Multi Employees Single Component**, and press **Enter**.
2. From the **List of Employees**, select the appropriate **Employee Group**.
3. Select **Any** or **Regular Tax Regime** or **Tax Regime U/s 115BAC** in the **Tax Regime** field to set the details for all employee or under particular tax regime. This field is skipped when individual employee is selected.

4. Select the **Type of Income** from the **List of Incomes**.



5. Specify the **Effective From** date.
6. In **Annual Amount** column, specify the **Declare** and **Proof** amount. The system will then display the **Qualifying Amount**.



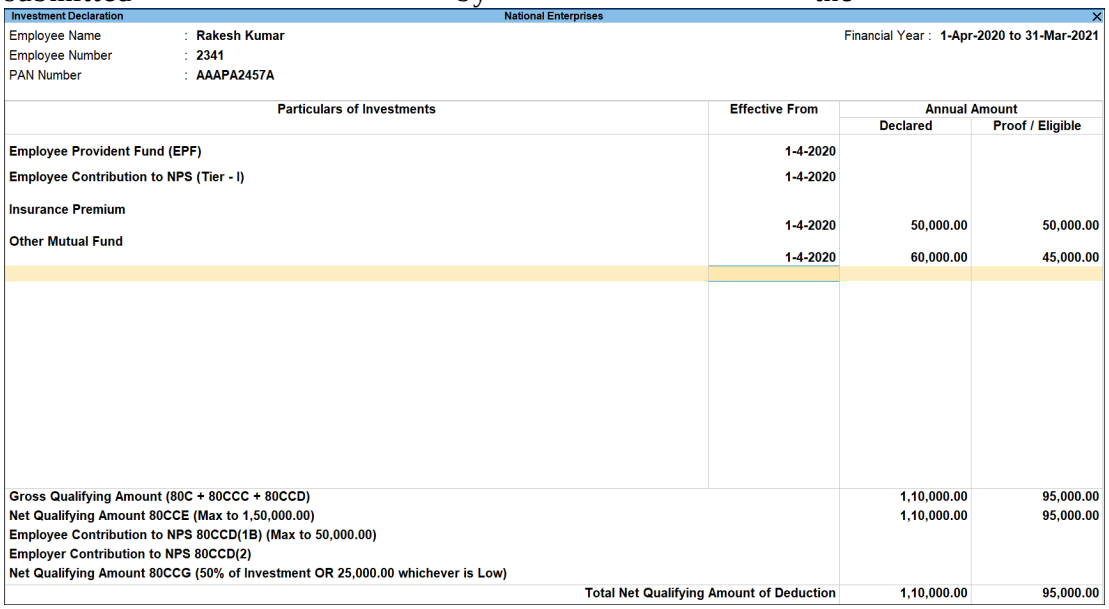
7. Accept the screen. As always, you can press **Ctrl+A** to save.

Declare Investments U/s 80C, 80CCF, 80CCG, etc. – Single Employee Multi Component

1. From **Income Tax Declaration** screen, select **Single Employee Multi Component** under **Investments (U/s 80C, 80CCF etc.)** and press **Enter**.
2. From the **List of Employees**, select the employee, and press **Enter**.
3. In the **Investment Declaration** screen,

- Under **Particulars of Investments**, select the required Investments from the **List of Investments**.

- In the **Effective From** field, specify the date when these investments become applicable.
- In the **Declared** Amount field, specify the amount declared for the respective investment.
- In the **Proof/Eligible** Amount field, specify the details of the amount associated with the proof submitted by the employee.



Investment Declaration — National Enterprises

Employee Name : **Rakesh Kumar**
Employee Number : **2341**
PAN Number : **AAAPA2457A**
Financial Year : **1-Apr-2020 to 31-Mar-2021**

Particulars of Investments	Effective From	Annual Amount	
		Declared	Proof / Eligible
Employee Provident Fund (EPF)	1-4-2020		
Employee Contribution to NPS (Tier - I)	1-4-2020		
Insurance Premium	1-4-2020	50,000.00	50,000.00
Other Mutual Fund	1-4-2020	60,000.00	45,000.00
Gross Qualifying Amount (80C + 80CCC + 80CCD)		1,10,000.00	95,000.00
Net Qualifying Amount 80CCE (Max to 1,50,000.00)		1,10,000.00	95,000.00
Employee Contribution to NPS 80CCD(1B) (Max to 50,000.00)			
Employer Contribution to NPS 80CCD(2)			
Net Qualifying Amount 80CCG (50% of Investment OR 25,000.00 whichever is Low)			
Total Net Qualifying Amount of Deduction		1,10,000.00	95,000.00

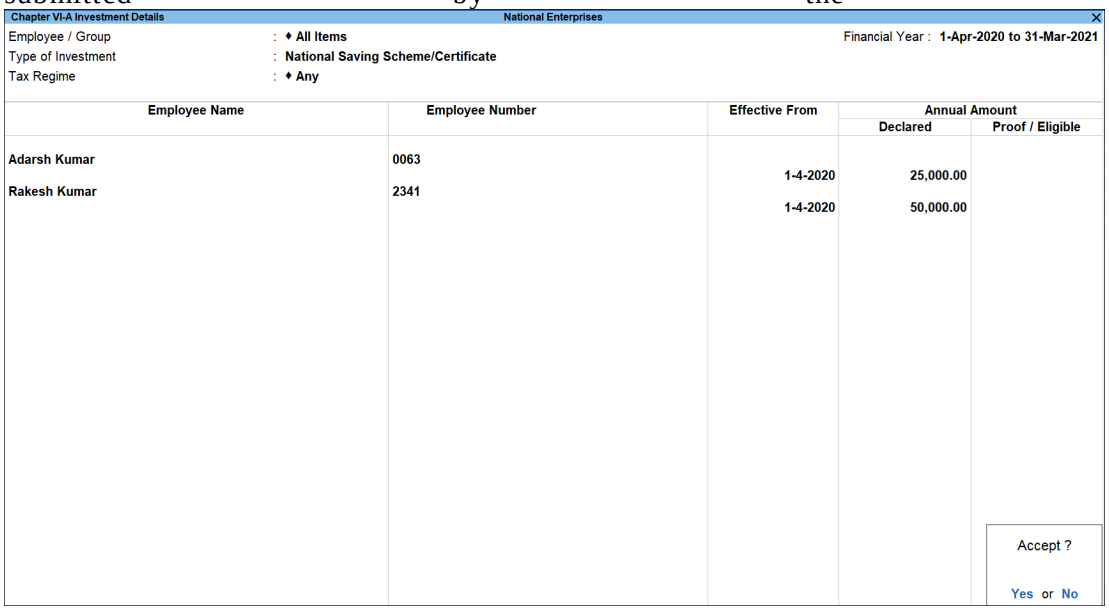
4. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Declaring Investments U/s 80C, 80CCF, 80CCG, etc. – Multi Employees Single Component

1. From **Income Tax Declaration** screen, select **Multi Employees Single Component** under **Investments (U/s 80C, 80CCF etc.)** and press **Enter**.
2. Select the **All Items** from the **List of Employees**, and press **Enter**.
3. Select **Any** or **Regular Tax Regime** or **Tax Regime U/s 115BAC** in the **Tax Regime** field to set the details for all employee or under particular tax regime. This field is skipped when individual employee is selected.
4. Select the required Investment from the **List of Investments** and press **Enter**.
5. In the **Investment Declaration** screen,

- In the **Effective From** field, specify the date when these investments become applicable.
- In the **Declared Amount** field, specify the amount declared for the selected investment.

- In the **Proof/Eligible Amount** field, specify the details of the amount associated with the proof submitted by the employees.



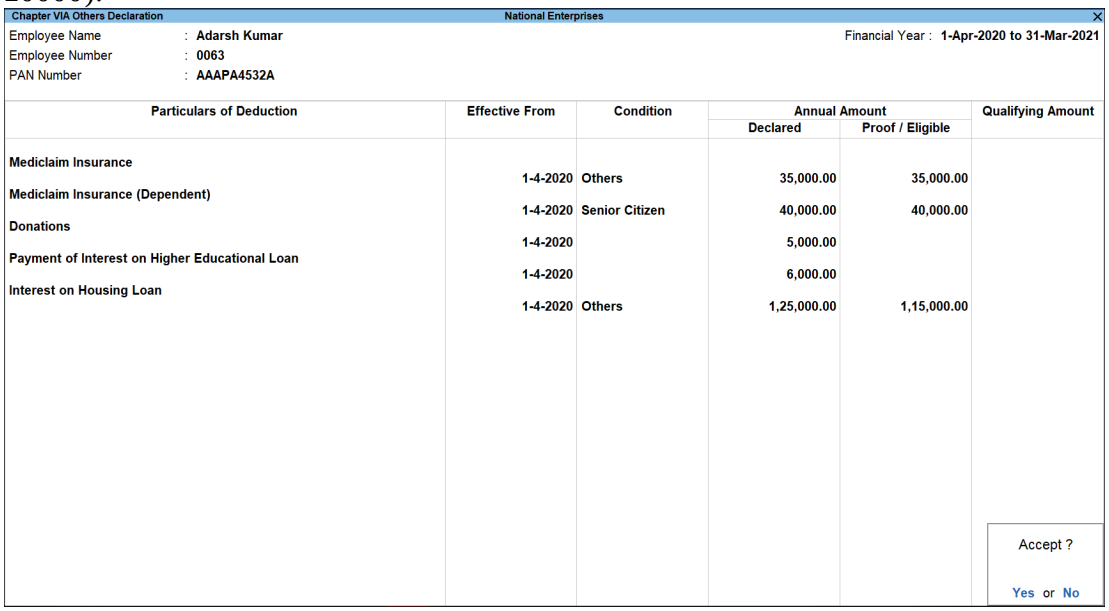
6. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Declaring Other Deductions under Chapter VI-A – Single Employee Multi Component

1. From **Income Tax Declaration** screen, select **Single Employee Multi Component** under **Others (U/s 80D, 80DD, 80E etc.)** and press **Enter**.
2. From the **List of Employees**, select the appropriate employee, and press **Enter**.
3. In the **Chapter VIA Others Declaration** screen,
4. Under **Particulars of Deduction**, select the required Deduction from the **List of Investments**.

- In the **Effective From** field, specify the date when the deductions are applicable.
- In the **Condition** field, select the appropriate value from the list (such as Others, Senior Citizen or Severe Disability) based on the information provided.
- In the **Declared Amount** field, specify the amount declared for the respective investment.
- In the **Proof/Eligible Amount** field, specify the details of the amount associated with the proof submitted by the employee.
- The **Qualifying Amount** field displays the actual amount which is allowed as deduction from actual salary.
  Note: For Mediclaim Insurance taken for dependent parents in addition to self, the maximum Qualifying Amount is Rs.40,000 [Self (if Senior Citizen) Rs.20000 + Parents (Senior Citizens) Rs.

20000).

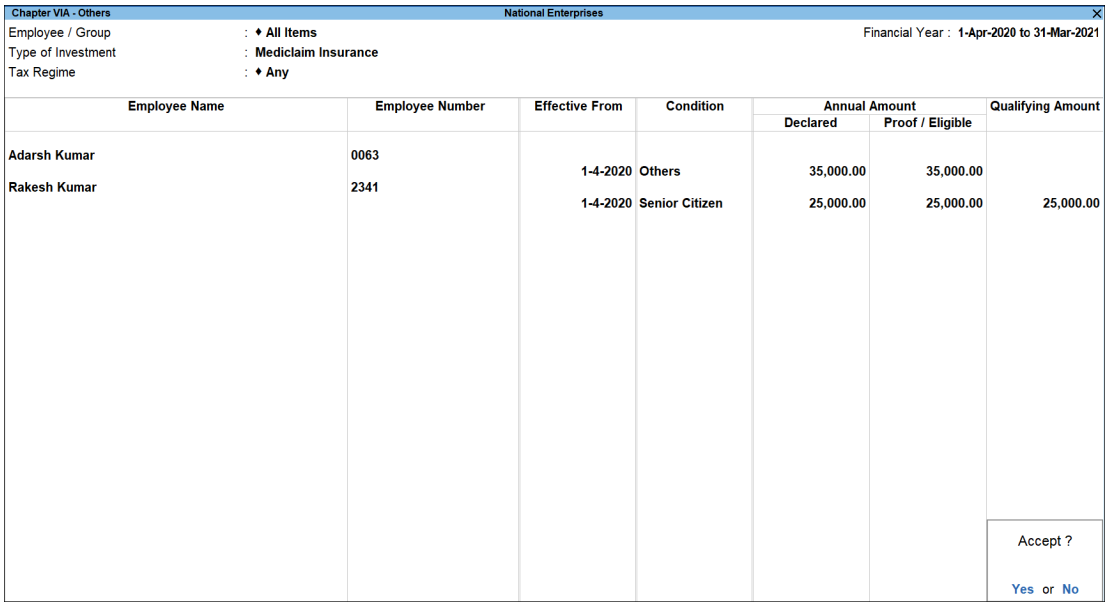


5. Accept the screen. As always, you can press **Ctrl+A** to save.

Declaring Other Deduction under Chapter VI-A – Multi Employees Single Component

1. From **Income Tax Declaration** screen, bring cursor on **Multi Employees Single Component** under **Others (U/s 80D, 80DD, 80E etc.)** and press **Enter**.
2. Select the **All Items** from the **List of Employees**, and press **Enter**.
3. Select **Any** or **Regular Tax Regime** or **Tax Regime U/s 115BAC** in the **Tax Regime** field to set the details for all employee or under particular tax regime. This field is skipped when individual employee is selected.
4. Select the required Investment from the **List of Investments**, and press **Enter**.
5. In the **Chapter VIA – Others** screen,

- In the **Effective From** field. specify the date when these investments become applicable.
- In the **Condition** field, select the appropriate parameter from the list (such as Others, Senior Citizen or Severe Disability), based on the information provided.
- In the **Declared Amount** field, specify the amount declared for the selected investment.
- In the **Proof/Eligible Amount** field, specify the details of the amount associated with the proof submitted by the employees. The Qualifying Amount column is automatically updated based on the exemption eligibility.



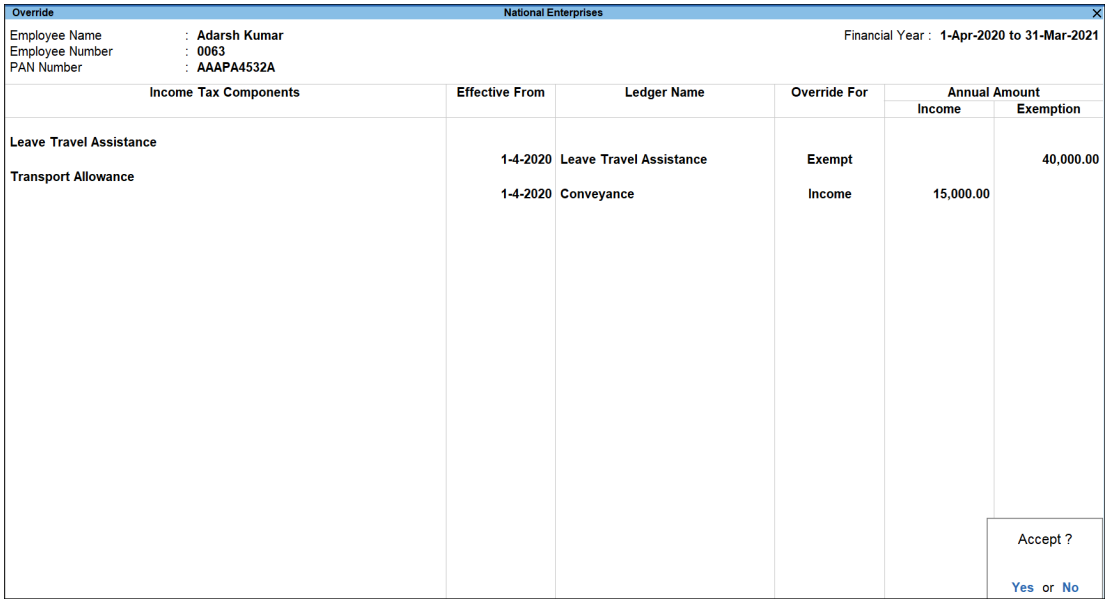
6. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Overriding Exemption Value (Payroll)

You can use the **Override Exemption Value** screen to override either the amount related to income or exemption.

When you override income for any allowance, the voucher value is not considered for income tax computation. Instead, the value specified in the Override screen is considered.

1. **Gateway of Tally** > **Alter** > type or select **Income Tax Exempt**. Alternatively, press **Alt**+**G** (Go To) > **Alter Master** > type or select **Income Tax Exempt** and press **Enter**.
   In case the master is inactive, you will be prompted to enable the Payroll feature for your Company. Select **Yes** or press **Y** to proceed.
2. Select the required employee from the **List of Employees/Employee Groups**.
3. Select the required Allowance from the **Income Tax Components**.
4. In **Effective From** field, specify the date from when the Override details are applicable.
5. In the **Ledger Name** field, select the required ledger /pay head from the **List of Ledgers**.
6. In **Override For** field, select from Exempt, Income or Both.
7. Enter the appropriate amount in the **Income** Amount field.
8. Enter the appropriate amount in the **Exemption** Amount field.



9. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Overriding Tax Value (Payroll)

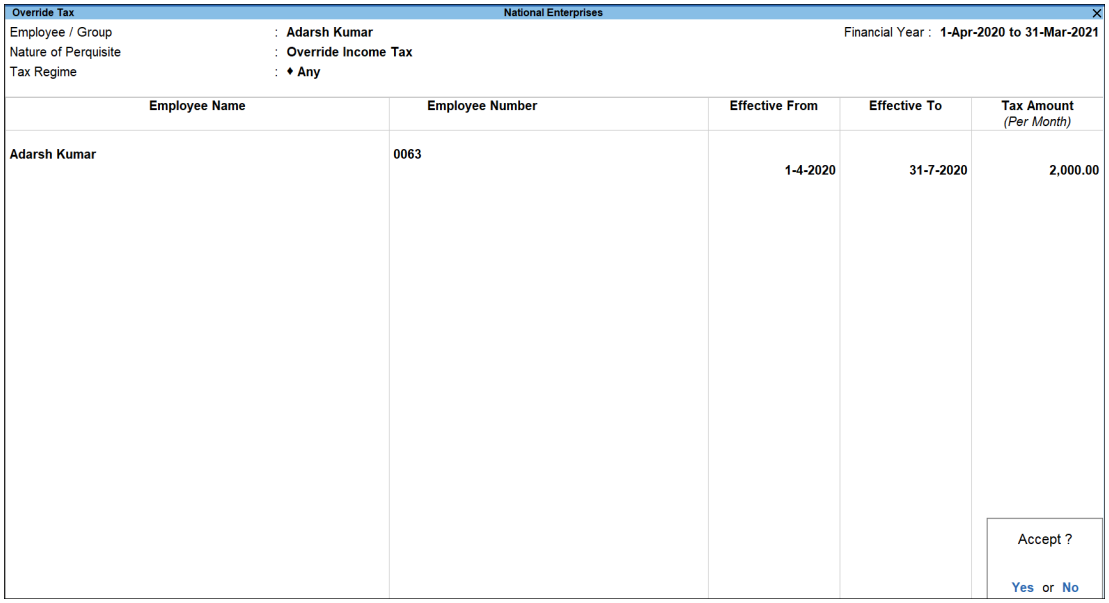
You can use the **Override Tax Value** screen to override the amount deducted towards income tax each month. You can also use the screen to specify the period in which you want to override the income tax amount.

COMPUTER

Note: When you specify the Override Tax Amount for any of the months, the actual tax amount computed by the system is not used for deduction.

EDUCATION

1. **Gateway of Tally** > **Alter** > type or select **Income Tax Amount**. Alternatively, press **Alt**+**G** (Go To) > **Alter Master** > type or select **Income Tax Amount** and press **Enter**.
   In case the master is inactive, you will be prompted to enable the Payroll feature for your Company. Select **Yes** or press **Y** to proceed.
2. Select the required **Employee** from the **List of Employees**.
3. In **Effective From** field, specify the date when the override becomes applicable.
4. In **Effective To** field, specify the date until when the override is applicable.
5. Enter the required amount in the **Tax Amount** (Per Month) field.



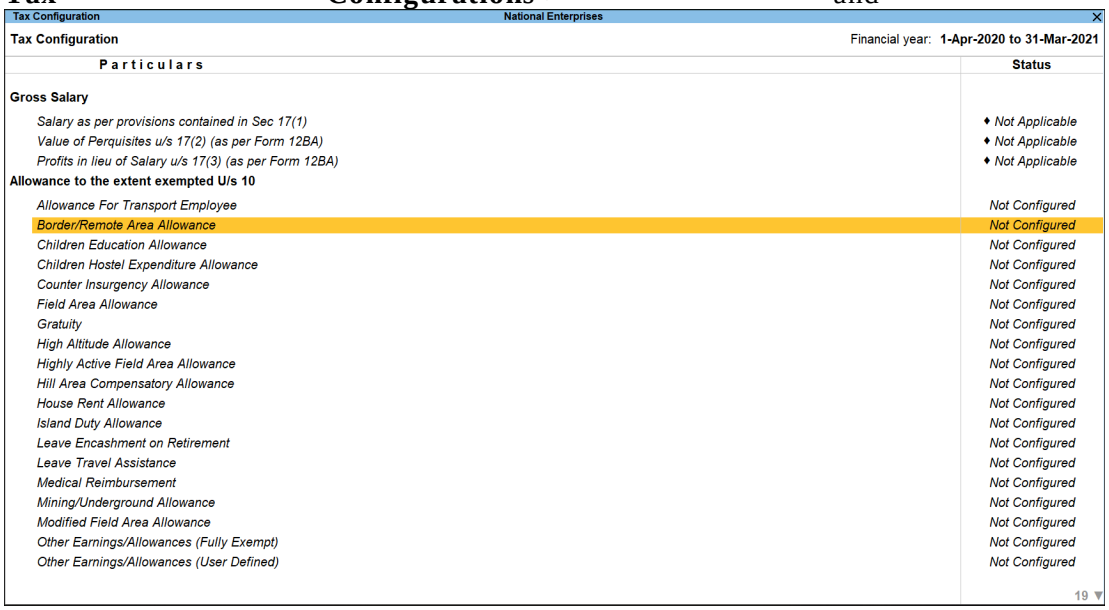
6. Accept the screen. As always, you can press **Ctrl+A** to save.

Configuring Tax Details (Payroll)

You can use the Tax Configuration screen to make all the necessary configuration in the following areas:.

View the Tax Configuration screen

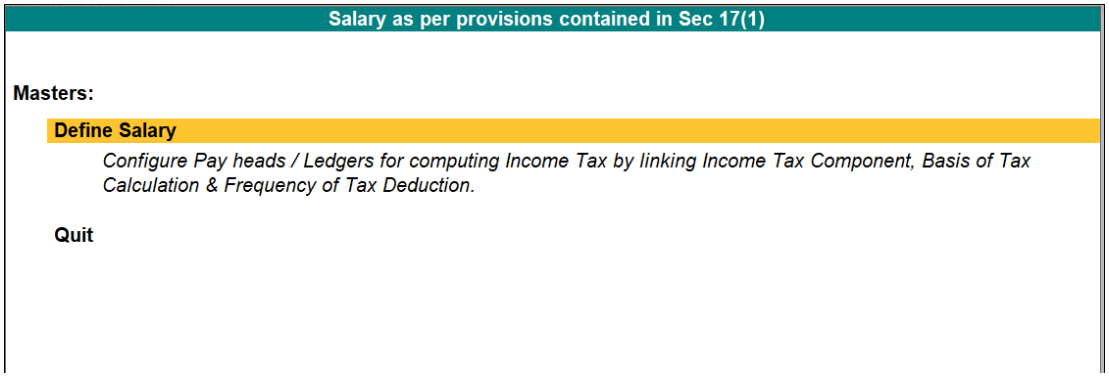
- **Gateway of Tally** > **Alter** > type or select **Payroll Income Tax Configurations** > and press **Enter**.Alternatively, press **Alt+G** (Go To) > **Alter Master** > type or select **Payroll Income Tax Configurations** > and press **Enter**.



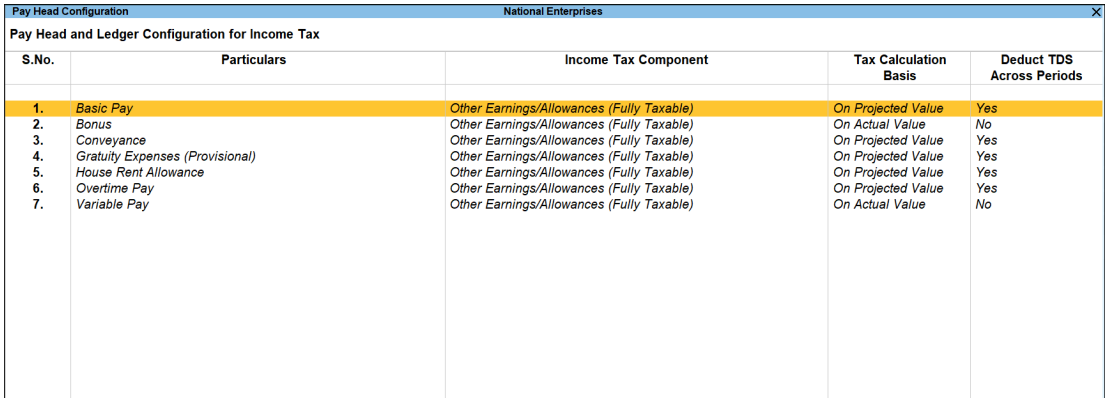
You can drill down into each component, and make the required changes.

Salary as per provisions contained in Sec 17(1)

1. Select **Salary as per Provisions contained in Sec 17(1)**, and press **Enter**.



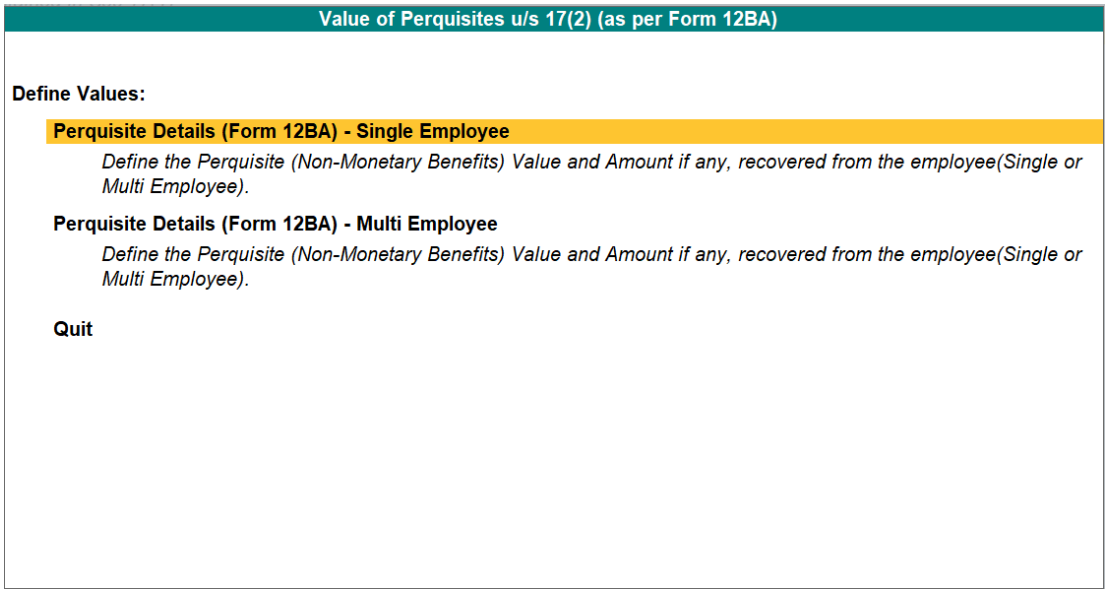
2. Press **Enter** on **Define Salary**.



You can configure the pay heads and ledgers to select the appropriate Income Tax Component, Tax Calculation Basis and Deduct TDS Across Period(s) as explained in the Pay Head Configuration screen.

Details of Perquisites

1. Select **Value of Perquisites U/s 17(2) (as per Form 12BA)** in Tax Configuration screen, and press **Enter**.

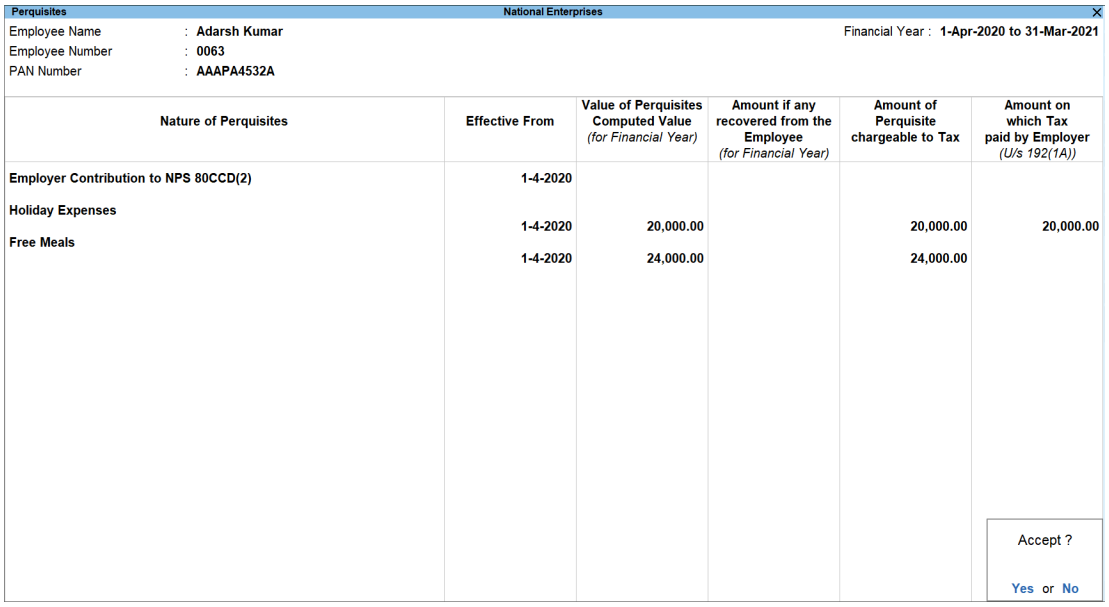


2. Select **Perquisites Details (Form 12BA) – Single Employee** or **Perquisites Details (Form 12BA) – Multi Employee** to define perquisite details for a single employee or all employees respectively.

Single Employee

1. Select **Perquisites Details (Form 12BA) – Single Employee** from above screen, and press **Enter**.
2. Select an employee from the **List of Employees**, and press **Enter**.
3. In the **Perquisites** screen,

- Select the required allowances in the **Nature of Perquisites** field.
- Specify the date from when the perquisites are applicable, in **Effective From** field.
- Enter the perquisite amount in the **Value of Perquisites Computed Value** field.
- Specify the **Amount If Any recovered from the Employee**. If nothing is recovered, leave this field empty.
- The Amount of Perquisite Chargeable to Tax is displayed, by default.
- Specify the **Amount on which Tax is Paid by Employer**.



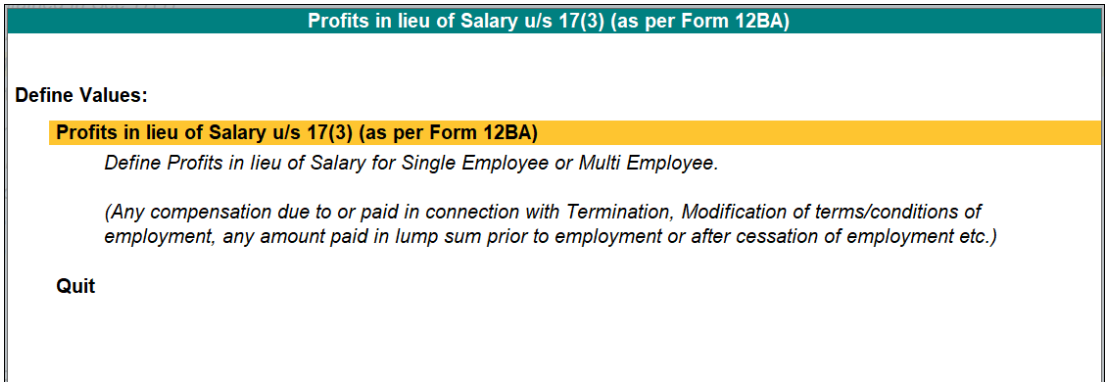
4. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Multi Employee

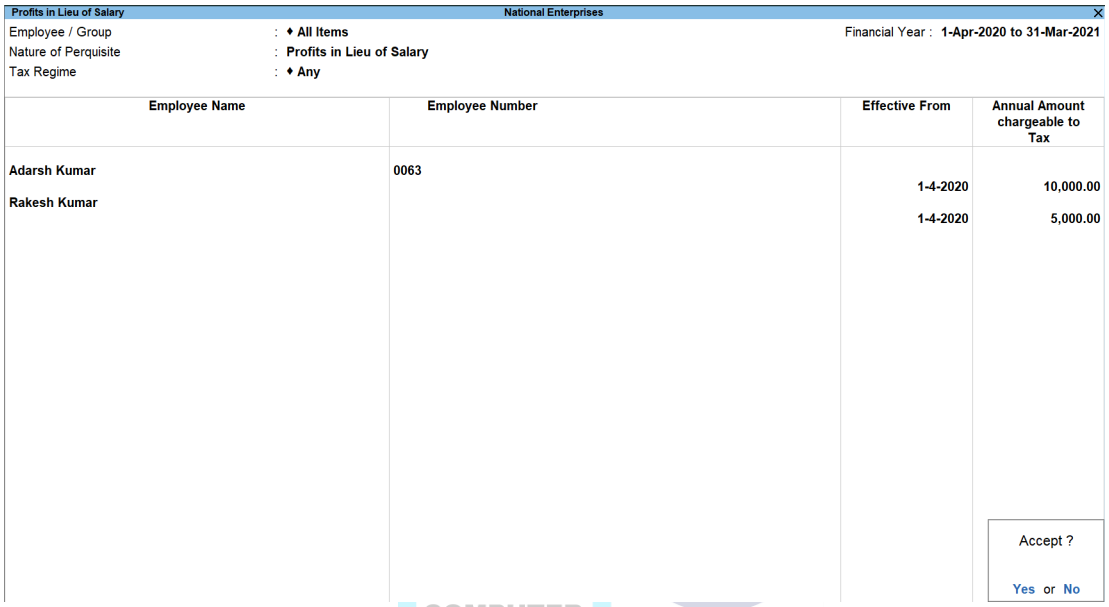
1. Select **Perquisites Details (Form 12BA) – Multi Employee** from **Value of Perquisites u/s 17 (as per Form 12BA)** sub screen, and press **Enter**.
2. Select the required employee group, tax regime and expenses from the perquisites list, and follow the same process as explained above.

Details of Profits in lieu of Salary

Bring cursor, on Profits in lieu of Salary u/s 17(3) (as per Form 12BA) **in Tax Configuration screen, and press** Enter**.**



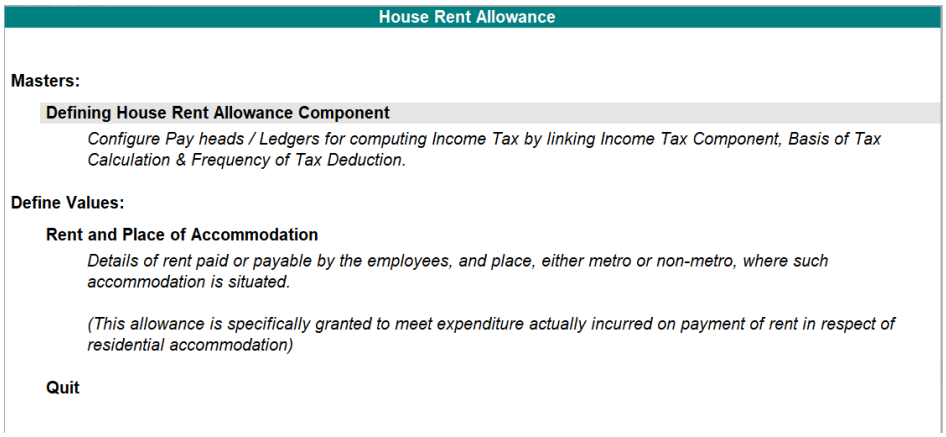
1. Select the required **Employee Name / Group** or **All Items**.
2. Select **Any** or **Regular Tax Regime** or **Tax Regime U/s 115BAC** in the Tax Regime field to set the details for all employee or under particular tax regime. This field is skipped when individual employee is selected.
3. In **Effective From** field, specify the date from when the Profits in Lieu of Salary is applicable.
4. In Annual **Amount Chargeable to Tax**, specify the value which is paid to the employee as profit on which tax has be paid by the employee.



5. Accept the screen. As always, you can press **Ctrl+A** to save.

Details of Allowances U/s 10

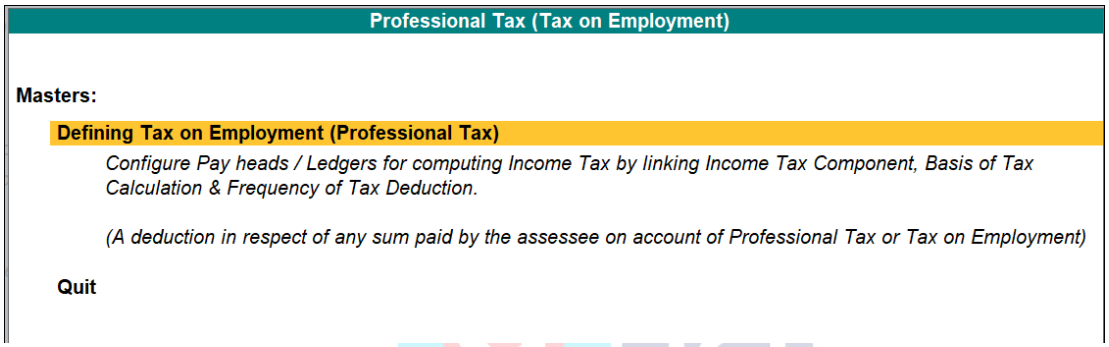
1. Select the required allowance under **Allowances to the extend exempted U/s 10** in **Tax**
2. **Configuration** screen, and press **Enter**.



3. Drill down on **Define Values** to enter the declaration details for selected allowance, as explained in Declarations menu.
4. Drill down on Masters to configure pay heads for the required income tax component, as explained in the Pay Head Configuration menu.

Deductions U/s 16

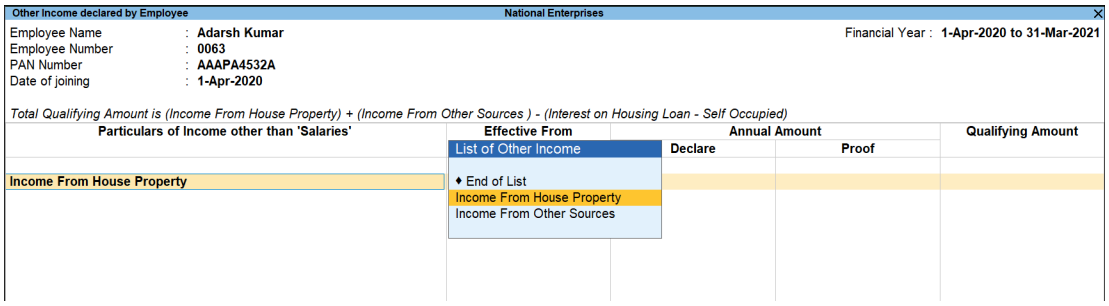
1. Select **Entertainment Allowance** or **Professional Tax (Tax on Employment)** under **Deductions U/s 16** in **Tax Configuration** screen, and press **Enter**.



2. Press **Enter** to configure the pay head/ledger for the selected allowance or tax. This is similar to Pay Head Configurations discussed earlier.

Other Income Declared by Employees

1. Select either **Other Income (House Property / Other Sources) / Interest on Housing Loan** under **Other Income declared by Employee** in **Tax Configuration** screen, and press **Enter**.
2. Select the required employee from the **List of Employees**.
3. Select **Income from House Property** from the list in the **Particulars of Income Other than 'Salaries'**.

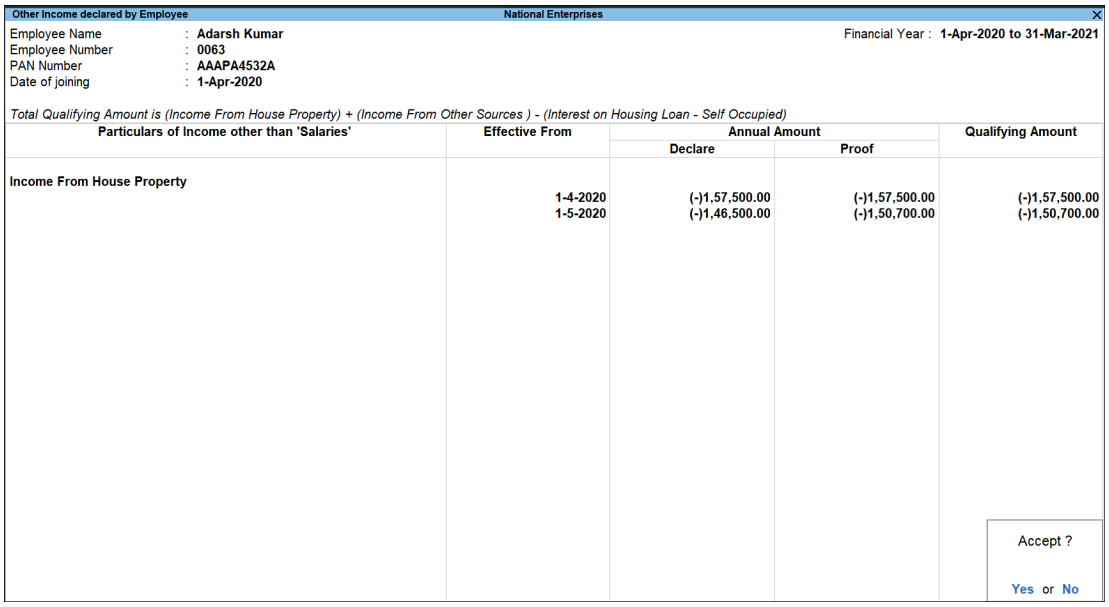


4. Specify the **Effective From** date.
5. Specify the **Details of Income from House Property**. Based on the details provided the income from house property is calculated.

Details of Income from House Property

	Particulars	Annual Amount	
		Declare	Proof
A.	Letable / Rent Received or Receivable	30,000.00	20,000.00
B.	Tax Paid to Local Authorities	5,000.00	5,000.00
C.	Deduction @ 30.00 % on (A-B)	7,500.00	4,500.00
D.	Interest on Housing Loan - Let out	1,75,000.00	1,68,000.00
	Income from House Property (A-B-C-D)	**(-)1,57,500.00**	**(-)1,57,500.00**

6. Follow a similar process for the other incomes that are applicable.

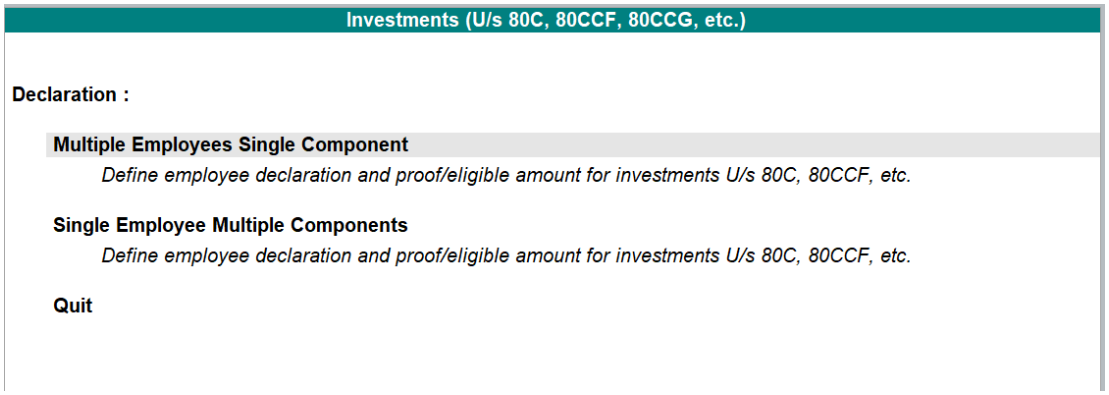


7. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Deductions Under Chapter VI-A

Investments

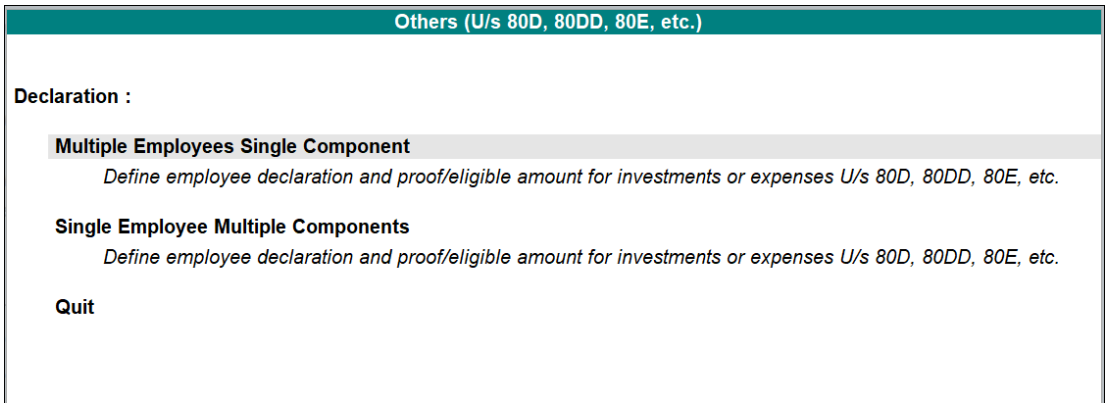
1. Select either **Investments (80C, 80CCF, 80CCG etc)** under **Deductions under Chapter VI-A** in **Tax Configuration** screen, and press **Enter**.



2. To add investment declarations for all employees, select **Multi Employee Single Component** and follow the process explained in Investments – Multi Employee Single Component.
3. To add investment declarations employees one by one, select **Single Employee Multi Component** and follow the process explained in Investments – Single Employee Multi Component.

Other Deductions

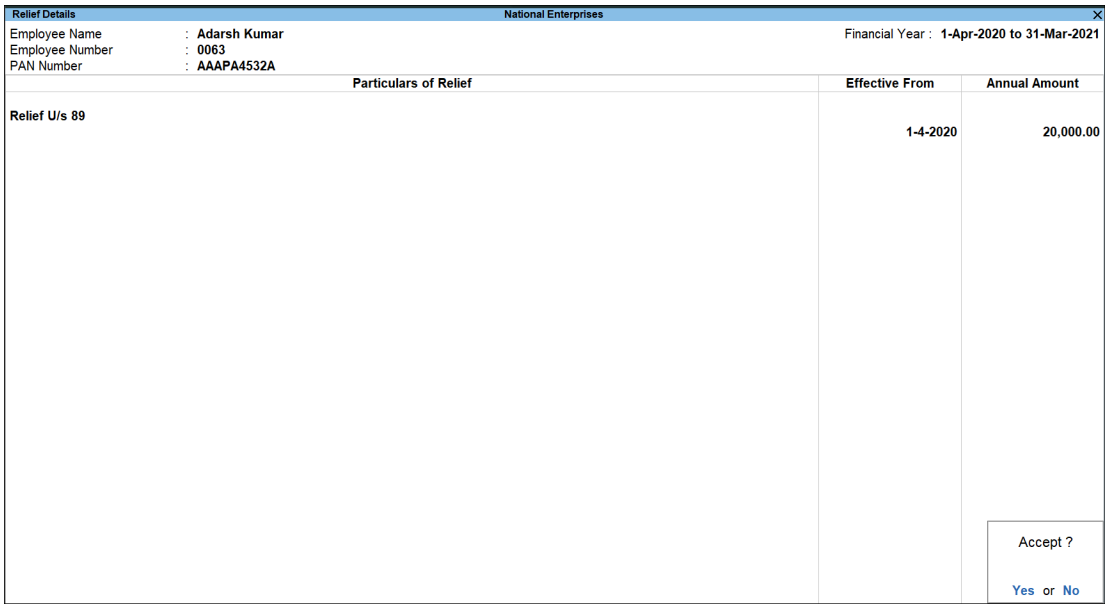
1. Select either **Others (80D, 80DD and 80E etc.)** under **Deductions under Chapter VI-A** in **Tax Configuration** screen, and press **Enter**.



2. To add Others declaration for all employees, select **Multi Employee Single Component**, and follow the process explained in Investments – Multi Employee Single Component.
3. To add Others declaration for employees one by one, select **Single Employee Multi Component**, and follow the process explained in Investments – Single Employee Multi Component.

Reliefs

1. Select **Relief (U/s 89, 90 & 91)** in **Tax Configuration** screen, and press **Enter**.
2. Select the required employee from the **List of Employees**, and press **Enter**.
3. Select the required Section from **Relief** list under the **Particulars of Relief**.
4. Enter the start date in the **Effective From** field.
5. Specify the relief amount in the **Annual Amount** field.

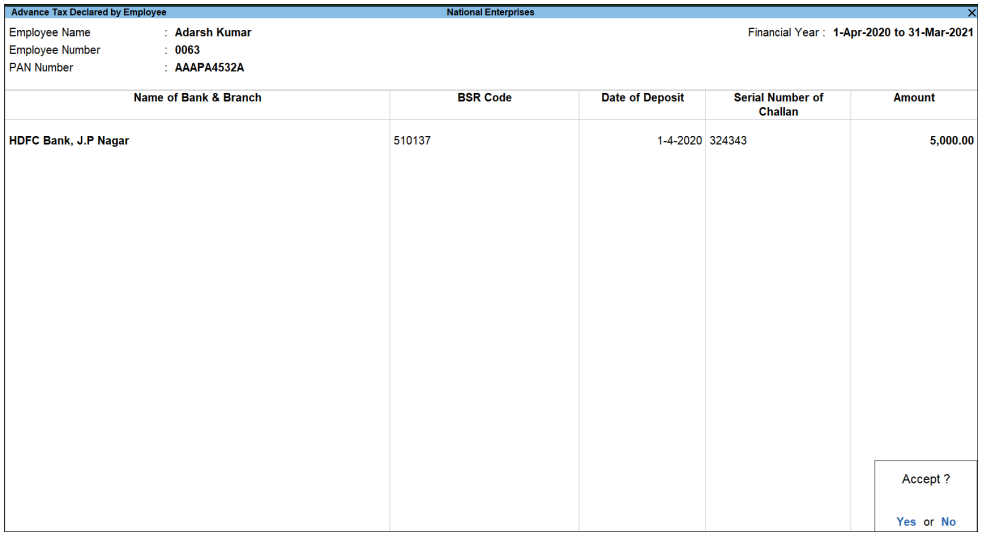


6. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Tax Deduction Details

Advanced Tax Declared by Employee

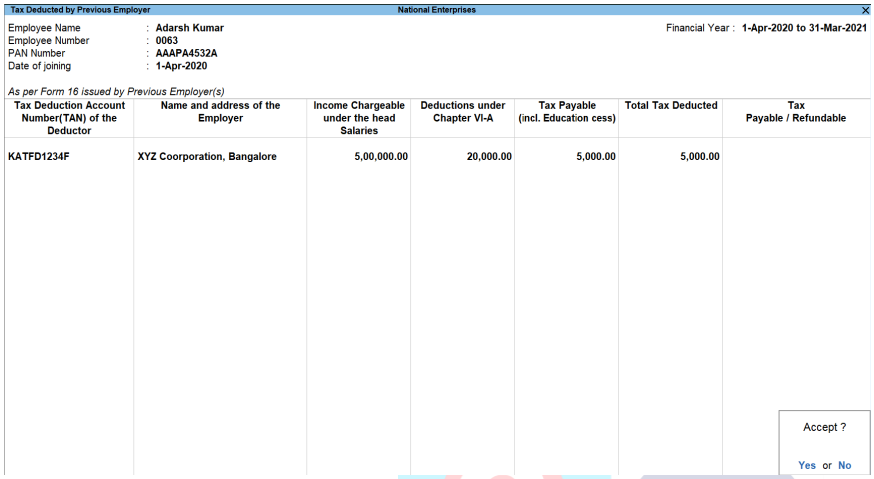
1. Select **Advanced Tax Declared by Employee** in **Tax Configuration** screen, and press **Enter**.
2. Select the required employee, and press **Enter**.
3. Specify the details of the advance tax paid.



4. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Tax Deducted by Previous Employer

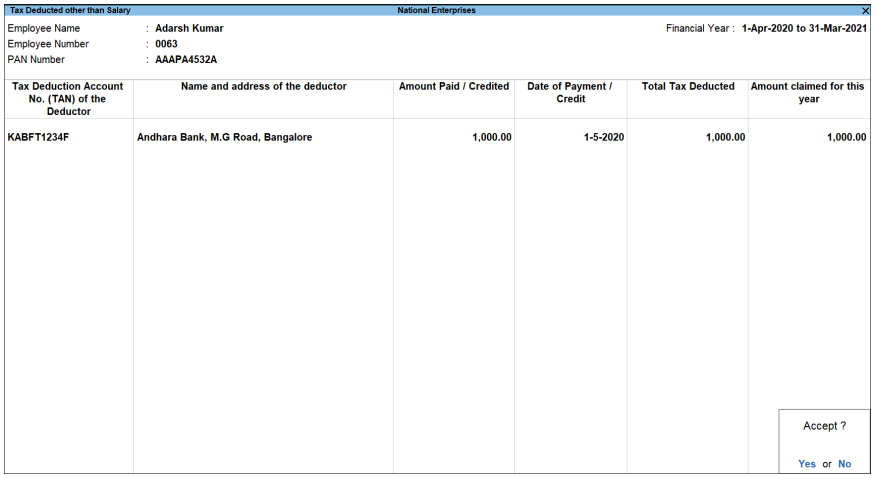
1. Bring cursor, on **Tax Deducted by Previous Employer** in **Tax Configuration** screen, and press **Enter**.
2. Select the required employee, and press **Enter**.
3. Specify the details of the **Tax Deducted by Previous Employer**.



4. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Tax Deducted Other than Salary

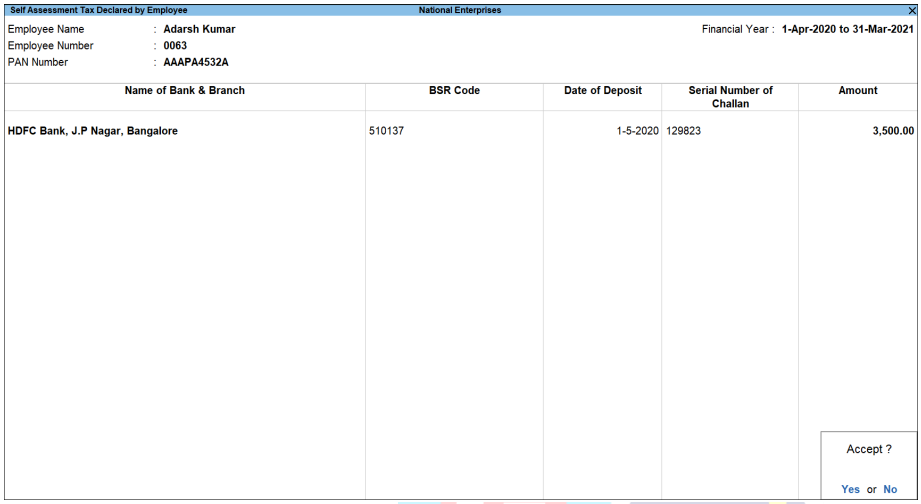
1. Select **Tax Deducted Other than Salary** in **Tax Configuration** screen, and press **Enter**.
2. Select the required employee, and press **Enter**.
3. Specify the details of deductor, as shown below.



4. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Self-Assessment Tax Declared by Employee

1. Bring cursor, on **Self Assessment Tax Declared by Employee** in **Tax Configuration** screen, and press **Enter**.
2. Select the required employee, and press **Enter**.



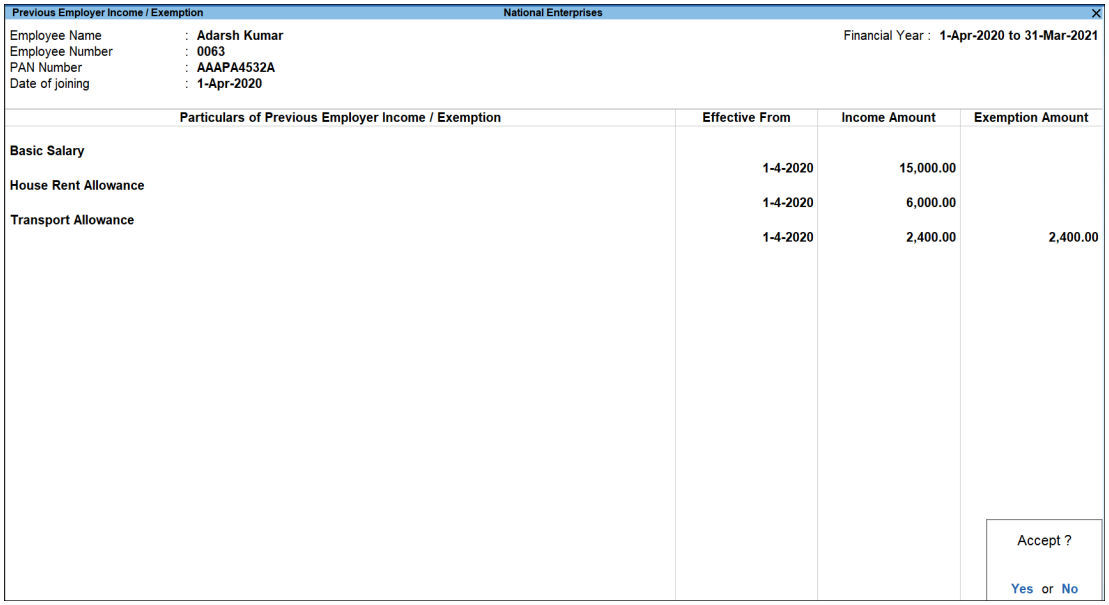
3. Accept the screen. As always, you can press **Ctrl+A** to save.

Previous Employer Details (Payroll)

To compute the income tax and generate Form 16 for employees who joined the organization during the course of the financial year, you have to enter the income received from the previous employer along with the taxes that they have paid.

Previous Employer Income/Exemption Details

1. **Gateway of Tally** > **Alter** > type or select **Previous Employer Income/Exemption Details**. Alternatively, press **Alt+G** (Go To) > **Alter Master** > type or select **Previous Employer Income/Exemption Details** and press **Enter**.
   In case the master is inactive, you will be prompted to enable the Payroll feature for your Company. Select **Yes** or press **Y** to proceed.
2. Select the required Employee from the **List of Employees**, and press Enter.
3. Specify the required **Income Tax Component** in the **Particulars of Previous Employer Income/Exemption** field.
4. Specify the start date in the **Effective From** field.
5. Specify the value in the **Income Amount** field.
6. Specify the value in the **Exemption Amount** field.

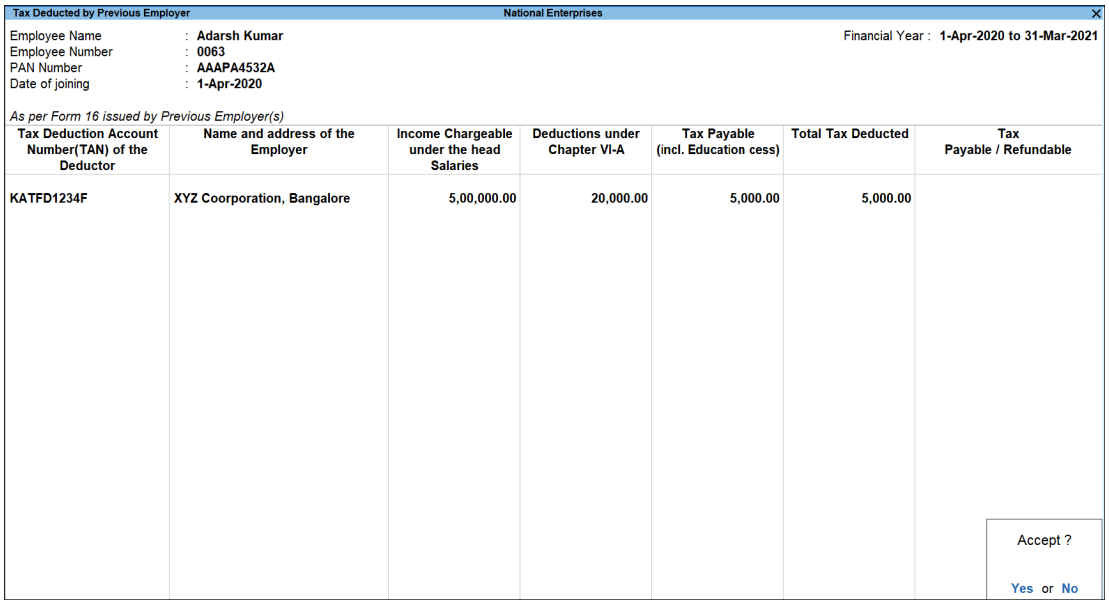


7. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Previous Employer Tax Deducted/Paid Details

1. **Gateway of Tally** > **Alter** > type or select **Previous Employer Income/Exemption Details**. Alternatively, press **Alt**+**G**(Go To) > **Alter Master** > type or select **Previous Employer Tax Deducted/Paid Details** and press **Enter**.
   In case the master is inactive, you will be prompted to enable the Payroll feature for your Company. Select **Yes** or press **Y** to proceed.

EDUCATION Jain Group - Bengaluru



2. Select the required employee from the **List of Employees**, and press **Enter**.
3. Specify the **Previous Employer** and **Tax payment**.
4. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Define Salary Structure for Employees and Employee Groups (Payroll)

You can add, delete or change a pay head component or its value for individual employees. To quickly enter the pay structure of each employee, define the Pay Structure for the Employee Group for an employee group using pay heads which are applicable to most employees. You can then copy and apply the same structure to each employee.

Salary structure gives us the components included in an employees pay. However, the tax is calculated based on the taxable nature of each pay head included in the salary structure of the employee. Further, the tax regime applicable to the employee will decide the tax slab, deductions and exemptions to considered to calculate income tax and net salary.

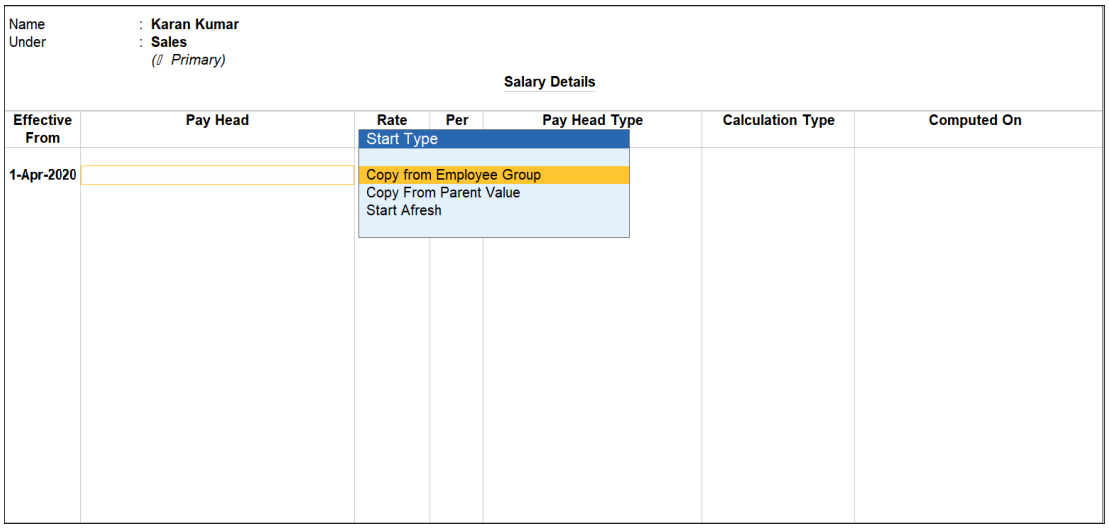
Salary Details for an Employee

1. **Gateway of Tally** > **Alter** > type or select **Define Salary**. Alternatively, press **Alt+G** (Go To) > **Alter Master** > type or select **Define Salary**.
2. Select the employee in the Name field from the **List of Groups/Employees**.
3. Enter the **Effective From** date.
4. In the Pay Head column, the **Start Type** list displays three options namely, **Copy From Employee**, **Copy From Parent Value** and **Start Afresh**.

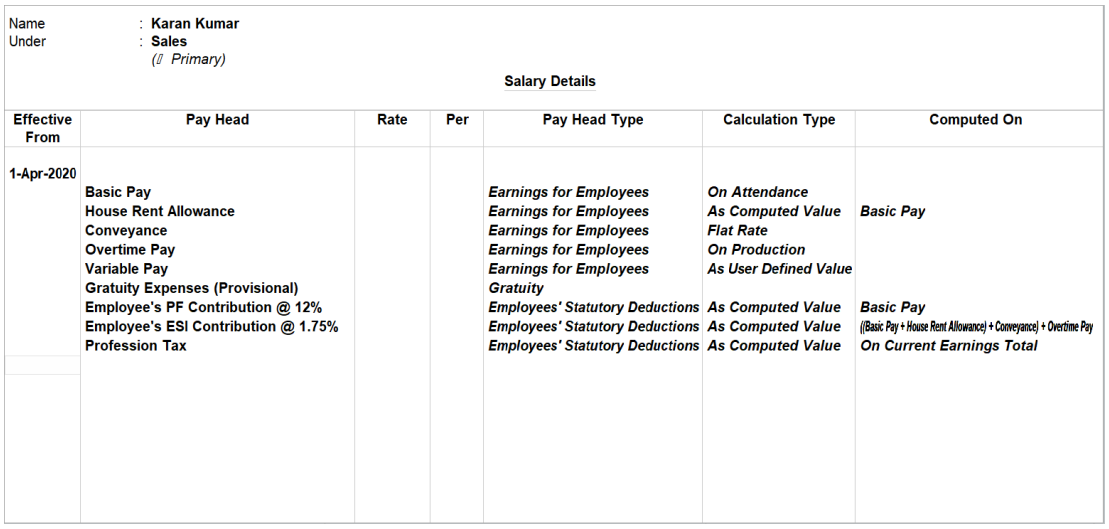
- Press **F12** (Configure) > set **Allow Copy From Employee** as **Yes**, you can select the option Copy From Employee.

Note: If pay head details are available in the parent group, you can select Copy From Parent Value to copy t he details.

- If you select **Copy From Employee**, you can select the Salary Details defined of any Employee, irrespective of the Employee Group.
- If you select **Copy From Employee Group**, you can view the Salary Details defined for the Employee Group.
- If you select **Copy From Parent Value**, you can view the Salary Details defined for the Employee Group to which the Employee belongs.
- If you select **Start Afres**h, you must select the Pay Heads from the List of Pay Heads and enter the values for the necessary Pay Heads, if required.



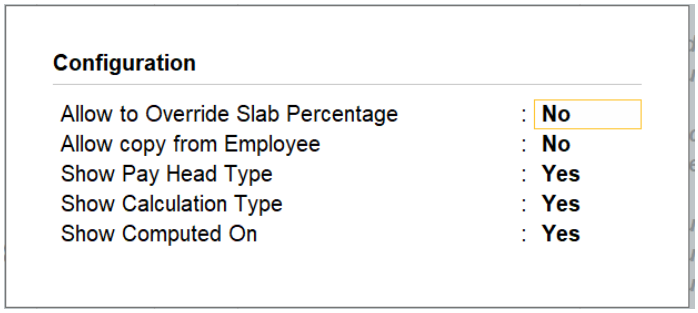
5. Modify values for the necessary pay heads as per employees' eligibility.



6. Accept the screen. As always, you can press **Ctrl+A** to save.

Salary Details Configuration

1. **Gateway of Tally** > **Alter**> type or select **Define Salary**. Alternatively, press **Alt+G** (Go To) > **Alter Master** > type or select **Define Salary**.
2. Select the required Employee/ Employee Group from the **List of Groups/Employees**.
3. Press **F12** (Configure) for configurations.



- **Allow to Override Slab Percentage**: To prevent changes made to slab percentages, set this option to **No**. You can set it to **Yes**, to override the percentages that are already defined at the pay head level. For example, you have defined the slab rate for HRA as 40% in the pay head level, and you want to change the slab rate percentage in the Salary Details screen. Set Allow to Override Slab Percentage to Yes in Salary Details Configuration screen, and set the slab rate percentage to the desired percentage.
- **Allow Copy From Employee**: If you want copy the salary details of an employee who belongs to a different employee group, set this option to **Yes**.
- **Show Pay Head Type**: If the pay head is an earning or a deduction in the Salary Details screen, set this option to **Yes**.
- **Show Calculation Type**: To display the method of calculation adopted (As Computed Value, As User Defined Value, Flat Rate, On Attendance or On Production), set this option to **Yes**.
- **Show Computed On**: To view the computation information (On Current Deductions Total, On Current Earnings Total, On Current Sub Total, On Specified Formula, set this option to **Yes**.

EDUCATION Jain Group - Bengaluru

Salary Details for Employee Group

1. **Gateway of Tally** > **Alter**> type or select **Define Salary**. Alternatively, press **Alt**+**G** (Go To) > **Alter Master** > type or select **Define Salary**.
2. Select the Employee Group (for example, Accounts) in the **Name** field from the **List of Groups/Employees**.
3. In the **Salary Details Alteration** screen, specify the date in **Effective From** field.
4. In the **Pay Head** column, the **Start Type** list displays two options namely, **Copy From Employee**, and **Start Afresh**.

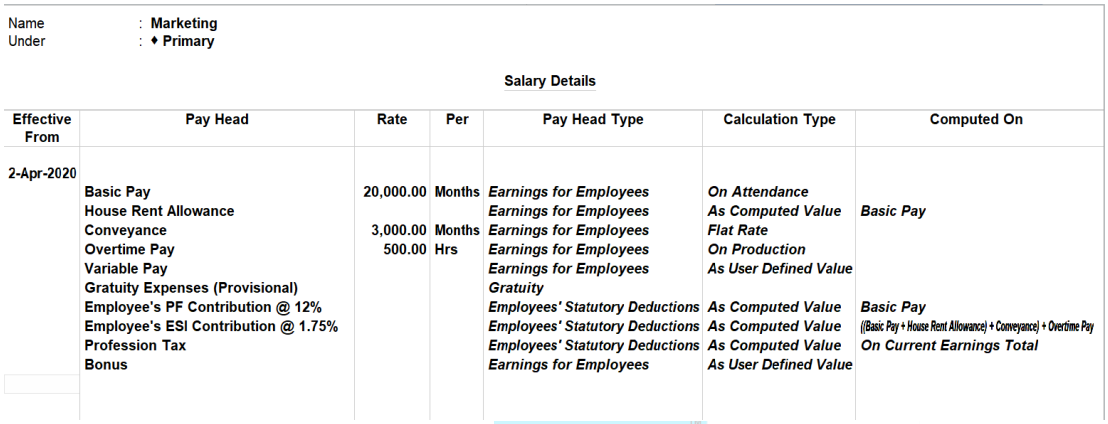
- If the option **Allow Copy From Employee** is enabled in **F12** (Configure), you can select the option **Copy From Employee**.

> **Note**: If the pay head details are available in other employee groups, you can select **Copy From Employee Group** to copy the details.

5. If you select **Copy From Employee Group**, the salary details defined for the employee group appears on the screen.
6. If you select **Copy From Employee**, you can select the salary details defined for an employee, irrespective of employee group.

7. If you select **Start Afresh**, you can select the pay heads from the List of Pay Heads, and enter the values for the necessary pay heads, if required.

- Select the pay heads from the **List of Pay Heads**.
- Enter the values in the **Rate** column, if applicable.
- The **Pay Head Type**, Calculation Type, and Calculated On columns display the details provided at the pay head creation level.



Name : **Marketing**
Under : **♦ Primary**

Salary Details

Effective From	Pay Head	Rate	Per	Pay Head Type	Calculation Type	Computed On
2-Apr-2020						
	Basic Pay	20,000.00	Months	*Earnings for Employees*	*On Attendance*	
	House Rent Allowance			*Earnings for Employees*	*As Computed Value*	*Basic Pay*
	Conveyance	3,000.00	Months	*Earnings for Employees*	*Flat Rate*	
	Overtime Pay	500.00	Hrs	*Earnings for Employees*	*On Production*	
	Variable Pay			*Earnings for Employees*	*As User Defined Value*	
	Gratuity Expenses (Provisional)			*Gratuity*		
	Employee's PF Contribution @ 12%			*Employees' Statutory Deductions*	*As Computed Value*	*Basic Pay*
	Employee's ESI Contribution @ 1.75%			*Employees' Statutory Deductions*	*As Computed Value*	*((Basic Pay + House Rent Allowance) + Conveyance) + Overtime Pay*
	Profession Tax			*Employees' Statutory Deductions*	*As Computed Value*	*On Current Earnings Total*
	Bonus			*Earnings for Employees*	*As User Defined Value*	

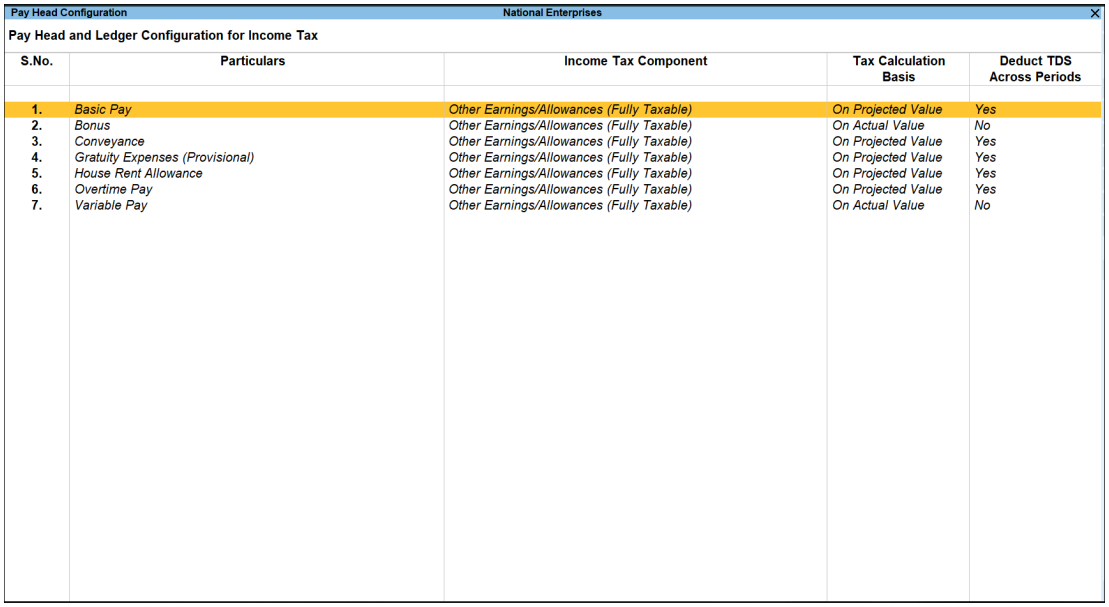
8. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Configuring Income Tax Components – Pay Head Configuration (Payroll)

You can use the Pay Head Configuration screen to configure the Income Tax Component for all existing pay heads. You can also configure the ledgers which are used for making the Payroll payments for the respective Income Tax Component.

Pay Head Configuration

1. **Gateway of Tally** > **Alter** > type or select **Income Tax Pay Heads Details**. Alternatively, press **Alt**+**G** (Go To) > **Alter Master** > type or select **Income Tax Pay Heads Details** > and press **Enter**.



Pay Head Configuration — National Enterprises

Pay Head and Ledger Configuration for Income Tax

S.No.	Particulars	Income Tax Component	Tax Calculation Basis	Deduct TDS Across Periods
1.	*Basic Pay*	*Other Earnings/Allowances (Fully Taxable)*	*On Projected Value*	*Yes*
2.	*Bonus*	*Other Earnings/Allowances (Fully Taxable)*	*On Actual Value*	*No*
3.	*Conveyance*	*Other Earnings/Allowances (Fully Taxable)*	*On Projected Value*	*Yes*
4.	*Gratuity Expenses (Provisional)*	*Other Earnings/Allowances (Fully Taxable)*	*On Projected Value*	*Yes*
5.	*House Rent Allowance*	*Other Earnings/Allowances (Fully Taxable)*	*On Projected Value*	*Yes*
6.	*Overtime Pay*	*Other Earnings/Allowances (Fully Taxable)*	*On Projected Value*	*Yes*
7.	*Variable Pay*	*Other Earnings/Allowances (Fully Taxable)*	*On Actual Value*	*No*

Pay heads which are already configured for income tax appear in bold, and those which are not configured appear in *Italics*.

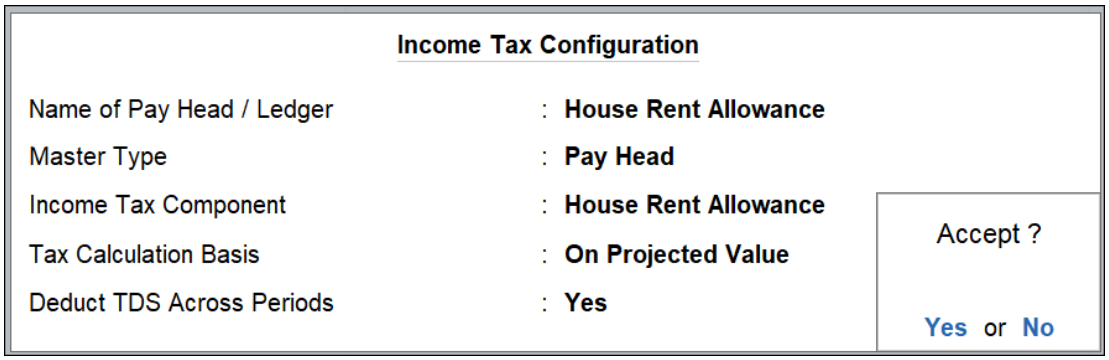
Note: The EPF A/c No. 1 and Professional Tax are also configured internally.

2. Press **Enter** on any of the pay heads configure/re-configure the same for income tax.
3. The **Income Tax Configuration** screen,

- **Name of Pay Head / Ledger**: By default, this field displays the pay head/ledger name .
- **Master Type**: Indicates whether this is a pay head or a ledger..
- **Income Tax Component**: From the List of Income Tax Components, select the required Income Tax Component for correct tax computation.
- **Tax Calculation Basis**: Select the appropriate Tax Calculation Basis from On Projection and On Actuals.

4. **On Projection**: You can select this to use the pay head/ledger value from Salary Details, or from the voucher (in case of User Defined pay head), and project it for the remaining period. **On Actuals**: Using this option, you can project the latest pay head value and the same will be projected for the remaining months as well.

- **Deduct TDS Across Periods**: To deduct entire TDS in the same month, set this option to **No**. If you want to spread the TDS deduction across the remaining period, set this to **Yes**.



Income Tax Configuration

Name of Pay Head / Ledger : **House Rent Allowance**
Master Type : **Pay Head**
Income Tax Component : **House Rent Allowance**
Tax Calculation Basis : **On Projected Value**
Deduct TDS Across Periods : **Yes**

Accept ?

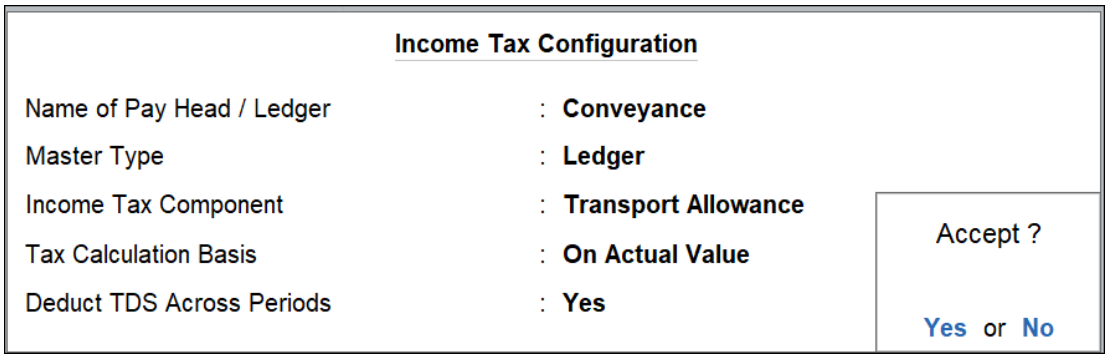
Yes or No

5. Accept the screen. As always, you can press **Ctrl+A** to save.

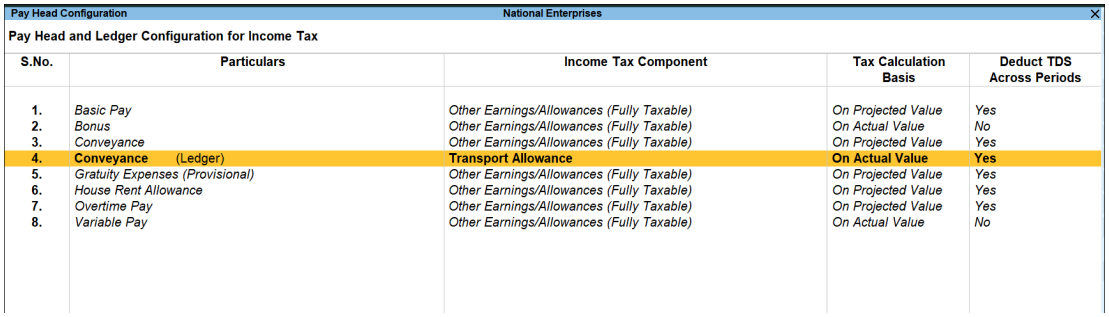
Similarly, all other pay heads can also be configured for income tax.

Button options in Pay Head Configuration screen

- Press **F3** (Company): to change the company.
- Press **F8** (Tax Config): to view the Tax Configuration screen.
- Press **Alt+A** (Add Ledger): To select and configure any ledger for income tax. For example, conveyance can be paid as an expense by the employer. To compute income tax on conveyance, the employer must configure the Conveyance ledger for income tax.



Accept the screen. As always, you can press **Ctrl+A** to save. After configuring the ledger for income tax, the ledger appears in the **Pay Head / Ledger Configuration** screen:



S.No.	Particulars	Income Tax Component	Tax Calculation Basis	Deduct TDS Across Periods
1.	*Basic Pay*	*Other Earnings/Allowances (Fully Taxable)*	*On Projected Value*	*Yes*
2.	*Bonus*	*Other Earnings/Allowances (Fully Taxable)*	*On Actual Value*	*No*
3.	*Conveyance*	*Other Earnings/Allowances (Fully Taxable)*	*On Projected Value*	*Yes*
4.	**Conveyance** (Ledger)	**Transport Allowance**	**On Actual Value**	**Yes**
5.	*Gratuity Expenses (Provisional)*	*Other Earnings/Allowances (Fully Taxable)*	*On Projected Value*	*Yes*
6.	*House Rent Allowance*	*Other Earnings/Allowances (Fully Taxable)*	*On Projected Value*	*Yes*
7.	*Overtime Pay*	*Other Earnings/Allowances (Fully Taxable)*	*On Projected Value*	*Yes*
8.	*Variable Pay*	*Other Earnings/Allowances (Fully Taxable)*	*On Actual Value*	*No*

Income Tax Declarations

As per the Income Tax Act, while computing the Taxable Income the following are deducted from the Gross Salary for the Employees.

Before configuring your income tax declarations, you can set the tax regime details for all employees. Employees opting for new option tax regime u/s 115BAC have to forego some of these deductions and exemptions. In order to simplify the calculations, the applicability of deductions and exemptions for each tax regime are predefined in TallyPrime. This means even when you declare the value for a deduction or

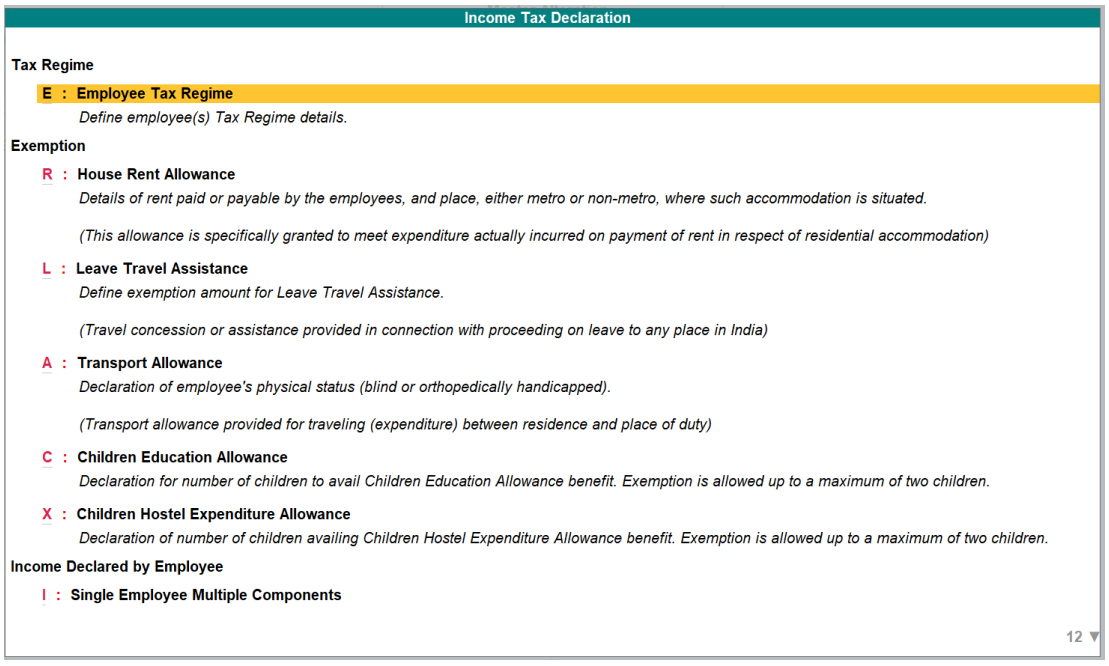
exemption, it is not considered for tax calculation if the respective deduction or exemption is not eligible under the selected tax regime.

- **Exemptions**: As per section 10, Allowances such as HRA, LTA, Transport Allowance, Children Education Allowance and Children Hostel Expenditure Allowance are exempted from Income Tax.
- **Deductions Under Chapter VI-A**: As per Chapter VI-A of Income Tax, the following Deductions are allowed while computing the taxable income:
- **Investments (U/s 80C, 80CCF, 80CCG, etc.)**: Subject to a ceiling. certain investments are allowed as deduction when the system computes Taxable Income.
- **Others (U/s 80D, 80DD, 80E, etc.)**: Certain other expenses such as Mediclaim, and Interest paid on higher education loan are deducted before arriving at the taxable income.

Income Tax Declaration

The employee can provide the Exemption and Deduction details to the employer, and these details can be entered in the system as employee Declaration by following the process given below:

1. **Gateway of Tally** > **Alter** > type or select **Income Tax Declarations** > and press **Enter**. Alternatively, press **Alt+G** (Go To) > **Alter Master** > type or select **Income Tax Declarations** > and press **Enter**.
   In case the master is inactive, you will be prompted to enable the **Payroll** feature for your Company. Select **Yes** or press **Y** to proceed.

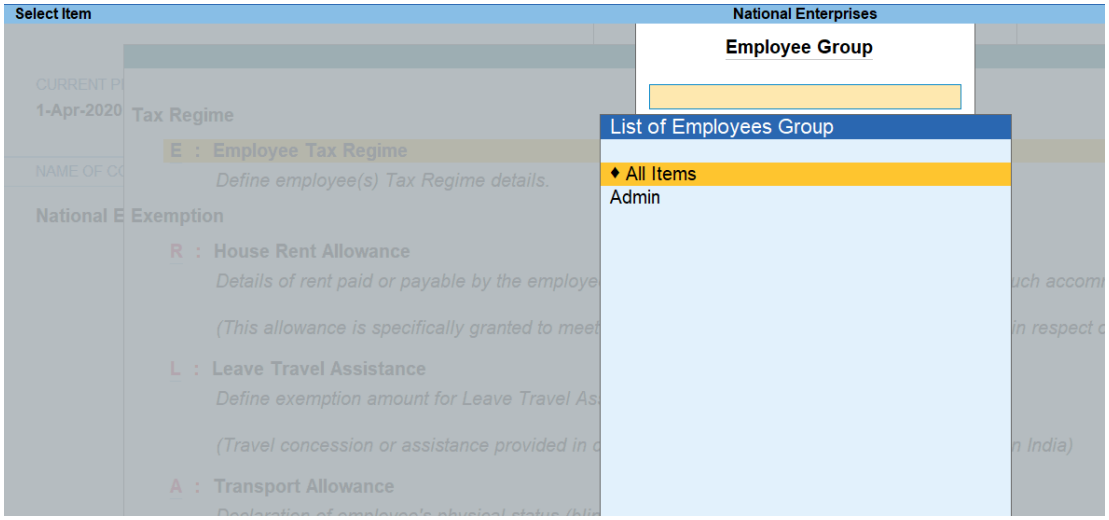


2. You can select the required exemption and investments, and enter the employee declarations details.

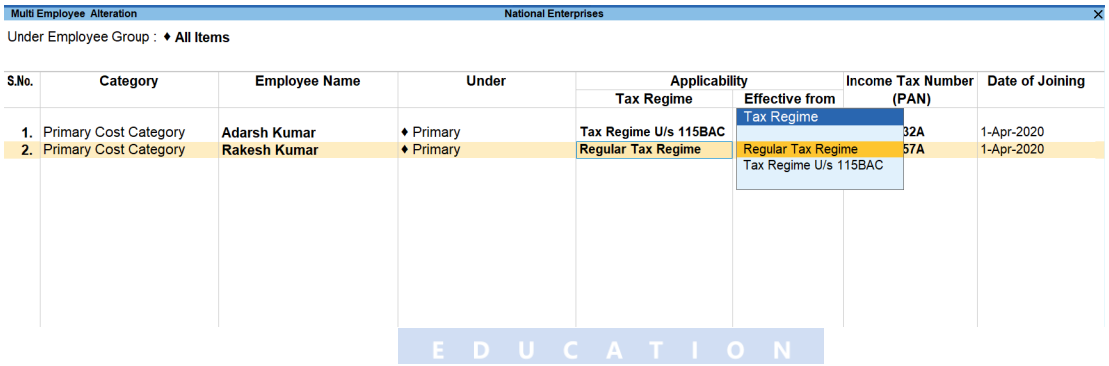
Employee Tax Regime

You can set the tax regime details for all employees or different employee groups.

1. From the **Income Tax Declaration** screen, select **Employee Tax Regime**, and press **Enter**.



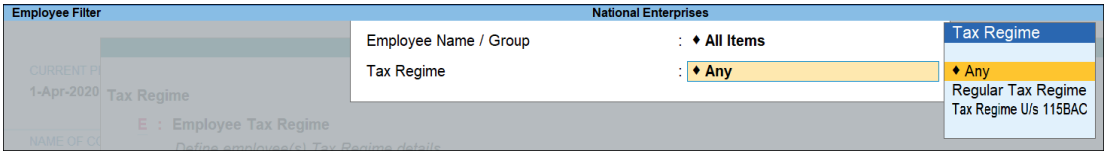
2. Select **All Items** to set tax regime for all employees or any employee group to set the details for employees in that particular group.



3. Select the tax regime for each employee in the group. The Effective From date for the tax regime is automatically updated. For regular regime the date will be books beginning from date or employee joining date, which ever is latest. For tax regime u/s 115BAC, 01-04-2020 or employee joining date whichever is later. In case the tax regime of an employee is altered, the revision date is saved in tax regime history of the employee.

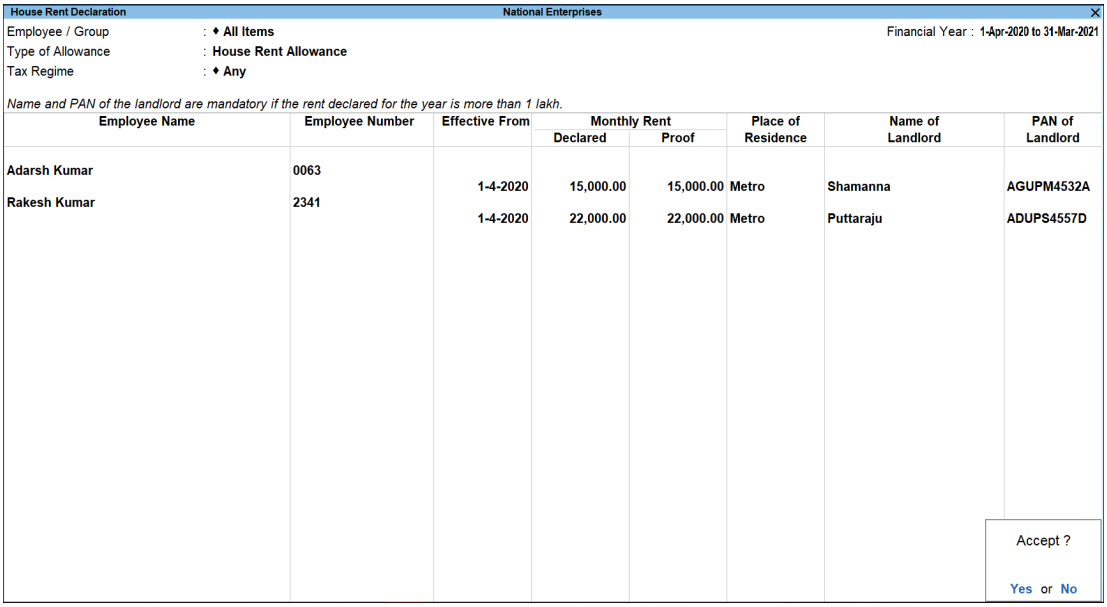
Declare House Rent Allowance

1. From the **Income Tax Declaration screen**, select **House Rent Allowance**, and press **Enter**.



2. Select the required **Employee** or **All Employees** or an **Employee Group** in the **Employee Name/Group** field.
3. Select **Any** or **Regular Tax Regime** or **Tax Regime U/s 115BAC** in the Tax Regime field to view the details for all employee or under particular tax regime. This field is skipped when individual employee is selected.

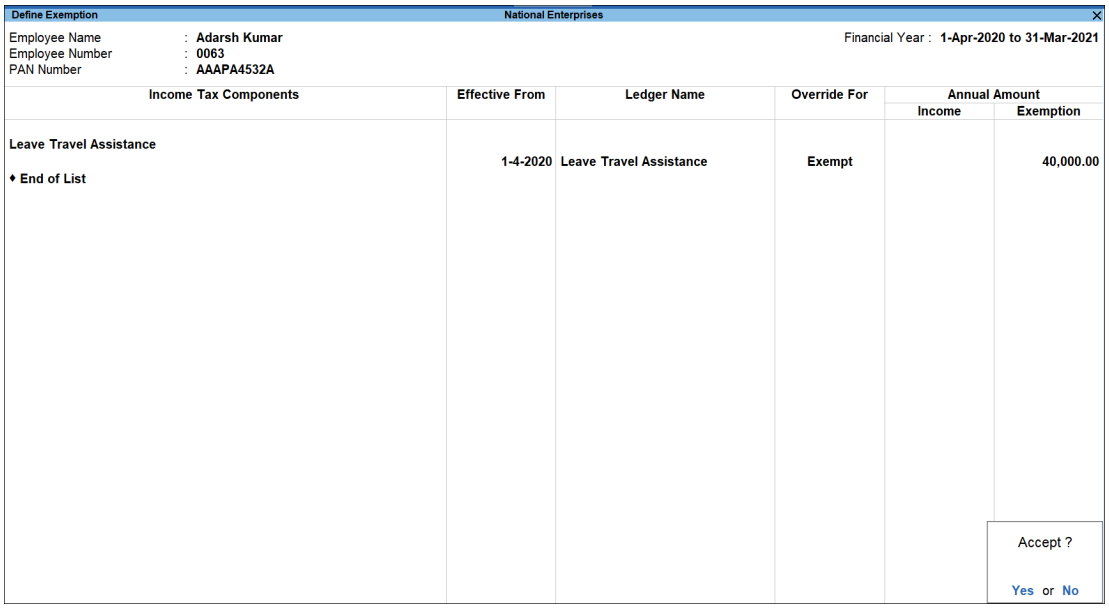
4. In the **House Rent Declaration** screen:
5. In the **Effective From** field, specify the date from when rent payment commenced.
   - In **Rent Declared Amount** field, specify the amount the employee has declared as rent.
   - In **Rent Proof Amount** field, specify the amount associated with the proof of rent paid the employee has submitted.
   - In **Place of Residence,** select **Metro** or **Non-Metro** based on the city.
   - In Name of Landlord column, specify the name of the landlord of the house rented by the employee.
   - In the PAN of Landlord column, specify the PAN of the landlord or select Government or Non-resident, as applicable.



6. Accept the screen. As always, you can press **Ctrl**+**A** to save. Similarly, the HRA details can be entered for an individual(one employee).

Leave Travel Assistance

1. From **Income Tax Declaration** screen, bring cursor on **Leave Travel Assistance** and press Enter.
2. Select the required **Employee**.
3. In the **Effective From** field, specify the date when the LTA becomes applicable.
   - In the **Ledger Name** field, select the **Leave Travel Assistance** ledger.
   - By default, the **Override for** field is set to **Exempt**.
   - In the Exemption field, specify the LTA amount that is exempted from Income Tax.

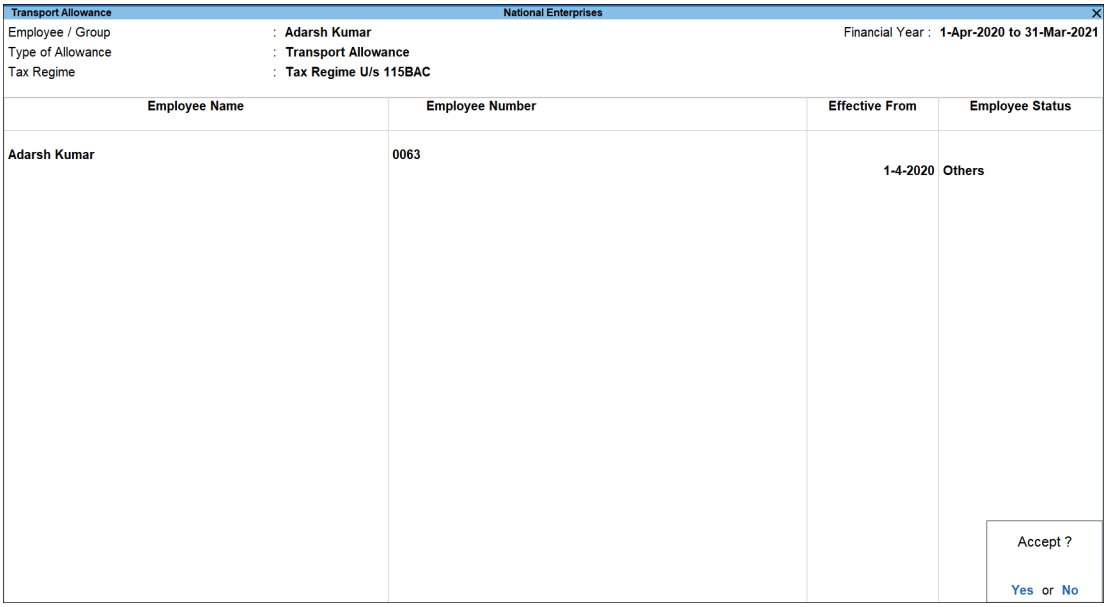


4. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Declare Transport Allowance

1. From **Income Tax Declaration** screen, select **Transport Allowance** and press **Enter**.
2. Select the required **Employees** or **All Employees**, or an **Employee Group** in the **Employee Name or Group** filed.
3. Select **Any** or **Regular Tax Regime** or **Tax Regime U/s 115BAC** in the **Tax Regime** field to set the details for all employee or under particular tax regime. This field is skipped when individual employee is selected.
4. In the **Transport Allowance** screen,

- In the **Effective From** field, specify the date from when the Transport Allowance becomes applicable.
- Select the **Employee Status** as **Physically Challenged** or **Others**.

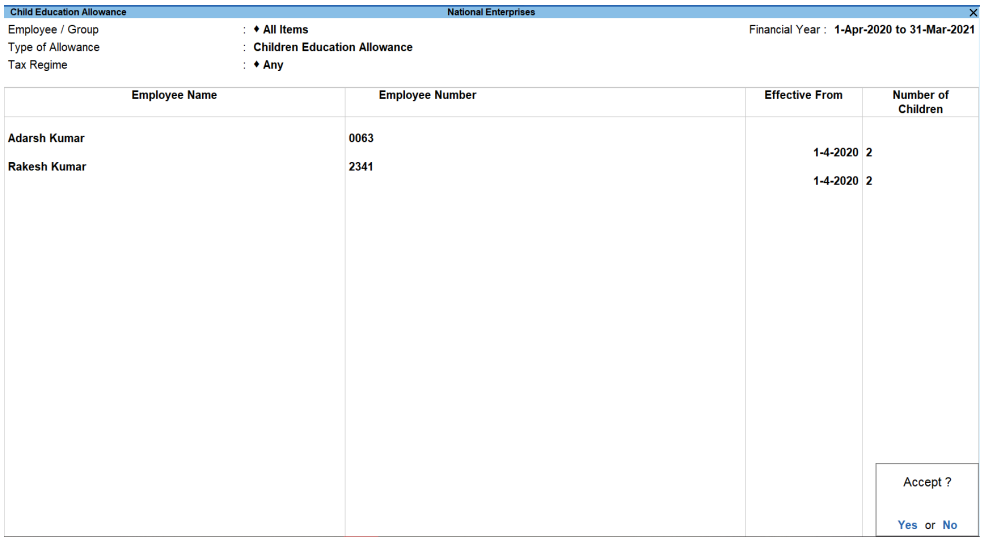


5. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Declare Children Education Allowance

1. From **Income Tax Declaration** screen, select **Children Education Allowance** and press **Enter**.
2. Select the required **Employees** or **All Employees** or an **Employee Group**.
3. Select **Any** or **Regular Tax Regime** or **Tax Regime U/s 115BAC** in the **Tax Regime** field to set the details for all employee or under particular tax regime. This field is skipped when individual employee is selected.
4. In the **Children Education Allowance** screen,

- In the **Effective From** field, specify the date from when the Children Education Allowance becomes applicable.
- In the **Number of Children** field, enter the number of children each employee wants to cover under this declaration. You can enter a value of 1 or 2 in this field.

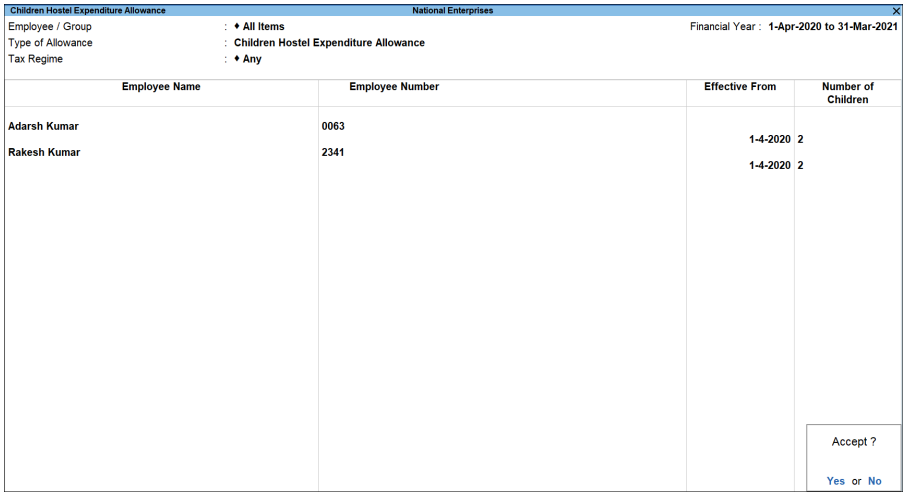


5. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Declare Children Hostel Expenditure Allowance

1. From **Income Tax Declaration** screen, select **Children Hostel Expenditure Allowance** and press **Enter**.
2. Select the required **Employees** or **All Employees**, or an **Employee Group**.
3. Select **Any** or **Regular Tax Regime** or **Tax Regime U/s 115BAC** in the Tax Regime field to set the details for all employee or under particular tax regime. This field is skipped when individual employee is selected.
4. In the **Children Hostel Expenditure Allowance** screen,

- In the **Effective From** field, specify the date from when the Children Hostel Expenditure Allowance becomes applicable.
- In the **Number of Children** field, enter the number of children that the employee wants to cover in this declaration. You can enter a value of 1 or 2 in this field.

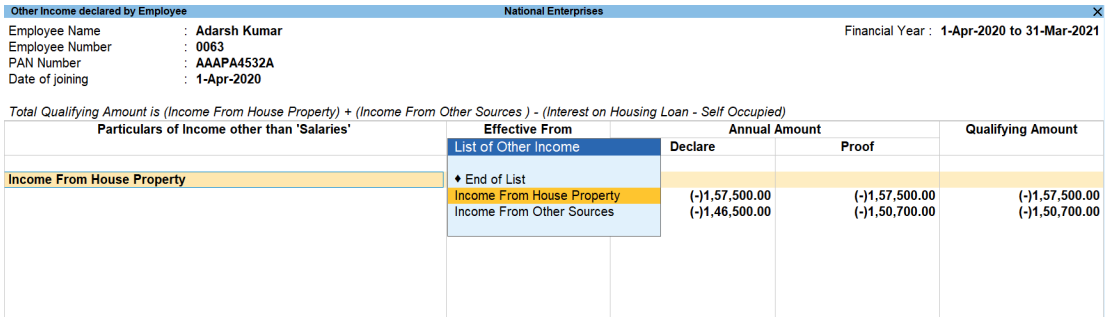


5. Accept the screen. As always, you can press **Ctrl+A** to save.

Income Declared by Employee – Single Employee Multi Component

Under this head, you can define employee(s) declarations and proofs/eligible amount for the other incomes such as House Property, other sources and Interest on housing Loan, if the premises is self occupied.

1. Select **Income Declared by Employees** – **Single Employee Multi Component**, and press **Enter**.
2. From the **List of Employees**, select the required **employee**.
3. Select the **Particulars of Income Other than Salary** – **Income from House Property** from the List of Other Income.

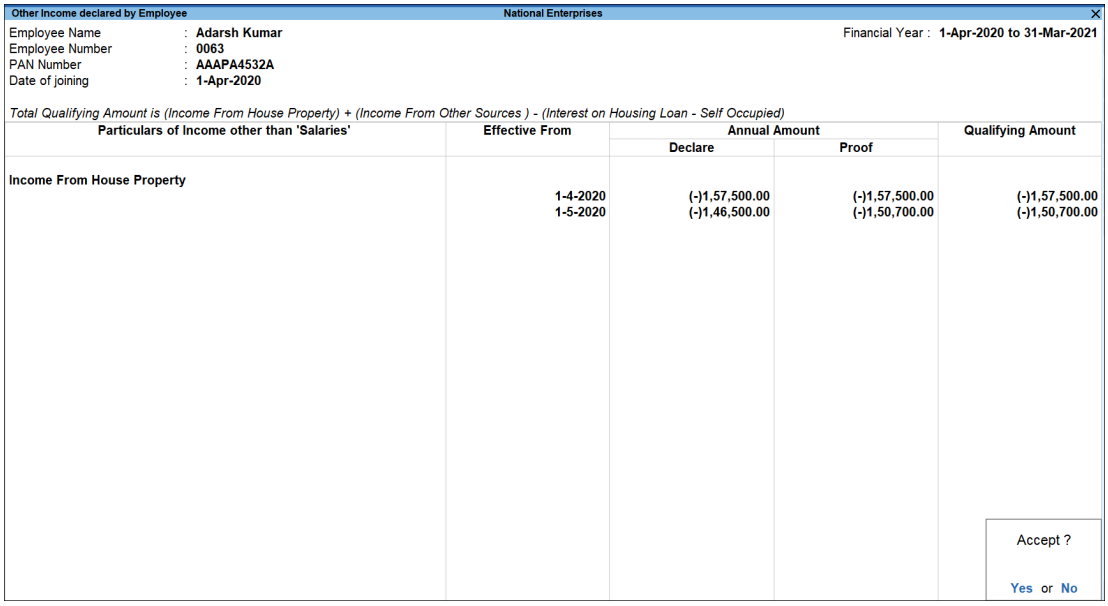


4. Specify the **Effective From** date.
5. Specify the **Details of Income from House Property**. The system computes the income from house property based on the information provided.

Details of Income from House Property

Particulars		Annual Amount	
		Declare	Proof
A.	Letable / Rent Received or Receivable	30,000.00	20,000.00
B.	Tax Paid to Local Authorities	5,000.00	5,000.00
C.	Deduction @ 30.00 % on (A-B)	7,500.00	4,500.00
D.	Interest on Housing Loan - Let out	1,75,000.00	1,68,000.00
	Income from House Property (A-B-C-D)	**(-)1,57,500.00**	**(-)1,57,500.00**

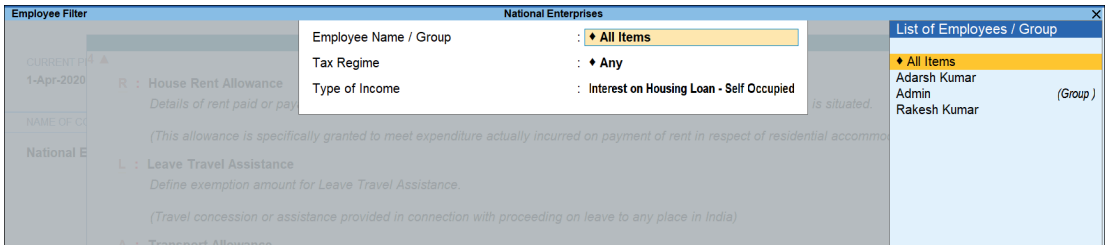
Similarly, you can select the other incomes to be declared.



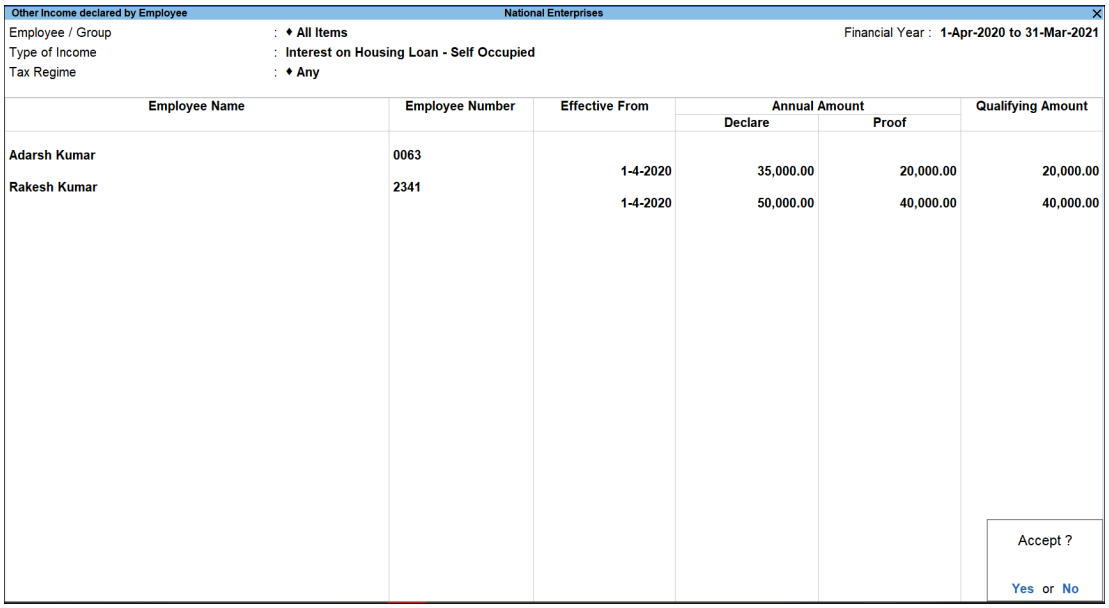
6. Accept the screen. As always, you can press **Ctrl+A** to save.

Income Declared by Employee – Multi Employees Single Component

1. Select **Income Declared by Employees** – **Multi Employees Single Component**, and press **Enter**.
2. From the **List of Employees**, select the appropriate **Employee Group**.
3. Select **Any** or **Regular Tax Regime** or **Tax Regime U/s 115BAC** in the **Tax Regime** field to set the details for all employee or under particular tax regime. This field is skipped when individual employee is selected.
4. Select the **Type of Income** from the **List of Incomes**.



5. Specify the **Effective From** date.
6. In **Annual Amount** column, specify the **Declare** and **Proof** amount. The system will then display the **Qualifying Amount**.



7. Accept the screen. As always, you can press **Ctrl+A** to save.

Declare Investments U/s 80C, 80CCF, 80CCG, etc. – Single Employee Multi Component

1. From **Income Tax Declaration** screen, select **Single Employee Multi Component** under **Investments (U/s 80C, 80CCF etc.)** and press **Enter**.
2. From the **List of Employees**, select the employee, and press **Enter**.
3. In the **Investment Declaration** screen,

- Under **Particulars of Investments**, select the required Investments from the **List of Investments**.
- In the **Effective From** field, specify the date when these investments become applicable.
- In the **Declared** Amount field, specify the amount declared for the respective investment.
- In the **Proof/Eligible** Amount field, specify the details of the amount associated with the proof submitted by the employee.

Investment Declaration — National Enterprises

Employee Name : Rakesh Kumar
Employee Number : 2341
PAN Number : AAAPA2457A
Financial Year : 1-Apr-2020 to 31-Mar-2021

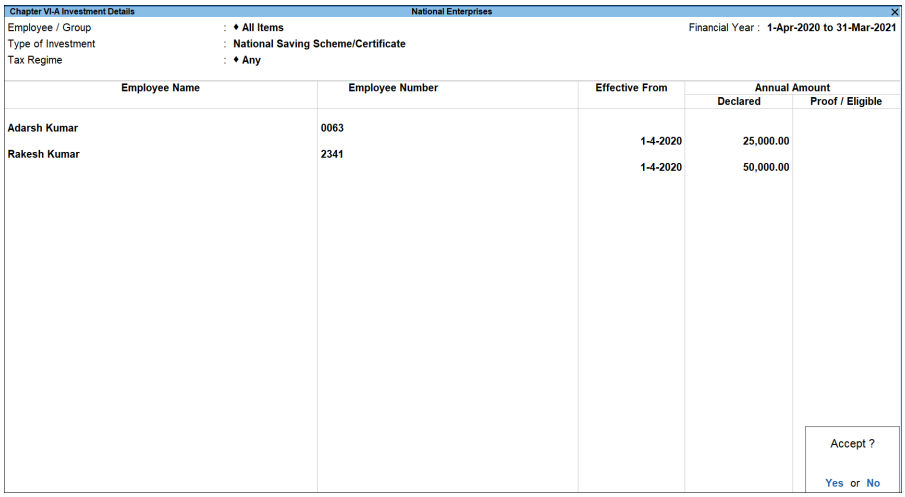
Particulars of Investments	Effective From	Annual Amount	
		Declared	Proof / Eligible
Employee Provident Fund (EPF)	1-4-2020		
Employee Contribution to NPS (Tier - I)	1-4-2020		
Insurance Premium	1-4-2020	50,000.00	50,000.00
Other Mutual Fund	1-4-2020	60,000.00	45,000.00
Gross Qualifying Amount (80C + 80CCC + 80CCD)		1,10,000.00	95,000.00
Net Qualifying Amount 80CCE (Max to 1,50,000.00)		1,10,000.00	95,000.00
Employee Contribution to NPS 80CCD(1B) (Max to 50,000.00)			
Employer Contribution to NPS 80CCD(2)			
Net Qualifying Amount 80CCG (50% of Investment OR 25,000.00 whichever is Low)			
Total Net Qualifying Amount of Deduction		1,10,000.00	95,000.00

4. Accept the screen. As always, you can press **Ctrl+A** to save.

Declaring Investments U/s 80C, 80CCF, 80CCG, etc. – Multi Employees Single Component

1. From **Income Tax Declaration** screen, select **Multi Employees Single Component** under **Investments (U/s 80C, 80CCF etc.)** and press **Enter**.
2. Select the **All Items** from the **List of Employees**, and press **Enter**.
3. Select **Any** or **Regular Tax Regime** or **Tax Regime U/s 115BAC** in the **Tax Regime** field to set the details for all employee or under particular tax regime. This field is skipped when individual employee is selected.
4. Select the required Investment from the **List of Investments** and press **Enter**.
5. In the **Investment Declaration** screen,

- In the **Effective From** field, specify the date when these investments become applicable.
- In the **Declared Amount** field, specify the amount declared for the selected investment.
- In the **Proof/Eligible Amount** field, specify the details of the amount associated with the proof submitted by the employees.

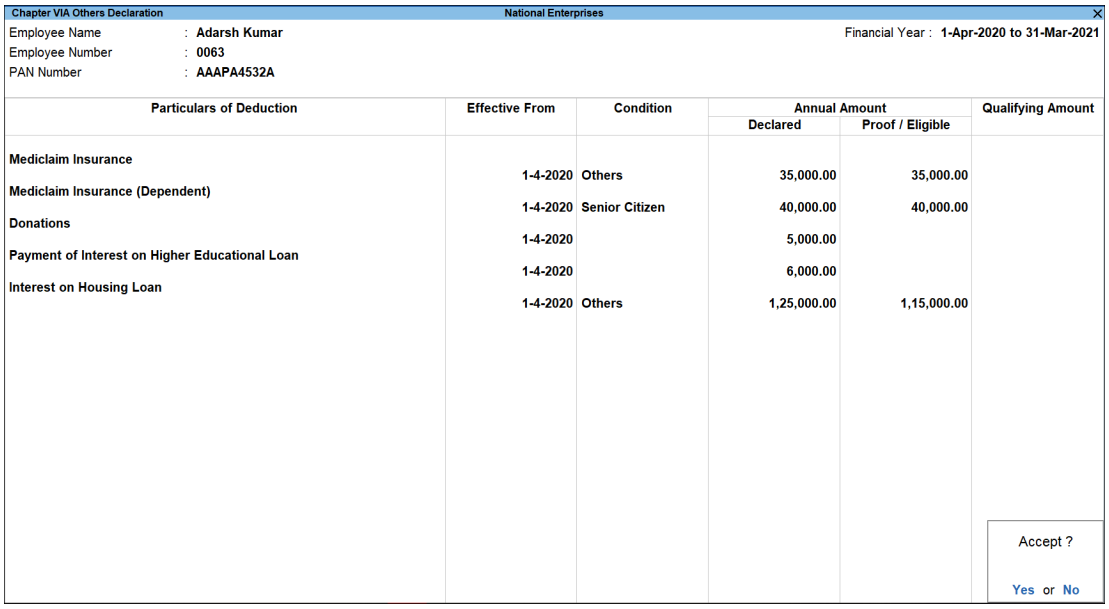


6. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Declaring Other Deductions under Chapter VI-A – Single Employee Multi Component

1. From **Income Tax Declaration** screen, select **Single Employee Multi Component** under **Others (U/s 80D, 80DD, 80E etc.)** and press **Enter**.
2. From the **List of Employees**, select the appropriate employee, and press **Enter**.
3. In the **Chapter VIA Others Declaration** screen,
4. Under **Particulars of Deduction**, select the required Deduction from the **List of Investments**.

- In the **Effective From** field, specify the date when the deductions are applicable.
- In the **Condition** field, select the appropriate value from the list (such as Others, Senior Citizen or Severe Disability) based on the information provided.
- In the **Declared Amount** field, specify the amount declared for the respective investment.
- In the **Proof/Eligible Amount** field, specify the details of the amount associated with the proof submitted by the employee.
- The **Qualifying Amount** field displays the actual amount which is allowed as deduction from actual salary.
  Note: For Mediclaim Insurance taken for dependent parents in addition to self, the maximum Qualifying Amount is Rs.40,000 [Self (if Senior Citizen) Rs.20000 + Parents (Senior Citizens) Rs. 20000).

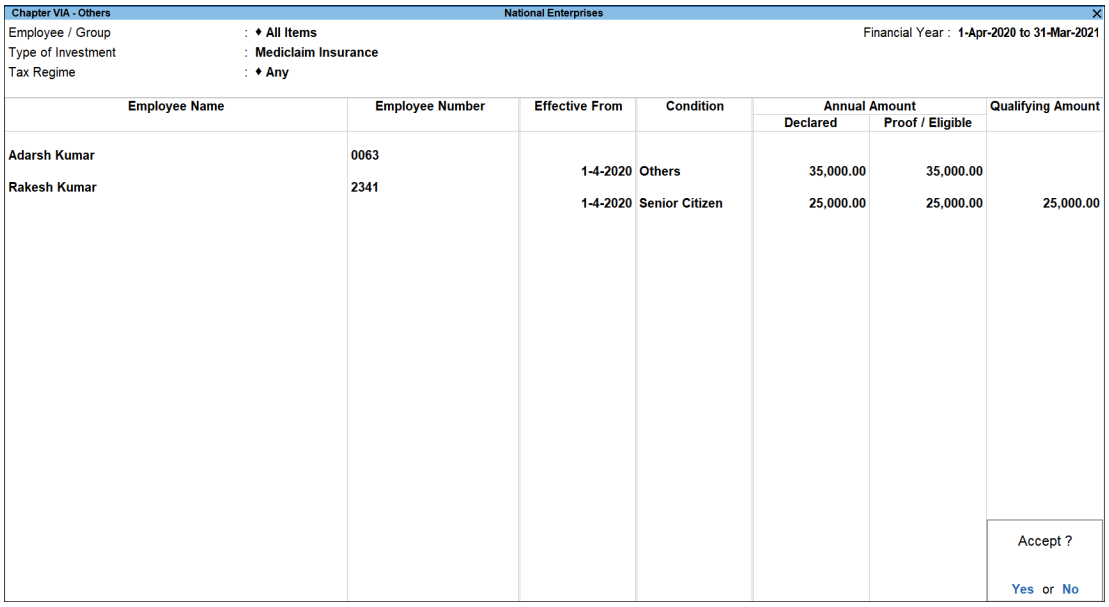


5. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Declaring Other Deduction under Chapter VI-A – Multi Employees Single Component

1. From **Income Tax Declaration** screen, bring cursor on **Multi Employees Single Component** under **Others (U/s 80D, 80DD, 80E etc.)** and press **Enter**.
2. Select the **All Items** from the **List of Employees**, and press **Enter**.
3. Select **Any** or **Regular Tax Regime** or **Tax Regime U/s 115BAC** in the **Tax Regime** field to set the details for all employee or under particular tax regime. This field is skipped when individual employee is selected.
4. Select the required Investment from the **List of Investments**, and press **Enter**.
5. In the **Chapter VIA – Others** screen,

- In the **Effective From** field. specify the date when these investments become applicable.
- In the **Condition** field, select the appropriate parameter from the list (such as Others, Senior Citizen or Severe Disability), based on the information provided.
- In the **Declared Amount** field, specify the amount declared for the selected investment.
- In the **Proof/Eligible Amount** field, specify the details of the amount associated with the proof submitted by the employees. The Qualifying Amount column is automatically updated based on the exemption eligibility.



6. Accept the screen. As always, you can press **Ctrl**+**A** to save.

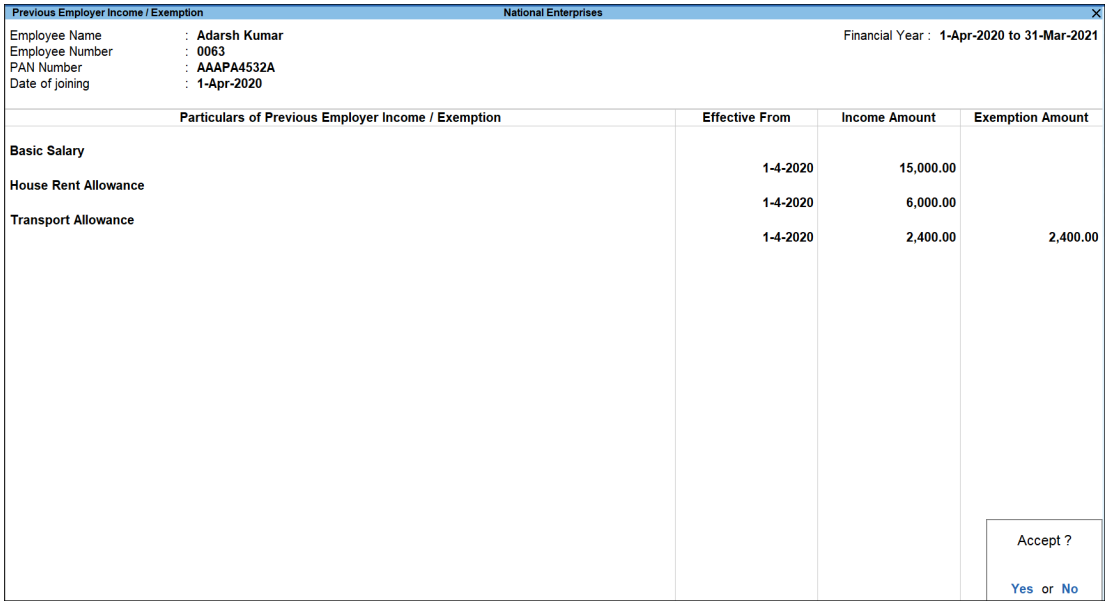
Previous Employer Details (Payroll)

To compute the income tax and generate Form 16 for employees who joined the organization during the course of the financial year, you have to enter the income received from the previous employer along with the taxes that they have paid.

COMPUTER EDUCATION

Previous Employer Income/Exemption Details

1. **Gateway of Tally** > **Alter** > type or select **Previous Employer Income/Exemption Details**. Alternatively, press **Alt**+**G** (Go To) > **Alter Master** > type or select **Previous Employer Income/Exemption Details** and press **Enter**.
   In case the master is inactive, you will be prompted to enable the Payroll feature for your Company. Select **Yes** or press **Y** to proceed.
2. Select the required Employee from the **List of Employees**, and press Enter.
3. Specify the required **Income Tax Component** in the **Particulars of Previous Employer Income/Exemption** field.
4. Specify the start date in the **Effective From** field.
5. Specify the value in the **Income Amount** field.
6. Specify the value in the **Exemption Amount** field.

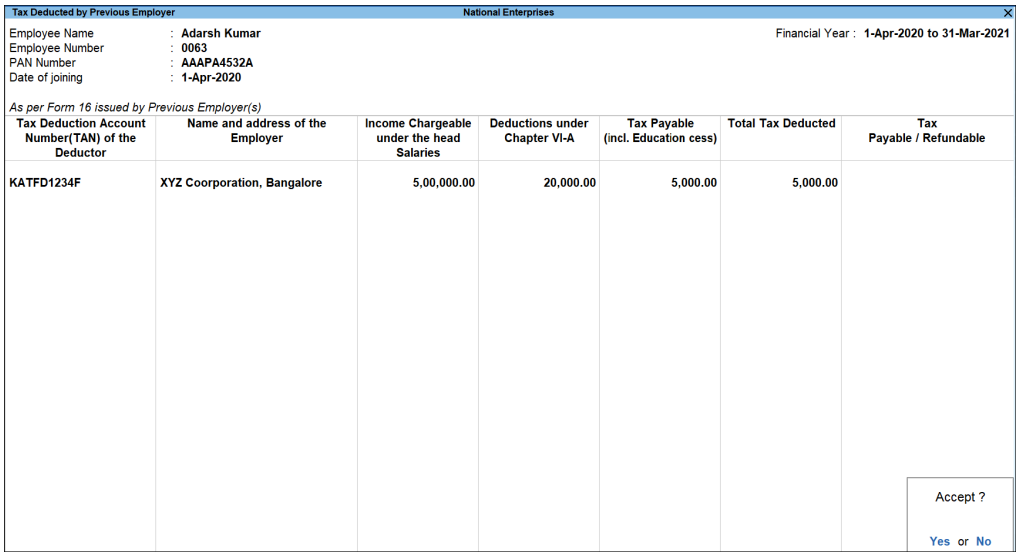


7. Accept the screen. As always, you can press **Ctrl**+**A** to save.

Previous Employer Tax Deducted/Paid Details

1. **Gateway of Tally** > **Alter** > type or select **Previous Employer Income/Exemption Details**. Alternatively, press **Alt**+**G**(Go To) > **Alter Master** > type or select **Previous Employer Tax Deducted/Paid Details** and press **Enter**.
In case the master is inactive, you will be prompted to enable the Payroll feature for your Company. Select **Yes** or press **Y** to proceed.

EDUCATION Jain Group - Bengaluru



2. Select the required employee from the **List of Employees**, and press **Enter**.
3. Specify the **Previous Employer** and **Tax payment**.
4. Accept the screen. As always, you can press **Ctrl**+**A** to save.

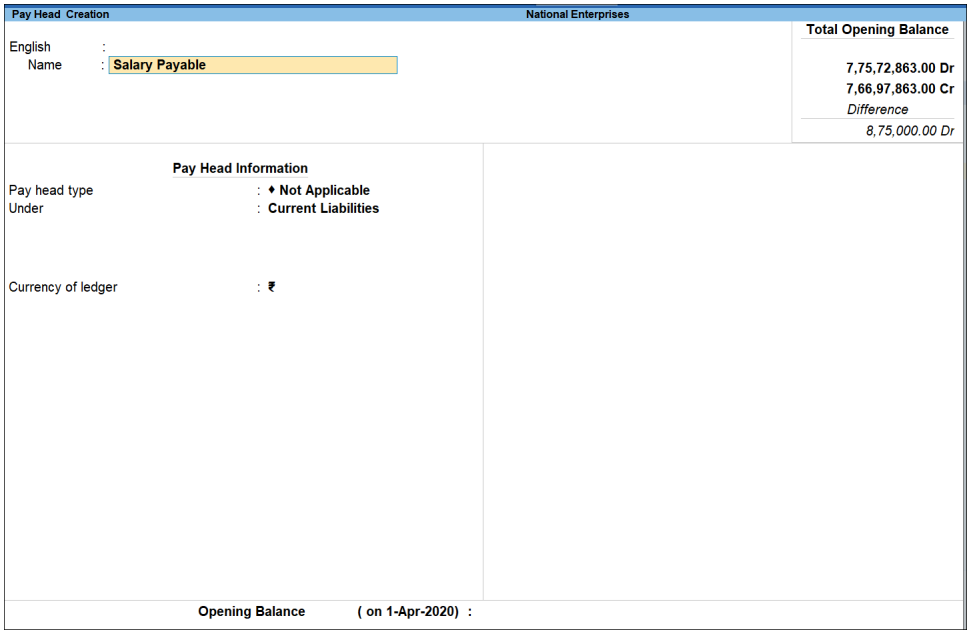
Salary, PF, ESI, NPS, PF Admin Expenses Payable Ledgers (Payroll)

To process Salary in TallyPrime, you can create payable ledgers for salary, PF, ESI, NPS and PF admin.

Salary Payable Ledger

With a salary payable ledger, you can account for the salary that is earned by an employee but has not yet been paid.

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter the name of the ledger in the **Name** field.
3. Select **Not Applicable** as the Pay head type from the **list of Pay Head Types**
4. Select **Current Liabilities** from the **List of Groups** in the **Under** field.

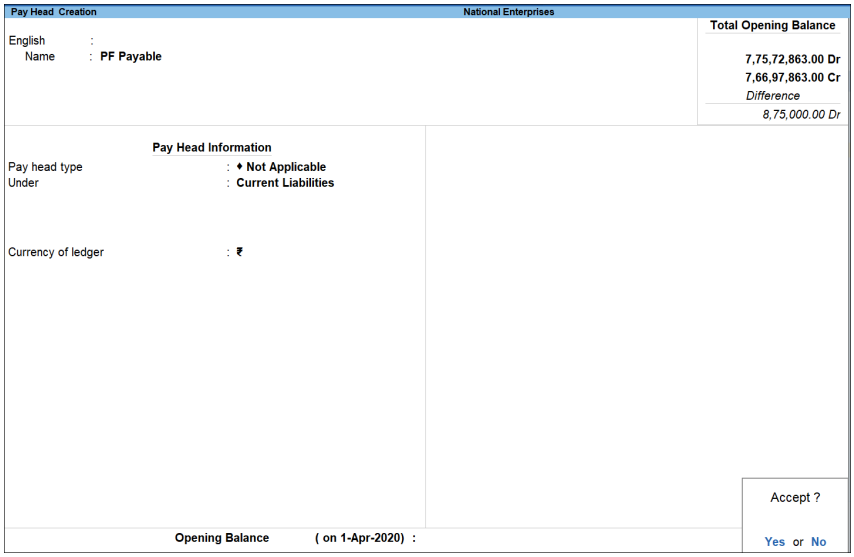


5. Accept the screen. As always, you can press **Ctrl**+**A**to save.

PF Payable Ledger

In order to process salaries in TallyPrime, you need to create a PF payable ledger along with Salary Payable Ledger, ESI Payable Ledger, NPS Payable Ledger and PF Admin Expenses Ledger.

1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter the name of the ledger in the **Name** field.
3. Select **Not Applicable** as the Pay head type from the **list of Pay Head Types**
4. Select **Current Liabilities** from the **List of Groups** in the **Under** field.

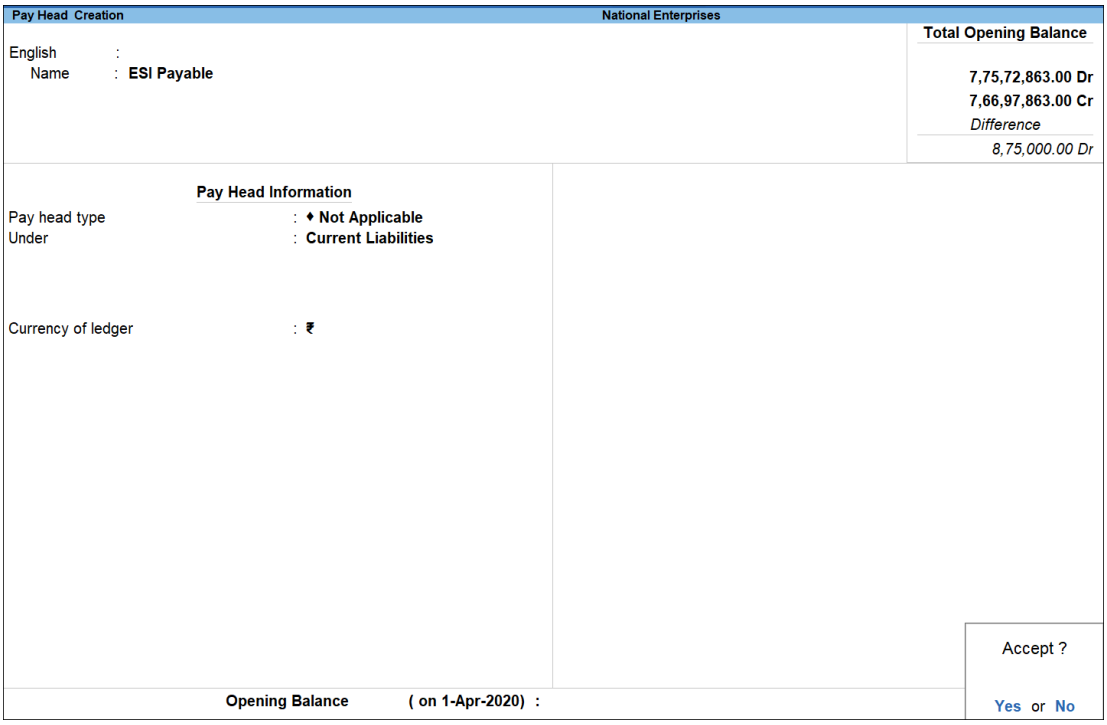


5. Accept the screen. As always, you can press **Ctrl**+**A**to save.

ESI Payable Ledger

In TallyPrime, you can create the ESI Payable ledger and use it in all related transactions.

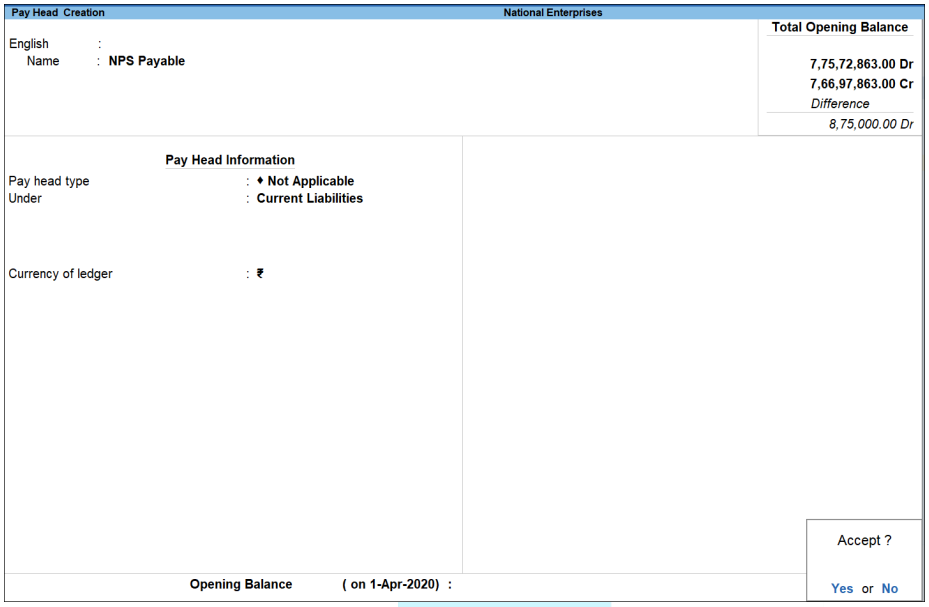
1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter the name of the ledger in the **Name** field.
3. Select **Not Applicable** as the Pay head type from the **list of Pay Head Types**
4. Select **Current Liabilities** from the **List of Groups** in the **Under** field.



5. Accept the screen. As always, you can press **Ctrl**+**A**to save.

National Pension Scheme (NPS) Payable Ledger

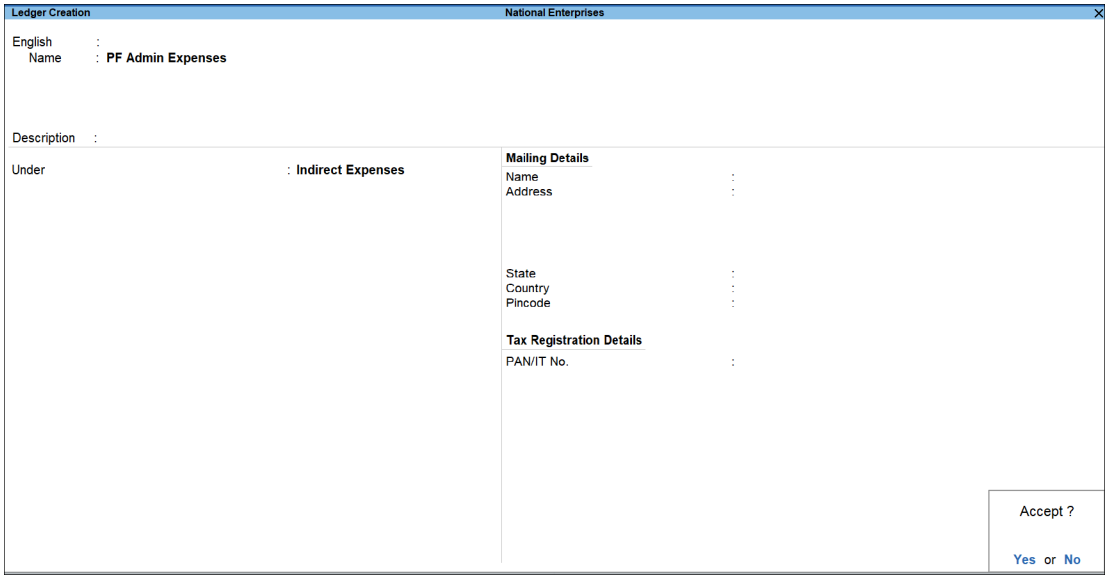
1. **Gateway of Tally** > **Create** > type or select **Pay Head** > and press **Enter**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > **Pay Head** > and press **Enter**.
2. Enter the name of the ledger in the **Name** field.
3. Select **Not Applicable** as the Pay head type from the **list of Pay Head Types**
4. Select **Current Liabilities** from the **List of Groups** in the **Under** field.



5. Accept the screen. As always, you can press **Ctrl**+**A**to save.

PF Admin Expenses

1. **Gateway of Tally** > **Create** > type or select **Ledger** > and press **Enter**. Alternatively, press **Alt**+**G** (Go To) > **Create Master** > **Ledger** > and press **Enter**.
2. Enter the name of the ledger in the **Name** field.
3. Set the ledger as under **Indirect Expenses** from the **List of Groups**.
4. Set **Inventory values are affected** to **No**.
5. Select **Normal Rounding** from the **list of Rounding Methods**, and type **1** as the rounding **Limit**.



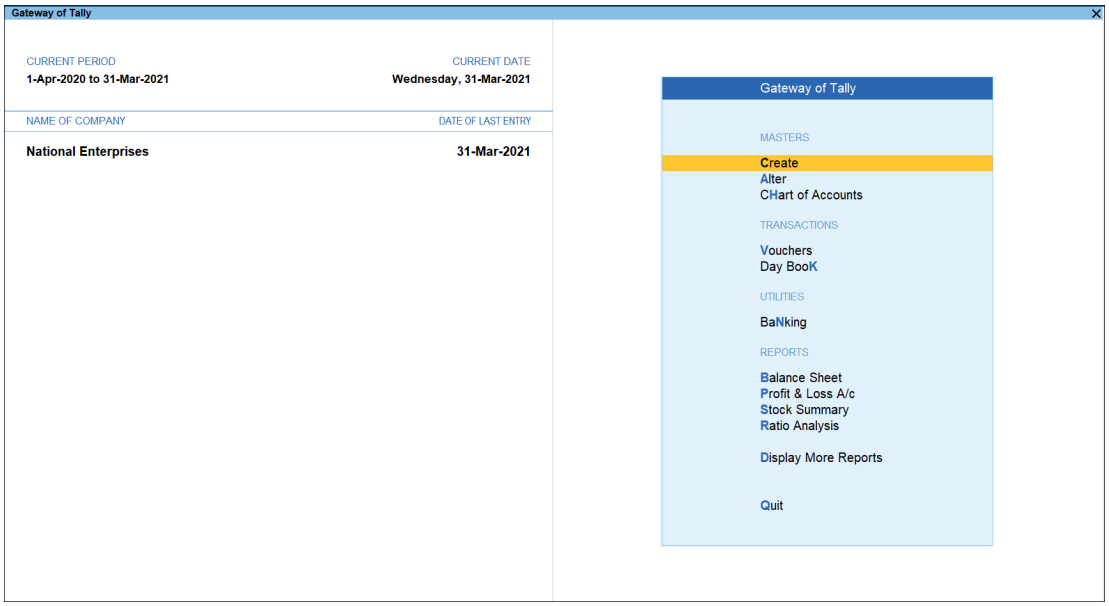
6. Accept the screen. As always, you can press **Ctrl+A** to save.

Enable Payroll in TallyPrime

You can enable or activate payroll in TallyPrime.

Enable Payroll Feature

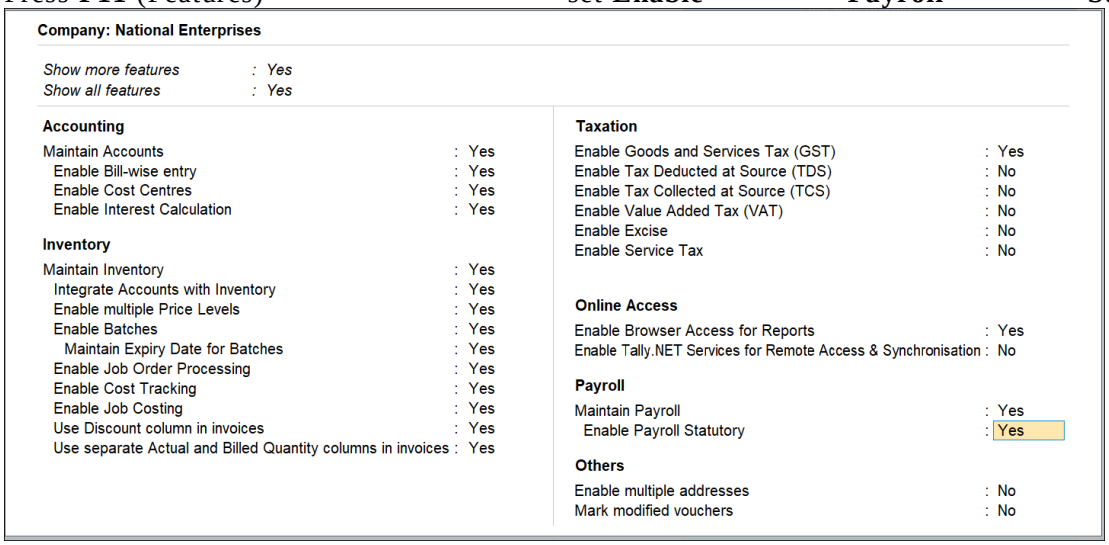
1. Press **F11** (Features) > set **Maintain Payroll** to **Yes**.
   If you do not see this option:
   - Set **Show more features** to **Yes**.
   - Set **Show all features** to **Yes**.
2. Accept the screen. As always, you can press **Ctrl+A** to save.
   The **Gateway of Tally** screen appears as shown below:

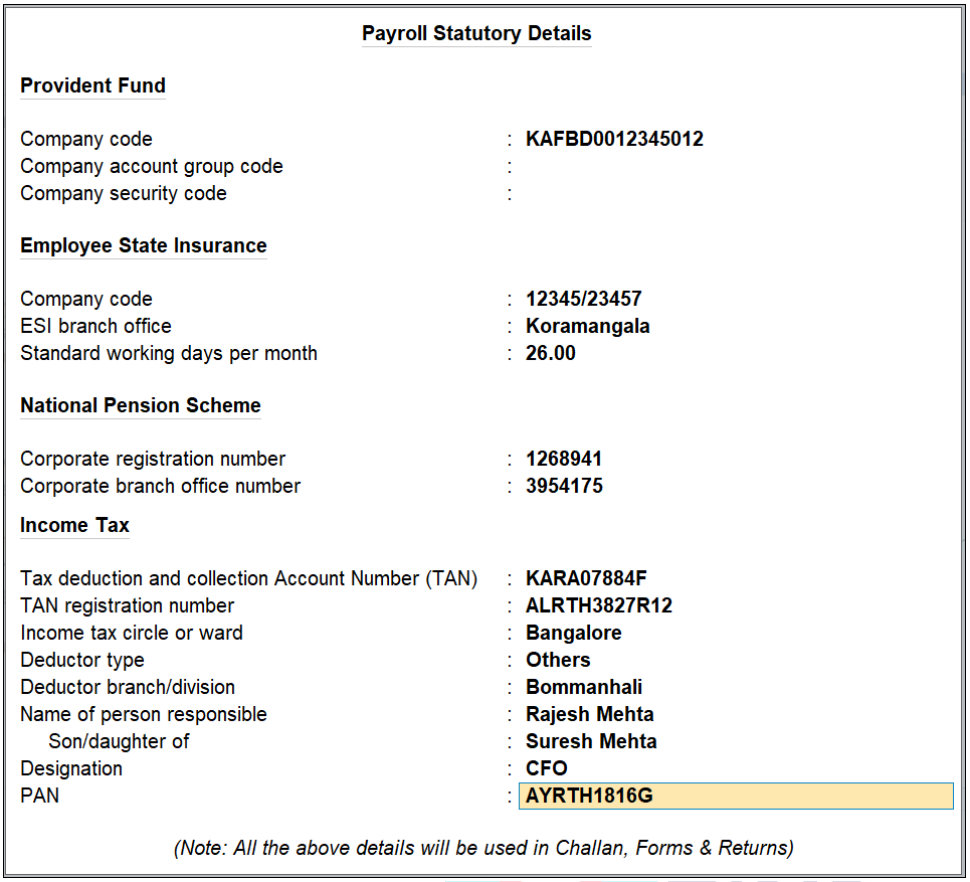


Enable Statutory Features of Payroll

To use the Provident Fund, Employee State Insurance (ESI), National Pension Scheme (NPS), Income Tax and Professional Tax features for Indian Payroll, you must enable Statutory Features for Payroll.

- Press **F11** (Features) > set **Enable Payroll Statutory** to **Yes**.





Payroll Statutory Details

Provident Fund

Company code	: **KAFBD0012345012**
Company account group code	:
Company security code	:

Employee State Insurance

Company code	: **12345/23457**
ESI branch office	: **Koramangala**
Standard working days per month	: **26.00**

National Pension Scheme

Corporate registration number	: **1268941**
Corporate branch office number	: **3954175**

Income Tax

Tax deduction and collection Account Number (TAN)	: **KARA07884F**
TAN registration number	: **ALRTH3827R12**
Income tax circle or ward	: **Bangalore**
Deductor type	: **Others**
Deductor branch/division	: **Bommanhali**
Name of person responsible	: **Rajesh Mehta**
Son/daughter of	: **Suresh Mehta**
Designation	: **CFO**
PAN	: **AYRTH1816G**

(Note: All the above details will be used in Challan, Forms & Returns)

In the Provident Fund section,

COMPUTER EDUCATION Jain Group - Bengaluru

1. Enter **Company code** Company Code format is **RegionCodeOfficeCodeEstCodeExtensionCode [DL] [FBD]7digits 3digits** Example: Company PF Account Number to be entered as**DLFBD0012345012.** as allotted by the PF department.
2. Enter **Company account group code** as specified by the **PF department**.
3. Enter **Company security code** as specified by the PF department.

In the Employee State Insurance section,

1. Enter **Company code** as allotted by the **Employee State Insurance Corporation (ESIC)**.
2. Enter the **name** of the **ESI branch office**.
3. In the **Standard working days per month** field, enter the number of days to be considered for the calculation of daily wages, and monthly gross amount for ESI benefits. If this field is left blank, the system considers the Calendar Period as the basis for calculation.

In National Pension Scheme section,

1. Specify the **Corporate registration number** as allotted by the **Central Record keeping Agency (CRA)** during registration.
2. Specify the **Corporate branch office number** allotted by the **Central Recordkeeping Agency (CRA)** during registration.

In the Income Tax section,

1. Specify the **10 digit TAN** assigned to the employer in **Tax deduction and collection Account Number (TAN)**.
2. Specify the TAN registration number.
3. Specify the name of the **Income tax circle or ward**, to which the employer is associated.
4. Select the Deductor type as:
   - Government for central or state government companies.
   - Others for other companies.
5. Enter the name of Deductor branch/division.
6. Enter the Name of person responsible for TDS deduction in the company.
7. Enter the **father's name of the person** who is responsible for **TDS deduction** in the company, in the field Son/daughter of.
8. Specify the official Designation of the person who is responsible for TDS deduction in the company.
9. Specify the PAN.
10. Accept the screen. As always, you can press **Ctrl+A** to save.

Payroll Voucher

Payroll Transactions

In addition to the existing voucher types in Accounting and Inventory module, use the Attendance voucher type to record employees' attendance/production data for the attendance/production types created in payroll masters. Such data can be entered manually or can be automated using Auto Fill. and Payroll voucher is a document used to manually enter one-time/ad-hoc payroll transactions for individual employees; as well as Payroll processing activity for all or selected employees, using Auto Fill functionality. are enabled when Payroll is activated in **F11** (Features).

Payroll vouchers record payroll-related data for employee and employer contributions. You can enter separate vouchers for every day or a single voucher for a given pay period, such as a month, with aggregated values. You can also enter data for one or more, or all employees.
You can record payroll data using the following processes:

- User Defined
- Salary Processing
- PF Contribution Processing for Employer PF Contributions
- ESI Contribution Processing for Employer ESI Contributions
- NPS Contribution Processing for Employer NPS Contributions
- Employer PF Admin Charges

The entry for payroll vouchers, like in attendance vouchers, can be manual or automated using payroll Auto Fill.

Note: Employees PF, ESI and PT contributions are processed along with salary process. However, the payment in respect of PF, ESI and PT must be made separately.

In TallyPrime, you can record payroll payment transactions, as given below:

- Salary Payments
- PF Payments
- Processing ESI Payments
- NPS Payments
- Income Tax Payments
- Professional Tax Payments

Note: While recording payroll payment transactions, if the bank selected is enabled with the e-payments option in the master, you can use the e-payment options (e-fund transfer, e-cheque, or e–DD) to make all your payroll-related payments. For more information, refer to e-Payments.

Record Salary Payments with User Defined Pay Heads (Payroll)

The User Defined pay process is used for capturing the values for User Defined Pay Heads before processing the actual salary.

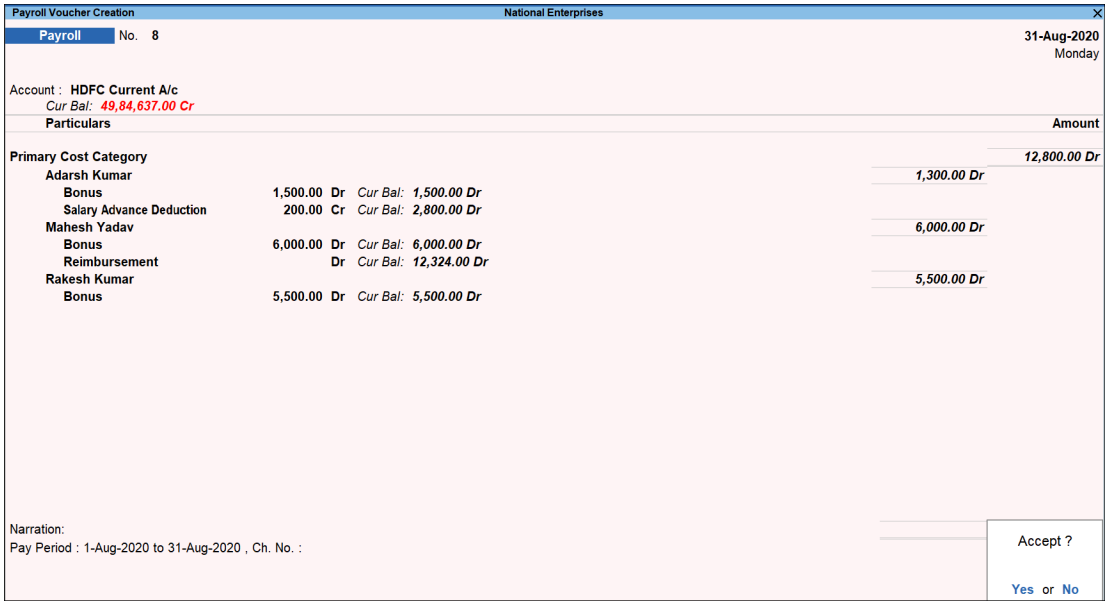
1. **Gateway of Tally** > **Vouchers** > press **Ctrl**+**F4** (Payroll). Alternatively, press **Alt**+**G** (Go To) > **Create Voucher** > press **Ctrl**+**F4** (Payroll). In case the transaction is inactive, you will be prompted to enable the Payroll feature for your Company. Select **Yes** or press **Y** to proceed.
2. Press **F2** (Date)to change the Voucher Date.
3. Press **Ctrl**+**F** (Autofill) for Payroll Auto Fill.
4. Select the **User Defined** in **Process For** field.
5. Enter the **From (blank for beginning)**and **To (blank for end)** date.
6. Select the appropriate **Employee Category**.
7. Select the **Employee/Group** from the **List of Employees/Group**.
8. Select the appropriate **Payroll Ledger** from the **List of Ledger Accounts**.
9. Set **Use Mode of Payment/Transaction Type** to **Yes**. This will open a new option called **Mode of Payment/Transaction Type**.
   - Setting this option to **Yes** will allow user to filter employees based on Banking details defined in employee's master.
   - Select the appropriate **Mode of Payment/Transaction Type**.
10. Set the option **Set Employee-wise Bank Allocations** to **Yes**.

COMPUTER EDUCATION Jain Group - Bengaluru

Autofill

Type of transaction	: **Payroll Autofill**
Process for	: ▯ **User Defined**
From (blank for beginning)	: **1-8-2020**
To (blank for end)	: **31-8-2020**
Employee Category	: **Primary Cost Category**
Employee/Group	: ♦ **All Items**
Sort by	: **Employee Name**
Payroll/Bank/Cash Ledger	: **HDFC Current A/c**
Use Mode of Payment/Transaction Type	: **No**

11. Enter the **User Defined Pay Head Values**, e.g. Variable Pay, Salary Advance Deductions if any.
12. Enter the required narrations, if any. The payroll voucher shows the pay period by default in the **Narration** field.



13. Accept the screen. As always, you can press **Ctrl**+**A** to save.

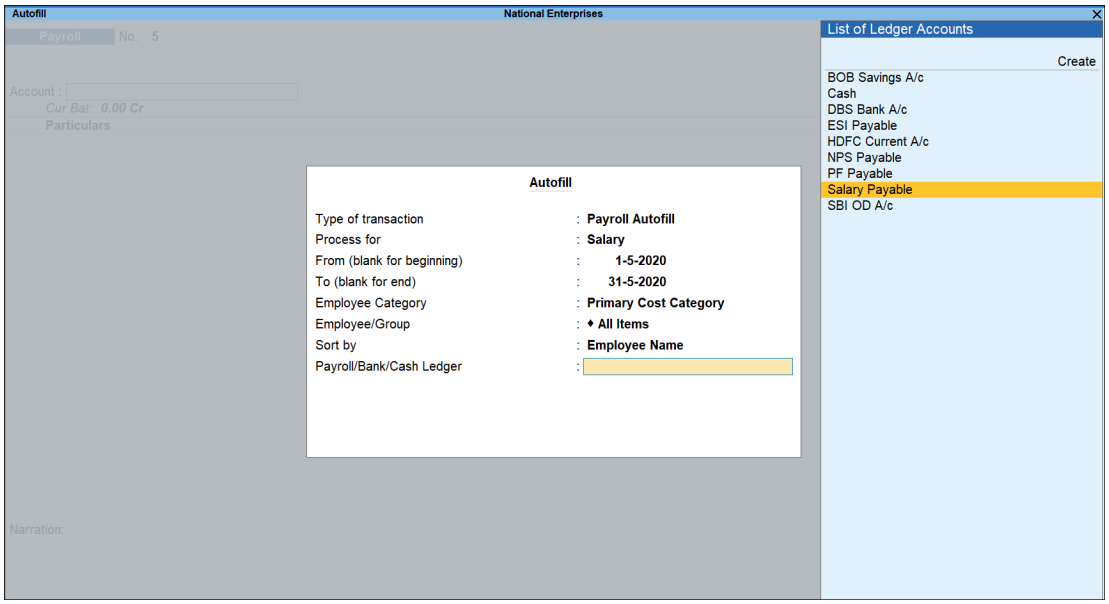
Processing Salary (Payroll)

In TallyPrime, you can process salary for an employee using a payroll voucher, and selecting the appropriate payroll ledger. The salary is calculated based on the salary defined for the employee.

Income tax on the salary is calculated based on the income tax slab and tax regime of the employee. In case the tax regime of the employee is changed in between a financial year, the tax is calculated based the tax regime applicable (using respective tax slab) on day of processing the salary. The tax regime information is referred from Tax Regime History.

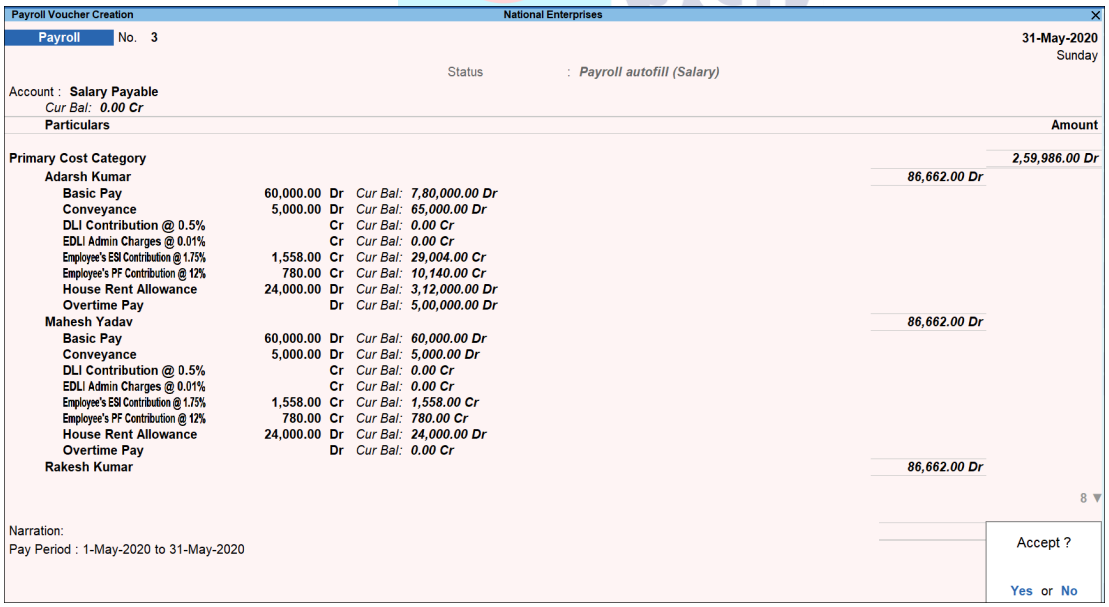
1. **Gateway of Tally** > **Vouchers** > press **Ctrl**+**F4** (Payroll). Alternatively, **Alt**+**G (Go To)** >**Create Voucher** > press **Ctrl+F4** (Payroll).
2. Press **F2** to change the Voucher Date.
3. Press **Ctrl+F** to select the **Payroll Autofill** in the **Autofill** screen.
4. **Type of transaction**: select the **Type of Autofill** as **Payroll Autofill**.
5. **Process for**: select the **Salary** in the Process for field.
6. **From (blank for beginning)**: enter the **From** Dates.
7. **To (Blank for end)**: enter the **To** Dates.
8. **Employee/Group**: select the **Employee/Group** from the List of **Employees/Group**, whose salary you want to process.
9. **Sort by**: Select the sorting option in the Sort by field.

10. **Payroll/Bank/Cash Ledger**: Select the appropriate **Payroll Ledger** from the List of **Ledger Accounts**.



Note: If the salary payment is done through cash, you can select Cash as Payroll Ledger.

11. Enter the **User Defined Pay Head** values. such as Variable Pay or Salary Advance Deductions.
12. Enter the Narration, if any. By default, the payroll voucher shows the pay period in the Narration field.

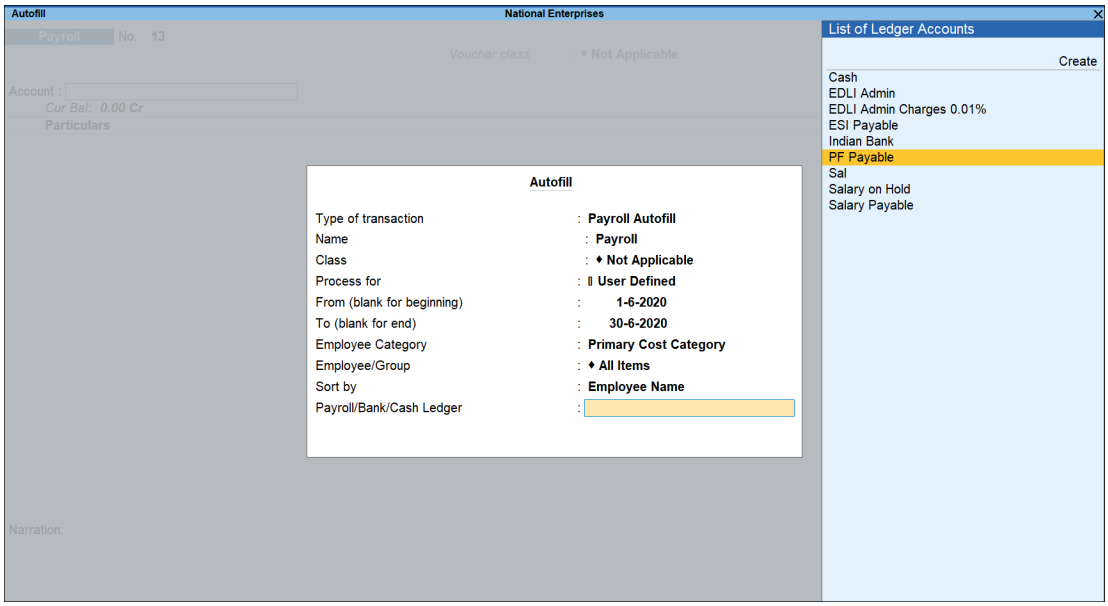


13. Accept the screen. As always, you can press **Ctrl+A** to save.

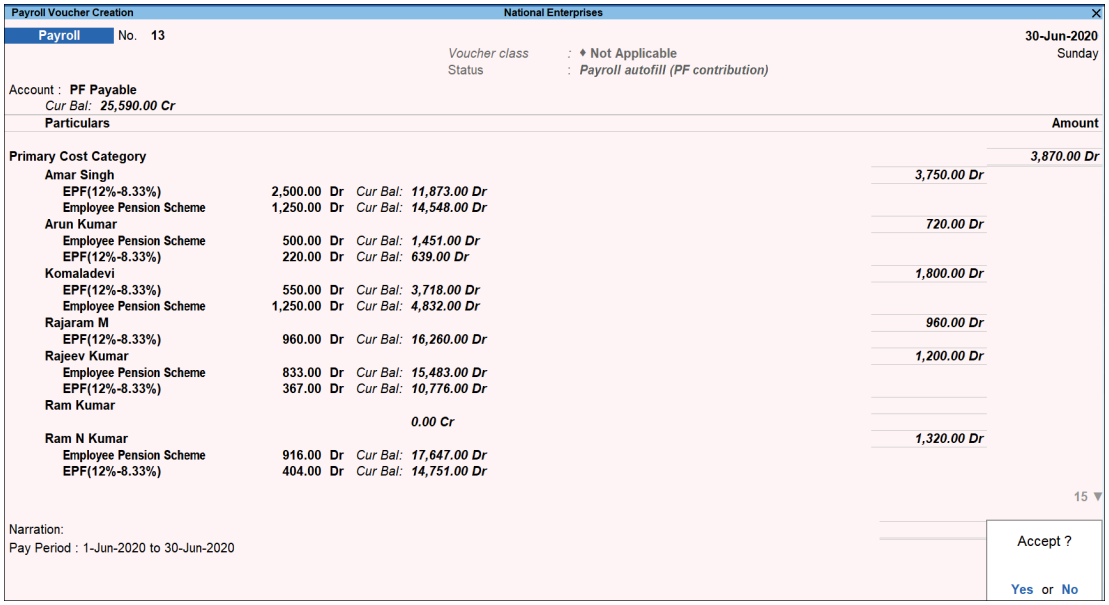
Record Employer's PF Contribution (Payroll)

In TallyPrime, you can process the Employer PF Contribution using a payroll voucher, and selecting the appropriate Payroll Ledger.

1. **Gateway of Tally** > **Vouchers** > press **Ctrl** + **F4** (Payroll). Alternatively, press **Alt**+**G** (Go To) > type or select > **Create Voucher** > press **Ctrl** + **F4** (Payroll).
2. Press **F2** to change the Voucher Date.
3. Press **Ctrl+F** (Autofill) to select the **Payroll Autofill** in the **Autofill** Screen.
   - **Type of transaction**: select the **Type of Autofill** as **Payroll Autofill**.
   - **Process for**: select the **Salary Payment** in the Process for field.
   - **From (blank for beginning)**: enter the **From Dates**.
   - **To (Blank for end)**: enter the **To Dates.**
   - **Employee/Group**: select the Employee/Group from the List of Employees/Group.
   - **Payroll Ledger**: select the appropriate Payroll Ledger from the List of Ledger Accounts.
   - **Bank/Cash Ledger**: select the appropriate Bank/Cash Ledger from the List of Ledger Accounts.



4. Press **Enter** to open the Payroll Voucher Creation screen.
5. By default, the Amount field is pre-filled with values.
6. Narration is pre-filled with the Pay Period. You can change or add to the Narration.



7. Accept the screen. As always, you can press **Ctrl+A** to save.

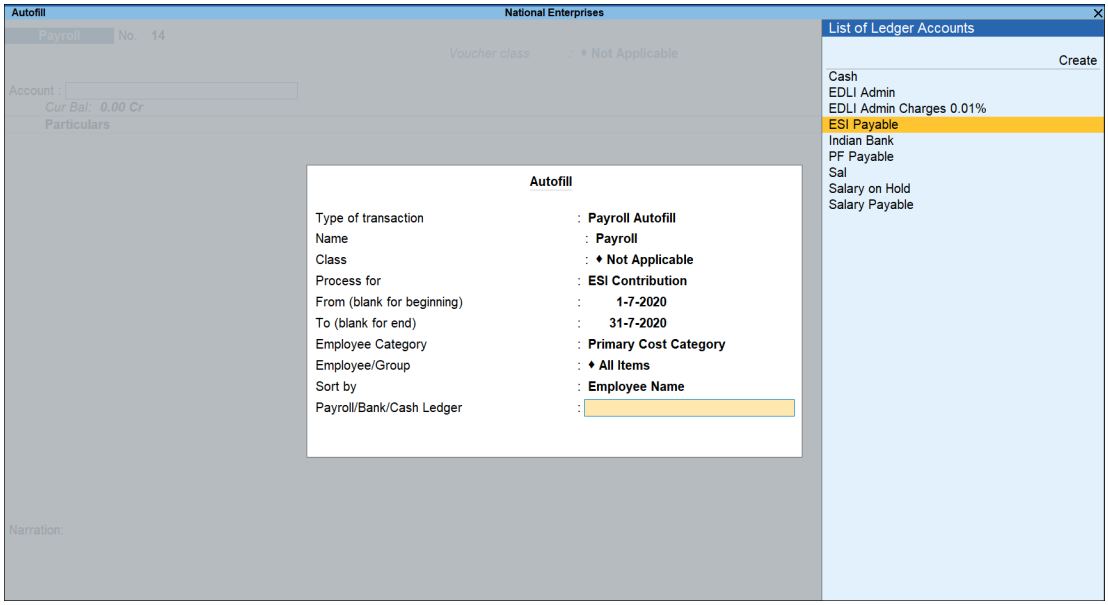
You can also process the Employer PF Contribution manually similar to Attendance Voucher creation.

Record Employer's ESI Contribution and ESI Payments (Payroll)

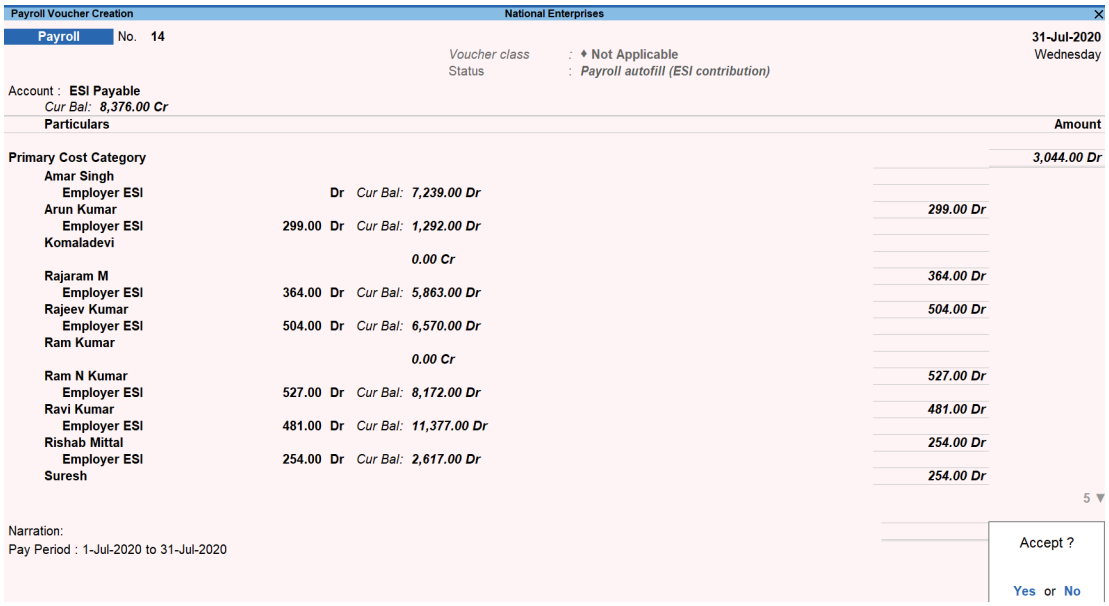
In TallyPrime, in order to process ESI payments, you have to configure the payment voucher with the appropriate **Payroll Ledger** (for example, ESI Payable) and set other parameters, as required. For ESI contributions, you can record a single payment voucher.

Employer's ESI Contribution

1. **Gateway of Tally** > **Vouchers** > press **Ctrl+F4** (Payroll). Alternatively, press **Alt+G** (Go To) > **Create Voucher** > press **Ctrl+F4** (Payroll). In case the voucher type is inactive, you will be prompted to enable the Payroll feature for your Company. Select **Yes** or press **Y** to proceed.
2. Press **F2** (Date) to change the **Voucher Date**.
3. Press **Ctrl+F** (Autofill) to enable Payroll autofill.
4. Select the required process in **Process for** field.
5. Enter the **From** (blank for beginning) and **To** (blank for end) date.
6. Select the appropriate **Employee Category.**
7. Select the **Employee/Group** from the **List of Employees/Group**.
8. Select the appropriate **Payroll Ledger** from the **List of Ledger Accounts**.



9. Press **Enter** to go to **Payroll Voucher Creation** screen.

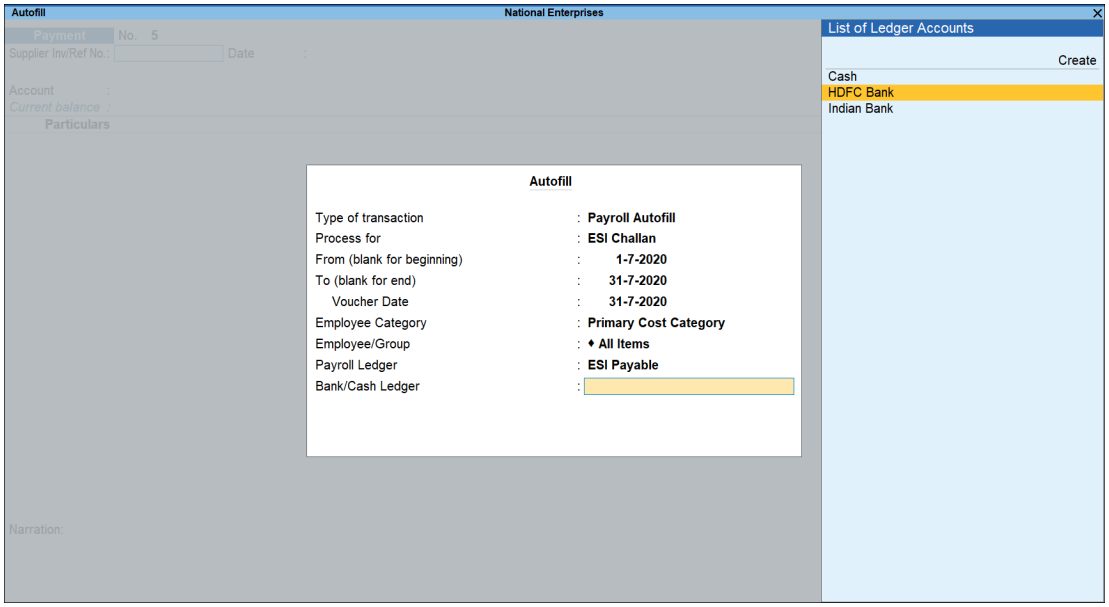


10. Accept the payroll voucher screen. As always, you can press **Ctrl+A** to save.

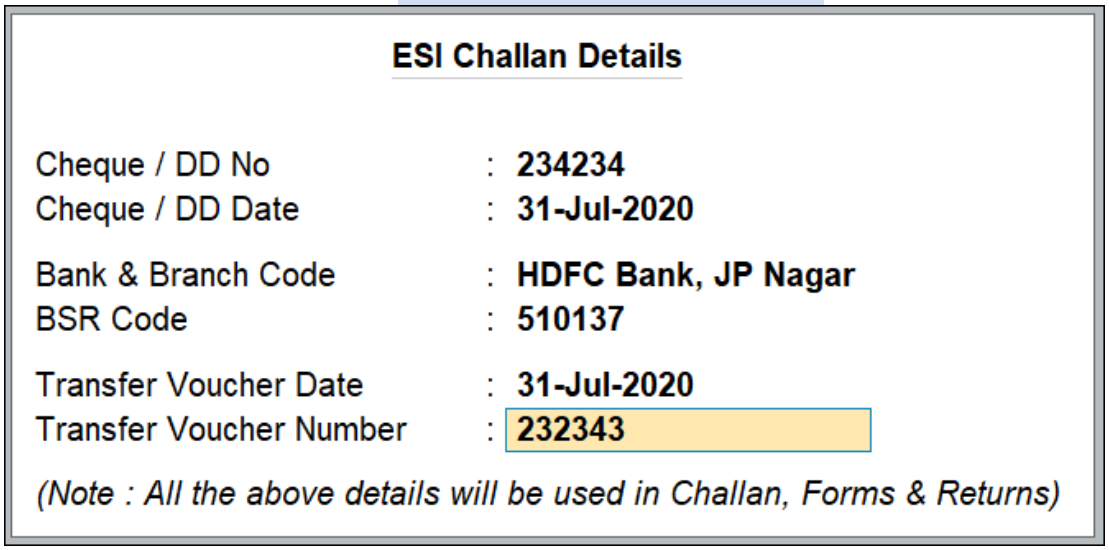
ESI Payment

1. **Gateway of Tally** > **Vouchers** > press **F5** (Payment). Alternatively, press **Alt+G** (Go To) > **Create Voucher** > press **F5** (Payment).
2. Press **F2** (Date) to Change the **Voucher Date**.
3. Press **Ctrl+F** (Autofill) to enable autofill.
4. Select the **ESI Challan** in **Process for** field
5. Enter the **From** (blank for beginning) and **To** (blank for end) date.
6. Enter the **Voucher Date**.
7. Select the appropriate **Employee Category**.

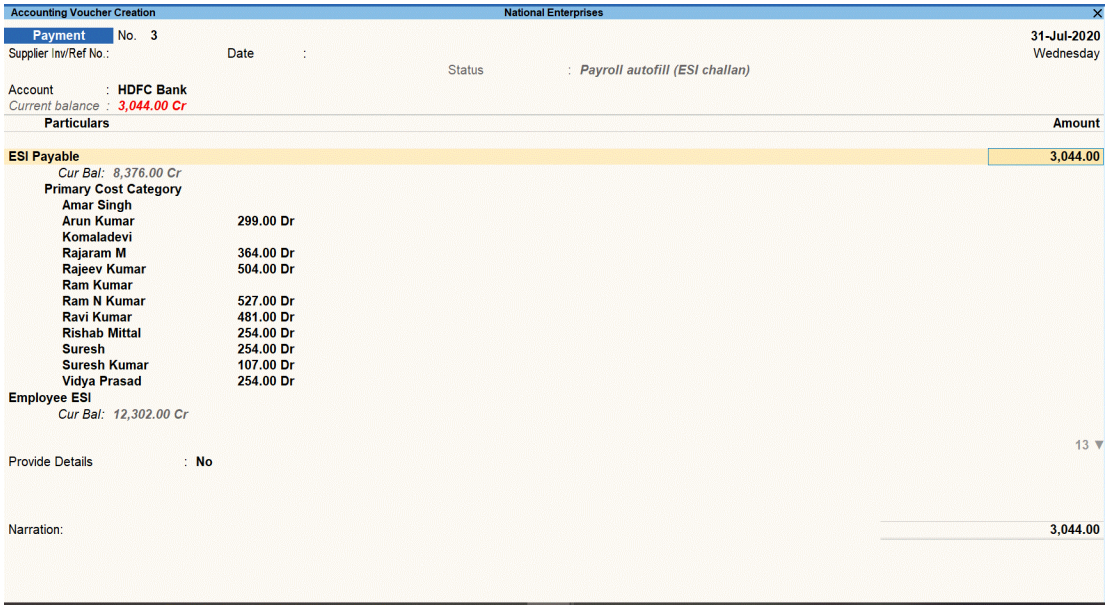
8. Select the **Employee/Group** from the **List of Employees/Group**.
9. Select the appropriate **Bank/Cash Ledger** from the **List of Ledger Accounts**.
10. Select the appropriate **Payroll Ledger** from the **List of Ledger Accounts**



11. Press **Enter** to show the Employee's ESI Contribution, and select **End of List**.
12. Select **Yes** in Provide Details field, if you wish to print the Payment Details in **ESI Challan**. In the **Bank Allocations** screen enter the **Cheque/DD No.**, **Cheque/DD Date**, **Challan Date**, **Bank & Branch Code**.



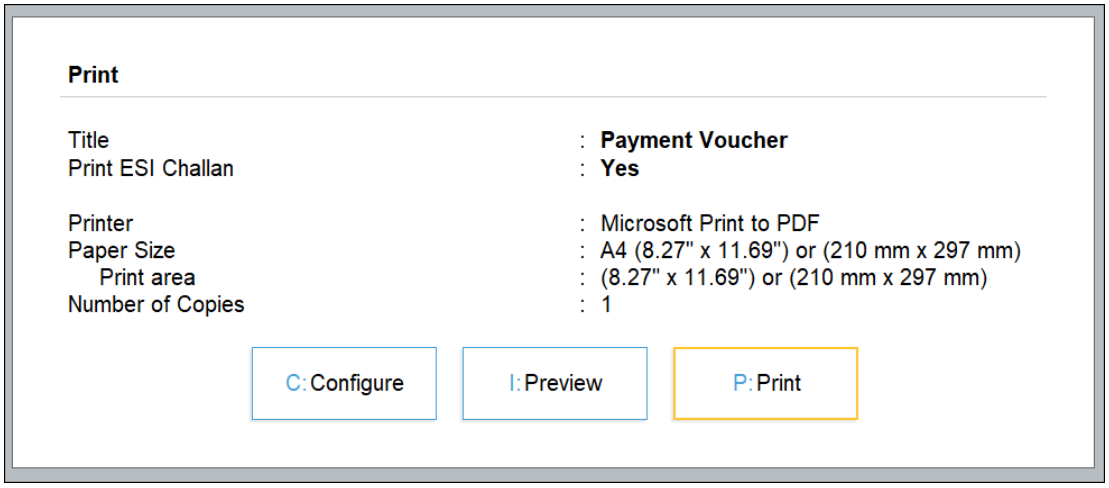
13. Press **Enter**, and fill **Narration**, if any.



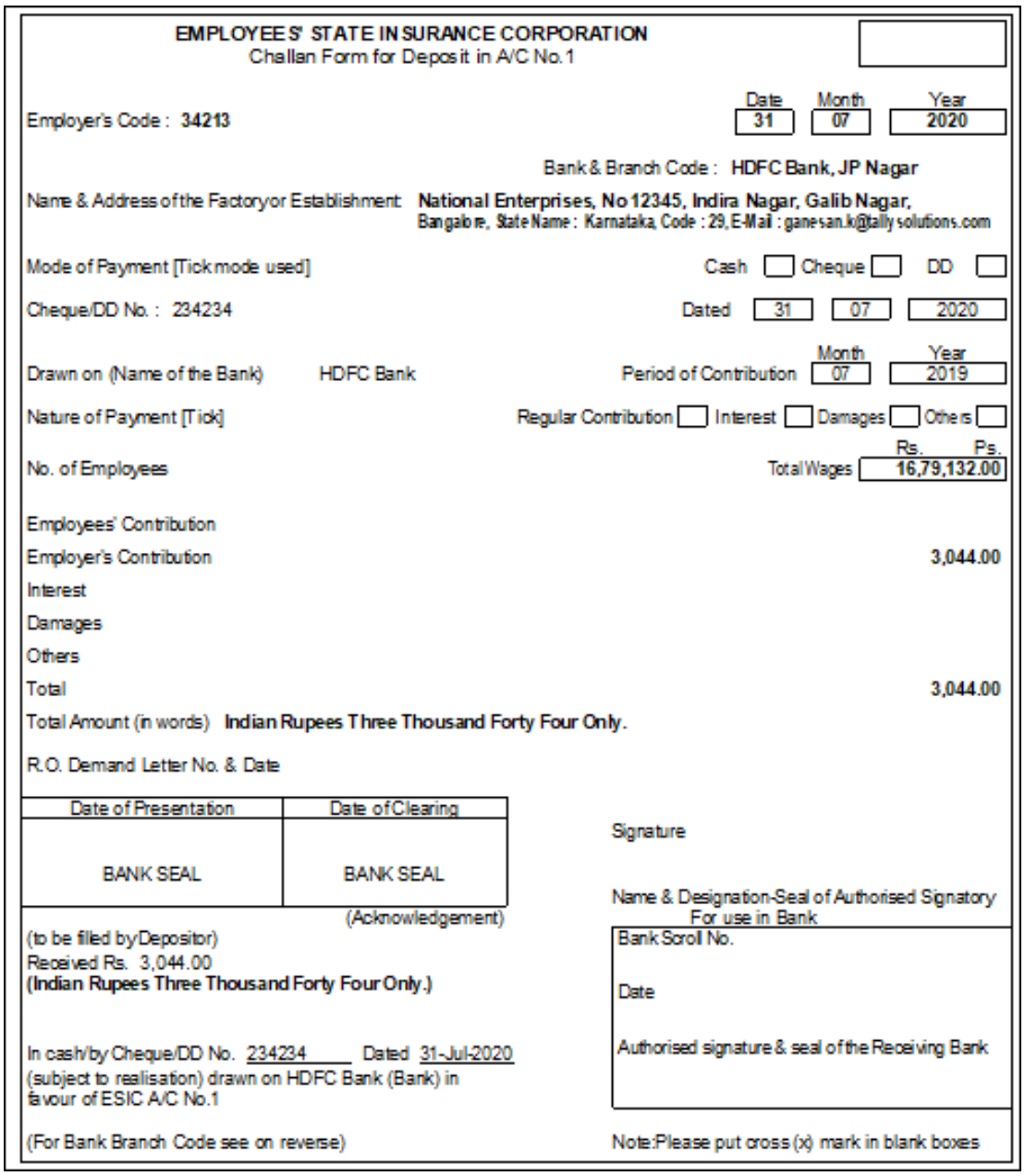
14. Accept the voucher screen. As always, you can press **Ctrl**+**A** to save.

ESI Payment Challan

1. In the **Accounting Voucher Creation** screen, and press **Ctrl**+**P**.
2. In the **Voucher Printing** screen, select **Yes** in the **Print**.



3. Press **Yes** to print the **ESI Challan**.



EMPLOYEES' STATE INSURANCE CORPORATION
Challan Form for Deposit in A/C No.1

Employer's Code : 34213

Date 31 | Month 07 | Year 2020

Bank & Branch Code : HDFC Bank, JP Nagar

Name & Address of the Factory or Establishment: National Enterprises, No 12345, Indira Nagar, Galib Nagar, Bangalore, State Name : Karnataka, Code : 29, E-Mail : ganesan.k@tallysolutions.com

Mode of Payment [Tick mode used] Cash ☐ Cheque ☐ DD ☐

Cheque/DD No. : 234234 Dated 31 | 07 | 2020

Drawn on (Name of the Bank) HDFC Bank Period of Contribution Month 07 | Year 2019

Nature of Payment [Tick] Regular Contribution ☐ Interest ☐ Damages ☐ Others ☐

No. of Employees Total Wages Rs. Ps. 16,79,132.00

Employees' Contribution	
Employer's Contribution	3,044.00
Interest	
Damages	
Others	
Total	3,044.00

Total Amount (in words) **Indian Rupees Three Thousand Forty Four Only.**

R.O. Demand Letter No. & Date

Date of Presentation	Date of Clearing
BANK SEAL	BANK SEAL

(Acknowledgement)

(to be filled by Depositor)
Received Rs. 3,044.00
(Indian Rupees Three Thousand Forty Four Only.)

In cash/by Cheque/DD No. 234234 Dated 31-Jul-2020 (subject to realisation) drawn on HDFC Bank (Bank) in favour of ESIC A/C No.1

(For Bank Branch Code see on reverse)

Signature

Name & Designation-Seal of Authorised Signatory

For use in Bank

Bank Scroll No.

Date

Authorised signature & seal of the Receiving Bank

Note:Please put cross (x) mark in blank boxes

The ESI Challan displays the employees' ESI share, and employer's contribution for the selected month along with the other details.

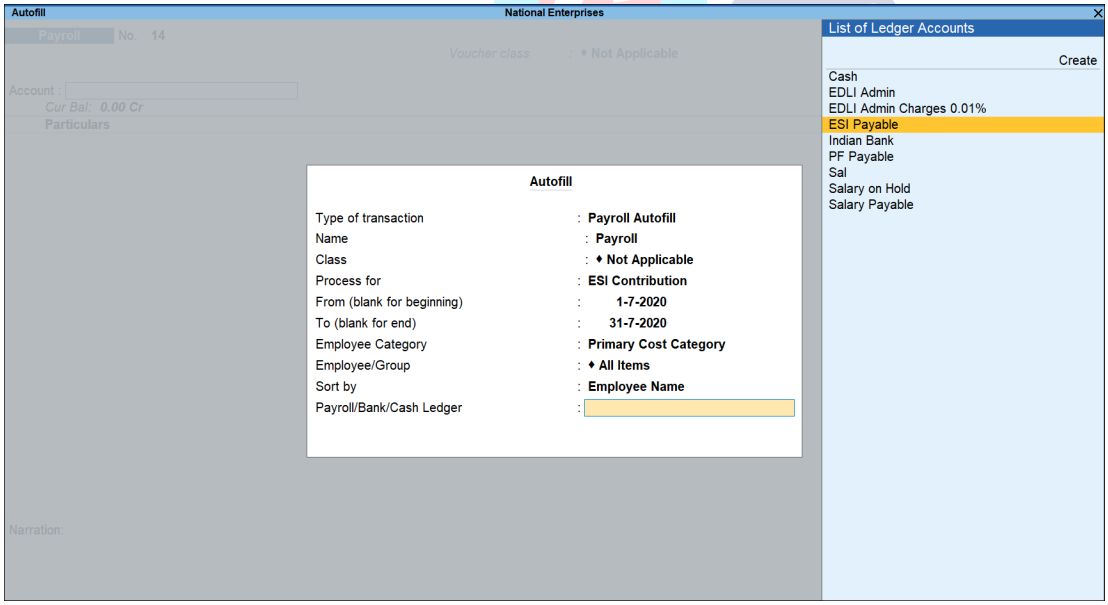
Note: The Number of Employees is printed based on the employee count for whom the ESI Number is entered in the e mployee master.

Record Employer's ESI Contribution and ESI Payments (Payroll)

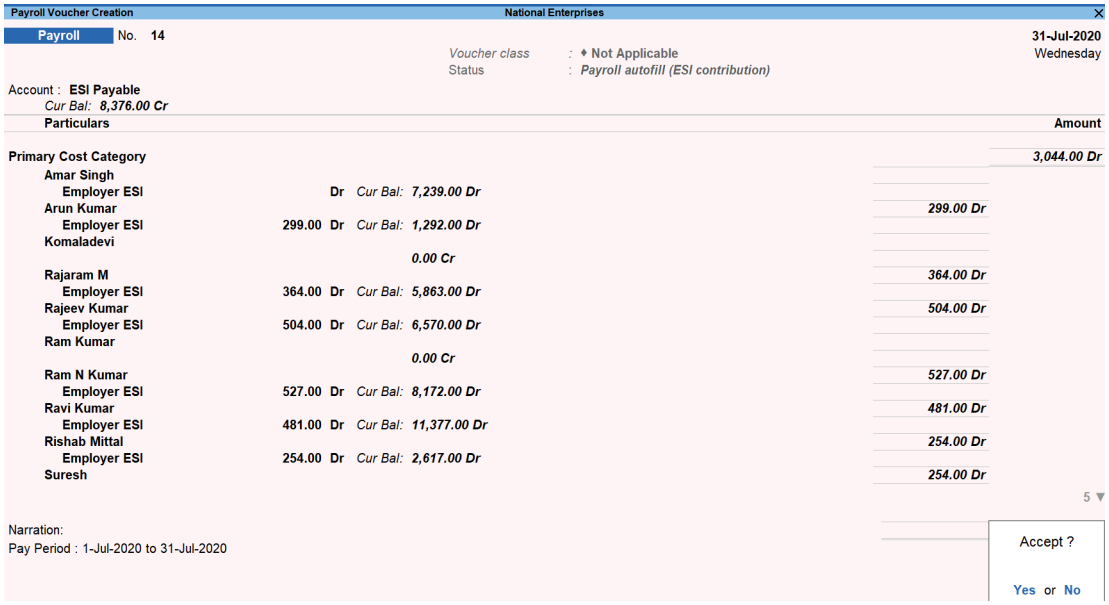
In TallyPrime, in order to process ESI payments, you have to configure the payment voucher with the appropriate **Payroll Ledger** (for example, ESI Payable) and set other parameters, as required. For ESI contributions, you can record a single payment voucher.

Employer's ESI Contribution

1. **Gateway of Tally** > **Vouchers** > press **Ctrl+F4** (Payroll). Alternatively, press **Alt+G** (Go To) > **Create Voucher** > press **Ctrl+F4** (Payroll). In case the voucher type is inactive, you will be prompted to enable the Payroll feature for your Company. Select **Yes** or press **Y** to proceed.
2. Press **F2** (Date) to change the **Voucher Date**.
3. Press **Ctrl+F** (Autofill) to enable Payroll autofill.
4. Select the required process in **Process for** field.
5. Enter the **From** (blank for beginning) and **To** (blank for end) date.
6. Select the appropriate **Employee Category.**
7. Select the **Employee/Group** from the **List of Employees/Group**.
8. Select the appropriate **Payroll Ledger** from the **List of Ledger Accounts**.



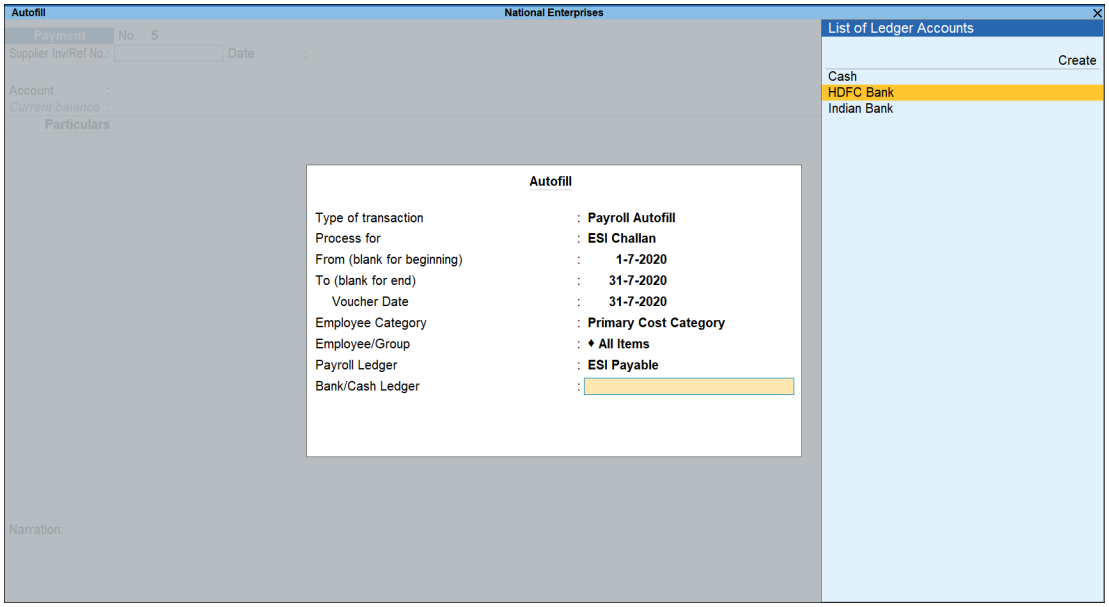
9. Press **Enter** to go to **Payroll Voucher Creation** screen.



10. Accept the payroll voucher screen. As always, you can press **Ctrl**+**A** to save.

ESI Payment

1. **Gateway of** **Tally** > **Vouchers** > press **F5** (Payment). Alternatively, press **Alt**+**G** (Go To) > **Create Voucher** > press **F5** (Payment).
2. Press **F2** (Date) to Change the **Voucher Date**.
3. Press **Ctrl**+**F** (Autofill) to enable autofill.
4. Select the **ESI Challan** in **Process for** field
5. Enter the **From** (blank for beginning) and **To** (blank for end) date.
6. Enter the **Voucher Date**.
7. Select the appropriate **Employee Category**.
8. Select the **Employee/Group** from the **List of Employees/Group**.
9. Select the appropriate **Bank/Cash Ledger** from the **List of Ledger Accounts**.
10. Select the appropriate **Payroll Ledger** from the **List of Ledger Accounts**.



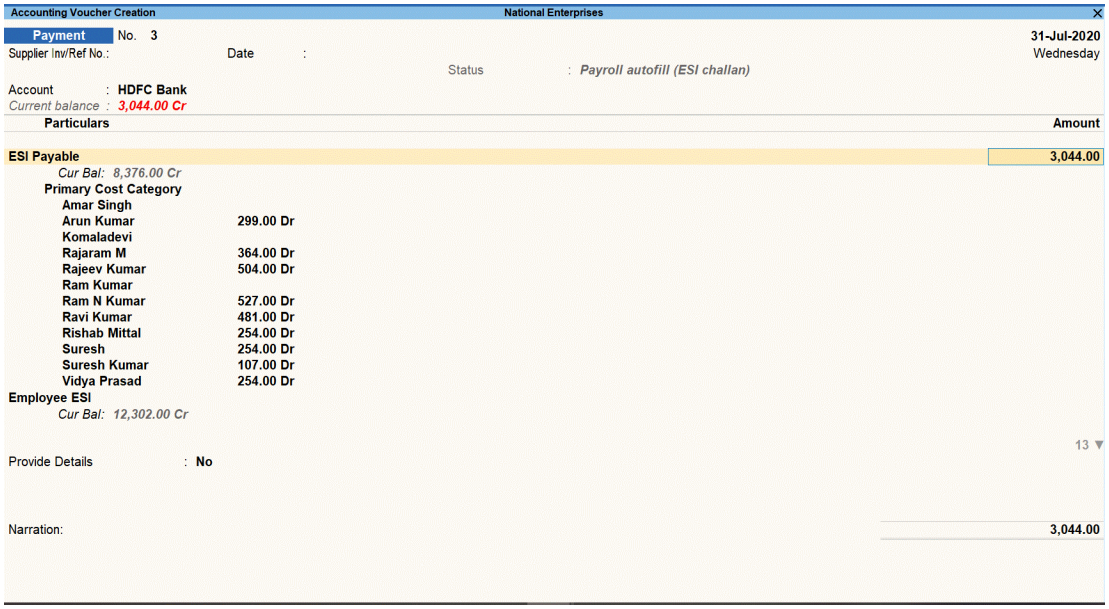
11. Press **Enter** to show the Employee's ESI Contribution, and select **End of List**.
12. Select **Yes** in Provide Details field, if you wish to print the Payment Details in **ESI Challan**. In the **Bank Allocations** screen enter the C**heque/DD No.**, **Cheque/DD Date**, **Challan Date**, **Bank & Branch Code**.

ESI Challan Details

Cheque / DD No	:	**234234**
Cheque / DD Date	:	**31-Jul-2020**
Bank & Branch Code	:	**HDFC Bank, JP Nagar**
BSR Code	:	**510137**
Transfer Voucher Date	:	**31-Jul-2020**
Transfer Voucher Number	:	**232343**

(Note : All the above details will be used in Challan, Forms & Returns)

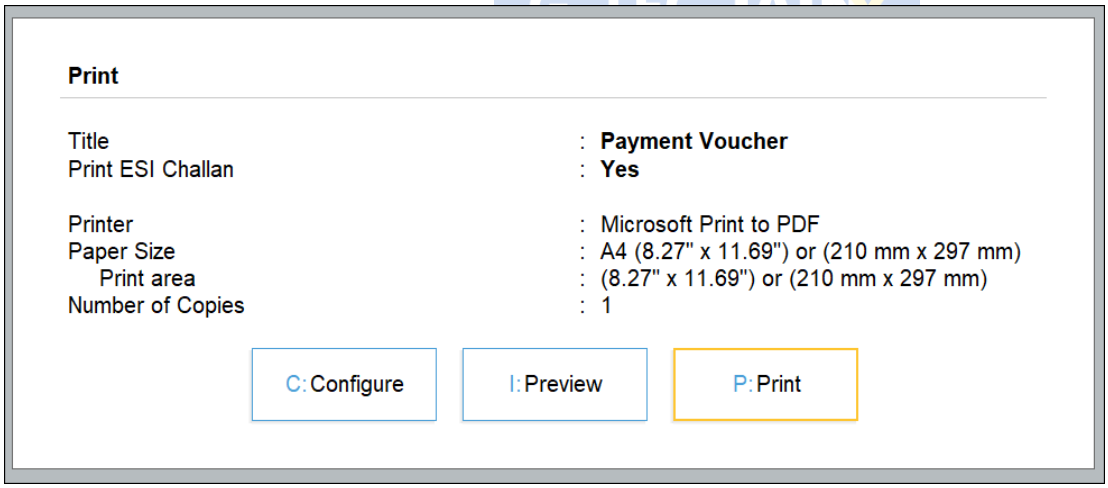
13. Press **Enter**, and fill **Narration**, if any.



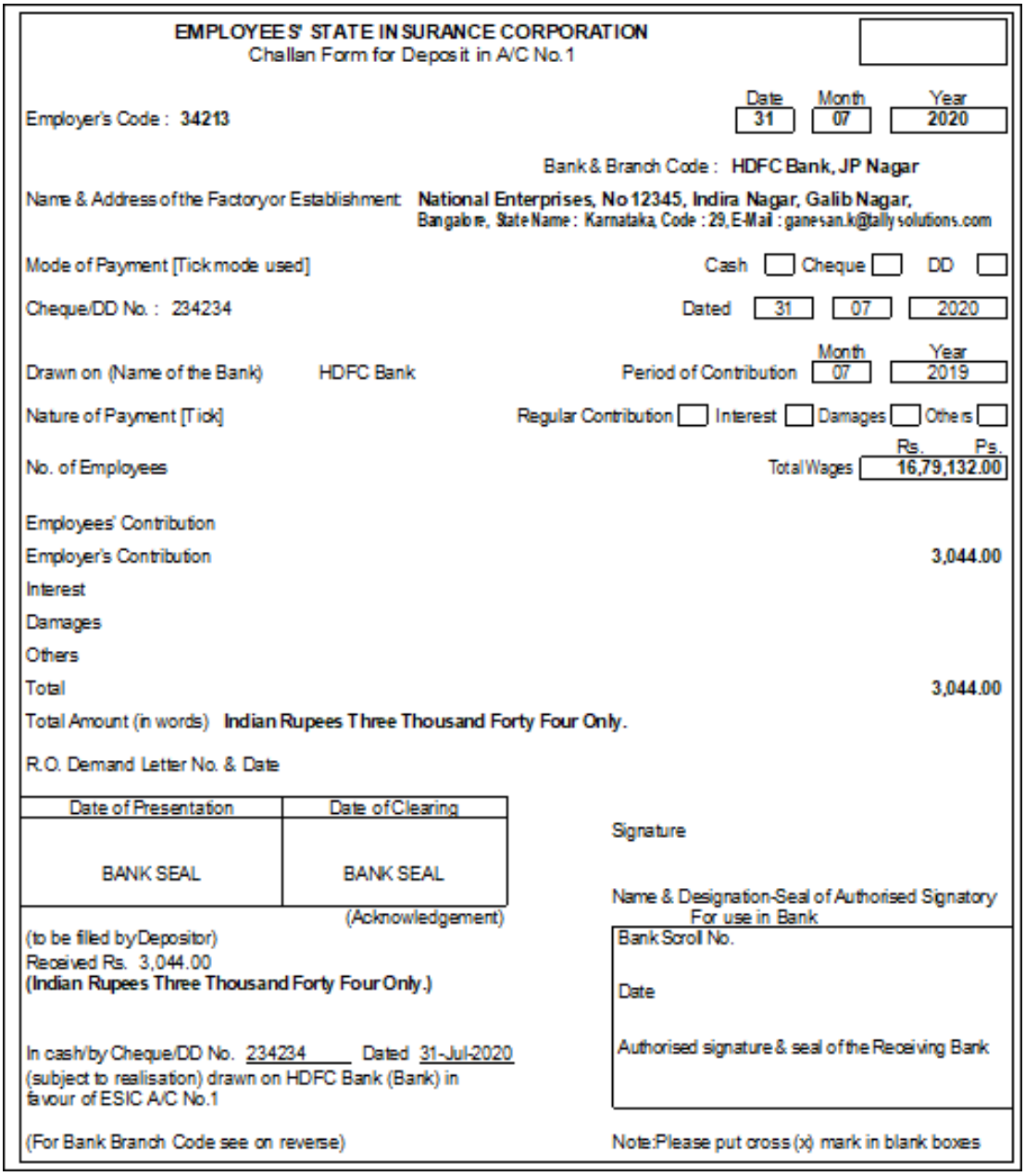
14. Accept the voucher screen. As always, you can press **Ctrl**+**A** to save.

ESI Payment Challan

1. In the **Accounting Voucher Creation** screen, and press **Ctrl+P**.
2. In the **Voucher Printing** screen, select **Yes** in the **Print Challan** field.



3. Press **Yes** to print the **ESI Challan**.



EMPLOYEES' STATE INSURANCE CORPORATION
Challan Form for Deposit in A/C No.1

Employer's Code : 34213

Date 31 Month 07 Year 2020

Bank & Branch Code : HDFC Bank, JP Nagar

Name & Address of the Factory or Establishment: National Enterprises, No 12345, Indira Nagar, Galib Nagar, Bangalore, State Name : Karnataka, Code : 29, E-Mail : ganesan.k@tallysolutions.com

Mode of Payment [Tick mode used] Cash ☐ Cheque ☐ DD ☐

Cheque/DD No. : 234234 Dated 31 07 2020

Drawn on (Name of the Bank) HDFC Bank Period of Contribution Month 07 Year 2019

Nature of Payment [Tick] Regular Contribution ☐ Interest ☐ Damages ☐ Others ☐

No. of Employees Total Wages Rs. Ps. 16,79,132.00

Employees' Contribution	
Employer's Contribution	3,044.00
Interest	
Damages	
Others	
Total	3,044.00

Total Amount (in words) Indian Rupees Three Thousand Forty Four Only.

R.O. Demand Letter No. & Date

Date of Presentation	Date of Clearing
BANK SEAL	BANK SEAL

(Acknowledgement)
(to be filled by Depositor)
Received Rs. 3,044.00
(Indian Rupees Three Thousand Forty Four Only.)

In cash/by Cheque/DD No. 234234 Dated 31-Jul-2020
(subject to realisation) drawn on HDFC Bank (Bank) in favour of ESIC A/C No.1

(For Bank Branch Code see on reverse)

Signature

Name & Designation-Seal of Authorised Signatory

For use in Bank
Bank Scroll No.
Date
Authorised signature & seal of the Receiving Bank

Note:Please put cross (x) mark in blank boxes

The ESI Challan displays the employees' ESI share, and employer's contribution for the selected month along with the other details.

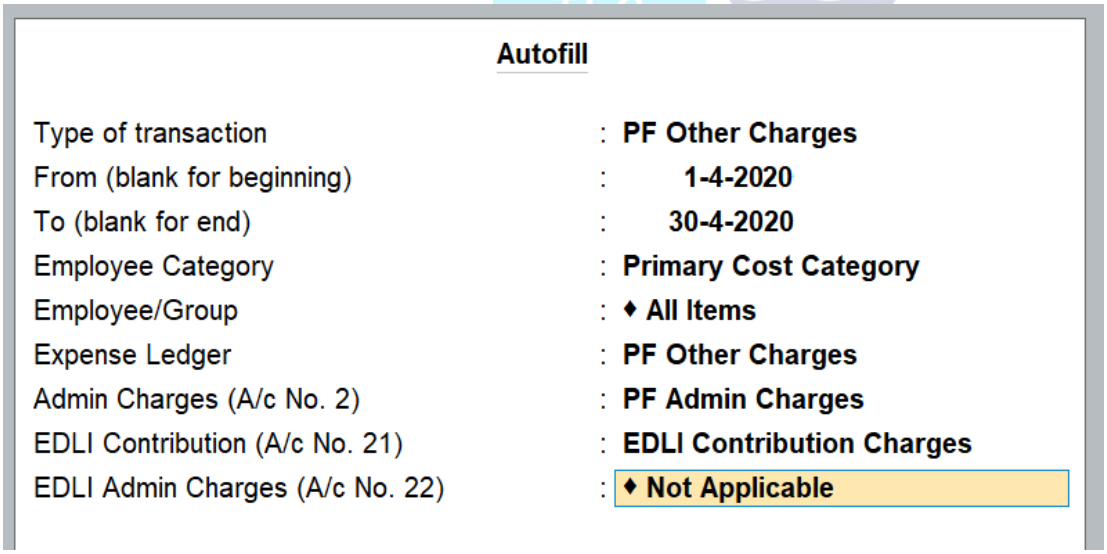
Note: The Number of Employees is printed based on the employee count for whom the ESI Number is entered in the e mployee master.

Record Employer PF Admin Charges (Payroll)

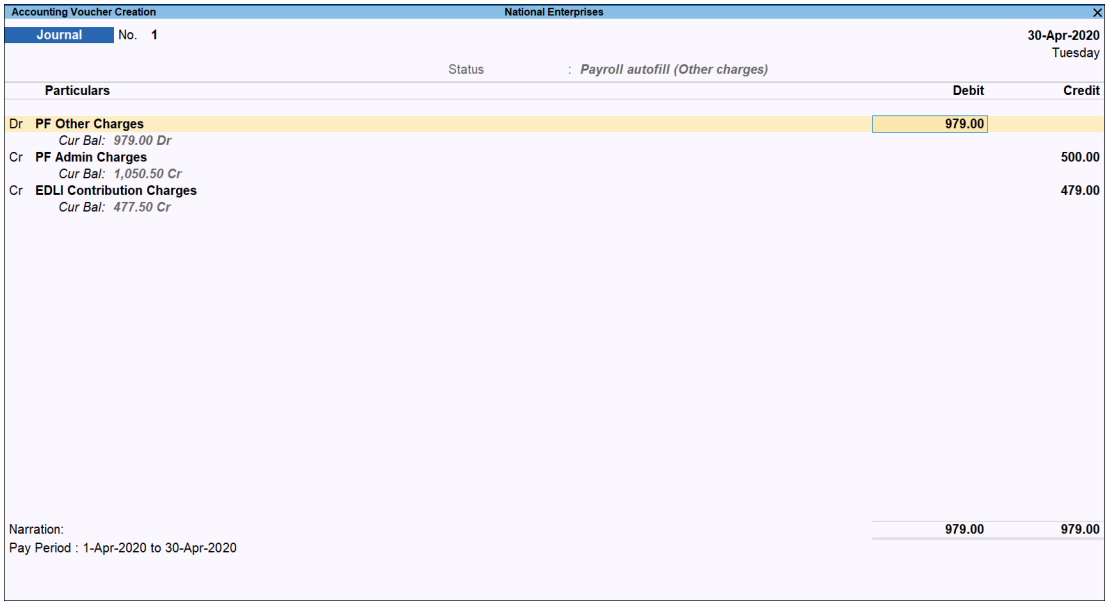
In TallyPrime, you can process Employer PF Admin Charges using a journal voucher.

Note: EDLI Admin Charges are waived of by EPFO with effect from 01-Apr-2017.

1. **Gateway of Tally** > **Vouchers** > press **F7** (Journal).
   Alternatively, press **Alt**+**G** (Go To) > **Create Voucher** > press **F7** (Journal).
2. Press **F2** (Date) to change the Voucher Date.
3. Press **Ctrl**+**F** (Autofill) to auto fill the details.
4. Select **PF Other Charges** and press **Enter**.
5. Enter the From and To date in the Other Charges Auto Fill screen.
6. Select the appropriate **Employee Category**.
7. Select the **Employee/Group** from the List of Employees/Group.
8. Select the appropriate **Expense Ledger** from the **List of Ledger Accounts**.
9. Select the appropriate **PF Admin Pay Head** in **Admin Charges (A/c No.2)**.
10. Select the appropriate **EDLI Contribution Pay Head** in **EDLI Contribution (A/c No.21)**.
11. Select the appropriate **EDLI Admin Charges** in **EDLI Admin Charges (A/c No.22)**, as shown below:



12. Press **Enter** to return to the **Accounting Voucher Creation** screen.



If you need to use this option only for the current voucher, press **Ctrl+I** (More Details) > type or select **Voucher Narration** > and press **Enter**.

13. Accept the screen. As always, you can press **Ctrl+A** to save.

Note: Select All Items as Employee/Group for TallyPrime to automatically apply the minimum administrative charges as given below:

- Employer PF Administrative charges, EDLI Contribution & EDLI Administrative charges are calculated based on the PF Gross at 0.5%, 0.5% and nil respectively.
- The minimum charges payable for Employer PF Administrative and Employer EDLI Administrative is configured as Rs. 500/- and Rs. 200/- respectively.

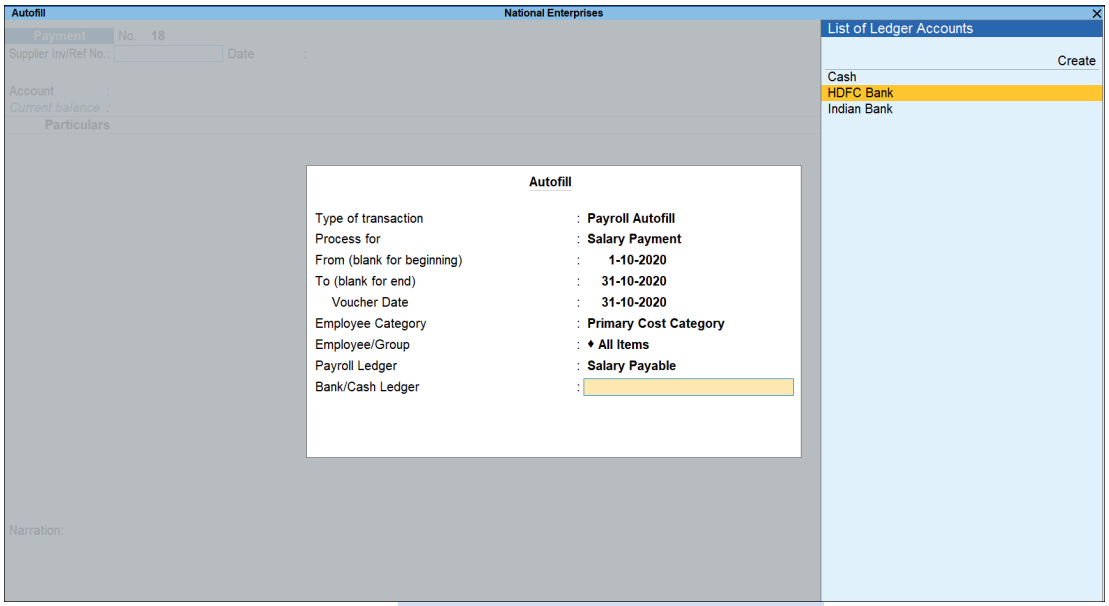
Record Salary Payments (Payroll)

You can pay salaries from payroll vouchers or use the payroll vouchers to create the liability, and salary can be paid using a payment voucher.

1. **Gateway of Tally** > **Vouchers** > press **F5** (Payment). Alternatively, **Alt+G** (Go To) > **Create Voucher**> press **F5** (Payment).
2. Press **F2** to change the Voucher Date.
3. Press **Ctrl+F** (Autfill) to select the **Payroll Autofill** in the **Autofill** Screen.
   - **Type of transaction**: select the **Type of Autofill** as **Payroll Autofill**.
   - **Process for**: select the **Salary Payment** in the Process for field.
   - **From (blank for beginning)**: enter the **From Dates**.
   - **To (Blank for end)**: enter the **To Dates.**
   - **Voucher Date**: enter the required Voucher Date.

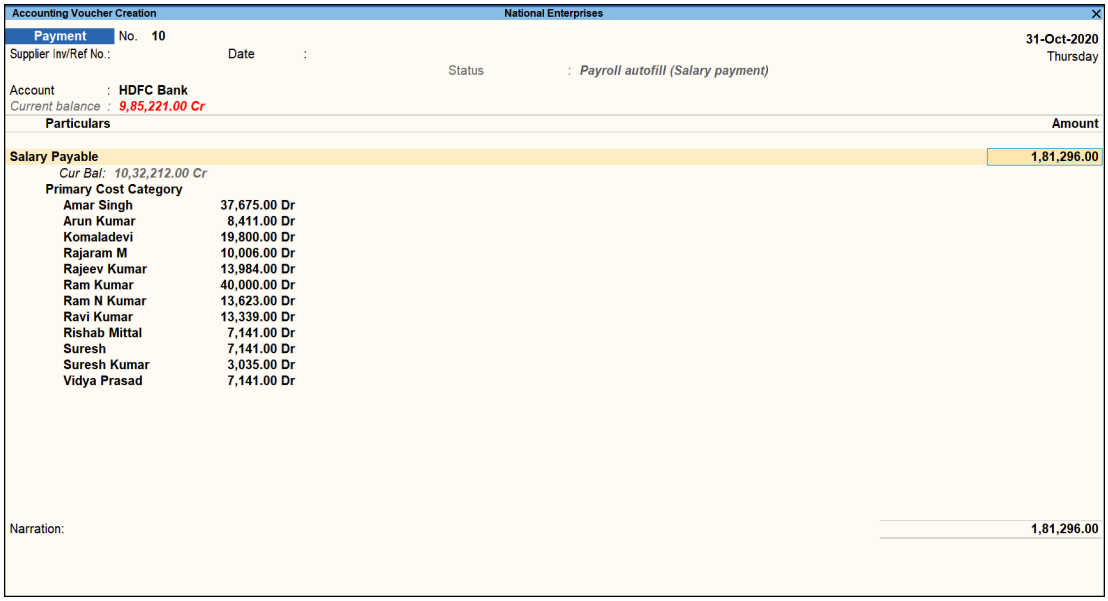
Note: The **Voucher Date** can be different or outside the period specified in (From and To fields). For exam ple, the voucher date for salary payment for April can be 2.05.2020.

- **Employee/Group**: select the Employee/Group from the List of Employees/Group.
- **Payroll Ledger**: select the appropriate Payroll Ledger from the List of Ledger Accounts.
- **Bank/Cash Ledger**: select the appropriate Bank/Cash Ledger from the List of Ledger Accounts.
- **Note**: If the bank selected is enabled for e-payments in the master, you can select any of the e-payments methods.



Note: If the salary payment is done through cash, you can select Cash in the Bank/Cash Ledger field.

4. As always, you can press **Ctrl+A** to save the **Payment Autofill**screen, and return to the payment voucher.



5. Accept the screen. As always, you can press **Ctrl**+**A** to save.

You can also process the salary payment manually similar to Attendance Voucher creation.

Record PF Payments (Payroll)

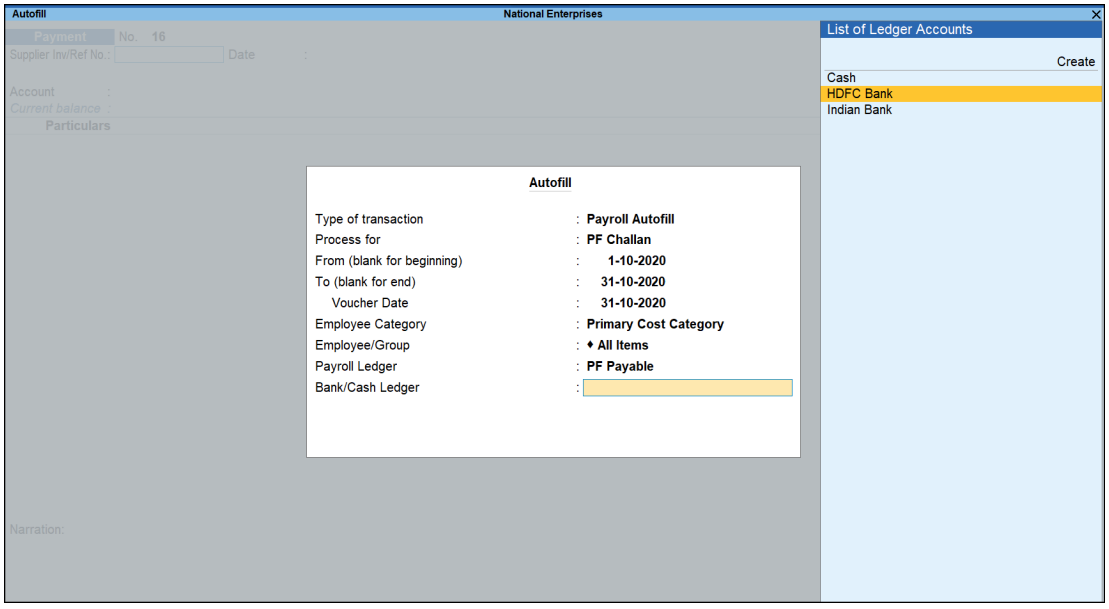
The values for employee/employer PF contributions are calculated in different payroll vouchers, and admin charges are calculated using the journal voucher. But the payment to the department must be made using a single payment voucher.

PF Payment voucher

1. **Gateway of Tally** > **Vouchers** > press **F5** (Payment). Alternatively, **Alt**+**G** (Go To) > type or select **Create Voucher**> press **F5** (Payment).
2. Press **F2** (Date) to change the Voucher Date.
3. Press **Ctrl**+**F** (Autofill) for Payroll Auto Fill.

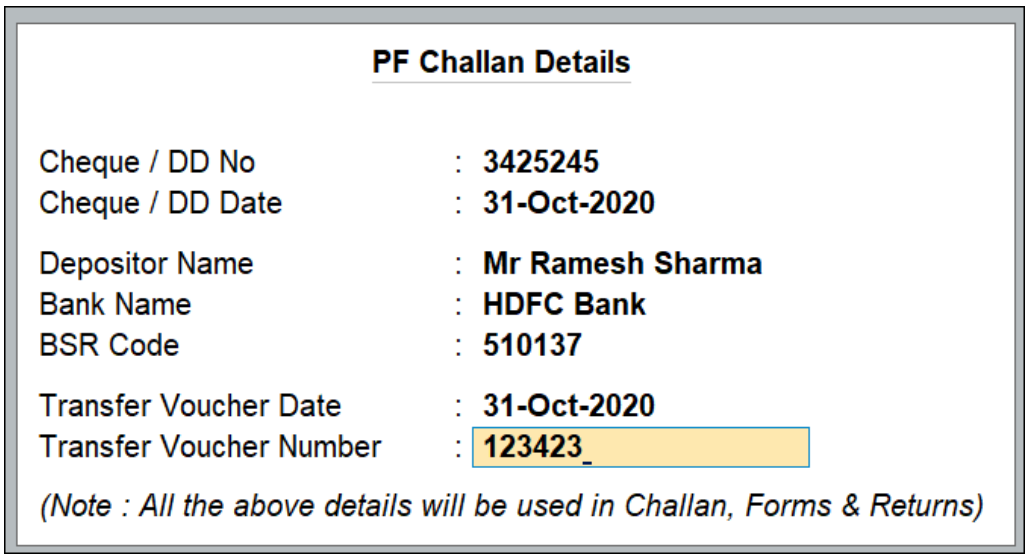
- **Process for**: Select the **PF Challan** in the **Process** for field.
- **From (blank for beginning)**: enter the **From** Dates.
- **To (Blank for end)**: enter the **To** Dates.
- **Voucher Date**: Enter the date in **Voucher Date** field.
- **Employee/Group**: select the **Employee/Group** from the List of **Employees/Group**, whose salary you want to process.
- **Payroll Ledger**: Select the appropriate **Payroll Ledger** from the **List of Ledger Accounts**.
- **Bank/Cash Ledger**: Select the appropriate **Bank / Cash Ledger** from the **List of Ledger Accounts**.

G-TEC JAINx

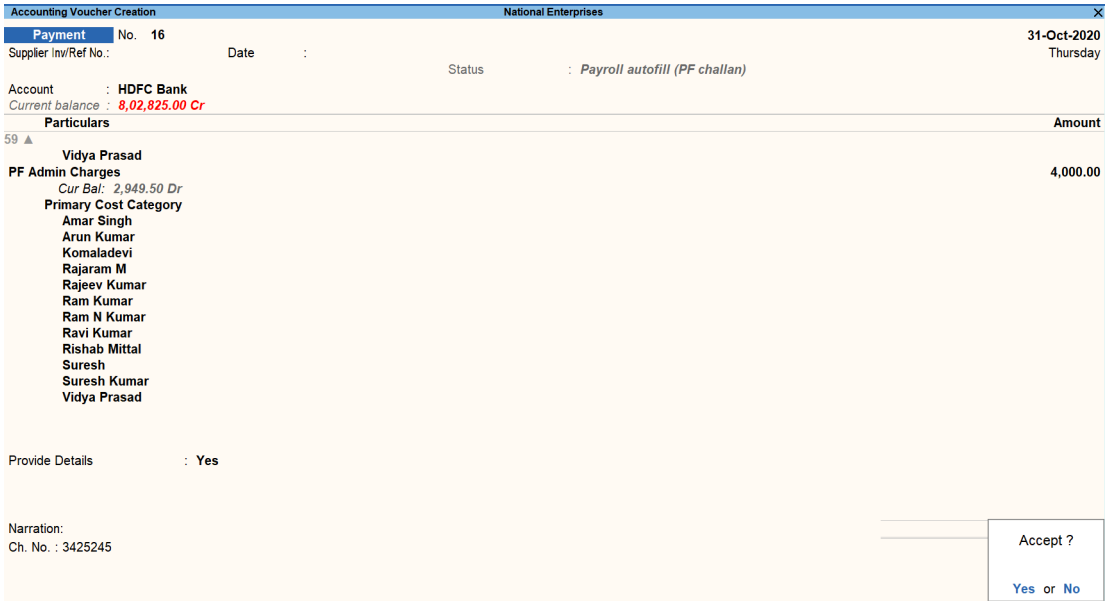


4. Keep pressing **Enter** to show the Employee's PF Contribution and PF Admin Charges till you reach **End of List.**
5. Select **Yes** in Provide Details field, if you wish to print the Payment Details in **PF Challan.**

6. In the **Payment Details** screen enter the **Cheque / DD No., Cheque / DD Date**, **Depositor Name**, **Bank Name**, **BSR Code**, **Challan Date**, **Challan Number**.



7. Press **Enter** and fill in the **Narration**, if any.



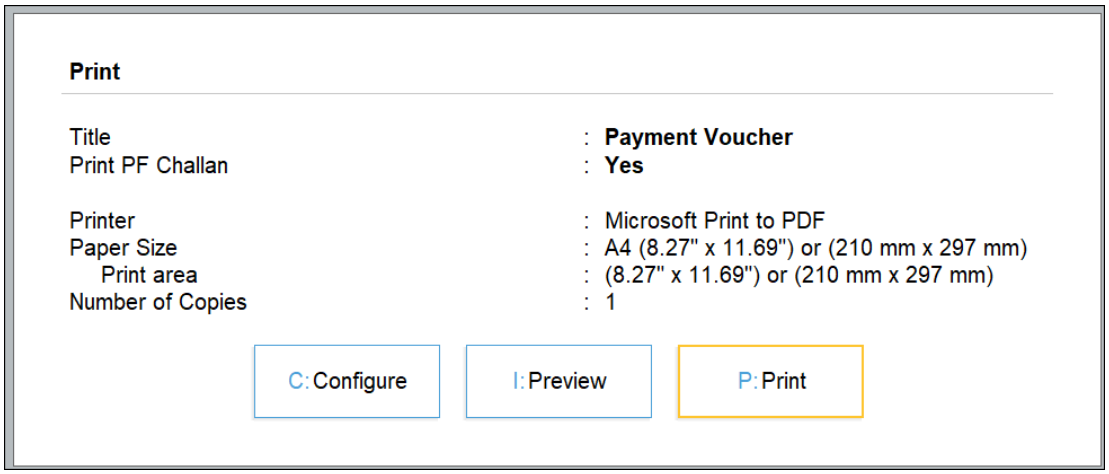
8. Accept the screen. As always, you can press **Ctrl+A** to save.

PF Combined Challan

1. Press **N** or click on **No** in the Accounting Voucher Creation screen, press **Ctrl+P**.
2. Press **C** (Configure) to specify the following details in the Print **Configuration** screen:

a. **Print PF Challan**: Select **Yes** in the **Print Challan** field.

b. By default, **Total No. of Subscribers (A/c. 1)**, **Total No. of Subscribers (A/c.10)** and **Total No. of Subscribers (A/c.21)** are prefilled.



3. Press **P** (Print) to print the **PF Combined Challan**

G-TEC COMPUTER EDUCATION
JGI Jain Group - Bengaluru
G-TEC JAINx EDUCATION

Original

COMBINED CHALLAN NO. 1, 2, 10, 21 & 22
EMPLOYEES' PROVIDENT FUND ORGANISATION

ESTABLISHMENT CODE NO. DL/12345 ACCOUNT GROUP NO. DL/G/1 RID/CHEQUE [ ] / CASH [ ]

DUES FOR THE MONTH OF: Employees' Share MM 10 YYYY 2020; Employer's Share 10 2020

DATE OF PAYMENT: DD 31 MM 10 YYYY 2020

	Alc 1	Alc 10	Alc 21
Total No. of Subscribers	0	0	0
Total Wages Due	27,16,540.00	16,47,412.00	2702,827.00

Sl. No.	Particulars	A/c No. 1	A/c No. 2	A/c No. 10	A/c No. 21	A/c No. 22	Total
PART-II							
1	EMPLOYER'S SHARE OF CONT.	1,17,169.00		1,25,557.00	5,000.00		247,726.00
2	EMPLOYEES' SHARE OF CONT.	16,050.00					16,050.00
3	ADM CHARGES		4,000.00				4,000.00
4	INSP. CHARGES						
5	PENAL DAMAGES						
6	MISC. PAYMENT/S.7Q INTEREST						
7	PAST ACCUMULATIONS/ARREARS						
	Total	1,33,219.00	4,000.00	1,25,557.00	5,000.00		267,776.00

(Amount in words : Indian Rupees Two Lakh Sixty Seven Thousand Seven Hundred Seventy Six Only)

(For Bank's use only)

Amount Received Rs :
For Cheques only :
Date of Presentation :
Date of Realisation :
Branch Name :
Branch Code No :

NAME OF THE ESTABLISHMENT: National Enterprises
ADDRESS : #27, 80 Ft Road, Industrial Area,, Koramangala 6th Block, , Bangalore, State Name : Karnataka, Code : 29, E-Mail : salesho@nationalenterprises.com

NAME OF THE DEPOSITOR : Mr Ramesh Sharma

SIGNATURE OF THE DEPOSITOR:

(TO BE FILLED IN BY EMPLOYER'S)

NAME OF THE BANK HDFC Bank CHEQUE NO 3425245 DATE 31-Oct-2020

The Combined Challan No. 1, 2, 10, and 22 for Provident Fund displays the Employees' share, Employer's Contribution and PF Admin Expenses in the respective Account columns.

Note: The Total number of subscribers for A/c.1 and A/c.21 are printed based on the Employee Count for whom the PF Account Number is entered in the Employee Master.

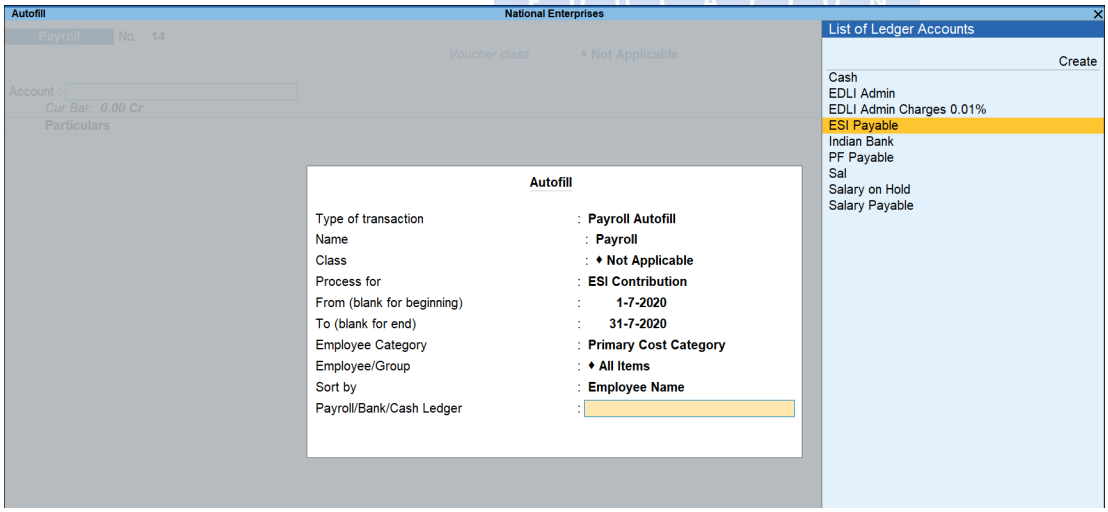
The Total number of subscribers for A/c.10 is printed based on the Employee count for whom the EPS Account Number is entered in the Employee Master.

Record Employer's ESI Contribution and ESI Payments (Payroll)

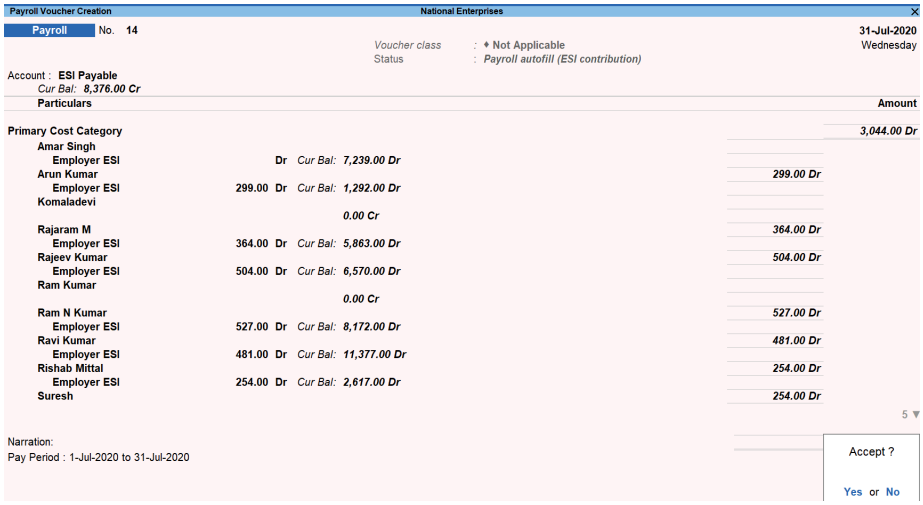
In TallyPrime, in order to process ESI payments, you have to configure the payment voucher with the appropriate **Payroll Ledger** (for example, ESI Payable) and set other parameters, as required. For ESI contributions, you can record a single payment voucher.

Employer's ESI Contribution

1. **Gateway of Tally** > **Vouchers** > press **Ctrl**+**F4** (Payroll). Alternatively, press **Alt**+**G** (Go To) > **Create Voucher** > press **Ctrl**+**F4** (Payroll). In case the voucher type is inactive, you will be prompted to enable the Payroll feature for your Company. Select **Yes** or press **Y** to proceed.
2. Press **F2** (Date) to change the **Voucher Date**.
3. Press **Ctrl**+**F** (Autofill) to enable Payroll autofill.
4. Select the required process in **Process for** field.
5. Enter the **From** (blank for beginning) and **To** (blank for end) date.
6. Select the appropriate **Employee Category.**
7. Select the **Employee/Group** from the **List of Employees/Group**.
8. Select the appropriate **Payroll Ledger** from the **List of Ledger Accounts**.



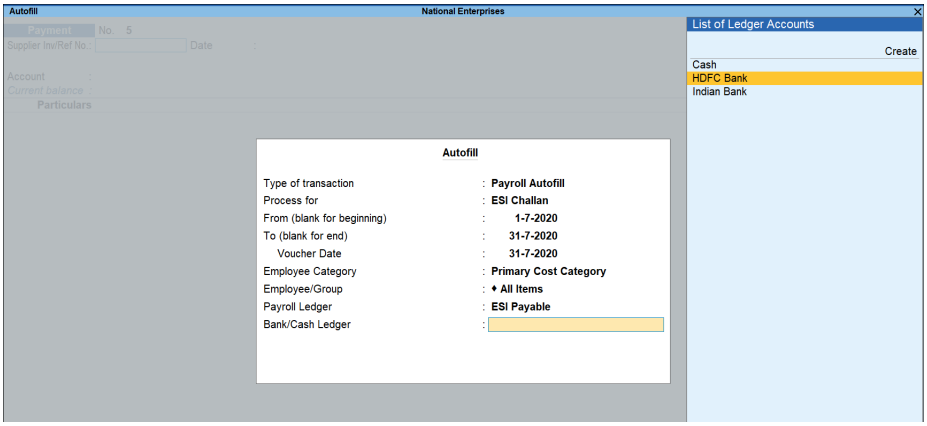
9. Press **Enter** to go to **Payroll Voucher Creation** screen.



10. Accept the payroll voucher screen. As always, you can press **Ctrl**+**A** to save.

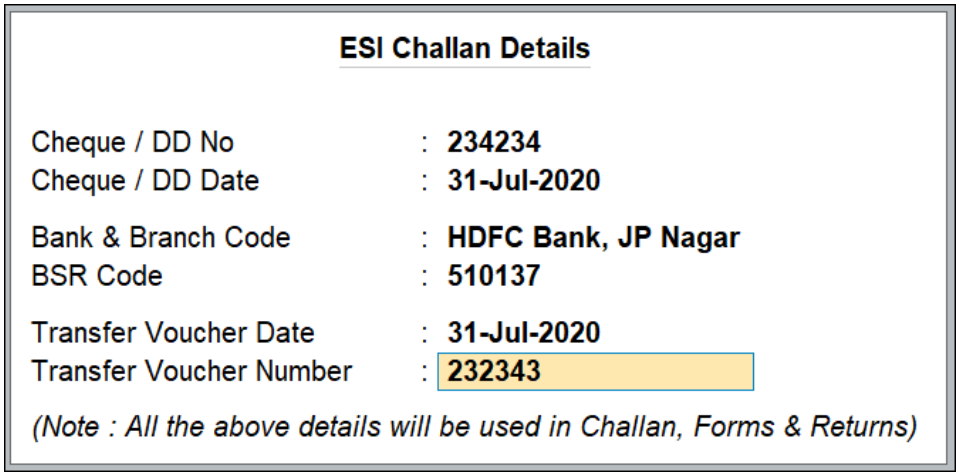
ESI Payment

1. **Gateway of** **Tally** > **Vouchers** > press **F5** (Payment). Alternatively, press **Alt**+**G** (Go To) > **Create Voucher** > press **F5** (Payment).
2. Press **F2** (Date) to Change the **Voucher Date**.
3. Press **Ctrl**+**F** (Autofill) to enable autofill.
4. Select the **ESI Challan** in **Process for** field
5. Enter the **From** (blank for beginning) and **To** (blank for end) date.
6. Enter the **Voucher Date**.
7. Select the appropriate **Employee Category**.
8. Select the **Employee/Group** from the **List of Employees/Group**.
9. Select the appropriate **Bank/Cash Ledger** from the **List of Ledger Accounts**.
10. Select the appropriate **Payroll Ledger** from the **List of Ledger Accounts**.

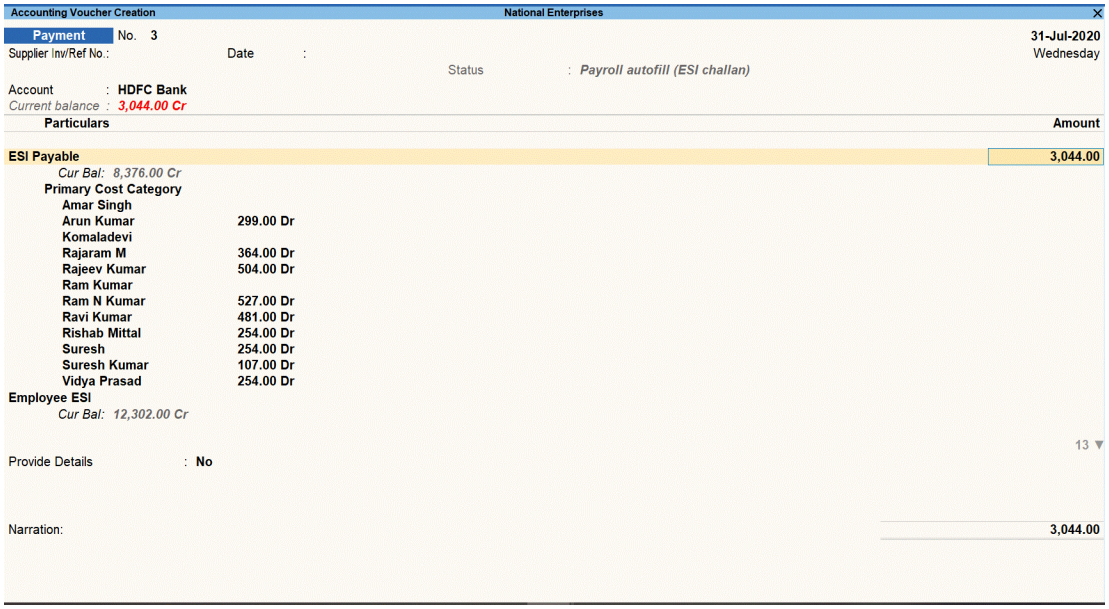


11. Press **Enter** to show the Employee's ESI Contribution, and select **End of List**.

12. Select **Yes** in Provide Details field, if you wish to print the Payment Details in **ESI Challan**. In the **Bank Allocations** screen enter the C**heque/DD No.**, **Cheque/DD Date**, **Challan Date**, **Bank & Branch Code**.



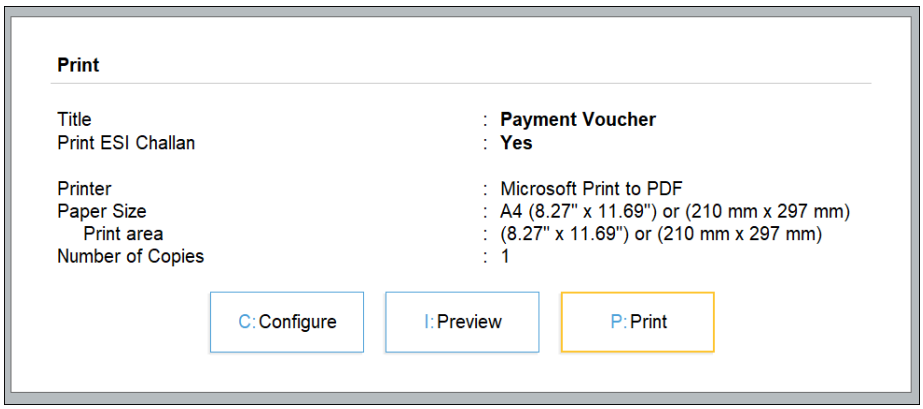
13. Press **Enter**, and fill **Narration**, if any.



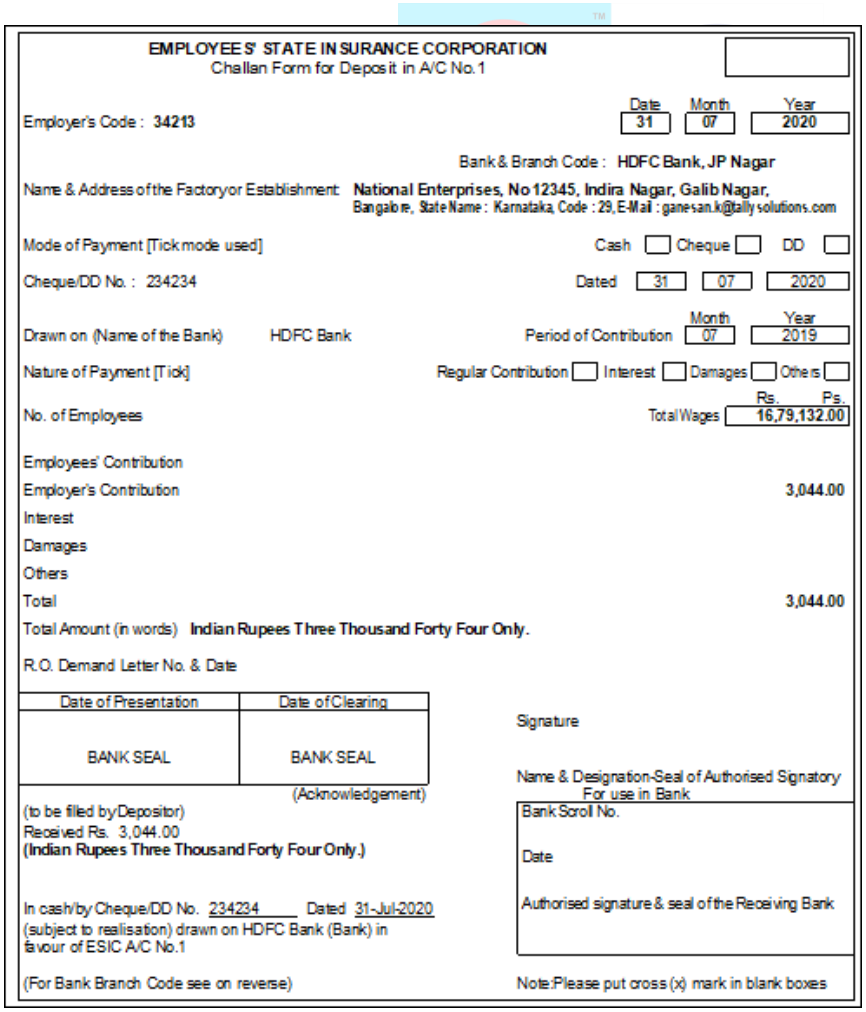
14. Accept the voucher screen. As always, you can press **Ctrl**+**A** to save.

ESI Payment Challan

1. In the **Accounting Voucher Creation** screen, and press **Ctrl+P**.
2. In the **Voucher Printing** screen, select **Yes** in the **Print Challan** field.



3. Press **Yes** to print the **ESI Challan**.



EMPLOYEES' STATE INSURANCE CORPORATION
Challan Form for Deposit in A/C No.1

Employer's Code : **34213**

Date: 31 Month: 07 Year: 2020

Bank & Branch Code : **HDFC Bank, JP Nagar**

Name & Address of the Factory or Establishment: **National Enterprises, No 12345, Indira Nagar, Galib Nagar,** Bangalore, State Name : Karnataka, Code : 29, E-Mail : ganesan.k@tallysolutions.com

Mode of Payment [Tick mode used] Cash ☐ Cheque ☐ DD ☐

Cheque/DD No. : 234234 Dated 31 07 2020

Drawn on (Name of the Bank) HDFC Bank Period of Contribution Month 07 Year 2019

Nature of Payment [Tick] Regular Contribution ☐ Interest ☐ Damages ☐ Others ☐

No. of Employees Total Wages Rs. Ps. **16,79,132.00**

Employees' Contribution	
Employer's Contribution	**3,044.00**
Interest	
Damages	
Others	
Total	**3,044.00**

Total Amount (in words) **Indian Rupees Three Thousand Forty Four Only.**

R.O. Demand Letter No. & Date

Date of Presentation	Date of Clearing
BANK SEAL	BANK SEAL

(Acknowledgement)

(to be filled by Depositor)
Received Rs. 3,044.00
(Indian Rupees Three Thousand Forty Four Only.)

In cash/by Cheque/DD No. 234234 Dated 31-Jul-2020
(subject to realisation) drawn on HDFC Bank (Bank) in favour of ESIC A/C No.1

(For Bank Branch Code see on reverse)

Signature

Name & Designation-Seal of Authorised Signatory

For use in Bank

Bank Scroll No.

Date

Authorised signature & seal of the Receiving Bank

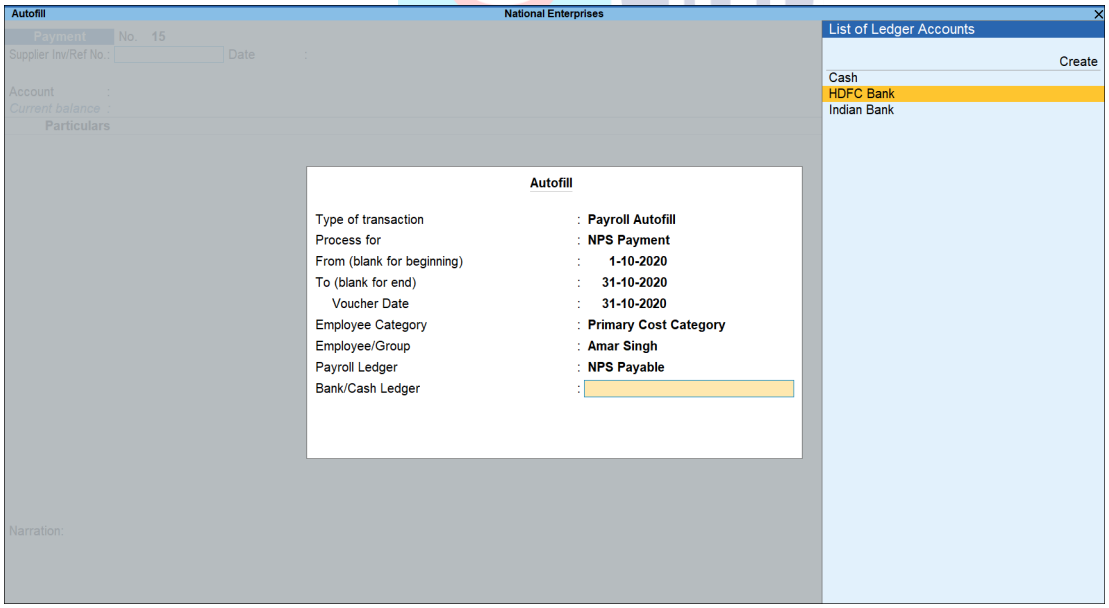
Note:Please put cross (x) mark in blank boxes

The ESI Challan displays the employees' ESI share, and employer's contribution for the selected month along with the other details.

Record NPS Payments (Payroll)

Payments towards both employer's NPS contributions and employees' NPS deductions can be recorded using a single payment voucher in TallyPrime.

1. **Gateway of Tally** > **Vouchers** > press **F5** (Payment). Alternatively, press **Alt**+**G** (Go To) >type or select **Create Voucher**> press **F5** (Payment).
2. Press **F2** (Date) to change the Voucher Date.
3. Press **Ctrl**+**F** (Autofill) for Payroll Auto Fill.
4. Select the **NPS Payment** in **Process** for field.
5. Enter the **From (blank for beginning)**and **To (blank for end)** dates.
6. Enter the date in **Voucher Date** field.
7. Select the appropriate **Employee Category**.
8. Select the **Employee/Group** from the **List of Employees/Group**.
9. Select the appropriate **Payroll Ledger** from the **List of Ledger Accounts**.
10. Select the appropriate **Bank/Cash Ledger** from the **List of Ledger Accounts**.



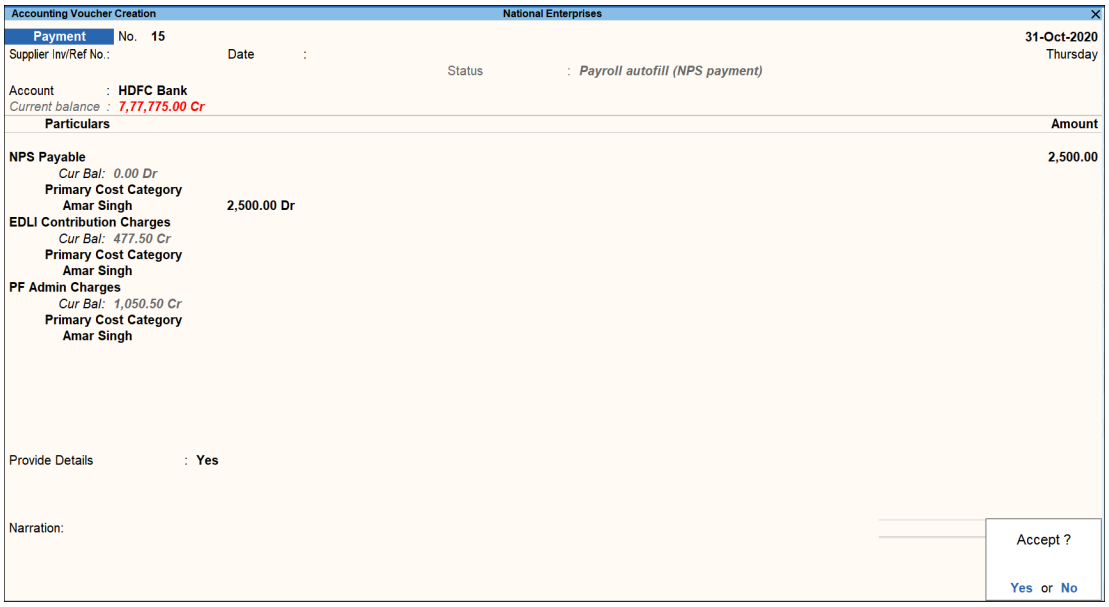
11. Press **Enter** to show the NPS Contribution, and select **End of List**.
12. Set as **Yes** in **Provide Details** field.
13. Enter the Cheque/DD No., Cheque/DD Date, Challan Date, Bank & Branch Code, as required, in the **NPS Payment Details** screen.

NPS Challan Details

Cheque / DD No	:	**234856**
Cheque / DD Date	:	**31-Oct-2020**
Depositor Name	:	**Mr Ramesh Sharma**
Bank & Branch Code	:	**HDFC Bank**
BSR Code	:	**510137**
Transfer Voucher Date	:	**31-Oct-2020**
Transfer Voucher Number	:	**1234567**

(Note : All the above details will be used in Challan, Forms & Returns)

14. Press **Enter**, and specify Narration, if any.



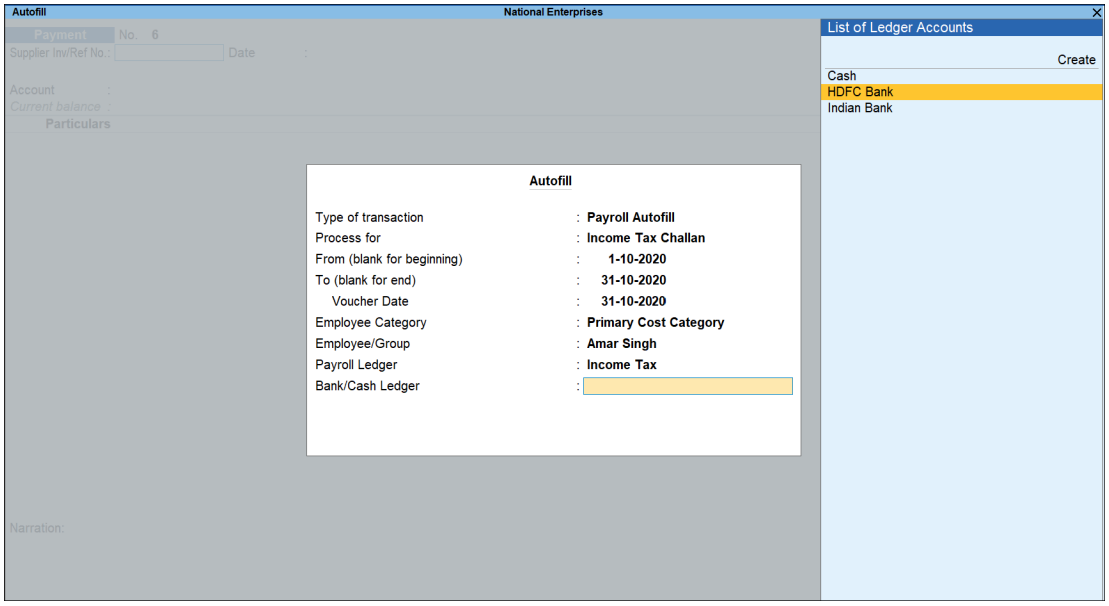
15. Accept the screen. As always, you can press Ctrl+A to save.

Record Income Tax Payments (Payroll)

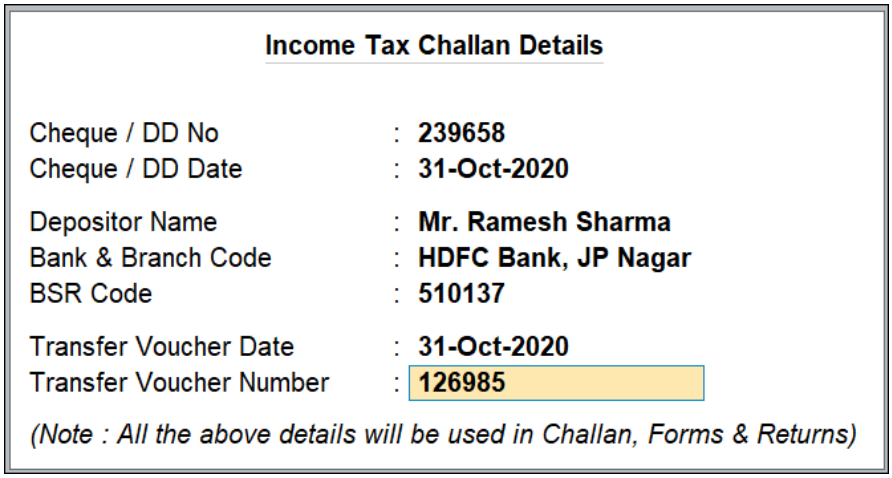
In TallyPrime, you can record income tax payments using the appropriate Payroll Ledger.

Payment Voucher

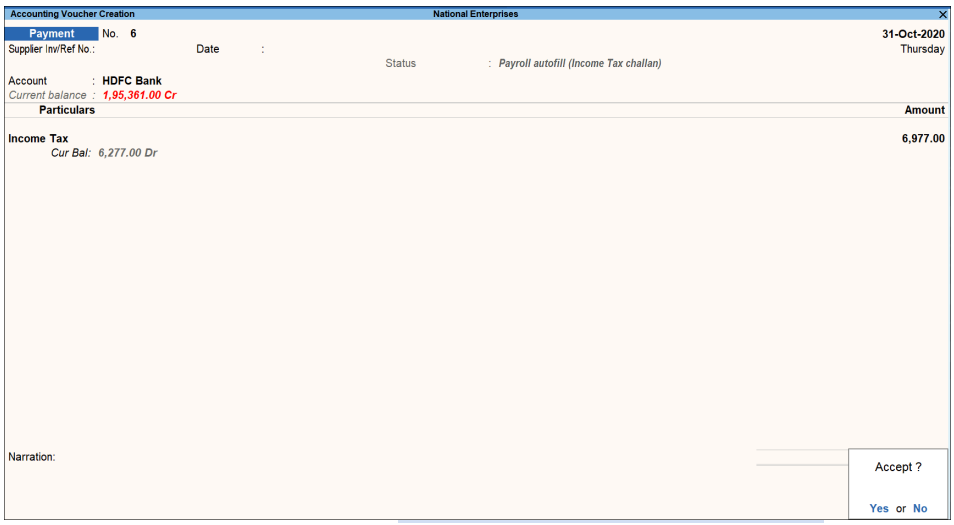
1. |**Gateway of Tally** > **Vouchers** > press **F5** (Payment). Alternatively, press **Alt**+**G** (Go To) > **Create Voucher** > press **F5**(payment).
2. Press **F2** (Date) to change the voucher date.
3. Press **Ctrl**+**F** (Autofill) for Payroll Auto Fill.
4. Select the **Income Tax Challan** in **Process** for field.
5. Enter the **From (blank for beginning)**and **To (blank for end)** dates.
6. Enter the **Voucher Date**.
7. Select the appropriate **Employee Category**.
8. Select the Employee/Group from the List of **Employees/Group**.
9. Select the appropriate Payroll Ledger from the **List of Ledger Accounts**.
10. Select the appropriate Bank/Cash Ledger from the **List of Ledger Accounts**.



11. Press **Enter** to show the income tax payment values for all employees.
12. Set as **Yes** in **Provide Details** field, if you wish to print the payment details in Income Tax Challan.
13. In the **Income Tax Payment Details** screen, enter the Cheque/DD No., Cheque/DD Date, Challan Date, Bank & Branch Code.



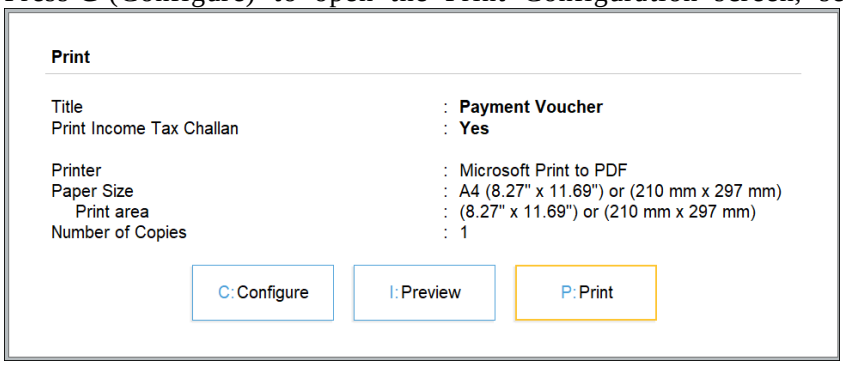
14. Press **Enter**, and fill Narration, if any.



15. Accept the payment voucher screen. As always, you can press **Ctrl**+**A** to save.

Income Tax (ITNS Challan 281) Challan

- To print the income tax challan, press No in the above screen, and press **Ctrl**+**P**.
- Press **C** (Configure) to open the Print Configuration screen, select **Yes** in the Print Challan field.



- Press **Yes** to **Print the Income Tax Challan**.

T.D.S CHALLAN

Single Copy (to be sent to ZAO)

CHALLAN No./ ITNS 281	Tax Applicable (Tick one)* TAX DEDUCTED AT SOURCE FROM (0020) COMPANY DEDUCTEES [ ] (0021) NON-COMPANY DEDUCTEES [X]	Assessment Year 2020-21

Tax Deduction Account No. (T.A.N).

Full Name

NATIONAL ENTERPRISES

Complete Address with City & State

#27, 80 Ft Road, Industrial Area,, Koramangala 6th Block, , Bangalore, E-Mail :salesho@nationalenterprises.com

Karnataka

Tel No. 080-22282982 Pin: 560068

Type of Payment Code * 92A

TDS Payable by Taxpayer (200) [X]

TDS Regular Assessment (Raised by I.T. Deptt.) (400) [ ]

FOR USE IN RECEIVING BANK

Debit to A/c / Cheque credited on

DD MM YY

DETAILS OF PAYMENTS

	Amount (in Rs. Only)
Income Tax	6,709.00
Fee under sec 234E	
Surcharge	
Health and Education Cess	268.00
Interest	
Penalty	
Total	6,977.00

SPACE FOR BANK SEAL

Total (in words):

CRORES	LACS	THOUSANDS	HUNDREDS	TENS	UNITS
Zero	Zero	Six	Nine	Seven	Seven

Paid in Cash/ Debit to A/c /Cheque No. 239658 Dated 31-Oct-2020

Drawn on HDFC Bank

(Name of the Bank and Branch)

Rs. 6,977.00

Date : Signature of person making payment

Tear Here

Taxpayers Counterfoil (To be filled up by taxpayer)

TAN

Received from NATIONAL ENTERPRISES

(Name)

Cash/Debit to A/c/Cheque No. 239658 For Rs. 6,977

Rs.(in words) Six Thousand Nine Hundred Seventy Seven Only.

Drawn on HDFC Bank

(Name of the Bank and Branch)

NON-COMPANY DEDUCTEES

on account of Tax Deducted at Source (TDS) from 92A for the Assessment Year 2020-21

SPACE FOR BANK SEAL

Rs. 6,977.00

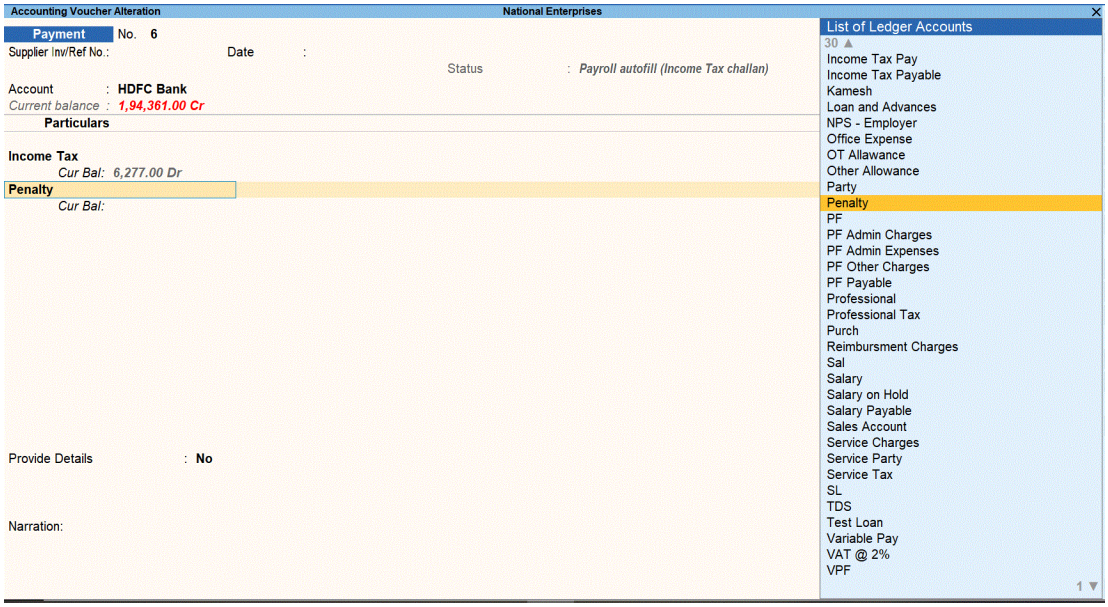
The income tax challan displays the total tax paid by the employer during the given month.

Payment of Interest, Penalty and Late Fee

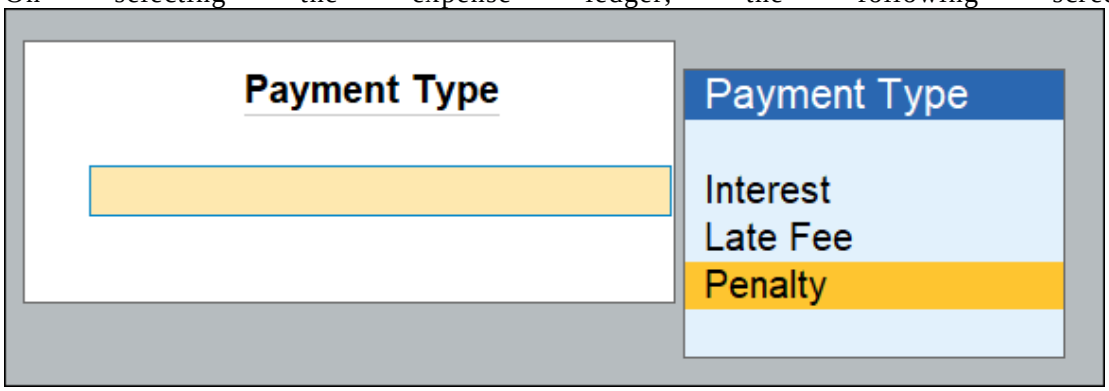
When there is a delay in paying the tax, a penalty maybe charged. In TallyPrime there is provision to account for the same.

1. **Gateway of Tally** > **Vouchers** > press **F5** (Payment). Alternatively, press **Alt**+**G** (Go To) > **Create Voucher**> press **F5** (Payment).
2. Press **Ctrl**+**F** (Autofill) for Payroll Auto Fill.
3. Select the **Income Tax Challan** in **Process for** field.
4. Enter the **From (blank for beginning)**and **To (blank for end)**dates.
5. Enter the **Voucher Date**.

6. Select the appropriate **Employee Category**.
7. Select the **Employee/Group** from the **List of Employees/Group**.
8. Select the appropriate **Payroll Ledger** from the **List of Ledger Accounts**.
9. Select the appropriate **Bank / Cash Ledger** from the **List of Ledger Accounts**.
10. In the Accounting Voucher Creation screen, select **Penalty** (or any other expense ledger) from the **List of Ledgers**.



On selecting the expense ledger, the following screen appears:

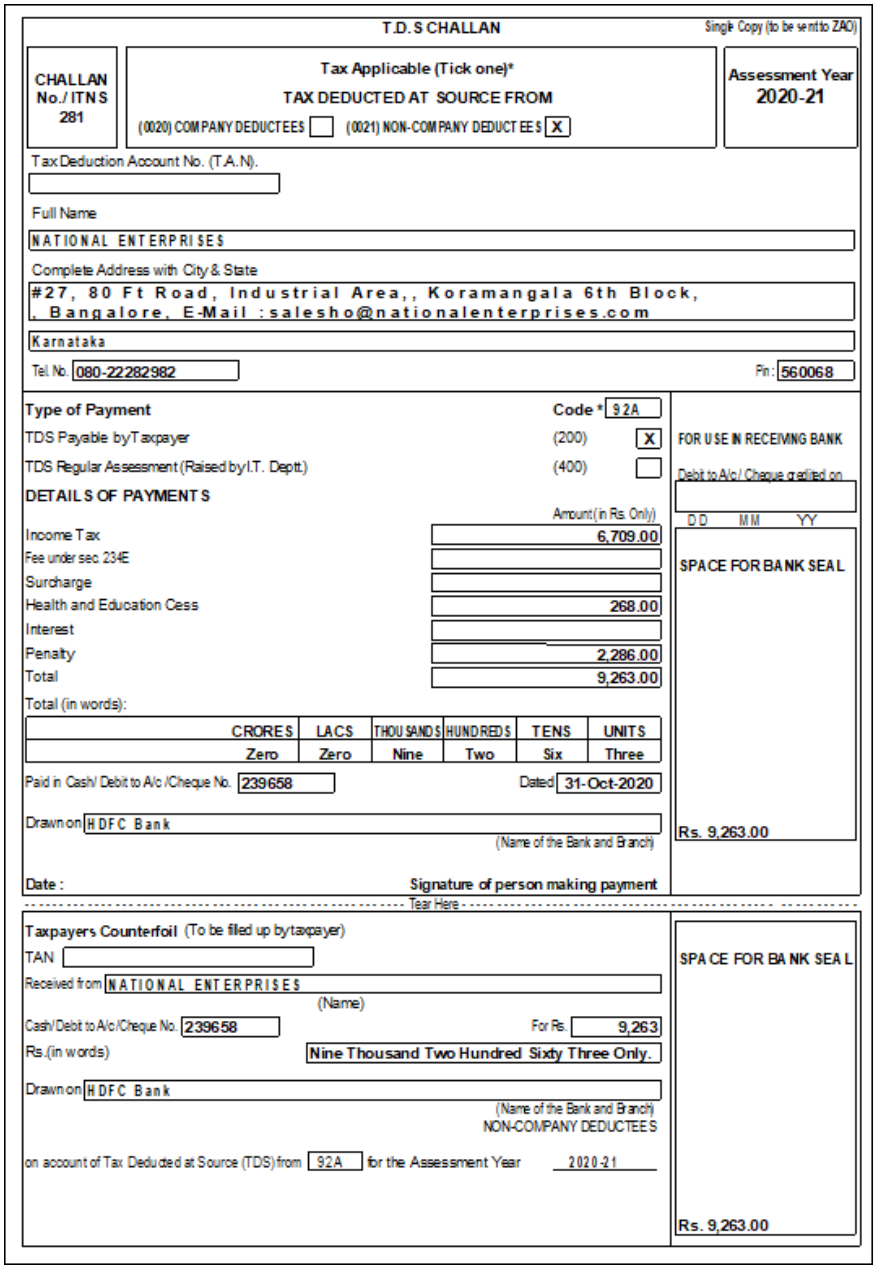


11. Select **Penalty**, and save the payment voucher. As always, you can press **Ctrl**+**A**to save.

Note: Similarly Interest and Late Fee can be accounted for using the same procedure.

Challan for TDS with Penalty Charges

The penalty charges that have been recorded will appear in the challan as follows:



T.D.S CHALLAN — Single Copy (to be sent to ZAO)

CHALLAN No./ ITNS 281

Tax Applicable (Tick one)*
TAX DEDUCTED AT SOURCE FROM
(0020) COMPANY DEDUCTEES [ ] (0021) NON-COMPANY DEDUCTEES [X]

Assessment Year 2020-21

Tax Deduction Account No. (T.A.N).

Full Name
NATIONAL ENTERPRISES

Complete Address with City & State
#27, 80 Ft Road, Industrial Area,, Koramangala 6th Block, , Bangalore, E-Mail :salesho@nationalenterprises.com

Karnataka

Tel No. 080-22282982 Pin: 560068

Type of Payment — Code * 92A

TDS Payable by Taxpayer	(200)	[X]
TDS Regular Assessment (Raised by I.T. Deptt.)	(400)	[ ]

DETAILS OF PAYMENTS

	Amount (in Rs. Only)
Income Tax	6,709.00
Fee under sec 234E	
Surcharge	
Health and Education Cess	268.00
Interest	
Penalty	2,286.00
Total	9,263.00

Total (in words):

CRORES	LACS	THOUSANDS	HUNDREDS	TENS	UNITS
Zero	Zero	Nine	Two	Six	Three

Paid in Cash/ Debit to A/c /Cheque No. 239658 Dated 31-Oct-2020

Drawn on HDFC Bank
(Name of the Bank and Branch)

Date : Signature of person making payment

FOR USE IN RECEIVING BANK
Debit to A/c / Cheque credited on
DD MM YY
SPACE FOR BANK SEAL
Rs. 9,263.00

Tear Here

Taxpayers Counterfoil (To be filled up by taxpayer)

TAN

Received from NATIONAL ENTERPRISES
(Name)

Cash/Debit to A/c/Cheque No. 239658 For Rs. 9,263

Rs.(in words) Nine Thousand Two Hundred Sixty Three Only.

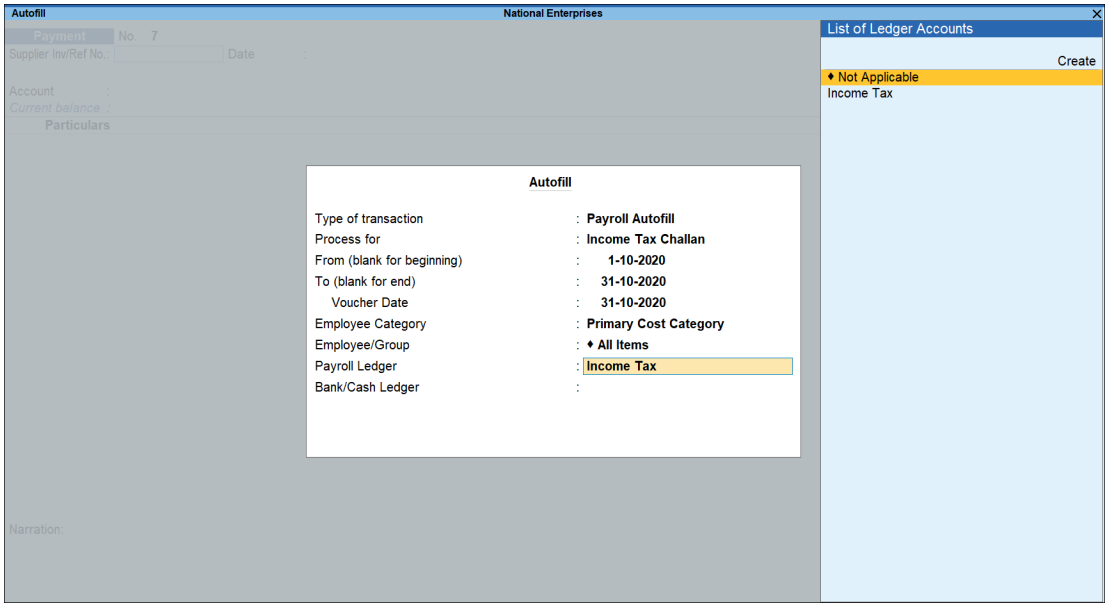
Drawn on HDFC Bank
(Name of the Bank and Branch)
NON-COMPANY DEDUCTEES

on account of Tax Deducted at Source (TDS) from 92A for the Assessment Year 2020-21

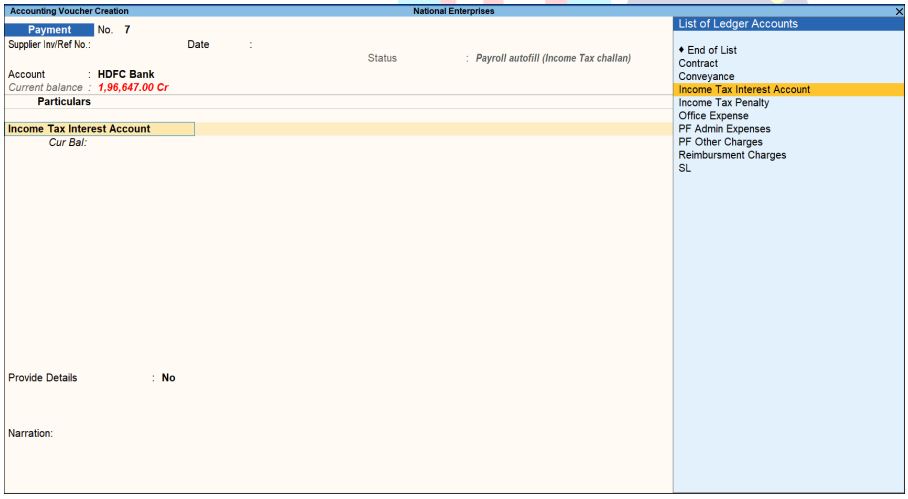
SPACE FOR BANK SEAL
Rs. 9,263.00

- Payment of Interest, Penalty and Late Fee Without the TDS Ledger
- Interest, penalty, and late fee can be accounted independently without the TDS ledger.

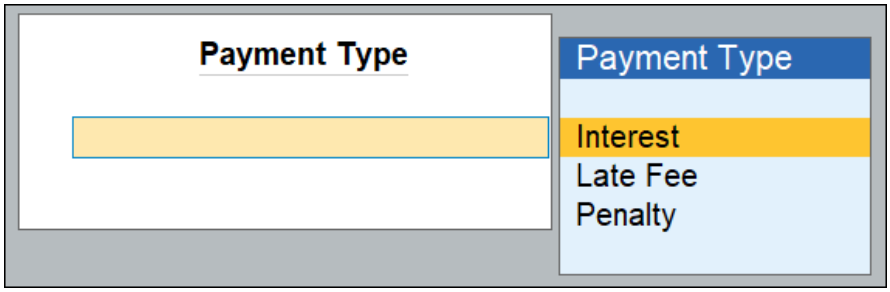
1. In the **Payment** **Auto-fill** screen, against **Payroll** **Ledger** field, select **Not** **Applicable.**



2. In the **Payment Voucher**, select Interest Account or any other expense ledger from the **List of Ledgers**.



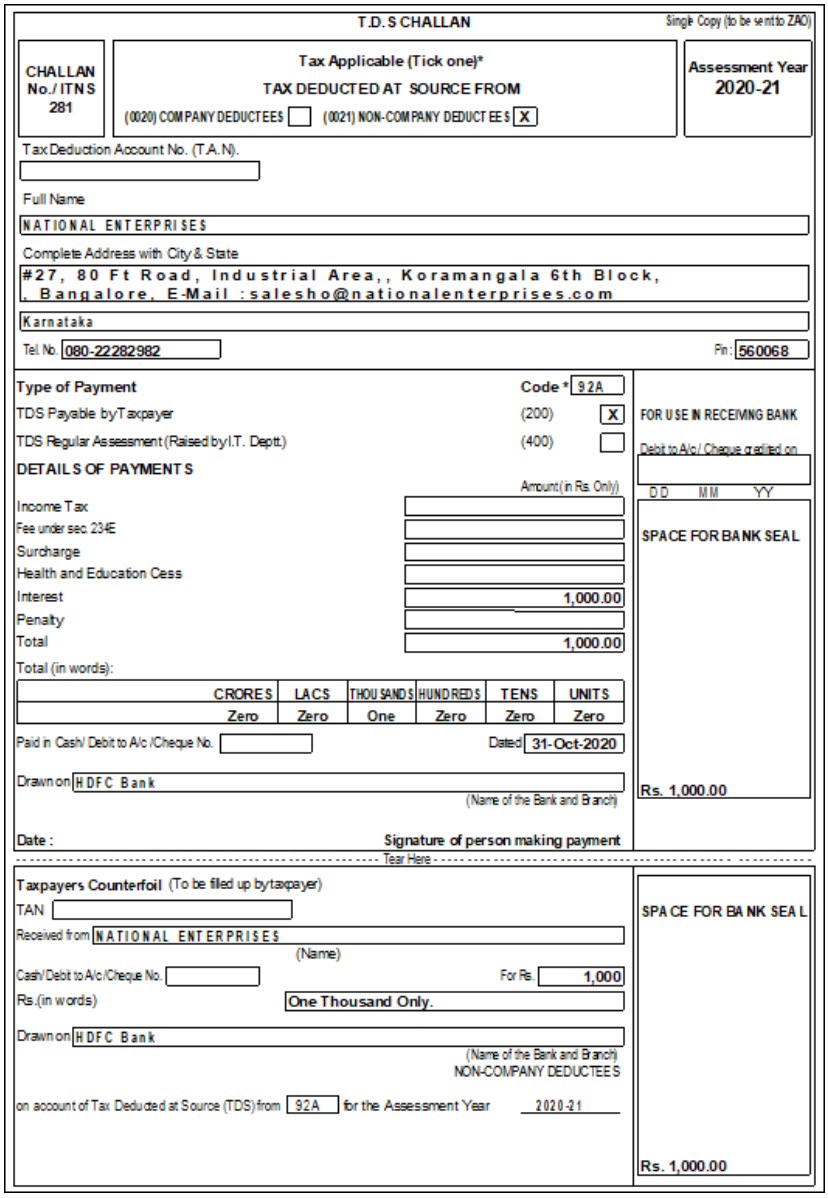
3. In the **Payment** **Type** sub-screen, select **Interest**.



4. Enter the amount, and similarly amounts can be accounted for Late Fee and Penalty in the same voucher.
5. Accept the voucher screen. As always, you can press **Ctrl**+**A** to save.

Challan for Penalty Charges without TDS Ledger

The interest charges recorded without the TDS ledger will appear in the challan as follows:



T.D.S CHALLAN — Single Copy (to be sent to ZAO)

CHALLAN No./ ITNS 281 | Tax Applicable (Tick one)* TAX DEDUCTED AT SOURCE FROM (0020) COMPANY DEDUCTEES [ ] (0021) NON-COMPANY DEDUCTEES [X] | Assessment Year 2020-21

Tax Deduction Account No. (T.A.N).

Full Name: NATIONAL ENTERPRISES

Complete Address with City & State: #27, 80 Ft Road, Industrial Area,, Koramangala 6th Block, , Bangalore, E-Mail :salesho@nationalenterprises.com

Karnataka

Tel No. 080-22282982 Pin: 560068

Type of Payment — Code * 92A

TDS Payable by Taxpayer (200) [X]

TDS Regular Assessment (Raised by I.T. Deptt.) (400) [ ]

FOR USE IN RECEIVING BANK

Debit to A/c / Cheque credited on DD MM YY

DETAILS OF PAYMENTS

	Amount (in Rs. Only)
Income Tax	
Fee under sec 234E	
Surcharge	
Health and Education Cess	
Interest	1,000.00
Penalty	
Total	1,000.00

SPACE FOR BANK SEAL

Total (in words):

CRORES	LACS	THOUSANDS	HUNDREDS	TENS	UNITS
Zero	Zero	One	Zero	Zero	Zero

Paid in Cash/ Debit to A/c /Cheque No. [ ] Dated 31-Oct-2020

Drawn on HDFC Bank (Name of the Bank and Branch)

Rs. 1,000.00

Date : Signature of person making payment

Tear Here

Taxpayers Counterfoil (To be filled up by taxpayer)

TAN [ ]

Received from NATIONAL ENTERPRISES (Name)

Cash/Debit to A/c /Cheque No. [ ] For Rs. 1,000

Rs.(in words) One Thousand Only.

Drawn on HDFC Bank (Name of the Bank and Branch)

NON-COMPANY DEDUCTEES

on account of Tax Deducted at Source (TDS) from 92A for the Assessment Year 2020-21

SPACE FOR BANK SEAL

Rs. 1,000.00

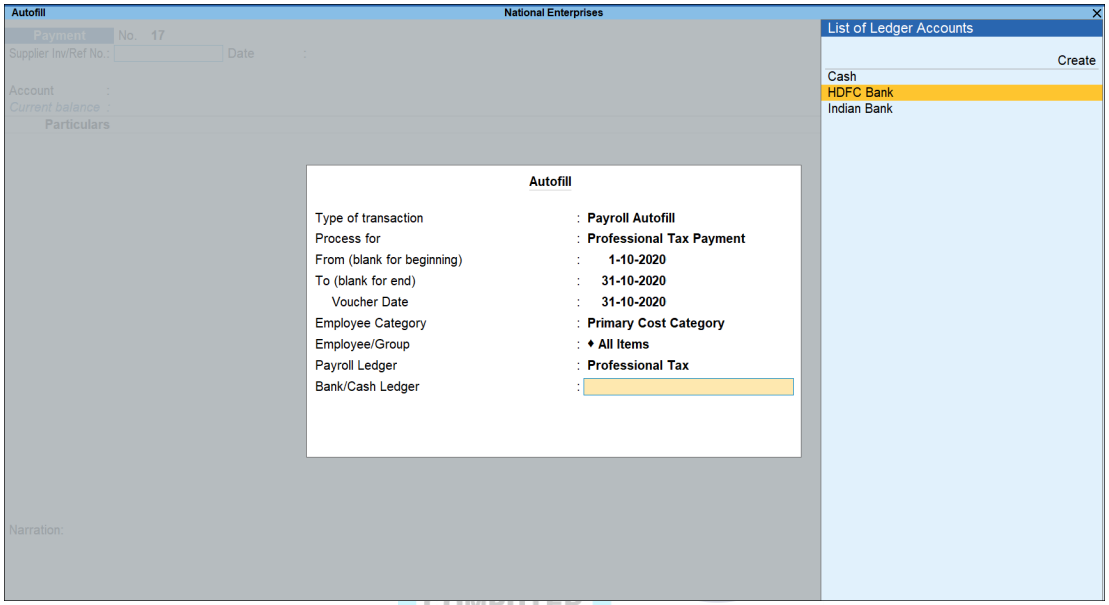
Similarly, the effect of interest, penalty and late fee will reflect in the respective statutory reports namely Challan, 24Q, e-TDS 24Q.

Record Professional Tax Payments (Payroll)

You can record Professional Tax Payments in Payroll using a payment voucher.

1. **Gateway of Tally** > **Vouchers** > press **F5** (Payment). Alternatively, press **Alt**+**G** (Go To) > **Create Voucher** > press **F5** (Payment).
2. Press **F2** (Date) to change the voucher date.
3. Press **Ctrl**+**F** (Autofill) for payroll auto fill.

4. Select the **Professional Tax Payment** in **Process** for field.
5. Enter the **From (blank for beginning)** and **To (blank for end)** date in the Employee Filter screen.
6. Enter the **Voucher Date**.
7. Select the appropriate **Employee Category**.
8. Select the **Employee/Group** from the **List of Employees/Group**.
9. Select the appropriate **Payroll Ledger** from the **List of Ledger Accounts**.
10. Select the appropriate **Bank/Cash Ledger** from the **List of Ledger Accounts**.



COMPUTER EDUCATION Jain Group - Bengaluru
G-TECJAIN

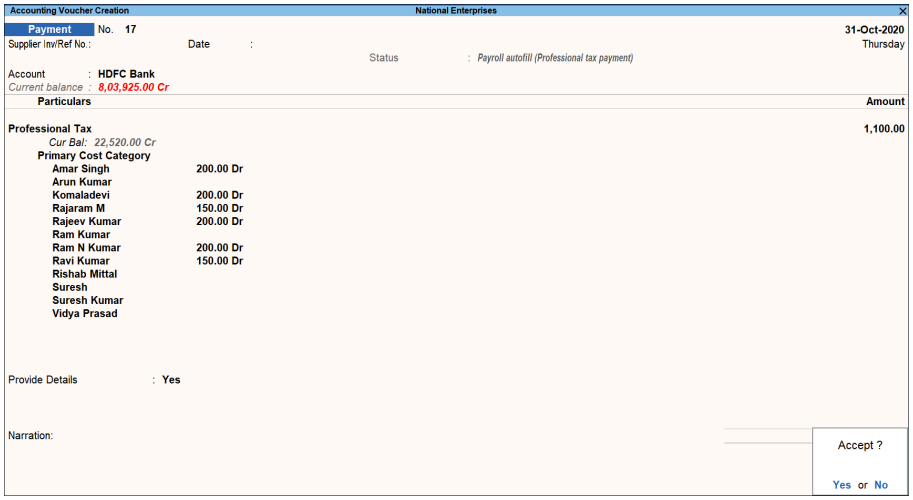
11. Press **Enter** to go to **Provide Details** screen.
12. Set **Provide Details** as **Yes** to enter **Challan Details**.

PT Challan Details

Cheque / DD No	:	**296431**
Cheque / DD Date	:	**31-Oct-2020**
Depositor Name	:	**Mr. Ramesh Sharma**
Bank Name	:	**HDFC Bank, JP Nagar**
BSR Code	:	**510137**
Transfer Voucher Date	:	**31-Oct-2020**
Transfer Voucher Number	:	**129365**

(Note : All the above details will be used in Challan, Forms & Returns)

13. Enter **Narration** if any.



14. Accept the screen. As always, you can press **Ctrl**+**A** to save.

TEC COMPUTER EDUCATION
JGi Jain Group - Bengaluru
G-TEC JAINx EDUCATION

Generate Pay Slips (Payroll)

The new enhanced **Payroll** in TallyPrime offers fast and easy salary processing. The **Payroll** process is a five-step procedure in TallyPrime.



Step 1: Create employees, employee groups and employee categories

Create the employee masters, add employee details. categorize employees based on their projects or office location, and add organizational groups that best represent their job functions such as marketing, R&D, sales, or accounts.

Step 2: Create Payroll Masters

Payroll masters represent various the Payroll Units and the Attendance/Production Type used in your organization. **For example**, Payroll Units could be Simple or Compound while the Attendance Type could include Present and Leave without Pay.

Step 3: Create Pay Heads

Pay heads represent the different components that constitute a salary structure. You can add any complex type of pay head with ease in Tally Prime.

Step 4: Create Salary Details

Create the applicable salary structure for employees and employee groups.

Step 5: Process Payroll and Generate Pay Slip

Record a payroll voucher that represents the various heads such as PF, ESI and PT towards which employees and the employer contributes.
Generate the pay slip, which includes attendance details, provides a listing of each component of the employee's earnings and deductions, and displays the net amount paid to the employee for a given pay period. Employees can use the pay slip to understand how the net amount is calculated.